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CORPORATE SOCIAL RESPONSIBILITY

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Information pursuant to the sustainability statement is presented in Chapter 5 of this Universal Registration Document in parts 5.1 to 5.6 as well as in Chapter 3 for corporate governance information, Chapter 4 for the risk management framework, cybersecurity and compliance risks and Chapter 10 for detailed tables relating to the European Taxonomy. This information is certified by the opinion of the Statutory Auditors in charge of the sustainability certification mission. This sustainability statement was approved by the Board of Directors on March 6, 2025.

(1) Report on the certification of sustainability information and verification of the disclosure requirements under Article 8 of Regulation (EU) 2020/852

SOCIETE GENERALE GROUP'S SUSTAINABILITY STATEMENT IN A NUTSHELL

Regulatory background



For the first time in 2024, Societe Generale group publishes a sustainability statement as required by the European **CSRD** (Corporate Sustainability Reporting Directive), transposed into French law. The main objective of this Directive is to harmonize sustainability reporting and to improve the availability and quality of ESG data published through the obligation to produce and publish a sustainability statement that meets standards applicable to companies in all sectors.



The European Sustainability Reporting Standards (**ESRS**) mandate the disclosure of the sustainability statement on environmental, social and business conduct topics.

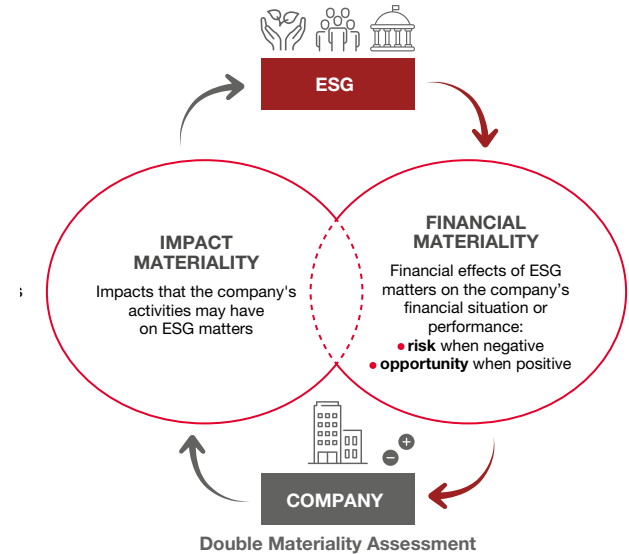


The sustainability statement is **certified** (limited assurance) by external auditors. This mission is subject to guidelines published by the French National Authority for Auditing (H2A) in France, specifying the work expected of auditors and the way in which they express their conclusions, pending a European standard governing this new assurance mission.

General disclosures

For 160 years, Societe Generale, a diversified European bank, has supported its clients in their projects and offered them a diversified range of financial products and services, in France and abroad. In line with its corporate purpose: "Building together, with our clients, a better and sustainable future through responsible and innovative financial solutions", the Group's CSR strategy is based on four pillars: (1) the environmental transition, (2) positive local impact, (3) being a responsible employer and (4) the culture of responsibility within all its activities.

This strategy is supported by a governance carried out at the highest level by the Executive Committee and the Board of Directors, assisted by a non-voting director with solid expertise in the challenges of the environmental transition.



Only material information shall be published in the sustainability statement. In accordance with the legal framework, to determine whether information is **material**, the **Group** has conducted a **double materiality analysis** (described in the diagram opposite), in order to identify its **material impacts, risks and opportunities** in connection with the topics set out by the ESRS.

The **analysis** of the Group's sustainability matters from an impact materiality and financial materiality perspective is based on an existing **risk management and internal control framework**. The Group will continue to **enrich its framework to identify** sustainability issues as well as its assessment methodologies, in particular through the increasing availability of information from its business relationships, enabling to **refine its management of ESG matters**.

Topical information



CLIMATE CHANGE

By participating in the financing of the economy, the Group has a **key role** to play **in the transition to a low-carbon economy by supporting its clients** as they move towards more sustainable solutions. In order to reconcile short-term challenges with a proactive medium- and long-term vision, Societe Generale has defined a **climate strategy** to support its clients in their transition.

This strategy is embodied in a **transition plan**, including decarbonization targets and the main associated levers, as well as the policies and actions carried out as part of the implementation of this plan. The transition plan covers the portfolios of corporate financing and investment of funds raised by savings life insurance. The Group aims to gradually align its portfolios on a path consistent with the objectives of the Paris Agreement using international methodological frameworks tailored to the specificities of the underlying economic activities and sectors.

To support its customers, develop its practices and monitor the implementation of its transition plan, the Group is deploying a vast **acculturation program** to raise awareness and train its employees on sustainability matters.

In addition, the Group considers climate change along with environmental, social and governance (ESG) topics across all of its activities, to **better control their impact and promote best practice**. The Group has put in place a comprehensive environmental and social (E&S) impact management framework which addresses the challenges common to all the sectors in which the Group operates, as well as **sectoral policies** that target certain sectors that are more sensitive from an E&S point of view and in which the Group plays an active role.

In addition, the evolution and magnitude climate change are sources of uncertainty and could increase the Group's financial risks in the short, medium and long terms through the financing of its clients and the assets in which it invests.

Climate change can also be a vector of opportunities: the Group's business lines are mobilizing their expertise to offer financial services that best meet their clients' environmental transition projects.



OWN WORKFORCE

With around **119,000 employees in more than 60 countries**, the Group considers Human Capital to be at **the heart of its value creation**.

The Group's Human Resources Department implements a **Responsible Employer strategy** to attract, train and engage its employees through its internal policies, which include:

- the fight against all forms of discrimination by fostering diversity, equity and inclusion within the Group;
- an occupational health policy implemented locally by dedicated teams;
- freedom of association and collective bargaining with the renewal of the global agreement with UNI Global Union;
- attractive compensation, contributing to employee loyalty and the Group's long-term performance;
- skills development throughout the professional career.

The Group supports the commitment of its employees by allowing them to participate in social actions with a positive impact as volunteers during their working hours.



CONSUMERS AND END USERS

Through its activities, Societe Generale wishes to initiate and maintain **long-term relationships** with its clients based on trust, expertise and respect for their interests. The **Code of Conduct** places Societe Generale's clients at the heart of the Group's priorities and provides a comprehensive framework of principles that guides operations and serves as a basis for the development and implementation of specific policies. As a result, many internal policies relating to access to banking services, responsible marketing practices and the protection of its customers' personal and confidential data are implemented.



BUSINESS CONDUCT

As a global group, Societe Generale has high standards of **control** and **compliance** and maintains **high standards of governance** by promoting a **culture of responsibility**. Throughout the world, the Group commits its employees to act with **integrity** and in **compliance with the laws** applicable to all its activities. As such, the Group has developed a **corporate culture** based on four fundamental values (Commitment, Responsibility, Team Spirit, Innovation), a Leadership Model and a Code of Conduct.

5.1 GENERAL INFORMATION

5.1.1 GENERAL PRINCIPLES RELATING TO THE SUSTAINABILITY STATEMENT

5.1.1.1 Introduction to the sustainability statement

BASIS FOR THE PREPARATION OF THE CONSOLIDATED SUSTAINABILITY STATEMENT

Societe Generale has prepared its consolidated sustainability statement for the year ended 31 December 2024, in accordance with:

- Order No. 2023-1142 of 6 December 2023 (“the order transposing the CSRD”) on the transposition into French law of Directive (EU) 2022/2464 of 14 December 2022, commonly known as the *Corporate Sustainable Reporting Directive* (CSRD); and
- Commission Delegated Regulation (EU) 2023/2772 of 31 July 2023 setting out the sustainability reporting standards (*European Sustainability Reporting Standards*, commonly referred to as “ESRS”).

The Group is also subject to various regulations, standards and frameworks, both French and European, that overlap with the topics covered by the sustainability statement. When this is the case, it will be specifically mentioned in the relevant section.

FIRST TIME APPLICATION

The information presented in this sustainability statement were prepared in a first time application context of the legal, regulatory and normative requirements mentioned above. This first time application is marked by uncertainties on interpretation of the texts, and a first analysis of double materiality carried out in the absence of established practices and comparative data.

In this context, and for the purposes of verifiability and understandability, the Group focused on applying the normative requirements set out in the ESRS and on reporting on the basis of the information available at the date of approval of this sustainability statement by the Executive Board, which leads to:

- estimations (section 5.1.1.2.2 “Estimates and uncertainties”), for which the methodologies and assumptions could be fine-tuned when data availability and quality will increase and
- limitations of the perimeter on:
 - activities covered by the materiality assessment (section 5.1.3.1. “Outcomes of the IROs assessment in relation to the strategy and business model”),
 - the identification of eligible and aligned activities under European Taxonomy (Part 5.2 and related annexes),
 - activities covered by the Climate Change Mitigation Transition Plan (section 5.3.2.1 “Overview of the climate change mitigation transition plan”),
 - the underlying assets of the Group selected for the calculation of greenhouse gas emissions (section 5.3.4.2 “Scope of calculation of GHG emissions attributed to the Group”),
 - entities with more than 10 employees in respect of the Group's own-account operations.

Finally, considering the underlying evolving path of CSRD and ESRS and in a continuous improvement approach, the Group could if necessary, adapt in the coming years the content of its sustainability statement, its data collection, disclosure processes and its internal control framework to take account of:

- the evolution of the regulatory and normative framework;
- issuing additional guidelines or questions and answers to facilitate a better understanding of the requirements;
- interpretations of regulatory and normative requirements and best practices;
- greater availability of data in particular as a result of the increase in the number of companies subject to sustainable information disclosure requirements.

PERIMETER OF GROUP SUSTAINABILITY STATEMENT

The consolidated sustainability statement presents sustainability-related information at Group level. This information relates to the parent company Societe Generale, its controlled entities as included in the scope of accounting consolidation, including subsidiaries required to publish their own sustainability statement, and its holdings in joint ventures and associates in France and abroad.

It covers all of the Group's activities on its value chains which were identified as material during the assessment of impacts, risks and opportunities, with, however, limitations as presented above. The outcome of this materiality assessment is presented in section 5.1.3.1 “Results of the evaluation of the IROs in relation to the strategy and the business model”.

EUROPEAN SUBSIDIARIES OF THE GROUP PUBLISHING THEIR OWN SUSTAINABILITY STATEMENT

The following European subsidiaries prepare their own sustainability statement:

- AYVENS SAS (France);
- BRD – Groupe Societe Generale SA (Romania);
- Komerční Banka AS (Czech Republic).

EUROPEAN SUBSIDIARIES OF THE GROUP EXEMPT FROM PUBLISHING A SUSTAINABILITY STATEMENT

The following European subsidiaries, qualify for the exemption from publishing an individual or consolidated sustainability statement for their own scope:

- Boursorama SA (France);
- Compagnie générale de location d'équipements SA (France);
- Fiditalia SPA (Italy);
- Franfinance SA (France);
- GEFA Bank GmbH (Germany);
- Société Générale Luxembourg SA (Luxembourg);
- Sogecap SA (France).

However, some information will be provided by those exempt subsidiaries in their management report, including an exemption statement and a reference to the consolidated sustainability statement of the parent company Societe Generale.

EXEMPTIONS FROM DISCLOSURE

The option provided for in the articles L. 232-6-3 and L. 233-28-4 of the French Commercial Code has been exercised. This allows the undertaking to be exempt from disclosure, in the sustainability statement, of impending developments or matters under negotiation.

5.1.1.2 Information on specific circumstances

5.1.1.2.1 TIME HORIZONS

ESRS 1 'General requirements' provides for the use of different time horizons. The Group has therefore adopted the following time periods:

- short-term: up to one year;
- medium term: one to five years;
- long term: beyond five years.

These time horizons are retained for the information disclosed in the sustainability statement. When the time horizons deviate from these periods, the exception is mentioned in the relevant section.

5.1.1.2.2 ESTIMATES AND UNCERTAINTIES

Generally, sustainable information could be subject to uncertainties linked to the state of scientific or economic knowledge and to the quality of internal and external data used for example for the value chain (developments below). This information may also be affected by possible future events with uncertain outcomes and consequences. In addition, some information, as prospective information, non-available data and the quantification of some sustainable information in peculiar environment information, are subject to estimations and judgement notably based on Group experience and on international recognized referential for sustainability matters. These estimates are sensitive to the methodological choices made and the assumptions used in their preparation.

Use of estimates and associated limitations

Metrics are presented in the sustainability statement, in particular regarding the Group's value chain information such as the calculation of greenhouse gas emissions, which are based on estimates, averages or assumptions, and are sources of uncertainties with regard to their volatility and the quality of input data. Indeed, a metric constitutes an estimate by construction when it cannot be measured directly by the Group since the underlying data come either directly from customers or from external data providers. As a result, an uncertainty can arise on measurement. In the absence of available information, sector and geographical averages are used, which may not reflect the profile of the Group's customer portfolio, nor contain sufficiently precise information. For some metrics, such as greenhouse gas emissions attributed to financing activities, multiple data sources are combined. In addition, emission factors which convert activities data in greenhouse gas emissions (GHG, expressed in tons of carbon dioxide equivalent - tCO₂eq), are themselves subject to variations depending on sources used or application contexts. By nature, GHG emissions in the value chain cover a large panel of categories, including equipment and services supply, travel management, use of sold products, each containing their own uncertainties. Finally, the absence of consensus in methodological practices and the continuing evolving regulatory environment are also a source of complexity and uncertainty for the global estimation of GHG emissions.

Metrics published in the sustainability statement may be accompanied by explanations, in particular about the nature or limitations of the data or estimates (proxies) used. These explanations are mentioned in the description of the metric.

In that context the Group has put its best efforts to apply the more advanced practices and methodologies. They should be continuously improved in the future, subject to the gradual release of standardised and qualitative data by the Group's external partners and data suppliers.

Uncertainties inherent in forward-looking information

The sustainability statement contains objectives and other forward-looking statements that reflect the Group's ambitions. Such forward-looking information requires careful consideration regarding its use in decision-making. The Group's ambitions are based on its current convictions and expectations and are influenced by economic expectations. This forward-looking information is therefore subject to risks and significant hazards, including the occurrence of possible future events, the results of which are difficult to assess as they stand, and that are mostly not under the Group's control. They are therefore subject to significant uncertainties and do not constitute guarantees that the ambitions will be achieved. This sustainability statement reflects, in accordance with the obligations under the CSRD and the ESRS, the Group's trajectory and not definite outcome.

The implementation in each jurisdiction where the Group operates of policies, actions and targets as presented in this sustainability statement is subject to the respect of local regulatory and legal provisions.

5.1.1.2.3 CHANGES IN THE CONTENT AND PRESENTATION OF SUSTAINABILITY INFORMATION

Since 2017, sustainability-related information has been presented in the extra-financial performance statement (“DPEF”) published on the basis of the provisions transposed into national law of Directive 2014/95/EU (*Non-Financial Reporting Directive* – NFRD).

The entry into force of the CSRD Directive, transposed into French law by the order transposing the CSRD, changed the presentation and content of sustainability-related information. The disclosure requirements have been considerably tightened, with the obligation to produce a sustainability statement divided into four parts:

- general information;
- environmental information;
- social information;
- governance information.

The sustainability statement is based on the standards applicable to all business sectors. The sector-specific standards for financial institutions should only be available and applicable from the 2026 financial year at the earliest.

Although the ESRS form the basis of the disclosures in the sustainability statement, other elements may be included, provided that they are considered material. Material and Group-specific sustainability matters have thus been integrated into the sustainability statement, in the disclosure on thematic standards.

5.1.1.2.4 INCORPORATION BY REFERENCE

The Group discloses information required by the ESRS in its sustainability statement (included in this Chapter 5 of the Universal Registration Document), which is a specific section of the Management Report.

However, some information is incorporated by reference. The sustainability statement may therefore be based on information contained in other chapters of the Universal Registration Document. These references relate to the following disclosure requirements:

- GOV-1 – The role of the administrative, management and supervisory bodies;
- GOV-2 – Information provided to and sustainability matters addressed by the undertaking’s administrative, management and supervisory bodies;
- GOV-3 – Integration of sustainability-related performance in incentive schemes;
- additional specific information regarding cybersecurity.

In addition, when, in accordance with IFRS, the topics covered by ESRS have material consequences on the consolidated financial statements, information is provided in the notes to the consolidated financial statements.

5.1.2 SUSTAINABILITY STRATEGY

5.1.2.1 Key elements

PRINCIPLES OF THE SUSTAINABILITY STATEMENT

CSR (Corporate Social Responsibility)

“Corporate Social Responsibility” (CSR) covers all sustainability and sustainable development matters, including environmental, social and governance (ESG) matters. This definition applies to Chapter 3 on Corporate Governance and to Chapter 5 on the Group’s sustainability statement.

Sustainability matters and ESG topics

The ESRS provide an overview of the sustainability topics, sub-topics and sub-sub-topics (collectively referred to as sustainability matters) covered by ten ESG topical standards. The five environmental topics are: climate change, pollution, water, biodiversity and resources and the circular economy. The four social topics are: own workforce, workers in the value chain, affected communities, consumers and end-users. The governance topic is business conduct.

Sustainability matters correspond to environmental, social and employee matters, respect for human rights and anti-corruption.

Sustainable finance

Sustainable finance covers loans, bonds, advisory mandates in sustainable and positive impact financing and securitisation: these products or services aim to directly finance or facilitate the raising of funds or the financing of projects clearly identified as generating benefits in environmental, social and/or business conduct terms.

Stakeholders

Stakeholders include individuals or groups affected, or potentially affected, positively or negatively, by the Group’s activities or those of its business relationships, as well as users of sustainability statements.

5.1.2.1.1 KEY FIGURES AND STRATEGIC CSR OBJECTIVES

The Group generated a net banking income of EUR 26.8 billion, as presented in the 2024 Group consolidated results in Chapter 6, through services of retail banking, corporate and investment banking, private banking, insurance and specialised financial services, such as leasing and mobility solutions. The Group serves a diverse mix of customers and markets in France and abroad. Its business pillars meet the specific needs of customers, from individual customers, local businesses and non-profit organisations to global corporations, sovereign entities and financial institutions, providing tailored financial solutions across various regions and business sectors.

The Group employed around 119,000 people in more than 60 countries at the end of December 2024: 46% of the workforce is based in France, 31% in Europe (excluding France), 8% in Africa, the Mediterranean basin or French Overseas Territories, 12% in Asia and Australia and 3% in the Americas.

The Group’s business model reflects its purpose: “Building together, with our clients, a better and sustainable future through responsible and innovative financial solutions”. Societe Generale’s strategic plan for 2026 aims to make the Group a leading European, robust and sustainable bank. In this context, the Group has announced an acceleration of its ESG ambitions, including:

- the reduction of fossil fuel exposures and increased efforts to align the Group’s portfolios with a pathway consistent with the objectives of the Paris Agreement (see section 5.3.2.2.1 “Reducing the financing of fossil fuels and supporting the decarbonisation of the main greenhouse emitting sectors”);
- investments for the transition (presented in section 5.3.2.2.2 “Increase transition finance to support clients to adapt to a low-carbon economy”) with notably an envelope set up of EUR 1 billion;
- contribution to sustainable finance up to EUR ~500 billion (see section 5.3.2.2.2 “Increase transition finance to support clients to adapt to a low-carbon economy”);
- an envelope of EUR 100 billion to reduce gender pay gap (presented in section 5.4.1 4.1 “Remuneration policy, including adequate wage”);
- the development of partnerships and participation to international initiatives.

The Group’s CSR ambition is based on four priority pillars: the environmental transition, positive local impact, being a responsible employer and the culture of responsibility.

5.1.2.1.2 SPECIFIC FEATURES OF BUSINESS LINE ACTIVITIES AND CLIENTS

MAPPING OF THE GROUP'S ACTIVITIES

The Group's activities are organised into three complementary pillars, as presented below and described in more detail in 1.4 of the Universal Registration Document.



5.1.2.2 Key components of the business model and value chains

5.1.2.2.1 DESCRIPTION OF THE BUSINESS MODEL AND VALUE CHAINS, INCLUDING UPSTREAM AND DOWNSTREAM KEY COMPONENTS

PRINCIPLES OF THE SUSTAINABILITY STATEMENT

Business model

The business model is the concise and systemic representation of the origin of a company's added value and how it shares that added value among different stakeholders over a period of time and for a clearly identified area of activity.

Value chain

The value chain corresponds to all activities, resources and relationships related to the company's business model and the environment in which it operates. It is divided into three parts:

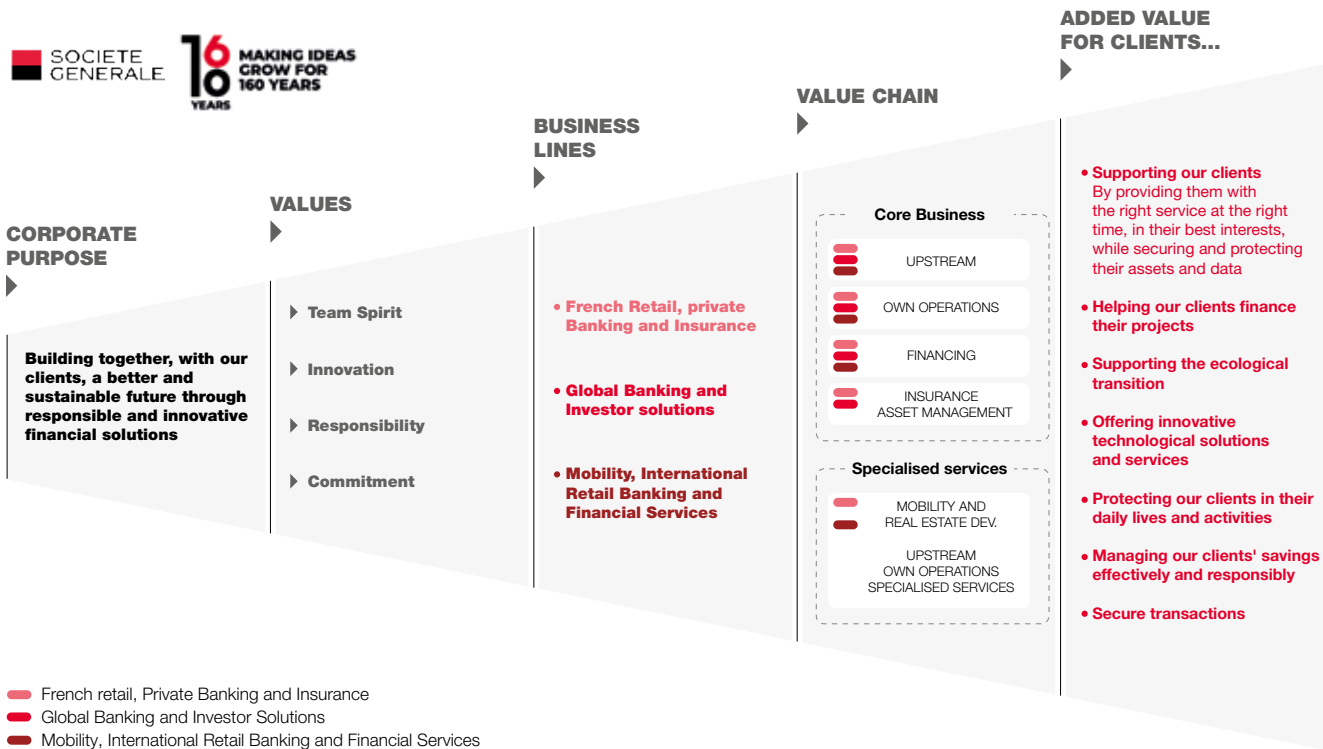
- upstream chain: activities related to the procurement of goods and services involving the company's suppliers;
- own operations: activities carried out for the company's internal management needs (cash management, liquidity, personnel management and other operating needs);
- downstream chain: products and services offered to the company's customers.

Business segment

The business segment is the result of the intersection between the types of activities within the Group and the different levels of the value chain. Based on the mapping of activities, classified by product type and customer type, the Group has distributed its different types of activities across its entire value chain (upstream, own operations, downstream).

The Group's business model seeks to offer responsible, innovative financing and investment solutions to help its customers realise their plans and meet the challenges of the transition. The Group draws on its financial strength, high-quality service and innovation-based approach. It drives forward its sustainability strategy, creating value for its stakeholders from accompanying its clients to managing capital in the best interests of shareholders.

A model that creates lasting value

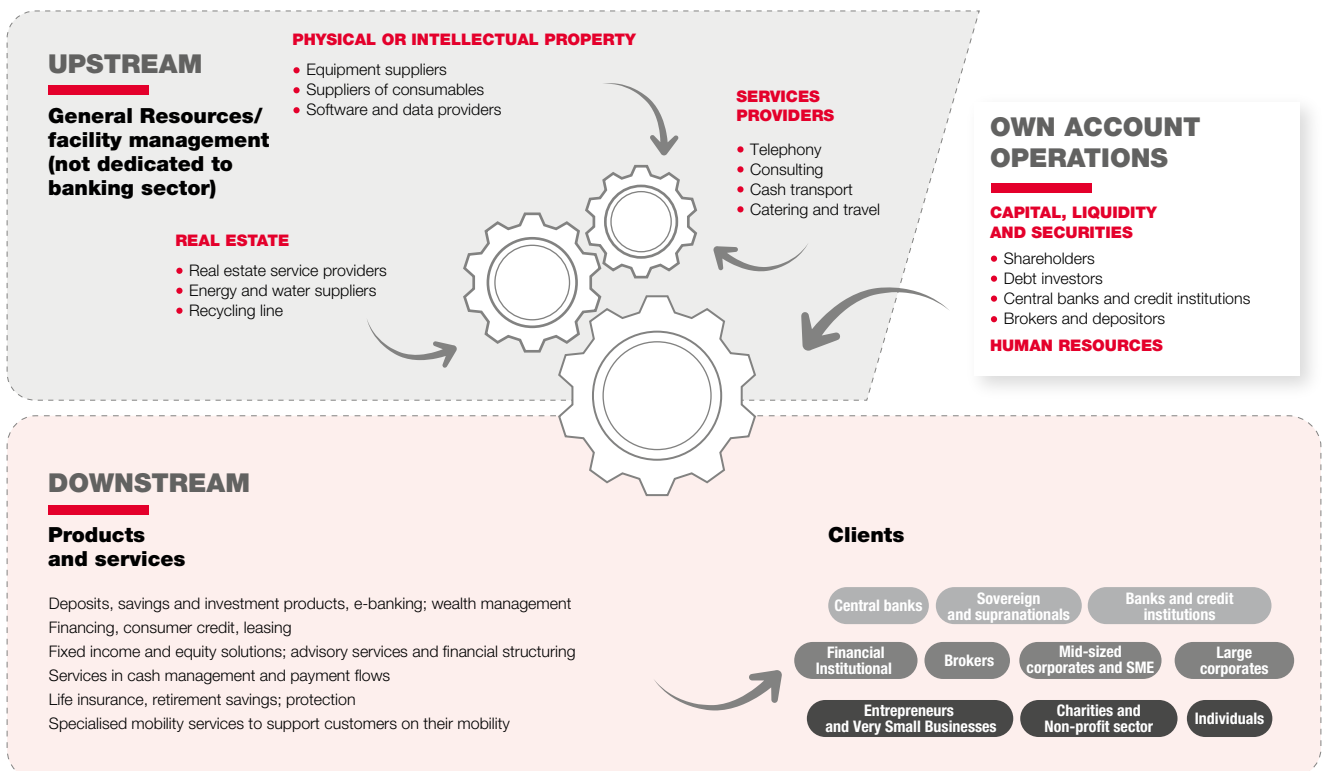


The analysis framework for sustainability matters as defined in the ESRS has led the Group to identify two distinct business models, each encompassing several business lines with their respective value chains: a primary business model for banking and insurance activities, and a specific business model for specialised mobility and real estate development services.

The mobility and real estate development business models differ significantly from that of the Group's main banking and insurance activities in terms of the composition of their revenues, the services offered and their customers.

Value chain

The different components of the value chain of the Group's banking and insurance activities are shown below.



With EUR 5.5 billion in external expenditure, the upstream part of the Group's value chain, which covers the main procurement expenses, includes IT services, software, auditing and consulting. The Group works with large international corporates, SMEs and innovative start-ups to meet its various purchasing needs and maintain relationships with its suppliers built on trust.

Own operations essential to how the Group functions include:

- human resources management through policies to ensure the training, fair remuneration and well-being of employees;
- management of real estate such as the various office sites;
- maintenance of IT systems critical for business continuity, data security and effective communication.

In contrast, the downstream value chain of the Group's core businesses is extensive and highly diversified. It includes financing and investment services on one hand, and insurance and asset management services on the other. Financing and investment services include three sub-segments, depending on the type of products/services and customers:

- corporate banking, which provides tailored financing solutions to its customers, both large corporates and SMEs, including structured finance, M&A finance, project finance, syndicated lending and payment services;
- retail banking, *i.e.* a traditional banking network offering services (e.g. deposits, loans and payments) mostly through physical branches, online banking with 24/7 access to accounts *via* online platforms and mobile devices, and private banking offering wealth management services, investment and estate planning;
- Investment banking, which offers market services, investment advice and portfolio management, as well as support services for mergers and acquisitions, initial public offerings (IPOs) and debt issues, offering specific products for corporates, financial institutions and investors.

In terms of insurance, the Group offers integrated insurance solutions – including life, non-life and protection – included in banking services to help large corporates, SMEs and individuals manage both their financial and insurance needs.

In addition, the Group offers asset management services through internally managed funds and collaborations, offering services such as custody, financial advisory and discretionary management to large corporates, SMEs, institutions and third-party asset managers.

VALUE CHAIN SEGMENTS OF CORE ACTIVITIES AND SPECIALISED SERVICES

Société Générale core business value chain									Specialised services value chain		
Business Lines	Upstream			Own Operations			Downstream				
Segments	Management of supply chain	Other own operations	Own account	Corporate Financing	Retail banking	Investment banking	Asset management	Insurance			
Description of key activities	Acquisition of goods and services instrumental to own operations	HR management, properties management (e.g., office sites, buildings, etc.) and IT management	Managing group liquidity / funding management and structural risk management	Financial solutions for companies: structured finance, M&A, financing, project finance, syndicated loans to support corporate clients' strategic growth	Comprehensive financial services, including: deposits, loans, and investment products, to individual and small business clients	Capital markets services, advisory, and financing services for corporate, institutional, and public clients	Tailored investment solutions for institutional and private clients	Range of insurance solutions: life insurance, retirement savings, and personal protection through partnerships	Management of supply chain		
		Resources consumption: energy, water, waste management, etc.	Compliance and business conduct system						Own operations		
Actors in the value chain	Providers of IT and consulting Providers of equipment and other facilities Financial intermediaries Distributors	Employees	Large Corporate clients	Large Corporate clients	Individual clients	Large Corporate clients	Large Corporate clients	Large Corporate clients	Own operations		
		Contractors	Sovereigns	Small-Medium-Size corporate clients	Small Business clients	Financial Institutions	Small-Medium-Size corporate clients	Small-Medium-Size corporate clients	Specialised services		
			Financial Institutions			Institutional investors	Individual clients	Individual clients	Specialised services		
							Third party Asset Managers	Intermediaries	Offering corporates, SMEs, and individual clients specialised services around mobility (leasing, fleet management, and multi-mobility, <i>via</i> Ayvens) and real estate developments (<i>via</i> SOGEPROM)		

- French retail, Private Banking and Insurance
- Global Banking and Investor Solutions
- Mobility, International Retail Banking and Financial Services

5.1.2.2.2 THE ROLE OF SOCIETE GENERALE IN ITS VALUE CHAINS

Managing the upstream value chain and own operations ethically and responsibly

The role of the Purchasing Department is to identify, with the help of suppliers, the appropriate solutions to contribute to the Group's operational efficiency, by focusing on the quality of supplier relations, and the social and solidarity economy (SSE) and reducing the climate impact of its businesses.

The role of Human Resources is to fulfil the Group's five key missions: providing administrative management for human resources and payroll; managing employees' careers; defining and managing compensation and benefits; managing jobs and skills; defining and managing social policies. These key missions are in line with the Group's three goals as a responsible employer: to enable all current and future employees to fulfil their potential within the Group; to offer a rewarding, suitable and efficient working environment; and to strengthen employee engagement and impact.

Creating value for the Group's customers and other stakeholders in the downstream value chain

By embedding sustainability within its offering, the Group ensures that all types of customers – from large corporates to public entities, institutional investors, individuals, SMEs, professionals, and entrepreneurs – have access to a wide range of services that meet their financing, investment, and operational needs. In that context, the bank finances notably sustainable projects or green equipment and offers products with embedded ESG metrics. In terms of investments and savings, it offers structured products and ESG advisory by leveraging the expertise developed within the Group. For retail customers, diagnostic and advisory services include ESG advisory, energy transition support and carbon footprint management tools.

In addition, the Group offers insurance, Securities Services and receivables finance integrating ESG indicators, enabling customers to align their financing and investment strategy with their sustainability goals.

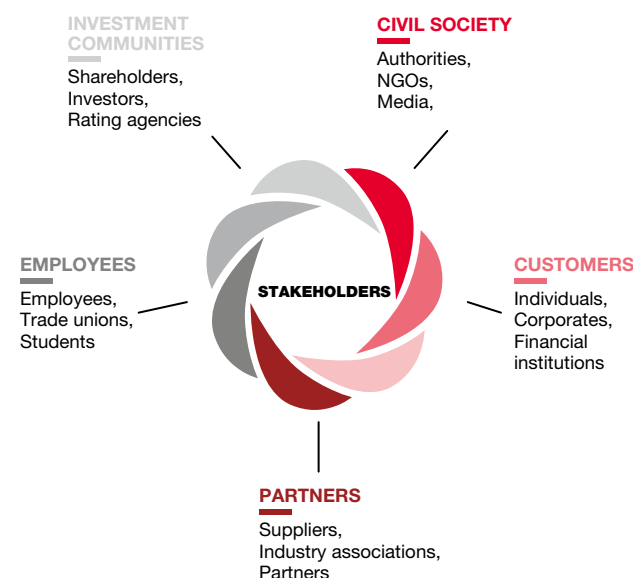
The Group also promotes sustainable growth in the communities it serves by contributing to the financing of equipment supporting the United Nations Sustainable Development Goals, notably through the financing of infrastructure.

In terms of sustainable mobility, customers benefit from electric vehicle leasing, purchase financing and mobility-as-a-service solutions.

5.1.2.3 Stakeholders' interests and views

KEY STAKEHOLDERS

By listening closely to stakeholders, the Group can gain more insight into changes in its environment and the agility to respond to new expectations. The Group engages in dialogue with its key stakeholders, categorised below into five major families:



Appropriate channels are in place at different levels of the organisation to foster a transparent and constructive dialogue with each stakeholder family. This takes place throughout the year and for specific events, such as when preparing for strategic reviews. Each stakeholder has a privileged entry point within the Group, responsible for coordinating the dialogue. In 2024, a mapping of the entire framework was produced. This will be updated annually under the aegis of the Sustainability Department.

The Group seeks to continually improve its dialogue mechanism, in line with the expectations expressed by its stakeholders, by encouraging the sharing of best practice among business lines and by keeping track of industry best practice that reflect its own issues.

The views and interests of affected stakeholders on sustainability are presented to governance bodies and inform the Group's strategic thinking:

- during presentations of the results of specific consultations (studies, surveys, etc.);
- when the double materiality assessment is published;
- through existing governance channels during strategic reviews, risk reviews, regulatory changes, etc.

The outcome of this dialogue is also taken into account in the Board of Directors' evaluation of the performance of General Management (see Chapter 3).

PRESENTATION AND DESCRIPTION OF KEY STAKEHOLDERS: THE DIALOGUE PROCESS, TOPICS COVERED AND OUTCOMES

The following items illustrate aspects of the dialogue mechanism for each major stakeholder family. Without being exhaustive, these items are intended to give an overview of the process and the content of the discussions.

Civil society

Key stakeholders	Regulators/supervisors, NGOs, media
Aims of the dialogue process	Dialogue with regulators/supervisors allows the Group to understand and anticipate regulatory changes, but also to contribute to discussions within the industry. Dialogue with NGOs and the media allows the Group to pay closer attention to the expectations of civil society in terms of environmental and social issues. It also allows to clarify commitments when necessary.
Organisation of the dialogue	The Group maintains close relations with regulators/supervisors wherever it operates and regularly participates in various consultations. Dialogue is most often initiated by regulators/supervisors. All dialogue with the media is handled by the Communication Division; dialogue with NGOs falls within the remit of the Sustainability Department. The main channels are: ■ interaction when requests are sent to the Group or following NGO publications; ■ regular bilateral meetings and briefings on specific events or news; ■ discussions led by institutions or industry associations; ■ monitoring of media coverage and press releases.
Topics covered in 2024	New supervisory regulations, ESG regulations (sustainability reporting, due diligence, taxonomy, financing of the transition, etc.), digital regulations (AI and financial services, etc.), financial market regulation (Capital Markets Union, MiFID, Retail Investment Strategy, etc.), regulations on improving access to housing and energy renovation. The Group's climate strategy: sectoral policies, their implementation and scope and the technological challenges related to the transition. HR news, restructuring and employment protection plans, diversity and inclusion, including gender equality.
Outcomes of the dialogue	The outcomes of the dialogue mainly influence: ■ the Group's normative approach; ■ the Group's CSR goals and key commitments; ■ the Group's environmental and social policies.

Investment community

Key stakeholders	Shareholders, investors, rating agencies
Aims of the dialogue	The Group aims to provide the investment community with a high level of transparency on its performance and strategic objectives.
Organisation of the dialogue	Dialogue with the investment community is coordinated by the Finance Division at Group level and involves the Chairman of the Board of Directors, the General Management and the Finance Division. The main channels are: ■ presentations, roadshows, conferences; ■ bilateral meetings; ■ shareholders Consultative Committee; ■ annual reviews and regular discussions with rating agencies; ■ general Meeting.
Topics covered in 2024	■ strategy and financial performance; ■ strategy and extra-financial performance; ■ opportunities and risks; ■ governance.
Outcomes of the dialogue	■ the Group's strategy and publications.

Clients

Key stakeholders	Individuals, corporates, financial institutions
Aims of the dialogue	Ongoing dialogue with customers allows the Group to measure their perceptions and anticipate their expectations, to design appropriate solutions with them and to raise their awareness of environmental and social issues in order to support them in their transition.
Organisation of the dialogue	The organisation of dialogue with customers is specific to each Business Unit and subsidiary of the Group. It is tailored to the type of customer and the issues specific to each business line. The main channels are: - customer feedback from employees; - Data transmitted during know-your-customer procedures; - satisfaction surveys, including Net Promoter Scores (NPS), by poll or interview; - studies, carried out by the Group or a third party, to gather expectations or perceptions on specific issues, in particular ESG; - bilateral meetings, face-to-face and/or through online platforms and call centres; - multi-party dialogue mechanisms; - a mediation and complaint mechanism (see section 5.4.2.2.1 “Customers policies”); - conferences, events, newsletters, etc.
Topics covered in 2024	- the quality of the products and services provided and the pricing; - the development of new products and services; - the customer journey and relationship; - innovation and artificial intelligence; - economic and regulatory news; - data protection and fraud; - sustainability matters specific to our customers’ activities (decarbonisation, renovation, mobility, savings, etc.).
Outcomes of the dialogue	The outcomes of the dialogue mainly influence: - commercial strategies and offerings; - the relationship model and customer journey; - environmental and social policies; - development of new offers in response to client's needs.

Employees

Key stakeholders	Employees, trade unions, students
Aim of the dialogue	The culture of dialogue is one of the commitments of the responsible employer strategy. It is fertile ground for capturing the views and interests of employees, gaining insights into what drives their engagement and supporting change during the Group's transformations. The Group is also committed to regular dialogue with students, future employees and/or potential customers.
Organisation of the dialogue	Dialogue with employees is orchestrated by Human Resources at Group level, in addition to the individual and collective managerial dialogue specific to each department. The main channels are: - regular surveys to measure employee engagement and well-being, including an annual Group-wide employee survey; - regular meetings with staff representatives and the UNI Global Union (see section 5.4.1.4.2 “Dialogue with employees and their representatives”); - mobilisation of employees on specific topics or projects (e.g. collaborative workshops, white papers, etc.); - external studies, in particular to understand the expectations of students/younger generations; - internal events (face-to-face and online) and external events (student campuses); - a whistleblowing system (see section 5.5.1.1.2 “Whistleblower protection”).
Topics covered in 2024	- attracting and retaining talent, training, mobility, career development; - well-being at work, including flexible working conditions, diversity, equity and inclusion, feedback and the culture of dialogue, the treatment of inappropriate behaviour; - compensation policy; - the Group's financial and extra-financial strategy; - digital transformation, innovation capabilities and client centricity; - organisational transformation, workload, operational efficiency.
Outcomes of the dialogue	The outcomes of the dialogue mainly influence: - the “Human Capital” strategy for 2030 and in particular career management, employee experience and the Diversity, Equity and Inclusion strategy in 2024; - Culture and Conduct approach; - compensation policy.

Partners

Key stakeholders	Suppliers, industry associations, other partners
Aims of the dialogue	Close dialogue allows the Group to build lasting relationships with its suppliers. The Group's employees are actively involved with various industry associations, enabling the Group to contribute to industry initiatives, identify trends and dialogue with common stakeholders (regulators/supervisors, industry associations, local authorities, etc.).
Organisation of the dialogue	Dialogue with suppliers is coordinated by the Group's Purchasing Division. The involvement of employees in local industry associations is organised by each Business Unit or Service Unit. Participation in certain external organisations is coordinated at Group level. The main channels are: ■ surveys, conducted by third parties or internally; ■ regular bilateral meetings; ■ conferences, workshops, events, newsletters, etc.
Topics covered in 2024	■ development and innovation opportunities; ■ extra-financial criteria for calls for tenders and contractual clauses; ■ invoice payment terms; ■ working conditions and skills development for our suppliers' employees; ■ ESG methodologies; ■ environmental and social policies.
Outcomes of the dialogue	The outcomes of the dialogue mainly influence: ■ purchasing strategy; ■ environmental and social policies.

5.1.3 IMPACTS, RISKS AND OPPORTUNITIES (IROS)

5.1.3.1 Outcomes of the IRO assessment in relation to the strategy and business model

PRINCIPLES OF THE SUSTAINABILITY STATEMENT

IROs (Impacts, Risks and Opportunities)

The concept of IRO covers impacts, risks and opportunities related to environmental, social and governance (ESG) topics.

Impacts correspond to the negative or positive effects generated by the Group's activities or its business relationships on environmental, social or governance matters. These effects may be real or potential, in the short, medium or long term.

Sustainability matters may result in risks or opportunities that have or could have an impact (negative for risks and positive for opportunities) on the Group's financial position, financial performance, cash flows, access to funding or liquidity, or cost of capital over the short, medium or long term.

Double materiality

The double materiality assessment is the cornerstone of the sustainability statement: the undertaking discloses information on sustainability matters identified as material. This analysis is carried out on three levels of the value chain (upstream, own operations, downstream).

The materiality of a sustainability matter must be analysed from two dimensions:

- the impact (actual or potential, positive or negative, over the short, medium and long term) that the undertaking could have on the environment and people as a result of its activities: this is the impact materiality; and
- the financial effects of ESG matters on the undertaking, its financial position, financial performance, access to funding, etc. These financial effects can be positive, in which case they are opportunities, or negative, in which case they are financial risks: this is the financial materiality.

MATERIAL SUSTAINABILITY TOPICS

The Group has identified, analysed and assessed its impacts, risks and opportunities (IROs) for environmental, social and governance topics. The scope of the double materiality assessment covers the Group's operations and activities, as well as the upstream and downstream value chain according to the available data, as detailed in section 5.1.2.2 "Key elements of the business model and value chains" and section 5.1.1.2.2 "Estimations and uncertainties".

Subsidiaries that publish their own sustainability statement are required to detail their specific IROs, which may differ from those of the Group in terms of materiality and difference in business models.

DESCRIPTION OF MATERIAL IROS

The double materiality assessment revealed that the material IROs mainly concern:

- financing and life insurance activities with matters focused on the downstream value chain;
- specialised services activities (mobility) across the entire value chain;
- own operations, mainly the impact on the Group's own workforce and business conduct.

The topics of cybersecurity and employee engagement are not covered by ESRS but involve matters that the Group considers material. Information on these topics is therefore included in sections 5.5.3 "Cybersecurity" and 5.4.1.4.3 "Contributing individually and collectively to actions with a positive impact".

Regarding the value chain for its core activities of banking and insurance, the description of the Group's material IROs is presented in the table below:

IROs	Description	Levels of the value chain and activities concerned	Time horizons
E1 – CLIMATE CHANGE			
Impact	Financed emissions are assessed as material with a potential negative material impact in terms of climate change	Downstream – Corporate activities Corporate and Investment Banking	ST, MT, LT
Impact	Emissions associated with investment (<i>i.e.</i> investments in corporate equities and bonds) are assessed as material and have a potentially negative material impact in terms of climate change	Downstream – Life Insurance	ST, MT, LT
Risk	The risk of default on the financing granted by the Group is accentuated by transition risks and physical risks related to climate change (credit risk)	Downstream – Corporate and Investment Banking	ST, MT, LT
Risk	The risk of default on market operations is accentuated by transition risks and physical risks related to climate change (counterparty risk)	Downstream – Corporate and Investment Banking	ST, MT, LT
Risk	A risk of drop of value activities could be material in the event of an increase in charges and/or decrease in margins (business risk)	Downstream – All activities	ST, MT, LT
Opportunities	The Group identifies various material short- and medium-term opportunities in supporting its customers with the low-carbon transition	Downstream – Corporate activities and Corporate and Investment Banking Retail Banking and Trade Finance	ST, MT
S1 – OWN WORKFORCE			
Impact	The Group could have a potential negative material impact on its own employees regarding working conditions and equal treatment	Own operations (Human Resources)	ST, MT
Impact	The Group has a positive material impact on its employees' engagement and the society through the philanthropic activities of its corporate Foundation	Own operations (Human Resources)	ST, MT
S4 – CONSUMERS AND END-USERS			
Impact	The Group could have a potential negative material impact on the protection of its customers' privacy (banking secrecy) and personal data (GDPR).	Downstream – Retail Banking and Life Insurance	ST
Impact	The Group could have a potential negative material impact in connection with marketing practices on access to quality information, non-discrimination and access to banking products and services.	Downstream – Retail Banking and Life Insurance	ST
Risk	In case the Group's counterparties fail to meet minimum standards of compliance vis-à-vis their own consumers, there is a risk of litigation between the Group's counterparties and their clients that could lead to a deterioration in the credit quality of those counterparties (through an increase in their costs and a decrease in their revenues), potentially generating a significant risk of default (credit risk).	Downstream – Corporate and Investment Banking	ST, MT
G1 – BUSINESS CONDUCT			
Impact	The Group could have a potential negative material impact in connection with its supplier relationships and payment practices	Upstream – (Suppliers)	ST, MT
Impact	The Group could have a potential negative material impact in connection with the corporate culture, whistleblower protection, the system for preventing and detecting the risk of corruption and cybersecurity	Own operations (Employee relations) Upstream (Supplier relations) Downstream (Relations with customers and counterparties)	ST, MT, LT
Risk	In case of non-compliance with adequate governance standards within the Group's counterparties, a risk of deterioration in their credit quality could result in a material risk of default for the Group (credit risk)	Downstream – Corporate activities Corporate and Investment Banking	ST, MT, LT

In addition to the material IROs identified at the Group level, there are material IROs on ESG topics more specifically related to the specialised services activity of Ayvens group, whose business model differs significantly from the Group's main banking and insurance business; those IROs are presented below:

IROs	Description	Levels of the value chain and activities concerned	Time horizons
E1 – CLIMATE CHANGE			
Impact	Emissions associated with the manufacture and use of vehicles during lease agreements and after resale are assessed as material and have a potential negative material impact in terms of climate change	Specialised services (Ayvens) Upstream – Downstream	ST
E2 – POLLUTION			
Impact	Leased vehicles have a potential negative material impact on pollution at the manufacturing stage, during their useful life and when being dismantled.	Specialised services (Ayvens) Upstream – Downstream	ST
E5 – RESOURCE USE AND CIRCULAR ECONOMY			
Impact	The use of raw materials in the manufacture and maintenance of leased vehicles has a potential negative material impact on the use of resources.	Specialised services (Ayvens) Upstream	ST
S2 – WORKERS IN THE VALUE CHAIN			
Impact	Workers at industrial sites where leased vehicles are built, dismantled or recycled could experience a negative material impact in terms of occupational health and safety	Specialised services (Ayvens) Upstream	MT
	The transformation and electrification of the leased vehicle fleet could have a potential negative material impact on employment in vehicle manufacturing (less maintenance, longer service life), but also a potential positive material impact on job creation related to car manufacturing (technological developments) and associated services (charging stations, repair, transport services)	Specialised services (Ayvens) Upstream	MT

Taking into account the specificities of car leasing services, the policies, actions, targets and metrics related to the impacts described above are determined and measured within the boundaries of Ayvens' Group, which published its own sustainability statement as specified in section 5.1.1.1 "Introduction to the sustainability statement". As regards the GHG emissions linked to the activity of Ayvens, they are consolidated in the Group's emissions inventory in section 5.3.4. "Greenhouse gas emissions attributed to the Group".

INTERACTION OF MATERIAL IMPACTS WITH THE STRATEGY AND BUSINESS MODEL

All material impacts are integrated into the Group's strategy and business model.

Environmental matters, and specifically those related to climate change, unfold at several levels: the Group's strategy to decarbonise financing in the most carbon emissive sectors, to support clients in their transitions and to develop partnerships for investment in innovative environmental solutions.

For its own workforce, the Group deploys its responsible employer strategy, which is one of the pillars of the Group's CSR strategy. Based on ambitious goals and quantified commitments, the aim is to ensure quality of life at work, equity, inclusion, and the professional development of employees. These are essential factors in encouraging employee engagement within the Group and improving performance.

In addition, the satisfaction and support of customers, and of consumers and end-users more broadly, are key components of the Group's strategy and business model. These include the use of the Net Promoter Score (NPS) in feedback and customer service.

Lastly, the Group expresses its responsible commitment through its corporate culture, ethics and business conduct.

CURRENT AND ANTICIPATED FINANCIAL EFFECTS RELATED TO FINANCIAL MATERIALITY AND THE GROUP'S MITIGATION ACTIONS

For each financial materiality matter, including risks and opportunities, the Group has analysed the current and anticipated financial effects on the business model, value chain, strategy and decision-making, as well as on its financial position and performance. These effects give rise to specific mitigation actions.

Financial impacts of risks

The analysis revealed that none of the risks set out below has been identified as requiring a material adjustment to the carrying amounts of assets and liabilities through impairments or provisions as at 31 December 2024.

Risks	Current and anticipated financial effects	Mitigation actions
E1 – CLIMATE CHANGE		
Credit risk	Climate change could lead to an increase in the net cost of risk for the Group. Physical and transition risks can negatively impact the revenues, costs and assets of counterparties, thus eroding their credit quality. This effect is taken into account through (i) the inclusion of climate in the budget process (with a climate-stressed trajectory) covering P&L, and (ii) the creation of a specific add-on to climate risk under the ICAAP (Internal Capital Adequacy Assessment Process) economic perspective for capital.	
	Transition risk has been identified as material in the short, medium and long terms, mainly in relation to undertakings in sectors that emit high levels of greenhouse gases (e.g. oil and gas, real estate, aviation, industry, automotive). In a stressed transition scenario, these sectors may not be able to adapt sufficiently quickly to changes in technology, regulation or consumer behaviour. In the short, medium and long terms, physical risk is expected to have a more negative impact on the Group's portfolio. Indeed, the rise in frequency and intensity of extreme weather events is expected to increase losses, especially for exposed sectors in terms of infrastructure (e.g. oil and gas, telecommunications, electricity). These factors, both for physical and transition risk, may also reduce the value of collateral assets and thus the ability of banks to recover their loan amounts in the event of customer default.	Climate risk is managed by an ESG assessment of counterparties and transactions embedded in the Group's lending policies, including origination guidelines and exclusion criteria. Transition risk is also specifically taken into account <i>via</i> the targets the Group has set within the framework of the Net-Zero Banking Alliance (NZBA), which aim to contribute to the transition of the Group's portfolio.
	Climate change may affect the Group's revenues and costs due to both the probability of counterparty default (as for credit risk) and the amount of counterparty exposure (effect of climate risks on the value of the underlying assets of derivatives). These effects are taken into account by creating a specific add-on to climate risk under the ICAAP economic perspective. Counterparty risk was considered material in the short, medium and long terms, for risk factors related to transition and physical risk.	In particular, the Group mitigates counterparty risk in particular through margin calls in counterparty transactions, embedded in master agreements, where possible. The nature of the transactions carried out (mainly hedging solutions on the currency and interest rate markets) also limits the risks associated with the climate factor. A system of monitoring has been set up so that dedicated committees can steer counterparty risk by sector and by level of vulnerability, as described in part 5.3.5.3.
Business risk	Climate change can lead to a loss of value for the Group due to fluctuating volumes, margins, fee income and operating expenses, caused by changes in investor and customer behaviour, rapid technological change and regulations. These effects are considered material in the short, medium and long terms for transition and physical risks.	These risks are mitigated by the rapid turnover of the funding portfolios of the concerned activities.

Risks	Current and anticipated financial effects	Mitigation actions
S4 – CONSUMERS AND END-USERS		
Credit risk	The failure of the Group's counterparties to meet minimum standards of compliance towards their consumers may lead to a deterioration in the profitability of these counterparties, owing to an increase in litigation costs (fines, damages, legal fees) or a decrease in their revenues (indirectly through a decline in activity due to the negative consequences of litigation on the counterparty's reputation). This fall in profitability is likely to lead to a deterioration in the credit quality of these counterparties and therefore a higher net cost of risk. This risk has been identified as material in the short and medium terms.	The Group manages the impact of this risk factor by including it in the ESG risk factor analysis, which is in turn part of the credit approval process. In these analyses, consumers and end-users are considered as a whole, without taking into account any segmentation.
G1 – BUSINESS CONDUCT		
Credit risk	The effect of the governance risk factor on the Group's counterparties, i.e. the risk related to the inability of these counterparties to adhere to high standards of governance (in business conduct in general, as well as in the areas of regulatory compliance and corruption) exposes them to regulatory compliance, litigation and reputational risks. These risks could potentially lead to a deterioration in the credit quality of these counterparties and therefore a higher net cost of risk for the Group. This risk has been identified as material in the short, medium and long terms.	Similar to the 'Consumers and end-users' topic, the Group manages the impact of this risk factor by including it in the ESG risk factor analysis, which is in turn part of the credit approval process. This approach is accompanied by exclusion and identification lists. In addition, matters related to financial crime are dealt with in separate processes as described in chapter 4.11 "Non-compliance and litigation risks".

Financial impacts related to opportunities

For this first exercise, the financial impacts related to opportunities were determined from the projection of revenues associated with sustainability topics estimated in the short and medium terms. Climate change presents material opportunities for revenue from the provision of sustainable finance to support customers in the move towards a low-carbon economy.

RESILIENCE OF THE STRATEGY AND BUSINESS MODEL TO MATERIAL IROS

The resilience of the Group's strategy and business model to the material IROs identified is based on the following risk management processes.

In compliance with the requirements of the European Central Bank (ECB), the Group ensures that climate and environmental (C&E) risks are identified and assessed with an appropriate level of granularity, taking into account the Business Units, geographical regions, portfolios, economic sectors and products or services.

This resilience to material IROs is made possible by:

- the existence of specific mitigating factors and the processes for their management, and
- through the annual materiality assessment and Business Environment Scan (BES) exercises.

These exercises aim to ensure continuous adaptation to changes in the materiality of IROs and involve a cyclical process, allowing them to be taken into account in the definition of the strategic guidelines for the business lines and their translation into a budget trajectory.

METHODOLOGY USED FOR THE RESILIENCE ANALYSIS OF THE GROUP'S STRATEGY AND BUSINESS MODEL

The Business Environment Scan (BES) aims to identify a wide range of external factors and trends that shape the business conditions in which a business operates or is likely to operate. It is a key process through which each Business Unit integrates external factors, such as macroeconomic variables, the competitive landscape, sectoral policies and regulations, technological advances, and societal and geopolitical developments.

The BES methodology is based on a continuous three-step process:

- preparation: definition of the relevant risk factors and granularity of analyses by Business Unit;
- impact analysis: assessment of the effects of risk factors on the Group's business environment;
- business implications: identification and prioritisation of threats and opportunities for the Group.

This process, which involves teams within the Group's Risk Department, Business Units and management working together, also considers the outcome of the financial materiality assessment. In line with this assessment, the Group uses three main climate scenarios to inform its analyses: Below 2°C, Net Zero 2050 (increased exposure to transition risks) and Current Policies (increased exposure to physical risks). These scenarios apply over three time horizons in order to analyse the effects of climate and environmental risks according to various temporal contexts: short term (2024-2025), medium term (2030) and long term (2040-2050).

The governance bodies (as described in section 5.1.4) play a key role in steering this process and monitoring the implementation of the policy.

5.1.3.2 Description of processes to identify and assess material IROs

5.1.3.2.1 GENERAL DESCRIPTION OF THE PROCESSES TO IDENTIFY AND ASSESS MATERIAL IROS

PRINCIPLES OF THE SUSTAINABILITY STATEMENT

Transmission channels

Transmission channels are the causal chains that explain the impact of ESG risk factors on financial institutions through their counterparties, the assets they invest in or their own operations. They fall into two categories:

- microeconomic transmission channels (direct channels), which include the causal chains by which climate risk factors affect (i) banks' individual counterparties (households, corporates and sovereigns) and their assets; and (ii) the banks themselves, through the impacts on their operations or their financing capacity, as well as through impacts on their financial assets (such as bonds, single-name CDS and equities);

Examples of microeconomic transmission channels include lower real estate values, erosion of household wealth, lower return from assets, higher insurance premiums, increased compliance and legal costs, rise in other costs, material damage and disruption to activities, loss of market share, negative impact on the Company's image, and financial contagion (market losses and tighter credit conditions);

- macroeconomic transmission channels (indirect channels) are the mechanisms by which climate risk factors affect macroeconomic factors, such as labour productivity and economic growth, and how these, in turn, can impact banks through their effect on the economy in which banks operate. Macroeconomic transmission channels also capture the effects on macroeconomic market variables such as risk-free interest rates, inflation, commodities and foreign exchange rates.

Examples of these macroeconomic transmission channels include lower profitability, weaker demand, lower output and effects linked to exchange rates and interest rates, etc.

ESRS norms, which apply to all business sectors, set general guidelines regarding the double materiality assessment. Thus, they do not require a specific process or particular steps to be followed. This section therefore describes the approach taken by the Group for its own double materiality assessment, drawing on the EFRAG guidance on implementation and existing stakeholder dialogue mechanisms.

The IROs were each assessed separately over the time horizons considered relevant taking into account the value chain and using approaches by ESRS topic.

Description of the process and key steps to identify and assess impacts

The Group used a four-step process to identify and assess potential or actual impacts on the environment and people, before taking into account any mitigation action by the Group or its business relationships:

STEP 1: PREPARATION OF THE ANALYSIS AND IDENTIFICATION OF IMPACTS

In this preparatory stage, the Group mapped its activities with a view to defining the business segments across the value chain. It then identified for each segment the transmission channels of actual or potential ESG impacts that could be linked to the topics covered by ESRS, as well as additional and specific matters.

All value chain segments of the core activities of Societe Generale, as an international group made up of diverse businesses, have been systematically analysed for impact materiality, with a view to comprehensively identifying the potential negative material impacts generated by the Group. The positive impacts identified are mainly linked to actions or policies to mitigate negative impacts of the Group and have, therefore, not been retained except for the employees' commitment in philanthropic actions.

The different segments of the Group's activities have been analysed taking into account the potential transmission channels of negative impact and objective criteria, such as the attention paid by regulators/regulatory supervisors or standard-setting bodies or the absence of vulnerable actors in the value chain.

To carry out the materiality assessment, the Group identified the data sources available internally and externally and made its best efforts to collect to the possible extent the appropriate data. The external data used for this first exercise mainly concerns benchmarking data, industry-related estimates (proxies) and impact ratings by business sector.

Due to the lack of quality data on the value chain, especially downstream, the materiality assessment focuses mainly on direct contractual relationships, such as large corporate customers or retail customers. As the quality of the data improves and the amount of available data increases, the Group will be able to broaden its analysis and make it increasingly relevant.

STEP 2: INTERNAL IMPACT ASSESSMENT

The Group has developed an internal methodology to assess the actual and potential impacts identified in the previous step. This methodology is based primarily on a quantitative analysis when the data are available (internally for greenhouse gas emissions or via external sources ENCORE and Maplecroft), supplemented as necessary by an internal CSR expert opinion. In the absence of available quantitative data, a qualitative materiality assessment methodology was developed.

This work resulted in an internal score for impact materiality by ESRS topic and by business segment concerned.

**STEP 3: INCLUSION OF STAKEHOLDERS
IN THE ASSESSMENT**

The internal materiality assessment was accompanied by the views and interests of stakeholders, on the basis of existing dialogue described in section 5.1.2.3 “Interests and views of stakeholders” in relation with the Group’s CSR ambitions enabling the central CSR expert analysis to be confirmed or adjusted.

**STEP 4: AGGREGATION AND CONSOLIDATION OF THE
OUTCOME OF THE ASSESSMENT**

Lastly, the outcome of the impact materiality assessment at the business level was aggregated into a consolidated Group-wide view for each topic.

Impact assessment methodology and criteria

Impact materiality was determined by assessing the severity of actual or potential impacts and the likelihood of their occurrence. For the qualitative analysis, the assessment methodology is based on four criteria. Severity is based on three criteria: the scale, scope and irremediable character, the latter criterion being the likelihood of occurrence of potential impacts. Each severity criterion was ranked on a scale of 1 (very low) to 5 (very high). Similarly, the likelihood, or possibility of a potential impact occurring in the short, medium and long term, was ranked on a scale from 1 (unlikely) to 5 (very likely or actual).

In some cases, the internal CSR experts were unable to reach a conclusion on some of the severity criteria in the absence of factual elements or references enabling them to make a decision. Where that is the case, the criterion is considered to be weak.

In addition, for this first impact assessment exercise, the Group focused on negative impacts. For the positive impacts, the Group recognised the need to meet strict criteria (e.g. intentionality, additionality, clear

accountability of the Group, lack of mitigation of a negative impact) to determine their materiality. At present, the fulfilment of these criteria is not clearly demonstrable.

For the quantitative analysis, the scoring methodology is similar but has been simplified for two criteria (severity and likelihood of occurrence), to take into account the severity scores provided by external bodies.

The overall score resulting from the combination of the different assessment criteria is then compared against a predefined threshold to determine its materiality.

**Description of the process and key steps to identify
and assess financial materiality**

The financial materiality identification and assessment exercise is based on the “Materiality Assessment Implementation Guidance” published by EFRAG for the assessment of opportunities, accompanied by the ECB “Guide on climate-related and environmental risks” for the materiality of risks.

The key steps for the financial materiality assessment are as follows:

- an identification of risks and opportunities and selection of key matters;
- a quantification of the risks and opportunities, corresponding to an assessment of the potential negative or positive financial effect on the Group for each risk factor or opportunity, taking into account the time horizon, level of materiality and frequency of occurrence of risk scenarios;
- the conclusion on financial materiality is reached by comparing quantified results with predefined materiality thresholds, such thresholds being defined in line with the Risk Appetite Framework at Group level.

Methodology and criteria for assessing the materiality of risks

PRINCIPLES OF THE SUSTAINABILITY STATEMENT

ESG risks

Environmental, social and governance (ESG) risks can be defined as the potential negative materialisation of current or prospective ESG factors through the Group's counterparties, the assets that the Group invests in or its own operations. These ESG factors can materialise with different intensity through various types of risk and impact the Group's activities, performance and financial position in the short, medium and long term.

The Group's risk management framework is continuously reviewed and updated to take these new sustainability matters into account.

ESG risk factors

For the Group, ESG risks do not constitute a new category of risks but represent a risk factor that potentially aggravates existing categories of risks. They can be defined as follows:

- **environmental risk factors** are those related to the quality and proper functioning of the natural environment and natural systems. They include factors such as climate change, biodiversity, energy consumption, waste management and more. These environmental risk factors can have a detrimental financial impact through various risk factors that can be categorised as follows:
 - the physical risk, which refers to the current or potential financial effect of physical environmental factors on the Group, its counterparties or its invested assets, and on its own operations, physical risks can be:
 - acute: they result from events linked to extreme climate conditions (such as floods, heat waves or fires) and acute environment destruction (such as chemical pollution or oil spill),
 - chronic: they result from gradual changes in climate patterns (such as an increasing trend of the average temperature or sea level) or from a gradual loss of ecosystem services (for example, from the use of pesticides that lead to a gradual decline in pollinators, decreased soil fertility, and reduced crop yields);
 - the transition risk, which refers to the current or potential effect of the transition to a more environmentally sustainable economic model on the Group, its financial position, counterparties or invested assets, and on its own operations. It can arise from the following elements:
 - policy: climate-related policy measures or potentially disorderly mitigation strategies could affect asset prices in carbon-intensive sectors,
 - technology: Technological changes may, for example, make existing technologies obsolete or uncompetitive, alter their affordability and affect the relative price of substitute products. Such technological changes could trigger asset revaluation,
 - preferences and behaviors of customers and investors: the environmental effects could have an influence on the clients of the Group's counterparties, which could itself lead to a deterioration in the credit quality of those counterparties (activity decrease, deterioration of reputation, etc.);
- **social risk factors** are those related to the rights, well-being and interests of people and communities. They include factors such as (in)equality, health, inclusiveness, labour relations, workplace health & safety and well-being, human capital and communities;
- **governance risk factors** are those related to governance practices (executive leadership, executive pay, audits, internal control, fiscal policy, Board of Director independence, shareholder rights, integrity, etc.) and to how companies and entities take environmental and social factors into account in their policies and procedures.

General approach

The risk identification and assessment process applies individually to each type of risk (such as credit risk and counterparty risk).

Risk identification is based on a dual process: the annual risk identification process and the continuous risk identification process. ESG risk factors are considered in both processes.

The continuous risk identification process is part of the day-to-day risk management in the Group. It is based on a number of processes with the aim of assessing, quantifying and reporting risks when a risk is likely to be deemed material. The continuous risk identification process feeds into the annual risk process.

As soon as a risk factor is deemed to be material, the corresponding ESRS topic is also deemed to be material from a risk point of view. Material risks feed into the Internal Capital Adequacy Assessment Process (ICAAP) and ESG risk appetite processes.

Assessment criteria and methodological tools

The materiality of the potential financial effects of the risks generated by sustainability matters is determined on the basis of the results of the Group's annual risk identification and assessment exercise as well as on additional qualitative work enabling a qualitative evaluation of these risks before mitigation actions are taken into account. This work takes into account the following criteria:

- the materiality of the potential financial effects, which takes into account the time horizon;
- the level of materiality compared with the Group's threshold;
- the frequency of the scenarios.

The likelihood of occurrence of the financial effect of the risks generated by a sustainability matter corresponds to the likelihood of the risks occurring over certain time horizons (a 10-year occurrence for an adverse scenario and a 50-year occurrence for an extreme scenario).

For the materiality of the risks, the Group has used the same materiality thresholds as those applied to traditional risk categories, *i.e.* a pre-tax revenue threshold and a capital requirement threshold.

Quantitative and qualitative methods are used in the evaluation process. For the quantitative analysis, the data comes from both internal (such as exposure amounts and their characteristics – industry, geography – internal credit ratings or climate vulnerability indicator scores) and external sources (macroeconomic data such as inflation or GDP). Qualified experts from different risk categories within the Group were called upon to supplement the data collected or to make up for the lack of quantitative data. This qualitative approach is intended to accompany the quantitative analysis.

The Group may rely on processes, indicators and tools to measure, control and mitigate risks related to ESG risk factors. For example:

- stress tests disposal: details of climate stress tests are given in section 5.3 "Description of the climate-related risk resilience analysis";
- internal tools: they are used to assess the climate vulnerability of business segments (Industry Climate Vulnerability Indicator, ICVI), companies (Corporate Climate Vulnerability Indicator, CCVI) and countries (Sovereign Climate Vulnerability Indicator, SCVI), as well as the nature vulnerability of business segments (Industry Nature Vulnerability Indicator, INVI). These indicators are also gradually being reinforced by questionnaires addressed to enterprises.

Methodology and criteria for assessing the materiality of opportunities

Opportunities are identified on the basis of the products and services related to ESG criteria in the Group's various business lines, and on the basis of the strategic planning process and other business development initiatives, such as the Business Environment Scan, that highlight business opportunities, particularly those likely to generate net banking income.

The opportunities are assessed on a quantitative basis using estimated revenues generated in connection with ESG topics and on a qualitative basis in the absence of available estimates.

Since quantitative revenue forecasts for opportunities are short term, the likelihood of these earnings is considered "very high" with an expected completion in the short and medium term. Qualitatively identified opportunities are considered "unlikely" and are expected to materialise in the medium to long term, given the high degree of uncertainty.

The Group has defined a materiality threshold for assessing the materiality of opportunities in connection with the financial thresholds that already exist within the Group.

5.1.3.2.2 DESCRIPTION OF THE PROCESS TO IDENTIFY AND ASSESS MATERIAL IROS IN RELATION TO TOPICAL ESRS

Climate change: description of the materiality assessment process for impacts

The process to identify and assess climate-related impacts follows the same steps as the process described in section 5.1.3.2.1 "Description of the processes for identifying and evaluating material IROs".

Each activity was analysed using the mapping of the Group's activities to determine whether the Group could have a potential or actual impact based on the topics envisaged by the ESRS and whether this impact could be considered material. The impact assessment was then compared with the results of the dialog with stakeholders to confirm the final outcome of the impact assessment.

For the assessment of climate-related impacts, a quantitative approach combined with an expert opinion was taken for all of the Group's activities. This was based mainly on the amount of greenhouse gas emissions calculated at Group level, using the internal data already available and according to a scope specific to each of the Group's activities.

For corporate finance activities, the impact assessment was carried out mainly on the own operations of direct customers (borrowers and invested companies), due to the lack of data on the value chain of these direct customers. According to the PCAF methodology (methodological initiative described in section 5.3.4 "Greenhouse gas emissions attributed to the group") a specific approach was applied to the financing portfolios of corporates.

The climate impacts of corporate finance activities (based on the PCAF methodology) and insurance activities (based on GHG emissions associated with corporate equities and bonds held in the general savings account) were assessed as being material.

The activity carried out by the Ayvens Group is a specific activity with a dedicated value chain, which differs from that of Societe Generale. The climate change impacts related to this activity were assessed using the same methodology, *i.e.* a quantitative approach combined with an expert opinion.

Climate change: description of the risk assessment process and scenario analysis

The process for the materiality assessment of climate change risks followed the same steps as those described in section 5.1.3.2.1 “General description of the processes to identify and assess material IROs”.

Details of the definition and management of ESG risks are also available in sections 5.1.3.2.1 “General description of the processes to identify and assess material IROs” and 5.3.1.2 “Description of climate-related material IROs”.

Climate risks were assessed by determining the financial impact on the Group of the different risk categories, on the basis of an internal materiality assessment exercise. Quantifications were carried out at Group level for three scenarios (Net Zero 2050, Below 2°C, Current Policies) and *via* specific risk-related scenarios (with stressed scenarios integrating risks related to the climate transition and physical risks). This assessment was carried out using a quantitative approach (e.g. stress tests) wherever possible.

The scenarios proposed internally cover both the short, medium and long terms (up to 2050) and thus exceed the residual maturity of most of the Group’s assets.

The scenarios are used as a reference in the analysis of industry vulnerability indicators. The analysis of climate scenarios is carried out at the sectoral level by cross-referencing the quantitative results from the macro-sectoral models with the qualitative analyses of vulnerability indicators and benchmarks from other scenarios, such as those of the IEA (International Energy Agency).

In general, climate scenarios aim to describe possible futures, by answering questions on how transition pathways, guided by policies, technology and behaviours, should be put in place to achieve a defined physical climate ambition, and on what may happen in terms of the impacts of physical climate change, given the degree of achievement of a defined transition pathway. The Group has selected various macroeconomic, microeconomic and climate inputs to develop the scenarios. The scenarios are presented by sector and region. The regions chosen and detailed are selected according to their importance for the Group.

When selecting climate hazards, the Group examines three aspects in turn: the potential scale of the economic risk; the identification of the various hazards; and lastly the measurability of these different risks.

Scenario selection

Strategic planning requires the use of forward-looking scenarios. The level of severity and temporality of climate-related risks remain uncertain in all geographical regions, the transition aspects depend on potentially different political and societal choices by countries and/or regions and may also stem from technological developments that are still unknown. The physical aspects are more directly related to the location of the activities, as well as their vulnerability. This is why it is important to consider how various situations and contexts might affect climate risks and opportunities.

In recent years, the Economic and Sector Studies Department has been deepening its **climate analysis as regards the macro and sectoral impact** to include climate considerations, carbon pricing and economic and environment policy actions into the Group’s baseline economic scenario, with a more granular sector approach.

The Group has selected scenarios from several sources (Network for Greening the Financial System – NGFS, IPCC, IEA, Oxford Economics, NiGEM), which are the market benchmarks. Depending on the exercise, the scenarios are then used for internal analyses with short-, medium- and long-term trajectories, serving as a source of data, calibration and benchmarks for the Risk Division’s internal scenarios.

In the context of internal stress tests and its Industry Climate Vulnerability Indicator for physical risk, the Group has chosen a “**Current policies**” scenario. This is based on the assumption that policies will be maintained.

“Business as usual” at the global level does not allow for the adoption of transition policies beyond current levels. This leads to a significant rise in both extreme and chronic physical risks due to the increase in and intensification of climate hazards. In this scenario, the average temperature in 2100 is about +3°C higher than the average pre-industrial temperature. It is applied over time horizons ranging from 2030 to 2050. In the shorter term, the physical risks remain predetermined and are accentuated primarily by the stock of greenhouse gases (“GHGs”) already present in the atmosphere, with annual emissions having only a marginal influence.

In the context of internal stress tests and its Industry Climate Vulnerability Indicator for transition risk, the Group uses a “**Net Zero Emissions 2050**” (NZE) scenario. This is based on the assumption of ambitious policies to reduce greenhouse gases (GHGs) at the global level, making it possible to limit the temperature to around +1.5°C in 2100 relative to the average pre-industrial temperature. This includes a limited overshoot, *i.e.* a temporary period during which the average temperature exceeds +1.5°C relative to the average pre-industrial temperature, before returning below this threshold. It is applied over time horizons ranging from 2030 to 2050.

In addition to the two scenarios described above, the Group uses a central “**Below 2°C**” scenario for some scopes, based on the working assumption that governments and undertakings will meet the political commitments announced, in accordance with a scenario of below +2°C relative to the average pre-industrial temperature. This scenario corresponds to a situation where physical risks are present and more significant than in an NZE scenario and for which the transition challenges are also significant, but to a lesser extent than in an NZE scenario. It is applied over time horizons ranging from the short term (2024-2025) to 2050. This scenario is used as a reference to simulate the impact of short-term shocks (one to three years), both in terms of transition risks (by incorporating NZE-type elements) and physical risks (by incorporating climate-related shocks that have a severe impact on the economy).

These scenarios may be subject to additional variations and may be supplemented by *ad hoc* scenarios relating to specific situations for certain risk categories.

In accordance with the option of exemption from the disclosure described in section 5.1.1.1 “Introduction to the sustainability statement”, the Group does not disclose details of its scenarios (apart from the abovementioned items), whether general or related to climate issues. The risk factors taken into account in the scenarios are similar to those used by the ECB for transition risks (*i.e.* regulation, technology and behaviour) and physical risks (*i.e.* acute and chronic events).

“Climate change”: description of the materiality assessment process for opportunities

The process to identify and assess climate change opportunities follows the same steps as the process described in section 5.1.3.2.1 “General description of the process to identify and assess material IROs”.

Climate change opportunities have been quantified for corporate and international trade finance activities, reaching the materiality threshold set. In addition, other Group businesses are also considering opportunities in terms of climate change mitigation and adaptation, even if these could not be quantified.

Climate change is therefore considered material in the short and medium terms for the assessment of the Group's opportunities, particularly with regards to financing to support customers in their climate transition. The opportunities are detailed in sections 5.1.3.1 “Outcomes of the IRO assessment in relation to the strategy and business model” and 5.3.6 “Material climate change-related opportunities”.

“Nature”: description of the materiality assessment process

The process to identify and assess nature-related IROs covers the topics of pollution, water, biodiversity and resources and circular economy. The process applied by the Group for the “nature” topics follows the same steps as the impact and financial materiality assessment described in section 5.1.3.2.1 “General description of the process to identify and assess material IROs”.

The analysis of “Nature” related impacts carried out on the basis of available quantitative data (such as the ENCORE database), enriched by a qualitative analysis. Regarding biodiversity, for this first exercise, the analysis has taken into account the diversity and complexity of financing and investment portfolios.

Nature-related risks were assessed using a method developed in-house in the absence of dedicated scenarios or actionable nature-specific data. Quantification focused on credit and counterparty risks, based on nature risk vulnerability indicators. These indicators, developed in-house by the Risk Department, aim to assess the vulnerability to nature-related risks for each sector in a quantified manner, both for the transition and physical risk. The approach was to quantify the expected losses from downgrading the internal rating of counterparties vulnerable to these risks. The other risk categories were assessed by experts, on the basis of the elements collected during identification phase.

With regards to data availability limitations and in absence of reference methodologies related to “Nature” topics, the Group is working to enhance its impact analysis methodology (in particular through exploratory sectoral studies) and to improve the identification and assessment of the related risks.

“Business conduct”: description of the materiality assessment process for IROs

The process to identify and assess IROs relating to business conduct follows the same steps as the impact and financial materiality assessment described in section 5.1.3.2.1 “General description of the process to identify and assess material IROs”.

For the assessment of the impacts related to business conduct, the Group has implemented a qualitative approach for each ESRS sub-topic, based on expert opinion, mainly from Compliance Department, supplemented by stakeholders' expectations for all the Group's activities.

Business conduct risks were assessed using a qualitative approach, in accordance with the principles for risk management of the European Banking Authority (EBA). Business conduct risks relate to governance practices within the Group and among the Group's counterparties.

The Group has identified governance risk factors as a potentially significant short-, medium- and long-term operational risk factor, aggravating the credit risk associated with its corporate counterparties and financial institutions.

Inappropriate business conduct within corporate counterparties can lead to excessive risk-taking which can, in turn, lead to the following potential consequences:

- high debt and high costs in relation to the company's structure (excessive spending, potential litigation, excessive investments, unrealistically high expectations of the company's earnings);
- reputational risk that leads to a decline in private investment or financing, or in some cases to the company being less attractive to investors;
- the company's profitability and earnings will be affected as a result (due to increased production costs and lower demand), resulting in potential credit risks for the Group through contagion.

5.1.3.3 ESRS disclosure requirements covered by the sustainability statement

A cross-reference table lists the ESRS data points referring to other EU legislation. Based on Appendix B of ESRS 2, this table shows whether the information is included in the sustainability statement and if so, where to find it.

In addition, another cross-reference table lists for each topical standard whether the Group, following its double materiality assessment, considers the topic material or non-material.

These two cross-reference tables are presented in the appendix in sections 5.6.1 and 5.6.2, respectively.

5.1.4 GOVERNANCE OF SUSTAINABILITY ISSUES

5.1.4.1 General information on the governance of sustainability matters

The following sections describe the governance processes, controls and procedures in place to control, manage and monitor sustainability matters.

Some of the disclosures required in respect of the governance of sustainability matters in the sustainability statement are presented in Chapter 3 on Corporate Governance and incorporated by reference in the sustainability statement, as shown in the cross-reference table in section 5.1.1.2.4 “Incorporation by reference”.

The “administrative, management and supervisory bodies”, as mentioned in the ESRS, are commonly referred to as “governance bodies”. These governance bodies include, on the one hand, the Board of Directors (and its specialised committees) and on the other hand, the executive corporate officers (“the General Management”). This definition applies to all governance-related indicators in the sustainability statement.

5.1.4.2 Composition and diversity of governance bodies

The composition of the Board of Directors and its specialised committees are described in Chapter 3 dedicated to Corporate Governance.

The General Management, which manages the Company and represents it vis-à-vis third parties, is currently composed of the Chief Executive Officer, Mr Slawomir Krupa, assisted by a Deputy Chief Executive Officer, Mr Pierre Palmieri.

5.1.4.3 The roles and responsibilities of governance bodies with regard to sustainability

5.1.4.3.1 ROLES AND RESPONSIBILITIES OF THE BOARD OF DIRECTORS IN SUSTAINABILITY

Roles and responsibilities of the Board of Directors in sustainability

The Board of Directors defines the Group’s business guidelines, ensures that they are implemented by General Management and reviews them at least once a year. These guidelines incorporate the Group’s values and Code of Conduct, which it approves, as well as the key policy axes on social and environmental responsibility, human resources, IT systems and organisation.

The Board of Directors is assisted by a non-voting Director whose role is to provide CSR support. The non-voting Director, in addition to his or her role in preparing for strategic CSR discussions, attends all of the Board’s committee meetings when CSR-related matters are on the agenda.

The strategic direction of the Group in CSR is approved by the Board of Directors on the basis of a proposal from General Management, which is reviewed by the non-voting Director.

Roles and responsibilities of the Board’s specialised committees as regards sustainability

Throughout the year, the Board of Directors is assisted by four specialised committees which prepare for the review of CSR matters within their respective areas of responsibility. Each matter examined by a committee is subsequently presented to the Board of Directors for discussion and approval, where appropriate:

- the Audit and Internal Control Committee reviews all financial and extra-financial CSR disclosures before they are submitted to the Board of Directors for approval;
- the Risk Committee is responsible for reviewing the risks associated with the Group’s strategic direction in sustainability, including climate risks. This risk monitoring is part of the standard Group process described in Chapter 4.2 “Risk management framework”. As part of this process, the Risk Committee specifically reviews the results of all climate stress tests. It is also responsible for reviewing the risk materiality assessment. These results are submitted to the Board of Directors to help it validate the risk appetite for ESG-related risk;
- the Compensation Committee makes recommendations to the Board of Directors on CSR criteria concerning the remuneration of corporate officers;
- the Nomination and Corporate Governance Committee prepares discussion material for the Board of Directors to ensure the best governance to deal with CSR matters. Using a Directors’ skills matrix, it examines each year the Board’s skills requirements in terms of expertise including various CSR-related topics. It draws conclusions for recruitment processes and the training.

Further information on the roles and responsibilities of the Board of Directors and its specialised committees can be found in the Board of Directors’ Rules of Procedure in Chapter 3 dedicated to Corporate Governance. The roles and responsibilities of the Board of Directors as regards business conduct are described in section 5.5.1.1.1 “Ethics in business conduct”.

The Board of Directors approves the sustainability statement, including the transition plan for climate change mitigation and the outcome of the double materiality assessment (material IROs), while being responsible for the procedures and controls relating to the management of material sustainability matters.

The Audit and Internal Control Committee, monitors the process and the related internal control framework of establishing and certifying sustainability information and reports to the Board of Directors on the performance of its mandate.

5.1.4.3.2 ROLES AND RESPONSIBILITIES OF GENERAL MANAGEMENT WITH REGARD TO SUSTAINABILITY

Roles and responsibilities of the General Management as regards sustainability

The General Management proposes the CSR strategy, particularly on climate change, to the Board of Directors, which approves it. This proposal is reviewed beforehand, first by the non-voting Director, and then by the Board's specialised committees. It describes the implementation procedures for the CSR strategy, with an action plan and the time horizons in which these actions will be carried out. It informs the Board of Directors each year of the results obtained.

Within General Management, the Deputy Chief Executive Officer is directly responsible for overseeing all CSR policies and their effective integration into the strategic trajectories adopted by the Group's Business Units and Service Units.

Roles and responsibilities of the Group's cross-functional committees and business committees as regards sustainability

To implement the CSR strategy, the General Management relies on the Group's cross-functional committees and business committees that deal with sustainability matters. Each of them is chaired by the Deputy Chief Executive Officer:

RESPONSIBLE COMMITMENTS COMMITTEE

The role of this committee is to deal with all matters relating to the Group's Environmental and Social (E&S) responsibility. The Committee is decision-making and has authority over the whole Group.

Its objectives are to examine E&S matters that are significant for the Group and strategic opportunities, to make new Group E&S commitments, to develop or revise the Group's E&S standards, such as sectoral policies or guidelines associated with portfolio alignment, and to examine new products or business development opportunities, seeking the opinion or approval of General Management in view of the potential E&S risks.

GROUP RISK COMMITTEE

The objectives of this Committee are to validate the main risk management processes, in particular the Group's risk taxonomy, risk identification, risk management and stress testing frameworks. It also validates the Risk Inventory and the Risk Appetite Framework (RAF) before they are submitted to the Board of Directors. An operational procedure is also formalised to identify ESG topics that must be systematically analysed within the sectoral risk committees.

In addition, the risk materiality assessment exercise is submitted to the Risk Committee for approval and presented to the Group's Executive Committee, as well as to the Board of Directors' Risk Committee. The ESG risk assessment is incorporated into the risk materiality assessment included in the sustainability statement, for which the Board of Directors is responsible.

The specialised committees reporting to the Risk Committee and focused on a specific risk category (Credit Risk Committee, Counterparty Credit Risk Committee, Market Risk Committee, etc.) must now include an ESG dimension in their analysis. In addition, the Risk Committee meets annually to discuss environmental issues, covering aspects of risk appetite and the strengthening of governance around ESG risk management.

THE GROUP'S COMPLEX TRANSACTIONS AND REPUTATIONAL RISK COMMITTEE

The objective is to review, assess and, where appropriate, approve/refuse the increased legal, regulatory, tax, compliance, accounting, conduct and/or reputational risks that may arise from the involvement of Group entities or employees in any complex structured transaction or any new or existing product, transaction, business, service or activity with a customer or counterparty.

GROUP CLIENT ACCEPTANCE COMMITTEE

Client acceptance decisions are a key part of the day-to-day management of non-compliance and reputational risks at a financial institution. The Committee's role is to approve new relationships or confirm the continuation of existing relationships with clients depending on certain risk criteria.

The Committee focuses on the business relationship; sensitive transactions are the responsibility of the Complex Transactions and Reputational Risk Committee. The Committee assesses the full range of non-compliance and reputational risks (including, but not limited to money laundering, corruption, sanctions and embargoes and CSR), generated by the business relationship. The Committee reviews requests for exceptions to the Group's CSR standards (including E&S sectoral policies) relating to a specific customer.

5.1.4.4 Expertise of governance bodies with regard to sustainability

With regard to the Board of Directors, all Directors have an adequate level of expertise and understanding of CSR issues related to the Group's strategy and business model. These competencies and expertise are re-evaluated at least once a year to determine whether they are appropriate or whether they need to be supplemented to supervise sustainability matters. In addition, each year the Board of Directors' training programme includes CSR.

In 2024, training sessions were organised to help Directors and General Management understand the CSRD principles and requirements and to involve them in their implementation within the Group.

Directors' training sessions also focused on key sustainability matters and the Group's double materiality assessment method, on the role and responsibilities of governance bodies in extra-financial reporting and on the outcome of the double materiality assessment.

The key principles of the CSRD and the outcome of the double materiality assessment were also presented to members of the General Management and the Executive Committee.

The main areas of expertise and experience of Directors are presented in Chapter 3 page 68 on Corporate Governance. Detailed biographies can be found in Chapter 3 pages 73 - 80.

5.1.4.5 Decision-making process involving governance bodies

PRESENTATION OF IROS

The process for presenting the sustainability statement, including IROS, is the same as for the financial statements. The Finance Division is responsible for presenting the draft sustainability statement to the Audit and Internal Control Committee at least once a year. For the first publication of extra-financial information in accordance with ESRS, three presentations were made to this committee on the CSRD and material IROS during 2024. The Committee examined the draft sustainability statement and submitted it to the Board of Directors for approval when the financial statements were closed. The Committee and the Board of Directors benefited from the opinion of the non-voting Director.

Upstream, the decision-making process for the double materiality analysis also included the business representatives, Finance Department, Risk Department and CSR Department. The Executive Committee then validated the double materiality analysis, including its implications for the content of the sustainability statement and corporate strategy.

SUSTAINABILITY MATTERS ADDRESSED DURING THE YEAR

The main topics addressed by the Board of Directors during the year are presented in Chapter 3 dedicated to Corporate Governance.

In general, each report submitted to the Board of Directors must contain information relating to the social and environmental matters to be taken into consideration, if any.

5.1.4.6 Inclusion of sustainability-related performance into compensation policies

Each year, on the proposal of the Compensation Committee, the Board of Directors decides on the compensation policy for executive corporate officers, including the performance criteria for the calculation and vesting of annual variable compensation and long-term incentives. These criteria include CSR targets aimed at aligning the compensation of executive corporate officers with the Group's CSR strategy.

More detailed information on the integration of sustainability-related performance into the incentive and compensation schemes for executive corporate officers is presented in the section "Remuneration of Group Senior Management" in Chapter 3 dedicated to Corporate Governance.

5.1.4.7 Statement on due diligence

The core elements of due diligence are set out in the table below, with a description of their content in the relevant paragraphs of the sustainability statement.

Core elements of due diligence	Paragraphs in the sustainability statement
Embedding due diligence in governance, strategy and business model	Sections 5.1.2.1, 5.1.2.2 and 5.1.3.1
Engaging with affected stakeholders at all stages of the due diligence process	Section 5.1.2.3
Identifying and assessing negative impacts	Section 5.1.3.2.1
Taking action to address negative impacts	Sections 5.3.2, 5.3.3, 5.4.1.4.2 and 5.4.2.3
Tracking the effectiveness of these efforts and communicating	Sections 5.3.2 and 5.3.3.2.2

5.1.4.8 Risk management and internal controls over sustainability reporting

ANALYTICAL APPROACH TO ESG RISK FACTORS

In the Group's risk taxonomy, ESG risks do not constitute a new risk category, but represent a potentially aggravating factor of the existing risk categories monitored as part of the Group's risk management. Their integration into the general framework is based on existing governance and processes. The approach to these is as follows: identification, quantification, definition of risk appetite, monitoring, reporting, control and risk mitigation. The analysis of these ESG risk factors is therefore carried out through the assessment of their impact on other existing risk categories and factors, in accordance with the guidance of the European Banking Authority.

RISK APPETITE

The general principles relating to risk appetite are set out in Chapter 4.2 "Risk management organisation".

INTEGRATION OF THE OUTCOME OF RISK ASSESSMENTS

The Group identifies and manages ESG risks on the basis of the results of its internal exercise to assess the financial materiality of ESG risk factors across all its risk categories and factors.

After determining the financial materiality, the Group ensures that its risk management framework and processes effectively address material ESG risks through:

- the Risk Appetite Framework and Risk Appetite Statement: review of the indicators and their thresholds;
- stress testing exercises: review of the overall scope of the climate stress test in order to add a new risk category or extend the geographical scope covered where necessary. Stress test exercises can also be carried out on specific risk scenarios or categories;
- ICAAP: review of capital allocation based on the materiality assessment.

These items are detailed in section 5.1.3.2 "Description of the processes for identifying and evaluating material IROs".

In addition, the risk inventory is shared with the Business Units so that they can take it into account for the Business Environment Scan, which feeds into the annual strategic review.

PERIODIC REPORTING OF RESULTS TO ADMINISTRATIVE, MANAGEMENT AND SUPERVISORY BODIES

As part of the reporting framework established by the Risk Division for the different risk categories, ESG risk factors are regularly monitored, with:

- risk reports submitted to the Board of Directors' Risk Committee several times a quarter, in addition to four quarterly reports sent to the Board of Directors;
- risk reports for the General Management submitted to the Risk Committee several times a quarter.

In terms of content, the items included in these reports cover each of the main risk categories (indicators and comments) with the addition of specific topical issues, a focus on particular topics, as well as a quarterly dashboard presenting ESG risk appetite indicators.

Items relating to the assessment of the financial materiality of ESG risks are shared with the Group's Executive Committee, the General Management and the Board's Risk Committee as part of the overall risk inventory exercise. The aim of this exercise is to present the risks identified as material for the Group and thus inform decisions on risk appetite indicators.

CONTROL FRAMEWORK FOR THE SUSTAINABILITY STATEMENT

The controls relating to ESG risks are part of the existing control system for the various risk categories within the relevant departments of the Risk Division.

In addition, the Group has performed quality and relevance checks on the sustainability statement production process and double materiality assessment process. These are intended to improve the reliability of the reported data and the findings of the assessment.

To ensure that the data are reliable and the findings are based on facts and logical reasoning, a double-validation control mechanism (or independent double-control mechanism) has been implemented.

For the double materiality assessment, this control was initially carried out at the level of the business experts, then reviewed and aggregated under the supervision of the Finance Division and the Sustainability Department for impacts and opportunities and under the supervision of the Risk Division for risks.

For the initial production of the sustainability statement, the Group used a level 1 tactical permanent control system. Contributors to the sustainability statement apply the level 1 controls identified at their level. The Finance Division has set up a process to monitor the formalisation of the methodologies applied and the production status.

In addition, the Finance Division, which is in charge of the permanent level 2 control system for all Finance processes, participates in the monitoring of ESG matters. It is in charge of the level 2 control of the production processes under the responsibility of the department in charge of producing the associated metrics and indicators.

The control framework on the production of the sustainability statement will be enriched in 2025 with notably integration of internal controls in the Group's tools.

EXPERT FUNCTIONS AND OTHER STAKEHOLDERS

The Group's Sustainability Department contributes to the production of Group-level normative documentation on ESG. It proposes a system to the General Management for managing the potential environmental and social impacts related to the Group's activities, as well as strategic objectives related to sustainable finance.

The Finance Division is responsible for the production of ESG indicators. A department with this specific expertise is in charge of reporting and metrics. The Finance Division contributes to the regulatory monitoring of sustainability and is responsible for the production of the sustainability statement.

5.2 ENVIRONMENTAL INFORMATION RELATED TO ELIGIBLE AND ALIGNED ACTIVITIES UNDER THE EUROPEAN TAXONOMY

The environmental information in this Sustainability Statement includes the information on the activities eligible and aligned with the European Taxonomy presented in this section as well as the information related to climate change presented in the next section (5.3).

Since 2021, in accordance with the (EU) 2020/852 Regulation on taxonomy, Societe Generale has disclosed its exposure to Taxonomy-eligible sectors and to Taxonomy-aligned activities. The Regulation was amended by the European Commission Delegated Regulation 2021/2178 of 6 July 2021 and by the European Commission Delegated Regulation 2023/2486 of 27 June 2023 establishing reporting obligations for financial undertakings and defining performance indicators (KPIs) and additional information to be disclosed from 1 January 2024, supplemented by the European Commission's FAQs.

The Green Asset Ratio (GAR) is a performance indicator for credit institutions: it expresses the proportion of exposures related to the Taxonomy-aligned activities of these institutions in relation to total covered assets.

LIMITS OF REGULATORY ALIGNMENT RATIOS

For reasons related to its definition, the GAR is structurally low for European banks with diversified business models, and in particular for banks such as Societe Generale whose activities extend internationally outside of the EU and include corporate and investment banking and financing for SMEs.

According to the current methodology the covered scope of the taxonomy ratios excludes as of today from the numerator (but includes nevertheless in the numerator) all exposures to SMEs (as they are not subject to the NFRD's reporting requirements) and the exposure to non-EU domiciled companies to which the NFRD does not apply, meaning that the Bank's exposure to these companies can be neither eligible nor aligned.

Furthermore, the Taxonomy climate objectives provide a classification system that identifies activities that are already close to or near the target of carbon neutrality. It partially takes into account the decarbonisation efforts of companies to reach this target. Therefore, the GAR (as currently defined) does not account for Societe Generale's significant efforts and progress in supporting customers in their transition.

The application of Taxonomy Regulation help to shape strategic thinking on activities that can contribute to Societe Generale's objective on sustainable finance target. Despite the KPIs representing the Taxonomy's key performance indicators (KPIs) remain limited in their design and dependent on availability and quality of data, they are not fully representative of the Bank's sustainable finance activities at this stage: as these limitations resolve and data gaps close their relevance to the Group's business strategy may evolve positively.

TABLE ILLUSTRATING THE BREAKDOWN OF THE MAIN RATIOS OF SOCIETE GENERALE'S GAR

Balance Sheet Position	Gross Carrying Amount (in Bn EUR)	Turnover KPI			CapEx KPI		
		Total Eligible Amount (in Bn EUR)	Total Aligned Amount (in Bn EUR)	Turnover Alignment Ratio	Total Eligible Amount (in Bn EUR)	Total Aligned Amount (in Bn EUR)	CapEx Alignment Ratio
Total Assets Balance Sheet (FINREP)	1,417.2	140.4	12.2		141.7	13.4	
Trading portfolio	400.5	-	-		-	-	
Exposures to central governments, central banks and supranationals	303.3	-	-		-	-	
Total Covered Assets	713.4	140.4	12.2	1.71%	141.7	13.4	1.88%
Derivatives (banking book)	9.1	-	-		-	-	
On-demand interbank loans	50.4	-	-		-	-	
Non-transactional assets	169.9	-	-		-	-	
Financial corporations	22.4	1.1	0.1		1.1	0.1	
Other financial corporations	43.3	1.3	0.1		1.3	0.2	
Non-financial corporations	236.1	8.3	1.6		9.6	2.7	
Households (Retail)	182.2	129.7	10.4		129.7	10.4	

The methodology excludes from the eligible amount a significant volume of activities, in particular exposures to undertakings not subject to the EU's NFRD reporting requirements (this encompasses exposures to the vast majority of SMEs companies domiciled outside the EU and most Special Purpose Vehicles not consolidated within an EU NFRD undertaking) and on-demand interbank lending.

SUMMARY OF KPIS TO BE DISCLOSED BY CREDIT INSTITUTIONS UNDER ARTICLE 8 TAXONOMY REGULATION

Main KPI	Total environmentally sustainable asset En M EUR	KPI ⁽⁴⁾	KPI ⁽⁵⁾	% coverage (over total assets) ⁽³⁾	% of assets excluded from the numerator of the GAR (article 7, paragraphes (2) and (3), section 1.1.2 of annex V)	% of assets excluded from the denominator of the GAR (article 7, paragraphe 1 and section 1.2.4 of annex V)
Green Asset ratio (GAR) stock	12,205	1.71%	1.88%	50.34%	39.47%	49.66%

Additional KPI	Total environmentally sustainable assets En M EUR	KPI	KPI	% coverage (over total assets) ⁽³⁾	% of assets excluded from the numerator of the GAR (article 7, paragraphes (2) and (3), section 1.1.2 of annex V)	% of assets excluded from the denominator of the GAR (article 7, paragraphe 1 and section 1.2.4 of annex V)
GAR (flow)	1,730	0.97%	1.33%	84.18%	71.20%	15.82%
Trading book ⁽¹⁾	N/A	N/A	N/A			
Financial Guarantees	7,405	7.8%	10.3%			
Assets under management	633	1.45%	2.21%			
Fees and commissions income ⁽²⁾		N/A	N/A			

(1) For credit institutions that do not meet the conditions of Article 94(1) of the CRR or the conditions set out in Article 325a(1) of the CRR

(2) Fees and commissions income from services other than lending and AuM

Institutions shall disclose forwardlooking information for this KPIs, including information in terms of targets, together with relevant explanations on the methodology applied

(3) % of assets covered by the KPI over banks' total assets

(4) based on the Turnover KPI of the counterparty

(5) based on the CapEx KPI of the counterparty, except for lending activities where for general lending Turnover KPI is used

Note 1: Across the reporting templates: cells shaded in black should not be reported.

Note 2: Fees and Commissions and Trading Book KPIs shall only apply starting 2026. SMEs' inclusion in these KPI will only apply subject to a positive result of an impact assessment

Based on the Taxonomy as it stands – i.e. excluding entire aspects of the Group's activities – the Group's Taxonomy-eligible exposures are primarily its retail mortgage loan portfolio and its exposures to a limited number of EU groups and customers subject to the NFRD reporting requirements. As such, Societe Generale's activities with SMEs and non-EU companies, as well as project finance in the renewable energy sector on non-NFRD enterprises, are not eligible.

Taxonomy-aligned exposures equate to the proportion of Taxonomy-eligible exposures that satisfy the alignment criteria set out in the following section on methodology.

IMPLEMENTATION METHODOLOGY OF THE EU TAXONOMY REGULATION

From 2023, the GAR measures activities aligned with the EU Taxonomy based on two of the six objectives: climate change mitigation and climate change adaptation. All the regulatory templates are available in the chapter 10 "Appendices".

Beyond eligibility, for an economic activity to be aligned, it must be assessed against Technical Screening Criteria for substantial contribution, respect the Do No Significant Harm (DNSH) criteria as regards the five additional environmental objectives, and comply with the Minimum Social Safeguards. As a result, many eligible activities fail to align due to the multiplicity and detail of the criteria required.

In addition to the GAR as their main KPI, credit institutions are also required to publish certain additional KPIs, such as the proportion of their Taxonomy-aligned activities in Financial Guarantees (FinGuar KPI) and Assets Under Management (AuM KPI) at the end of December 2024.

Societe Generale has calculated the data necessary for the required disclosures based on the European Banking Authority's recommendations for Pillar 3 and the European Commission's FAQs.

The information being not available as of date of publication of the present Universal Registration Document, the indicators of Societe Generale Assurances will be published in its own management report. The indicators of the other exempt subsidiaries and the indicator for financial conglomerate will be examined further for possible publication in the future.

CALCULATING ALIGNMENT FOR FINANCIAL AND NON-FINANCIAL UNDERTAKINGS (EXCLUDING RETAIL)

When calculating the GAR, Taxonomy-eligible activities of corporates in the EU can only be considered aligned when the client undertakings have published data supporting this.

For corporate, exposures where the use of proceeds is known, and provided that the beneficiary is an NFRD entity, these are considered in the UE Taxonomy eligibility analysis, but non-aligned due to the absence of data provided by the client. For other transactions, for which the use of funds is not known, alignment is calculated using the turnover and CapEx KPIs published by counterparties subject to the NFRD.

Loans to local authorities have been included in the eligibility base to the extent of exposures to *Offices Publics de l'Habitat* (OPH), but not aligned due to lack of available data.

CALCULATING ALIGNMENT FOR RETAIL CLIENTS (HOUSEHOLDS)

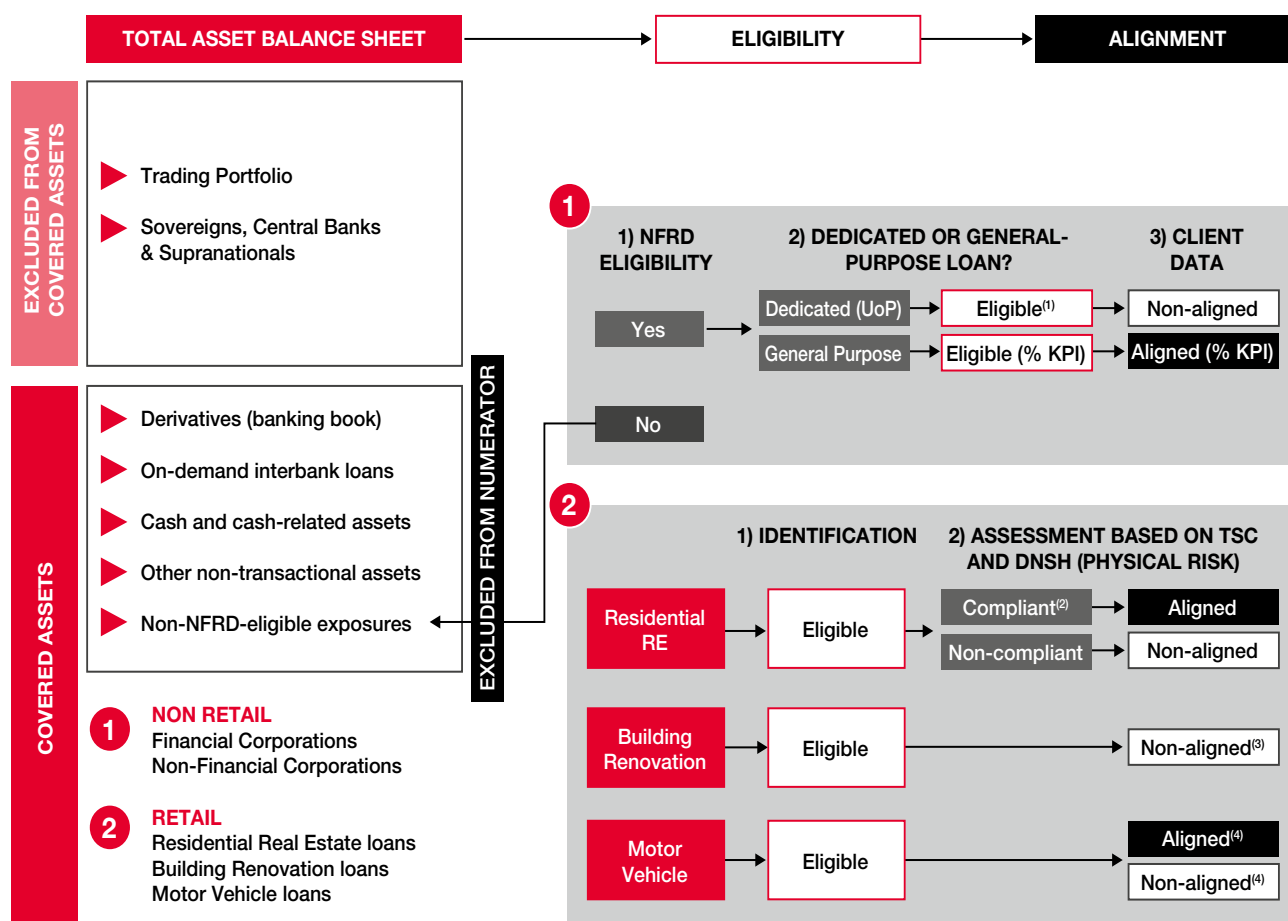
Retail mortgage loans account for the majority of Taxonomy-eligible assets. But for such loans to be considered Taxonomy-aligned, the properties in question must have been granted an Energy Performance Certificate with an A rating or primary energy consumption among the top 15% of the country concerned (for activity 7.7 acquisition for goods built before 31 December 2020). Only a very small proportion of our exposures currently meets this standard. Other criteria must also be met before an exposure can be considered aligned, in particular as regards the adaptation of the property to climate events. The availability of this data is very limited and difficult to collect from retail customers. Furthermore, Minimum Social Safeguards are presumed to be respected when funding is provided within the territory of the European Union.

Mortgage loans include those backed by a financial guarantee such as the *Crédit Logement* and are considered fully eligible. Alignment is calculated using the Technical Screening Criteria and the DNSH criteria with respect to the other environmental objectives.

The Group's mortgage loan portfolio has been evaluated by comparison with national data sources in France and, in the case of new builds, with building standards (i.e. RE2020). This gives the Group more insight into exposures for this portfolio, leading to a qualitative analysis of retail mortgage loans.

Home renovation loans and – since 1 January 2022 – consumer car loans are Taxonomy-eligible. The methodology is very restrictive and alignment requires data that are often unavailable: only finance leases for motor vehicles in the Ayvens and CGI portfolio have undergone an alignment analysis in line with the methodology developed by Ayvens for its own needs.

The following flow diagram sets out the decision-making process for determining eligibility and alignment in accordance with the EU Taxonomy for FINREP balance sheet items.



- (1) Due to missing client certificates, dedicated loans cannot be measured in terms of alignment, except for Ayvens activities (individual disclosure), a dedicated transaction requires analysis to define its eligibility.
- (2) For properties constructed before 2020, the technical screening criteria (TSC) are equivalent to an A-label energy performance certificate or a primary energy score below 135 kWhEP/m²/year for France. In addition, the do-not-significant-harm (DNSH) requires the assessment of the activity against physical climate risks. If a material physical risk is identified, the DNSH is considered non-compliant. Pillar 3 ESG information is used to determine physical risk.
- (3) Due to missing client certificates, building renovation loans cannot be measured in terms of alignment at this stage.
- (4) Based on proprietary Ayvens business methodology. Alignment for Ayvens (financial leases) scope only.

FOSSIL GAS AND NUCLEAR ENERGY ACTIVITIES

European Commission Delegated Regulation (EU) 2022/1214 requires credit institutions to disclose investments in electricity and heat generation derived from natural gas and nuclear energy, identified as transitional activities contributing to the EU Taxonomy's objectives on climate change mitigation and adaptation. In light of the template for disclosure of "Nuclear and Fossil Gas Activities" published in March 2023 and the GAR calculation as from 2024, Societe Generale is required to publish nine templates, grouped into three subcategories for each of the KPIs of the Taxonomy Regulation. Societe Generale publishes this template set on the most relevant KPI, i.e. the GAR stock.

All the regulatory templates related to fossil gas and nuclear energy activities are available in Chapter 10 "Appendices".

5.3 ENVIRONMENTAL INFORMATION RELATED TO CLIMATE CHANGE

5.3.1 CLIMATE CHANGE-RELATED MATERIAL IROS AND THEIR INTERACTION WITH THE STRATEGY AND BUSINESS MODEL

5.3.1.1 Description of the climate risk resilience analysis

APPROACH TO STRATEGY AND BUSINESS MODEL RESILIENCE ANALYSIS

The resilience of the Group's strategy and business model is assured by both the materiality analysis and the Business Environment Scan (BES). The role of these two processes in resilience analysis is detailed in section 5.1.3.1 "Outcomes of the IRO assessment in relation to the strategy and business model".

From a risk perspective, resilience is mainly analysed using the financial materiality assessment exercise, in particular, by performing the stress tests described below. In the absence of stress tests, an analysis based on expert opinion is carried out.

In 2022, the Group approved the principle of incorporating a scenario-based climate stress test into the Group's stress tests. It is produced at least once a year, over the short to medium-long term, and covers transition and physical risks across a global scope or a specific portfolio.

As part of the stress test exercise, the main assumptions primarily concern the long-term scenarios used, which are the "Current Policies", "Below 2°C" and "NZE 2050" scenarios. They are broken down by sector and geography. Physical and/or transition shocks are also applied to these scenarios in the short, medium and long terms.

Stress test work on credit risk and counterparty risk is based, in particular, on the transition and physical ICVI indicators, presented below in section 5.3.5.3 "Quantifying climate risks".

The financial materiality assessment work was carried out on all risk categories and factors.

The elements below focus on credit risk, counterparty risk and business risk, identified as material from a climate perspective:

- regarding credit risk, the scope covers the Group's Corporate and Retail Banking portfolios;
- regarding counterparty risk, the scope covers all counterparties with which the Group enters into derivatives and securities financing transactions;
- regarding business risk, the scope covers all of the Group's activities.

The work on stress tests and the business environment scan was carried out between the end of 2023 and the beginning of 2024, as part of the annual financial materiality assessment. A new exercise was launched at the end of 2024 and completion is expected in the second quarter of 2025.

ASSUMPTION AND METHODOLOGY USED FOR RESILIENCE ANALYSIS

The main macroeconomic climate assumptions made as part of the stress test work related, first and foremost, to the scenarios used.

For credit risk, the Group proceeded as follows:

- a stress test performed using 3 macroeconomic scenarios detailed in the section 5.1.3.2.2 "Description of the process to identify and assess material IROs in relation to topical ESRS" in relation to topical ESRS over a long-term time horizon (2040 and 2050): "Below 2°C" used as the reference scenario, "NZE 2050" and "Current Policies";
- two stress tests respectively for short- and medium-term shocks (time horizons from 2023-2024 to 2026 and 2030 respectively), incorporating plausible adverse economic slowdowns triggered by negative climate change-related effects (incorporating a particular focus on transition issues and climate hazards).

The impact of climate change on counterparty risk was assessed from six market stress tests (an "NZE 2050" scenario and a "Current policies" scenario, spread over the three time horizons 2025, 2030 and 2040), and the use of stressed default probabilities for corporate clients in sectors exposed to climate risks.

USING THE RESULTS OF THE RESILIENCE ANALYSIS

The results of the stress tests are especially used as part of the financial materiality assessment process, these two exercises then feed into other works including those related to Risk Appetite, the Business Environment Scan, the budget exercise and the ICAAP.

In addition to the stress tests, the estimated expected financial effects are also then used in the context of the Risk Appetite exercise, the annual budget exercise and the ICAAP.

The results of the resilience analysis are detailed in section 5.3.1.2 "Description of climate-related material IROs".

AREAS OF UNCERTAINTY

By definition, stress tests are necessarily constructed on the basis of uncertain data. The inclusion of climate components into these stress tests inevitably adds uncertainties, linked in particular to the fact that time horizons relating to the climate issues studied can be long, historical data remain limited (as climate issues are expected to become increasingly significant over time), some data is still not robust and certain methodologies are still intended to be improved and standardised over time. In addition, it is still difficult to accurately establish the link between climate risks and different risk categories.

5.3.1.2 Description of climate change-related material IROs

Climate change-related material IROs mainly concern financing and investment activities in the downstream value chain.

MATERIAL CLIMATE CHANGE-RELATED IMPACTS

The material impacts identified in the short, medium and long terms in connection with climate change are as follows:

- within corporate and investment banking, on the financing of counterparties operating in the highest-emitting sectors and which have a potentially negative impact on climate change;
- within the life insurance business, on issues associated with investing in corporate equities and bonds that have a potentially negative impact on climate change.

MATERIAL CLIMATE CHANGE-RELATED RISKS

Material climate change-related risks are detailed below. Credit, counterparty and business risks are identified as material in the sense of financial materiality.

Credit risk

Credit risk is the risk of counterparty default as well as the associated risk of loss. From a climate perspective, the credit risk of the Group's various customer portfolios can be accentuated by both transition risk and physical risk aspects.

CREDIT RISK – CORPORATE CLIENTS

The Group has also determined, through a systematic analysis of transmission channels, that transition and physical risks are likely to affect credit risk primarily through revenues, costs, assets and equity, despite the impact through interest rates remaining limited.

In terms of transition risks, in a world where transition efforts are accelerating in line with the objectives of the Paris Agreement, the Group's Corporate clients will face increasing transition risks arising from the shift to an economy compatible with net-zero greenhouse gas emissions and more respectful of planetary boundaries.

The risk identification exercise showed that, with regard to climate, policies and regulations as well as technology, are relevant transition risk factors for corporate credit risk, with a potentially major effect in the short and medium term, while behavioural changes can have a more indirect and medium- to long-term effect on corporate credit risk.

Certain sectors of activity (such as Real Estate, Oil and Gas, Automotive or Aviation) are particularly affected by transition risk.

With regard to physical risks, the risk identification exercise also showed that, regarding to climate, in a scenario where the transition is too slow to occur, physical risks will become a growing concern for the Group's Corporate counterparties.

The frequency and intensity of severe weather hazards are expected to increase, while chronic physical hazards such as heat stress and rising sea levels are expected to become more prevalent. To date, the Group has determined, taking a conservative approach, that all climate-related physical risks are relevant risk factors with a long-term effect in a "Current Policies" scenario and potential short- and medium-term effects in the event of a negative economic shock.

CREDIT RISK – INDIVIDUAL AND PROFESSIONAL CUSTOMERS

As regards individual and professional customer counterparties, the main risk is related to the repayment capacity of households and professionals. This capacity depends on households' disposable income as well as on profitability for professionals, factors that may be affected by climate change (decrease or loss of business, increase in charges and costs). In addition, climate risk could also reduce the value of assets taken as collateral (damaged, abandoned assets) and so reduce the banks' ability to recover their loan amounts in the event of a customer default (increased risk of loss).

After assessing materiality, the credit risk for individual and professional customers was considered moderate. As a result, the financial materiality assessment for these individual and professional customers concluded, on the basis of the assumptions adopted, that there was a non-material risk, in the short, medium and long term.

Counterparty risk

Counterparty risk depends on the counterparty's probability of default, on the one hand, and on the exposure at the time of default, on the other. The variability of counterparty risk exposure, notably measured via GASEL (Global Adverse Stressed Loss), can therefore be affected by the following two elements:

- the effect on the probability of default: the Group considers that the most significant effects are those affecting costs, revenues and assets that directly affect the counterparties' solvency. The climate risk identification exercise showed that policy and regulation, as well as technology, are relevant transition risk factors from the short term to the long term, while behavioural changes can have a more indirect effect in the medium and long term. In addition, the Group believes that all types of physical risks will become a growing concern for companies in the medium and long term with the increase in the frequency and intensity of climate events, potentially impacting companies' financial health;
- exposure at default (or stressed exposure): The climate risk factor can, in fact, change the value of derivatives insofar as it has an effect on the value of the underlying assets in these transactions (share prices, exchange rates and interest rates). In this process, the most significant effects will primarily result from changes in carbon prices (transition), especially in the long term in a physical stress scenario. Exposure at default can be partially mitigated via the margin call mechanisms that are put in place for the majority of exposures.

Regarding counterparty risk, climatic factors are considered material over short, medium and long term horizons.

Business risk

Business risk is the risk related to the loss of value due to fluctuations in volumes, margins, commissions and operating expenses that are not already recognised under other categories of risk (such as the IRRBB, insurance activity-related risks, etc.). It is currently measured and managed as the risk of deviation from the budget. The budgetary trajectory is based on a narrative and on macroeconomic metrics, which include assumptions of a “Below 2°C” climate scenario.

The main financial effects of transition risks identified concern:

- unforeseen policy and regulatory changes generated by climate change, which could lead to a revision of the Group’s strategic plan and/or reduce its profitability;
- changes in the behaviour of investors, customers or employees who could negatively judge companies considered to be contributing to climate change, which could have a negative impact on the Group’s ability to execute its strategic plan, implement its business plan due to its inability to retain its employees, customers or investors as a result of a deterioration in its image or its inability to allocate scarce resources efficiently.

5.3.2 CLIMATE TRANSITION PLAN

The COP 21 summit in Paris in 2015 marked an important turning point in the fight against climate change on a global scale. It has played a catalytic role, fostering unprecedented global cooperation and action on climate issues. The Paris Agreement set out several objectives to guide the actions taken by all States, such as reducing global greenhouse gas emissions, keeping “the increase in the global average temperature to well below 2°C above pre-industrial levels” and pursuing efforts “to limit the temperature increase to 1.5°C above pre-industrial levels” by the end of the century.

At the same time, the Group announced its first targets for restricting coal-related activities and financing renewable energy. Since then, the Group has systematically raised its ambition, formalising its actions for other fossil fuels, other sectors and other activities. In particular, the Group has begun work to align its credit portfolios with Paris Agreement objectives and published a common alignment methodology in 2020 with other international banks. In 2021, the Group went further by joining the Net-Zero Banking Alliance (NZBA) as a founding partner. This membership marks the Group’s desire to accelerate the transition by aiming to align its financing of the highest-emitting sectors with net-zero emission trajectories by 2050, in line with a maximum temperature increase of 1.5°C compared to pre-industrial levels by 2100. The Group is not excluded from the Paris Agreement Benchmarks.

Given the existing framework, climate transition risk factors are considered, on the basis of expert judgement, as material risk factors for business risk, in the short, medium and long term.

Physical risks could also have a long-term effect if resources are allocated to geographical areas that are seriously affected by climate change. In fact, the deterioration of the climate could lead to an increase in general costs, reduce business opportunities or even require the discontinuation of activities.

Regarding business risk, climatic factors are considered material over short, medium and long term horizons.

MATERIAL CLIMATE CHANGE-RELATED OPPORTUNITIES

Climate change-related opportunities related were assessed as being material, mainly with regard to financing activities. They are detailed in section 5.3.6 “Material climate change-related opportunities” and section 5.1.3.1 “Results of the evaluation of the IROs in relation to the strategy and the business model”.

5.3.2.1 Overview of the climate change mitigation transition plan

5.3.2.1.1 INTRODUCTION

Banks have a central role to play in the decarbonisation of the economy, mainly by acting as catalysts for financing the climate transition by steering industries and markets towards sustainable solutions. Through their role in financing the economy and through their investment policies, they are able to influence the flow of financial resources, directing them towards lower-carbon solutions.

The transition plans for banks’ asset portfolios are built around the main emitting sectors of the economy and are distinguished by type of activity (financing, investment, etc.). Consequently, the transition plan set out in this sustainability statement presents the Group’s decarbonisation targets and the main associated levers, as well as the policies and actions carried out as part of the implementation of this plan. The Group transition plan covers corporate financing and life insurance business. It is constructed as closely as possible around these activities in order to take into account the specific challenges they face and the sectors of activity in which the Group’s clients operate.

The Group has identified a decarbonisation lever for each of these activities:

- on corporate financing business: to align the financing portfolio of the most emission intensive sectors with the objectives of the Paris Agreement;
- on life insurance business: to align the asset portfolio with the objectives of the Paris Agreement.

The climate transition is evolutionary by nature, which makes the subject of its anticipation by the Group particularly complex. These difficulties extend to the availability of the necessary data and the accuracy of the methodologies used to carry out the calculations relating to the monitoring of decarbonisation targets. As a result, the trajectories and scenarios of this plan can be amended and updated in the future.

Financing activities

The Group's approach consists of in-depth steering of its portfolios with a view to reducing the financing of fossil fuels, on the one hand, and supporting the decarbonisation of the main greenhouse gas emitting sectors, on the other. This includes (i) **defining sector-specific decarbonisation targets** as presented as part of the alignment work within the Net Zero Banking Alliance (NZBA), (ii) **implementing actions and deploying resources** to monitor and achieve these targets and (iii) **increasing financing for the transition of the Group's clients**.

The Group focused its work on 12 of the highest carbon-emitting sectors, as defined by the NZBA, resulting in alignment targets for 10 sectors. At the same time, the Group put in place a methodological and operational framework to monitor these targets, making it possible to periodically measure their progress (progress detailed in the Group's NZBA Progress report 2024). These sectors, which are broader than the value chain segments covered by the alignment targets, accounted for 73% of the Group's corporate client scopes 1 and 2 financed emissions.

Following the progress under the sector alignment targets is lagging for operational reasons, with the last update as of June 2024, except shipping and aviation sectors for which emissions are calculated with 2023 data.

To encourage transformations within these sectors and direct greater financial flows towards their decarbonisation levers, the Group has set itself a high target of contributing EUR ~500 billion to sustainable finance between 2024 and 2030, aligning with NZBA sector decarbonisation targets.

Life insurance business

The Societe Generale Assurances business unit is acting in line with the Group's work on the decarbonisation of financing activities. Societe Generale Assurances, an institutional investor, had EUR 146 billion in assets under management at the end of 2024. As a member of the Net Zero Asset Owner Alliance, Societe Generale Assurances has been working to align its asset portfolio with the objectives of the Paris Agreement.

To achieve this alignment objective, Societe Generale Assurances has set itself an intermediate step of reducing the carbon footprint of its equity and corporate bond portfolios by 30% by 2025 compared to 2018. To achieve this intermediate objective, the application of a proactive investment policy is required, including exclusions, particularly on fossil fuels and prioritising assets with a low carbon footprint or emitters with a trajectory to reduce their emissions. Societe Generale Assurances is also working on defining a 2030 target that will be published in the Group's next sustainability report.

5.3.2.1.2 A TRANSITION PLAN THAT IS KEY TO THE GROUP'S STRATEGY

Sustainable development at the heart of Societe Generale's corporate purpose

At Societe Generale, sustainable development is at the very heart of its corporate purpose: "Building together with our clients, a better and sustainable future through responsible and innovative financial solutions". This is why le Groupe accelerated its ESG ambitions in its 2026 strategic plan, sending a clear message about new stages in the decarbonisation and alignment of portfolios, investment in opportunities and the development of partnerships and initiatives to generate positive contributions to the environment and society.

A transition plan resulting directly from the Group's climate strategy

The Group's environmental transition pillar is mainly based on its climate strategy. In order to reconcile short-term challenges with a proactive medium- and long-term vision, this strategy is based on three axes, the first two of which make it possible to limit the Group's potential impact on climate:

- support the Group's clients in their ecological transition, in particular by designing appropriate advisory and financing solutions;
- manage the potential impacts of the Group's activities on the climate directly through its own operations or indirectly through its activities;
- manage climate change risks.

The transition plan for climate change mitigation is part of the Group's climate strategy in the sense that the objectives defined, and the actions taken to achieve them, aim to respond to the first 2 axes of the strategy presented above, as well as to limit the transition risks to which the Group is exposed.

Operationalisation and monitoring of climate strategy and transition plan progress

Deploying this transition plan requires significant work for the Group that will be spread over time, both from the point of view of team training and the operationalisation and monitoring of the transition plan. A wide-ranging acculturation programme has been launched to raise awareness and train employees in ESG aspects, in particular in environmental and social issues and how they can become effective actors in this transformation. Investment in making ESG issues more understandable in our daily activities is gradually being rolled out, including in operations planning and reporting, risk, compliance and financial management.

As part of the "ESG by Design" programme launched in 2022, the objective of which is to incorporate ESG criteria into all business lines, the alignment targets are gradually being incorporated into Group and Business Unit annual budget trajectories.

Finally, a governance structure dedicated to the periodic monitoring of indicator trends involves all the contributing Business Units within the context of co-sponsorship between the Finance Department, the Risk Department and the Sustainable Development Department. This structure makes it possible to take any corrective measures in the event of a warning that a target may not be reached.

For financing activities, the progress made against the targets and, more broadly, the actions taken by the Group as part of its transition, are presented in various specialised publications, the latest of which are the Climate and Alignment Report – In Transition, of December 2023, as well as the update of the NZBA Progress Report in July 2024.

For insurance activities, the monitoring of the achievement of objectives and the implementation of strategy are presented every year in its Management Report, as well as in the reports drawn up under Article 29 of the Energy and Climate Law.

Governance of the transition plan

The transition plan was prepared by the Finance Department, reviewed by the Sustainable Development Department and then reviewed and approved by the Board of Directors on 6 March 2025.

5.3.2.2 The Group's lever on corporate financing business: aligning the financing portfolio with the objectives of the Paris Agreement

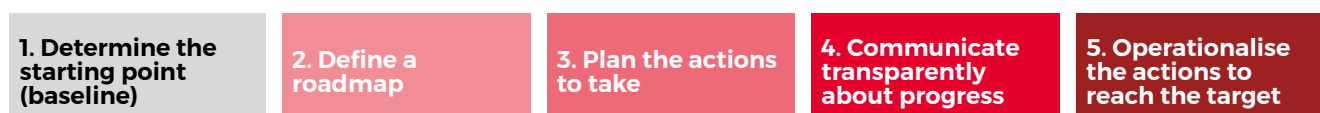
5.3.2.2.1 REDUCING THE FINANCING OF FOSSIL FUELS AND SUPPORTING THE DECARBONISATION OF THE MAIN GREENHOUSE GAS EMITTING SECTORS

Corporate financing is one of the Group's core activities and is one of the main levers used in its climate strategy.

The Group's approach to this corporate financing activity consists of steering its portfolios with a view to a gradual reduction in financing the thermal coal sector and the oil and gas extraction and production.

It also consists of supporting the decarbonisation of the main greenhouse gas emitting sectors by financing their transition strategies. Indeed, high-emitting sectors, mainly due to their current dependence on fossil fuels, must transform, including using low-carbon energy sources.

The alignment methodology that the Group has put in place can be summarised in 5 steps, which will be developed below:



Defining targets for aligning financing portfolios with the objectives of the Paris Agreement

METHODOLOGY FOR ALIGNING THE GROUP'S FINANCING PORTFOLIOS

The Group's alignment approach focuses on developing a strategy that targets the highest-emitting sectors, in line with the PACTA methodology. This methodology consists in identifying and focusing, within each sector, on the value chain segment (i) responsible for the bulk of the climate impact and (ii) on which decarbonisation efforts should be focused in order to facilitate the decarbonisation of the whole sector. In 2021, NZBA generalised this way of aligning credit portfolios and confirmed that the sectors to be treated as a priority should be the sectors with the highest greenhouse gas emissions.

Climate scenarios are required to define these alignment targets

Defining alignment targets requires the use of decarbonisation scenarios. These scenarios provide an overview of the potential impacts of different policy choices and technological developments on energy systems and greenhouse gas emissions, while respecting global carbon budgets. Their goal is to indicate potential pathways for transforming the Group business to mitigate climate change and achieve sustainable, low-carbon economies.

The Group's preferred climate scenario is the International Energy Agency (IEA) "Net Zero Emissions by 2050"

The IEA's NZE 2050 scenario sets out the path to achieve the overall target of net-zero greenhouse gas emissions by 2050. This scenario establishes an energy model, with the energy sector being a major contributor to global greenhouse gas emissions across all sectors of the economy. It outlines a possible trajectory detailing actions and

timelines that could be implemented by different sectors and stakeholders that would achieve carbon neutrality of global emissions from energy combustion and industrial processes by 2050. The IEA's NZE 2050 scenario respects a carbon budget (or cumulative future emissions) associated with a temperature increase of no more than 1.5°C by 2100, with a 50% probability. This is one of the main scenarios to be considered as part of an alignment methodology used to define and monitor specific targets aligned with the Paris Agreement.

In some cases, however, the IEA's NZE 2050 scenario does not offer a sufficient level of detail to set targets and attempt to translate them into concrete actions. Other science-based and sector-specific scenarios exist and are more relevant to target setting. In this regard, all of the Group's NZBA targets for sector alignment are based on science-based scenarios in line with the goals of the Paris Agreement, tailored to individual sectors and based on the most robust frameworks for carbon accounting, target setting, alignment methodologies and disclosure. All the scenarios used by the Group to set its targets are compatible with limiting global warming to 1.5°C, except for the International Maritime Organisation scenario (IMO Striving For) used as a reference for the shipping target, which is compatible with the objectives of the Paris Agreement to limit global warming to below 2°C. It is, however, still compatible with the NZBA Guidelines and is the most ambitious industry-specific scientific scenario to date.

The Group monitors the developments in the various scenarios across the sectors covered by targets and may change the scenario for a given sector in the future if a new scenario is published that remedies, amongst other things, the limitations of the previously used scenario.

The first two steps of the internal alignment methodology define the Group's targets:

1. Determine the starting point (baseline)

- Identification of relevant climate exposures in different sectors and geographies
- Assessment and benchmarking of exposure to carbon-intensive sectors
- Measurement of emissions in a given sector becoming the baseline as the starting year for the target

The strategy was as follows:

- reducing the CO₂ footprint of fossil fuels in absolute terms, by discontinuing certain activities and relationships;
- reducing the carbon intensity of portfolios in other sectors by limiting support to the most carbon-intensive activities, while increasing financing for low-carbon solutions.

Some technologies that will enable sectors to transition are not yet mature and cannot be made widely available until after 2030 or even after 2040. As such, the first step was to set interim targets for 2030 for the highest carbon-emitting sectors based on current knowledge and as part of the effort required to limit global warming.

The Group's alignment methodology is based on stakeholder involvement

The transition is a major challenge, with climate, economic, social and technological issues. This is a complex subject that requires concerted and collective approaches with all of the Group's stakeholders: civil society (including NGOs), investors, clients and partners. As part of the development of sector-specific targets, consultations with clients are conducted to better understand, and discuss, their climate transition strategies and to improve the Group's assessment of its potential climate-related impacts.

In 2018, the Group contributed to the development of the PACTA methodology in collaboration with BBVA, BNP Paribas, ING and Standard Chartered (also known as the Katowice Banks) and 2DII to make the methodology applicable to banking portfolios and recommend improvements.

The Group contributes to numerous working groups in various sectors to support research and development in the field of sustainable finance and decarbonisation by developing partnerships and participating in sector-specific alliances within expert bodies such as the Hydrogen Council, the Poseidon Principles for shipping, the Sustainable Steel Principles (SSP) for steel production, the Sustainable Aluminium Finance Framework (SAFF) for aluminium production and the Pegasus Guidelines for aviation, with the aim of promoting the adoption of common standards and comparability between companies.

A specific organisation, built into the Group's governance, has been created to align the Group's credit portfolios with trajectories compatible with the Paris Agreement

A specialised team within the Sustainable Development Department is in charge of methodological work and leads a network of internal stakeholders to collectively define sector-by-sector alignment objectives for the Group's financing. In addition, steering committees bring together the Sustainable Development Department, the Finance Department and the Risk Department, promoting dialogue and a common vision of the objectives and ambition defined. The methodologies and objectives are then approved by the Responsible Commitments Committee. The path to decarbonisation must involve

2. Define a roadmap

- Formulation of a level of ambition to be achieved (e.g., "Net Zero Scenario")
- Development of sector-specific trajectories to measure emissions against targets
- Determination of a dynamic for a key sector and a target trajectory that meets the level of ambition

the Group's Business Units and Service Units. In recent years, resources have also been put into CSR training on these alignment issues, *via* different channels, for the Group's employees.

THE GROUP'S SECTOR-SPECIFIC OBJECTIVES

The table below shows decarbonisation targets in line with the sector-specific prioritisation defined by NZBA, *i.e.* focused on the highest-emitting sectors. These sectors, which are broader than the value chain segments covered by the alignment targets, account for 73% of the Group's corporate client scope 1 and 2 financed emissions at the end of June 2024. Analysis of the highest-emitting sectors to which the Group is exposed has made it possible to identify the main sources of emissions as well as their main decarbonisation levers. This work served as a basis for establishing the Group's policy for the sectors identified as the highest emitting. The cross-sectoral concepts and challenges are presented in the Group's NZBA Progress Report, which was last updated in July 2024.

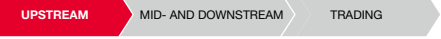
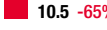
Setting decarbonisation targets for these sectors therefore makes it possible to initiate the decarbonisation of the corporate financing portfolio (whether dedicated or general purpose) across all the countries where the Group operates.

The Group uses 3 alignment methodologies depending on the sector

- Exposure/absolute financed emissions targets: for coal, upstream oil and gas, the used of which should decline in a net-zero by 2050 economy, the Group is setting targets for reducing its exposure to the sector. For thermal coal, a phase out of the Group's exposure to the sector is planned. The oil and gas sectoral target is complemented by an absolute financed emissions reduction target covering both the upstream, midstream and downstream segments of the value chain.
- Physical emissions intensity targets: for the electricity, cement, aluminium, automotive, aviation and commercial real estate sectors, the Group has set targets based on a reduction in physical emissions intensity to support the development and decarbonisation of these sectors. Unlike fossil fuels for which a decarbonisation trajectory involves a reduction in the amount of funding, other sectors will continue to grow over the coming decades (need for new cars, cement, steel and more aluminium) and will need to invest to improve their efficiency (through technological innovation and operational improvements). To succeed in their decarbonisation, companies in these sectors will, therefore, have to deploy significant investments, supported by additional financing from banks.
- Alignment score targets: for the steel and shipping sectors, the Group has defined alignment score targets. These scores, based on intensity indicators, make it possible to assess, using a single indicator aggregated at portfolio level, the level of alignment of a sector with heterogeneous sub-activities whose decarbonisation trajectories are specific to each of these sub-activities.

The Group's decarbonisation targets by sector

Decarbonisation targets are underpinned by origination guidelines. They are applicable at client or transaction level. Separate guidelines exist for each sector to take into account their specific constraints. The decarbonisation targets by sector are set out in the table below.

SECTOR BOUNDARY	METHODOLOGY	EMISSIONS SCOPE	SCENARIO	METRIC	BASELINE, PROGRESS AND TARGET
 OIL & GAS  <i>Exploration, development and production (upstream)</i>	PACTA	N/A (financing)	IEA NZE 2050	Gross commitments (M EUR, index 100)	2019  100 Q2 24  42 -58% 2025  50 -50% 2030  20 -80%
 OIL & GAS  <i>Upstream, midstream, downstream</i>	PCAF	Scopes 1 & 2 + Scope 3.11 (end-use) of the upstream part of the value chain	IEA NZE 2050	Absolute emissions (in MtCO ₂ eq.)	2019  29.6 Q2 24  10.5 -65% 2030  8.9 -70%
 THERMAL COAL  <i>Power generation and thermal coal mining</i>	Exit from the sector	N/A (financing)	IEA NZE 2050	Gross commitments (M EUR, index 100)	2019  100 Q2 24  44 -56% 2030 0 (EU/OEDC countries) 2040 0 (World)
 POWER  <i>Power generation</i>	PACTA	Scopes 1 & 2	IEA NZE 2050	Emissions intensity (gCO ₂ eq./kWh)	2019  221 Q2 24  114 -48% 2030  125 -43%
 CEMENT  <i>Cement producers</i>	PACTA	Scopes 1 & 2 (gross basis)	IEA NZE 2050	Emissions intensity (kgCO ₂ eq./t cement)	2022  671 Q2 24  673 2030  535 -20%
 STEEL  <i>Crude steel producers</i>	Sustainable Steel Principles (SSP)	Scopes 1 & 2	IEA NZE 2050	SSP alignment score	2022 0 Q2 24  -0.61 2030 0
 ALUMINIUM  <i>Aluminium producers</i>	PACTA	Scopes 1 & 2 + Scope 3 upstream	IAI/MPP STS	Emissions intensity (tCO ₂ eq./t aluminium)	2022  8 Q2 24  6.9 2030  6 -25%
 AUTOMOTIVE  <i>Car manufacturers</i>	PACTA	Scope 3.11 (end use)	IEA NZE 2050	Emissions intensity (gCO ₂ eq./v-km)	2021  184 Q2 24  156 -15% 2030  90 -51%

SECTOR BOUNDARY	METHODOLOGY	EMISSIONS SCOPE	SCENARIO	METRIC	BASELINE, PROGRESS AND TARGET
 SHIPPING					2022  +24.2% 2023  +16.7%
SUPPLIERS → SHIP MANUFACTURER → SHIP OWNERS & OPERATORS	Poseidon Principles (PP)	Scope 1 & Scope 3	IMO Striving for	PP alignment score	2030  +15%
Ships from ship owners & operators					
 AVIATION					2019  950 2023  866
SUPPLIERS → AIRCRAFT MANUFACTURERS → AIRCRAFT OPERATORS AND LESSORS	Pegasus Guidelines	Scope 1 & Scope 3	MPP PRU	Emissions intensity (gCO ₂ eq./RTK)	2030  775 -18%
Aircrafts owned or operated by airlines & lessors					
 COMMERCIAL REAL ESTATE					2022  49 Q2 24  48
BUILDINGS MATERIALS AND CONSTRUCTION → OPERATIONS → END OF LIFE	Portfolio weight approach	Scopes 1 & 2, from a real estate asset's perspective	CRREM v2.02	Emissions intensity (kgCO ₂ eq./m ² /y)	2030  18 -63%
Real estate professional investors and assets					

The main assumptions and limitations of the approaches adopted by the Group are as follows

Sector	Scope of application	Assumptions and limitations
OIL AND GAS 	Exploration, development and production (upstream)	Floating production storage and offloading (FPSO) units are not covered, as they exert a marginal influence on investment decisions regarding the exploitation of new resources or the pursuit of new strategic options (they are, however, well covered in the next target). Data providers: internal data.
	Upstream, midstream and downstream sectors	Inconsistent availability of methane (CH ₄) emissions data. Data providers: Bloomberg; Client data; S&P IHS Markit; IPCC.
ELECTRICITY 	Electricity production	Renewable energy and nuclear power are considered to emit no greenhouse gases. Data providers: Bloomberg; Client data; Asset Impact; S&P IHS Markit; Internal data.
	Thermal coal	No particular limit. The target is applicable to both thermal coal electricity generation and thermal coal mining. Data providers: Client data; Asset Impact; Internal data; Global Coal Exit List (GCEL).
CEMENT 	Cement producers	As the IEA NZE 2050 scenario does not offer sector-specific trajectories for Scope 2 emission, the Group uses the Scope 2 decarbonisation trajectory developed by SBTi in consultation with the IEA. The target is above the IEA NZE 2050 scenario because there is currently no consensus on the level of deployment of Carbon Capture, Utilisation and Storage (CCUS) by 2030: the IEA scenario is based on more optimistic assumptions than those of the sector's players. Data providers: Client data; Asset Impact.
STEEL 	Steel producers	The methodology applied is in line with that described in the 2023 Sustainable Steel Principles Annual Report. Calculation of the score is very sensitive to assumptions about the proportion of scrap and emissions intensity. A new baseline was recalculated for 2022 following the addition of a client who was not identified at the time the target was set. A positive alignment score means that the Steel portfolio is not aligned with the IEA NZE 2050 scenario. Conversely, a negative or zero alignment score means that the steel portfolio is aligned with the IEA NZE 2050 scenario. As regards emissions, an SSP-compliant fixed boundary system is used, with the indicator covering Scope 1 and 2 and part (depending on the level of vertical integration) of Scope 3 emissions (particularly categories 1 and 10). Data providers: Client data; CRU.
ALUMINIUM 	Aluminium producers	Sector emissions correlate strongly with the electricity grid of the country where they are located, resulting in major differences between different clients' intensities. The 2030 target assumes a constant composition of the portfolio with regard to the geographical locations of the Group's clients. Data providers: Client data. Following an overall consistency review underway on data published by clients, which are sometimes incomplete, external supplier data may also be used.

Sector	Scope of application	Assumptions and limitations
AUTOMOTIVE 	Carmakers	The alignment metric is defined, for carmakers only, on the average intensity of new cars sold by carmakers in a given year. The IEA's reference scenario, on the other hand, is based on the entire number of cars on the road. In the absence of a similar indicator being provided by the IEA with which to compare the target, it was compared to the IEA's trajectory between 2020 and 2030 (-47% compared to -51% for Societe Generale's target). Data providers: Asset Impact.
SHIPPING 	Shipowners and operators	The Poseidon Principles apply only to ship financing (cargo and passengers) and do not apply to non-ship-based corporate loans. They also exclude military vessels, submarines, inland waterways and ships used for production and construction. Cruise ships are excluded until the International Maritime Organisation's indicator can be adapted to take into account the specific features of this activity. The IMO's Striving For pathway is a net-zero 2050 trajectory consistent with the goals of the Paris Agreement, endorsed by industry, supported by the United Nations and IMO Member States. The 2030 target assumes a constant portfolio composition and is, in terms of intensity, more ambitious than the IMO's base scenario. A positive alignment score means that the shipping portfolio is not aligned (<i>i.e.</i> that it exceeds the decarbonisation trajectory). Conversely, a negative or zero alignment score means that the shipping portfolio is aligned. The 43% reduction target applies to intensity measurement (AER). The scope of emissions considered is "Well-to-Wake" corresponding to (i) operational activities (<i>i.e.</i> Scope 1 or "tank-to-wake" emissions for shipowners) from fuel combustion on board a ship and (ii) from upstream activities (<i>i.e.</i> Scope 3 category 3), or "well-to-tank" emissions for shipowners including the extraction, cultivation, production, processing, storage, transport and bunkering of fuels. Data providers: IMO; Poseidon Principles.
AVIATION 	Airlines and Lessors	The 2030 target is in line with the Mission Possible Partnership's "Prudent" (MPP PRU 1.5°C) trajectory and assumes a constant portfolio composition between passenger and cargo aircraft (these categories have different emission intensity profiles). The scope of emissions considered is "Well-to-Wake" corresponding to (i) operational activities (<i>i.e.</i> Scope 1 or "tank-to-wake" emissions for airlines) from fuel combustion on board an aircraft and (ii) from upstream activities (<i>i.e.</i> Scope 3 category 3, or "well-to-tank" emissions for airlines) including the extraction, cultivation, production, processing, storage, transport and bunkering of fuels. Data providers: Client data; International Bureau of Aviation (IBA), <i>Estuaire</i>.
COMMERCIAL REAL ESTATE 	Real Estate Professionals	The Carbon Risk Real Estate Monitor (CRREM) reference scenario emissions are limited to the operational phase of the building, <i>i.e.</i> scope 1 emissions (<i>e.g.</i> use of natural gas or heating oil for heating) and indirect scope 2 emissions (related to electricity consumption or district heating). Embodied emissions released during the life cycle of building materials (mining, manufacturing, transportation, construction and disposal) are not taken into consideration. In the absence of energy performance certificates for the entire portfolio, asset/country proxies from the CRREM were used to estimate the baseline. The 2030 target assumes a constant portfolio composition vis-à-vis the asset/country mix and must be adapted to the corresponding CRREM targets in the event of a change in this mix. Based on the current portfolio mix (asset type and country), this translates into a target of 18 kgCO₂eq./m². Data providers: Client data; Internal data; CRREM.

The resources put in place to achieve the Group's alignment targets

CROSS-FUNCTIONAL ACTIONS

The last three steps of the internal alignment methodology define the planning of the actions to be implemented to achieve the targets, the communication on their follow-up and the means to achieve them:

3. Plan the actions to take	4. Communicate transparently about progress	5. Operationalise the actions to reach the target
■ Identification of effective levers to achieve sector-specific targets and determination of their impact on emissions and financial data. ■ Definition of the use and level of ambition of strategies such as engagement with companies, relationship exits, the potential need for the use of compensation and the financing requirements of the levers identified.	■ Implementation of strategies and tools to effectively develop transparency and promote comparable and relevant communication by complying with regulatory disclosure requirements. ■ Consistent and transparent compliance with reporting standards.	■ Engagement with clients to seize sustainable financing opportunities, support the transition and potentially redeploy capital. ■ Integration of the consequences of this alignment work into the Group's organisation. ■ Deployment of indicators and management tools made available to General Management.

During the presentation of the strategic plan for 2026, the Group announced several measures to step up its action in the transition to a sustainable world. The alignment objectives for each sector are linked to the development of new solutions to finance the growing investment requirements for the transition.

The transition requires a major transformation, which involves breaking down barriers between sectors. To adapt to this new paradigm, the Group launched a major transition programme called "The Shift" in early 2021. This initiative makes it possible to design decarbonisation financing solutions along the various value chains. The Group's ambition under this programme is to develop innovation capabilities for the transition and to support clients as a key partner in their own respective transitions and as close as possible to the sectoral's value chains.

As part of this initiative, experts from different business sectors and geographical locations are developing additional expertise together:

- in renewable energy (onshore and offshore), hydrogen, storage, transport and distribution networks;
- in relation to the challenges of decarbonising cement and new industrial processes, energy efficiency and technologies (CCUS, hydrogen, etc.);
- in relation to steel decarbonisation levers such as Direct Reduced Iron (DRI) hydrogen solutions;
- in relation to the automotive value chain through the extraction of critical raw materials, active materials for batteries, gigafactories, battery-related technologies, electric and hydrogen charging stations and infrastructure and battery recycling;
- in relation to new shipping segments such as the transportation of captured CO₂, the installation of offshore wind farms as well as the transportation of ammonia and methanol cargoes;
- around building energy efficiency and related topics: from optimised asset management to retrofitting buildings to help clients implement new business models in energy supply/production, energy efficiency and electric vehicle charging stations.

This allows for the identification of the emerging leaders of tomorrow who, for example, are developing:

- new energy technologies, sustainable aviation fuels (SAF), biogas and biomethane, which offer innovative products or services or develop clean energy projects;
- low-carbon cement solutions and innovative building materials capable of reducing the carbon footprint of the real estate and infrastructure sectors;
- new low-carbon solutions for the steel sector;
- low-carbon solutions for the automotive sector such as hydrogen fuel cells and electric batteries;
- new onboard carbon capture systems, wind vessels, hydrogen fuel cells and other low-carbon solutions for the sector.

That is why the new sustainable finance target presented in section 5.1.2.1.1 "Reduce funding for fossil fuels and support the decarbonization of the main sectors emitting greenhouse gases" echoes the sector-specific work carried out as part of the alignment of the Group's credit portfolios, in that part of the financing will be dedicated to transactions in low-carbon energy, sustainable real estate, low-carbon mobility and issues relating to industry and the environmental transition.

Finally, the Group is developing a business transition assessment tool which aims to help account managers assess their client companies' transition strategy and compare it to that of their peers. This assessment then aims to monitor the Group's portfolios, facilitate and structure strategic discussions with clients on the climate transition as well as identify associated business opportunities.

All the sectors in which the Group has defined its decarbonisation targets are covered by this tool, allowing account managers to maintain a dialogue with clients on their transition strategy and to better understand their own needs and challenges.

THE GROUP IS CONTRIBUTING TO THE DEVELOPMENT OF COMMON STANDARDS AND IS WORKING WITH ITS PEERS TO SUPPORT DECARBONISATION

The Group has joined several working groups bringing together financial institutions and major sector players to combine expertise and work collectively on sector transition, sustainable finance and decarbonisation. In this way, it develops partnerships and participates in initiatives within expert bodies such as the Poseidon Principles, the Hydrogen Council or, more recently, in sectors such as steel, aviation and aluminium, with the aim of promoting the adoption of common standards and comparability between companies.

SPECIFIC ACTIONS BY SECTOR

Societe Generale's work has made it possible to define actions and policies specific to each sector, whether with measures taken directly with regard to clients and/or actions carried out in conjunction with the respective actors.

The main actions implemented for each of the sectors are shown below, some of which are the subject of dedicated public sector-specific policies: on thermal coal, oil and gas. More details on all of the Group's policies are available in section 5.3.3 "Management of material impacts on climate change mitigation".



Thermal coal

- In 2016, the Group announced that it would not provide new financing dedicated to mining or coal-fired power plant projects.
- In 2020, the Group published an update of its Thermal Coal Policy detailing the concrete actions taken in support of its long-term objective:
 - the Group began to withdraw from the most exposed companies (i.e. where thermal coal represents more than 25% of revenues), which have not made a commitment to exit the thermal coal sector. The Group has also set stricter criteria for all other clients and prospective clients;
 - as of the end of 2021, the Group decided to stop providing new financial products and services to any company with assets in mining or thermal coal energy that is a thermal coal development company or that has not communicated a transition plan aligned with the Group's 2030/2040 thermal coal exit targets.
- The Group is continuing discussions with clients who have a transition plan and are still active in the sector to ensure that their exit from thermal coal is ongoing. The Group wishes to support clients who are diversifying into renewable energy (electricity companies) or critical minerals for the energy transition (mining companies).



Oil and Gas

- Since 2018, the Group has not financed oil production from oil sands, nor any type of oil production in the Arctic.
- In 2020, the Group was one of the first global banks to set a short-term target of reducing its upstream oil and gas exposure by 20% by 2025, which it achieved ahead of its target.
- In September 2023, the Group raised its ambition by announcing a new target of reducing its exposure to upstream oil and gas by 80% by 2030 vs 2019, complemented by a target to reduce in absolute terms by 70% greenhouse gas emissions linked to the oil and gas lending portfolio on scope 1, 2 and 3. On the same date, the Group also introduced a number of measures:
 - stop providing dedicated financial products and services for greenfield projects,
 - phase out exposure to upstream Oil and Gas private pure players, and strengthen engagement with clients in the energy sector, in particular on their climate strategy,
 - pay systematic attention to methane emission reduction and routine flaring elimination targets for upstream companies.
- The Group intends to play an active role in supporting its clients by advising and financing the development of the low-carbon hydrogen economy. Societe Generale joined the Hydrogen Council, which brings together more than 120 member companies from the various industrial and energy sectors involved in the hydrogen value chain: energy, oil and gas, chemicals, raw materials, metals and mining, equipment manufacturers, cars and trucks and other forms of transport (air, rail, maritime).



Electricity

- The Group has not provided financing for coal-fired power plant projects since 2016.
- In line with the thermal coal target, gradually decrease exposure to coal-fired power generation in order to be fully phased out of the thermal coal sector by 2030 in EU and OECD countries and by 2040 elsewhere.
- Societe Generale is an active member of the French Wind Energy Association, the Renewable Energies Union and the Hydrogen Council.



Cement

- Within the context of corporate and/or project financing, the Group structures financing solutions that promote the decarbonisation of cement production at corporate level or at major cement clients' industrial sites, for large-scale renovations and new low-emission projects. The Group also structures sustainability-linked bonds or loans with incentives based on ambitious transition indicators (carbon intensity, absolute emissions, etc.), as well as on the sustainable use of financing income.



Steel

- The Group has joined the Sustainable Steel Principles (SSP) as Vice President and Founding Member, in collaboration with the Rocky Mountain Institute and five other major lenders to the steel industry worldwide. As part of these principles, the Group publishes the carbon emissions of its loan portfolio and supports its clients with their net-zero transition plans as well as providing financial advice.



Shipping

- Societe Generale is one of the founding signatories of the Poseidon Principles, launched in 2019, alongside other banks, financing the maritime sector and in collaboration with the Global Maritime Forum. The Poseidon Principles aim to promote a low-carbon future for the global maritime industry by integrating climate decision-making into portfolio management and lending decisions in maritime finance.
- In September 2023, the Group announced that it would no longer provide financial products and services dedicated to floating production, storage and offloading units associated with greenfield oil and gas projects. After 2025, this exclusion will be extended to all new financing of floating production, storage and offloading units.
- The Group helps its clients with the supply of zero-carbon fuel, by identifying opportunities related to the procurement of ammonia, methanol and biofuels.
- The Group gives priority to the most innovative vessels, vessels ready to achieve zero emissions and low-carbon vessels as well as to the refinancing of vessels whose operational efficiency is in line with the Poseidon Principles.
- Societe Generale has also joined the Getting to Zero coalition, which aims to develop and deploy zero-emission and commercially viable vessels on the high seas by 2030.



Commercial real estate

- The Group is implementing concrete measures to support the transition and guide its portfolio:
 - clients: assess their transition strategy,
 - financed assets: improve the collection of energy performance data and evaluate the decarbonisation plan for underperforming assets,
 - to continue to develop the offer to finance the decarbonisation of the sector.
- By drawing on the expertise acquired, account managers support their clients' transition by offering tailored solutions and structuring financing focused on building renovation.
- The Group is a member of certain sector-specific initiatives, including the Green Building Observatory, IFPIIm and AFREXIM.



Aluminium

- Since 2022, Societe Generale has been a founding member of the Aluminium Climate-Aligned Finance (CAF) working group, alongside the industry's leading lenders and in collaboration with the Rocky Mountain Institute (RMI) and industry experts.
- The working group drafted a collective framework, the Sustainable Aluminium Finance Framework (SAFF), setting out a common set of methodological principles for measuring, comparing and reporting the climate alignment of aluminium loan portfolios in line with a 1.5°C scenario.



Aviation

- The Group was one of the founding signatories of the Pegasus Guidelines in 2024, alongside other banks financing the sector and in collaboration with the Rocky Mountain Institute (RMI), industry experts, NGOs, regulators and think-tanks. The Pegasus Guidelines are the first climate-aligned financing framework for the aviation sector, compatible with the requirements of the Net-Zero Banking Alliance (NZBA) and are based on existing standards, including those of the Science-Based Targets Initiative (SBTi). They aim to help banks independently measure and publish the emissions intensity and/or climate alignment of their aviation loan portfolios against a 1.5°C scenario, using a comprehensive, transparent and standardised methodology.
- By adopting this common methodology, the Group reaffirms its support for the transition of its clients in the aviation sector and its ambition to align its portfolio with net-zero emissions trajectories by 2050.

5.3.2.2 INCREASE TRANSITION FINANCE TO SUPPORT CLIENTS' TRANSFORMATION TO A LOW-CARBON ECONOMY

The Group's ambitions for financing the transition

THE GROUP'S CLIENT SUPPORT APPROACH

Companies engaged in the transition are facing unprecedented investment requirements. The decarbonisation of economies generates colossal investment requirements that must often be implemented simultaneously across all value chains. It also requires collective intelligence and a co-construction effort. For nearly 20 years, the Group facilitates access to renewable energy by financing of numerous projects around the world. Today, the challenge is to go even further by supporting the Group's clients in their transition and adaptation to a low-carbon economy. This acceleration offers banks a unique opportunity to develop innovative solutions to finance the changing economy.

With this in mind, the Group is gradually expanding its offering to meet the needs of all companies and to support them in their transition. These offerings are available to all Group clients and include not only financing and investment products, but also financial services.

THE GROUP'S APPROACH TO SUPPORTING ITS LARGE CORPORATE CLIENTS IN THEIR TRANSITION:

DEVELOPING
SUSTAINABLE
FINANCE
SOLUTIONS
AND PRODUCTS

BRINGING GROUP
EXPERTISE
TO THE SERVICE
OF CLIENTS

RETHINKING
BUSINESSES

ACCELERATING
INNOVATION
TO SUPPORT
THE TRANSITION

To promote these transformations, the Group has set itself an ambition to increase the financing of the transition and to best support its clients: to reach EUR ~500 billion in contribution to sustainable finance between 2024 and 2030.

This new sustainable finance contribution target is set for 2030, in line with the time horizon chosen by the Group to define the alignment targets for its loan portfolios. In order to better monitor its level of progress and to have tools to measure its client support, the Group is building an internal standard that allows it to measure the distribution of its sustainable financing offer.

Regarding the ambition of contributing EUR ~500 billion to sustainable finance, this consists of EUR ~400 billion in financing, including some advisory and EUR ~100 billion in sustainable bonds. 80% covers environmental issues and 20% social issues. This target echoes the work carried out as part of the Group's credit portfolio alignment. A large part of the financing will be devoted to transactions specific to low-carbon energy, sustainable real estate, low-carbon mobility and issues relating to industry and the environmental transition.

The resources put in place to achieve these ambitions

TRANSFORMING THE GROUP IN LINE WITH THE PRINCIPLE OF INCORPORATING SUSTAINABILITY ISSUES

In order to make these changes, the Group is continuing its transformation in line with the principle of incorporating sustainability issues. The business lines pool their expertise in financial engineering and innovation to offer a complete range of financing and investment solutions that meet clients' needs and enable them to achieve their financing ambitions:

- **financing solutions:** The Group is constantly seeking to use its financial innovation capabilities to provide its clients with the financial products they need to increase their positive sustainable impact;
- **diagnosis and advice:** the Group incorporates ESG factors into its commercial and strategic dialogue with its clients. It helps its clients adapt their approaches to the energy transition by advising them in different ways depending on their needs;
- **investment solutions:** the Group issues structured bonds that incorporate ESG criteria. Socially responsible deposits are another component of the sustainable and positive investment offering for corporate clients;

- **financial services providers:** the Group aims to offer a full range of solutions incorporating sustainability criteria to meet its clients' needs in terms of financial services, cash management and payment solutions.

DEVELOPING AN ECOSYSTEM TO PROMOTE INNOVATION

The Group also supports the development of an ecosystem to seed innovation to grow its businesses and serve its clients. Firm in the knowledge that innovation is central to sustainable finance, the Group supports cutting-edge companies *via* business incubators, investing in the champions of the future and cementing partnerships to offer bold and original solutions to its clients. Key actions over the last two years have, in particular, included:

- in 2024, the Group acquired a majority stake in Reed Management SAS, which operates under the "REED - Societe Generale Group" brand and whose ambition is to be a leading investor in the energy transition. At the launch of the inaugural fund, the Group invested EUR 250 million, the first step in using the Bank's EUR 1 billion envelope announced for the energy transition to support emerging leaders, nature-based and impact solutions.
- Reed Management SAS is a portfolio management company that structures funds that allow direct equity investments in new players in the transition to a low-carbon economy;
- in 2023, the Group acquired a stake in EIT InnoEnergy. The aim of this strategic partnership is to help new industrial champions grow and to accelerate the energy transition by supporting the development of the 200 portfolio start-ups currently in EIT InnoEnergy's portfolio, which include names like Verkor, GravitHy, Holosolis and FertigHy. The Group will support them in their growth by offering them its full range of financing and advisory services, as well as priority access to its own eco-system of clients and investors;
 - lastly, in 2023, the Group joined the pool of investors in Partech which has launched its first growth impact fund with a target of EUR 300 million. The fund plans to invest in around 15 European champions. The objective is to help them scale up innovative climate and social solutions.

5.3.2.3 The Group's lever on life insurance business: aligning the asset portfolio with the objectives of the Paris Agreement

5.3.2.3.1 THE AMBITION IS TO ALIGN THE LIFE INSURANCE PORTFOLIO WITH THE OBJECTIVES OF THE PARIS AGREEMENT

The main activity of Societe Generale Assurances, an institutional investor with EUR 146 billion in assets under management by Sogecap SA at the end of 2024, is life insurance, which accounted for 81% of NBI from insurance activities in 2024 and almost all of the greenhouse gas emissions from corporates in the asset portfolio of Societe Generale Assurances

In general, as an institutional investor, Societe Generale Assurances has an important lever that it can use to promote the energy transition.

Within the Net Zero Asset Owner Alliance (NZAOA, hereinafter "the Alliance"), Societe Generale Assurances has been working to align its asset portfolio with the objectives of the Paris Agreement. To do so, Societe Generale Assurances has set itself an intermediate target of reducing the carbon footprint of its asset portfolio (equities and corporate bonds) by 30% by 2025 compared to 2018. In accordance with the Alliance's target-setting protocol, this target will be reviewed every five years.

By 2023, the target had already been achieved, as the reduction in the footprint since 2018⁽¹⁾ reached -66%. This drop, which goes further than the initial target, is due in particular to:

- the exclusion policies put in place, particularly on fossil fuels (explained in greater detail below);
- a proactive investment policy consisting of prioritising assets with a low carbon footprint;
- the general drop in the carbon footprint of the issuers in the portfolio.

A new target for 2030 is currently being defined and will be set in 2025.

This target was defined in accordance with the Alliance Target Setting Protocol (TSP) based on science, consistent with the climate modelling published in the Intergovernmental Panel on Climate Change (IPCC) Sixth Assessment Report (AR6), published in April 2022.

Based on the IPCC's no-overshoot and 1.5°C low-overshoot scenarios (category c1), the Alliance has identified an absolute average global emission reduction requirement of -22% to -32% by 2025⁽²⁾ and -40% to -60% by 2030, compared to 2019.

5.3.2.3.2 THE MEANS PUT IN PLACE TO ACHIEVE THIS AMBITION

Concrete measures and sector-specific policies have been set out as a means of operationally realising the aim of aligning the asset portfolio.

Actions to support the alignment ambition

In addition to the interim target of reducing the carbon footprint of the assets portfolio (equities and corporate bonds) by 30% by 2025 compared to 2018, three concrete measures have been set out:

- fully disengage from the thermal coal sector according to a timetable in line with the objectives of the Paris Agreement: by 2030, at the latest, for companies with assets in EU and OECD countries and 2040 in the rest of the world;
- As part of its investment policy, Societe Generale Assurances excludes in particular all direct investments in companies with revenues from activities related to thermal coal extraction and energy producers that have not made a public commitment to phase out thermal coal by 2030 (EU/OECD) and 2040 (rest of the world).
- reduce its global exposure to the upstream oil and gas sector. The reduction target, previously -20% between 2020 and 2025, was increased in 2023 to -80% exposure between 2020 and 2030, with an intermediate target of -50% between 2020 and 2025;
- double the "sustainable" assets under management between 2020 and 2025. These outstanding amounts consist of green bonds, climate and energy transition thematic funds (labeled or similar funds), direct investments in energy transition or renewable energy infrastructure, private debt infrastructure, climate action funds, climate bond funds and the "Ambition Climat" market fund.

(1) Societe Generale Assurances scope; data calculated at market value; data calculated by S&P Trucost; target determined on scope 1 + scope 2 in accordance with the NZAOA TSP.

(2) The exit range for the target year 2025 was set out in 2020 and is, therefore, still based on the IPCC Special Report on Global Warming of 1.5°C, published in 2018.

Results of objectives and actions in 2024

The results at the end of the 2024 financial year are shown below.

Climate objectives and actions	Measurements and reference dates	2024	Additional Information
Reduce the carbon footprint of equity and corporate bond portfolios by 30% by 2025 compared to 2018	Reduce the carbon footprint since 2018	-66% in 2023, not available for 2024	The objective has already been achieved. See section 5.3.2.3.1.
Fully exit from thermal coal by 2030 (UE/OCDE) and 2040 (rest of the world)	Total exposure to coal-related businesses*	1%	Disengagement is proceeding according to schedule.
	Exposure weighted by the share of turnover related to coal	0,01%	The exposure presented corresponds to outstanding amounts held in undertakings which still have a part of their coal-related activity. The outstanding amounts weighted by the share of turnover linked to thermal coal show an exposure of 0.01% of the Societe Generale Assurances portfolio.
Reduce exposure to the oil and gas extraction sector by 80% between 2020 and 2030, with an interim target of -50% between 2020 and 2025	Reduction of exposure since 2020	-44%	The exposure reduction is taking place according to the planned schedule. The reduction in exposure observed in 2023 is due in particular to the maturing of companies securities related to the oil and gas sector.
Doubling “sustainable” assets between 2020 and 2025	Increase since 2020	X2.8 (market value) X2.6 (balance sheet value)	The 2025 ambition has been achieved. Total sustainable assets amounted to EUR 7 billion (on balance sheet value) at the end of 2024

* Directly held assets; Sogecap SA; data calculated at market value ; exposure calculated using Sustainalitics tool and Urgewald's GCEL list.

Sector-specific policies in relation to the alignment goal

Sector-specific policies have been put in place by Societe Generale Assurances for the thermal coal and oil and gas sectors to support climate change mitigation. They are shown in section 5.3.3.1.2 “Sector-specific policies”.

5.3.3 MANAGEMENT OF MATERIAL IMPACTS ON CLIMATE CHANGE MITIGATION

5.3.3.1 Policies for managing material impacts on climate change

5.3.3.1.1 E&S GENERAL PRINCIPLES

The management of potential impacts on climate change is based on the general framework for identifying and preventing serious environmental and social (E&S) impacts, the implementation of which is inseparable from the processes governing the conduct of the Group's activities. The Group sets out its E&S guidelines in several public documents: (i) the General E&S Principles, (ii) the ten sector-specific policies on clients and dedicated transactions, six of which deal directly with climate change mitigation and (iii) the sector-specific policies developed by Sogécap within Societe Generale Assurances.

The **E&S General Principles** set out the framework applicable to the Group's activities, through which clients can have actual, or potential, E&S impacts, including in terms of climate and to which the Group can be linked through the products and services offered. These Principles can be consulted on the institutional website. The E&S General Principles:

- set out the main reference standards on these matters, with the Group's determination to follow them and to encourage its clients to do same;
- also describe mechanisms for identifying the actual, or potential, E&S impacts of clients or underlying activities of dedicated transactions that are based on controversy analysis and the application of relevant sector-specific policies. This identification leads to a detailed assessment of the actual, or potential, E&S impacts of clients or underlying activities of dedicated transactions, including those relating to climate change. Actions are taken to mitigate any serious impacts identified, which may affect ongoing business with clients or underlying activities of dedicated transactions;
- mention, in particular, the Equator Principles which consist of a common framework for managing E&S impacts, allowing financial institutions to identify, assess and manage these impacts for transactions falling under this initiative (project financing with total project investment costs above USD 10 million, and loans to companies related to these projects in excess of USD 50 million). These principles are applied, regardless of the eligibility of a transaction for sector-specific policies, through a set of due diligence measures tailored to prevent, mitigate or put an end to the major impacts identified.

5.3.3.1.2 SECTOR-SPECIFIC POLICIES

General framework of sector-specific policies

Sector-specific policies define the standards that the Group intends to apply to sectors considered potentially sensitive from an E&S point of view. They include criteria for identifying and analysing the actual, or potential, climate impacts of clients or underlying activities of dedicated transactions. These policies are public and accessible on the institutional website. Policies covering potential climate impacts relate to the following sectors: industrial agriculture and forestry; mining; oil and gas; thermal power stations; thermal coal and shipping.

These policies are based on a common framework that identifies actual, or potential, E&S impacts related to a given sector of activity. These policies reiterate reference sector-specific or thematic standards, explain the scope of the activities concerned and define criteria by distinguishing between those that apply (i) to the Group's clients from those that apply (ii) to dedicated transactions for which the underlying activities are known (e.g. asset or project financing). Three types of criteria are defined in these policies:

- the exclusion criteria on the basis of which are excluded companies, dedicated transactions or financial products and services associated with underlying activities or practices that may have E&S impacts, including climate impacts, and that cannot be the subject of positive change within a reasonable period of time;
- priority assessment criteria targeting priority impact factors requiring a targeted and systematic response as part of the assessment process. Clients that do not meet the applicable assessment criteria are granted a reasonable timeframe in which to improve their practices (steps required may include a formal action plan or the signing of contractual undertakings). For project-related transactions, compliance with the criteria will have to be incorporated into project development. When providing dedicated advisory services ahead of project development, the Group must assess the client's commitment to developing a project that will satisfy these criteria;
- other assessment criteria aimed at identifying other E&S impact factors specific to the sector concerned, which will also be considered in the assessment, and aimed at defining the best practices the Group wishes to promote.

The E&S assessment criteria are applicable in a proportionate manner based on the importance of the E&S risks inherent to the clients' activities and to the underlying activities related to the dedicated transactions, products and services.

Sector-specific policies are updated in line with regulatory, scientific or societal developments, observed best practice and the Group's strategy. The Group's ongoing dialogue with its stakeholders covers issues related to civil society through various exchanges with French and international NGOs. When relevant issues are reported through these channels, they are dealt with through the impact management system, for instance by adding to identification lists or enhancing sector policies. Sector-specific policy updates are approved by General Management as part of a control system led by the Group's Compliance Department.

The general framework for managing negative E&S impacts implemented across the Group, includes Societe Generale Assurances. Societe Generale Assurances considers the main potential negative impacts in terms of Sustainability, particularly relating to greenhouse gas emissions, within the context of its investments. It also applies certain sector-specific policies of its own as well as a controversies management tool tailored to investments. Societe Generale Assurances puts in place measures to prevent and mitigate its potential negative impacts, in particular through:

- the incorporation of ESG criteria into investments: ESG criteria, including climate criteria, are formally considered to guide the selection of securities, their retention in the portfolio or their exclusion. All new investments for issuers with an ESG rating of F or less, according to a methodology developed by Amundi, are ruled out and all investments for issuers with a rating of E, according to the same methodology, are studied on a case-by-case basis;

- the implementation of sector-specific policies, including for the thermal coal and oil and gas sectors;
- strategy for alignment with the goals of the Paris Agreement (further details in section 5.3.2.2 “The Group’s lever on corporate financing business: aligning the financing portfolio with the objectives of the Paris Agreement”;
- a shareholder engagement policy designed to act as a catalyst for change and progress, implemented *via* Amundi, its main asset manager, which is committed to changing issuers’ practices, in particular, through greater consideration of the main negative impacts. This is part of the management mandate entrusted to Amundi. (see section 5.3.3.1.3 “Impact management framework”).

The most structuring criteria for sector-specific policies covering climate change impacts

In addition to the general framework on sector-specific policies, described above, the table below describes the main elements of these climate impact policies, just highlighting some of the most structural criteria. For a specific and exhaustive overview of the sector-specific policy criteria, please refer to the public version of these policies. The scope of application is specified in each individual sector-specific policy.

Sector-specific policies target certain value chains in which the Group is active and for which it has decided to publish the policies governing its relations with prospective, or existing, clients.

Sector policy	Most important criteria covering the impacts of climate change	Scope of the policy in line with our clients’ activities and value chain
Oil & Gas	■ End to the provision of financial products and services for greenfield oil and gas production projects and associated infrastructure. ■ Withdrawal from financing upstream oil and gas pure players, phasing out exposure over time. ■ Exclusion of clients with more than 30% of revenues from the fossil resources listed in the policy. ■ Improved engagement with clients in the energy sector, in particular on their climate strategy, the review of which, communicated to a Group Committee, may include: (i) carbon footprint, (ii) climate objectives (iii) diversification of their activities, (iv) resources deployed such as R&D and the level of investment devoted to activities in support of the energy transition and (v) governance put in place to implement climate goals. ■ The priority assessment criteria applicable to clients who own, operate or manage O&G assets aim to mitigate methane emissions (leak detection and management) as well as to set methane intensity targets, minimise systematic flaring before it is phased out by 2030, monitor and report direct emissions and make climate commitments, ideally under the oversight of a management body. ■ The exclusion criteria related to transactions, beyond those put in place in January 2024 for new fields, concern the fossil resources specifically listed in different segments of the value chain as well as LNG, which is widely restricted since it is no longer possible to finance new fields or associated infrastructure or to significantly expand the production of or export LNG coming from shale gas or gas produced in the Arctic. Assessment criteria also include methane leaks and flaring practices and their removal.	Activities and companies owning, developing or operating assets related to the entire value chain, from the extraction of energy resources to transport, storage and export infrastructure and trading. Rules out petrochemical activities.
Mining	■ With a view to limiting greenhouse gas emissions, this policy excludes clients who use the MTR (Mountain Top Removal) technique as well as those with more than 50% of revenues associated with metallurgical coal mining activities. Similarly, no dedicated transactions are carried out in connection with metallurgical coal mining activities or in connection with related infrastructure.	The mining sector policy covers the following activities and the client companies owning mining assets involved in: (i) exploration; (ii) mines planning and development (including associated facilities); (iii) mines operation; (iv) mines closure and rehabilitation; (v) on-site processing of mined ores.

Sector policy	Most important criteria covering the impacts of climate change	Scope of the policy in line with our clients' activities and value chain
Thermal power stations	- Greenhouse gas emissions, the energy efficiency of power stations (which has a direct influence on the level of GHG emissions and other air pollutants) and atmospheric emissions (SO₂, NO_x, particulate matter, etc.) are factors considered when defining the criteria. - The client priority criteria ensure that clients have E&S risk management measures in place, proportionate to their impact on the environment and that they publish the GHG emissions resulting from their activities. - Regarding dedicated transactions, as a result of priority criteria, new power station projects must comply with national and international standards. Also, depending on the type of power station and the energy by which it is powered, criteria are put in place concerning intensity (application in particular of an emissions cap for CCGT) or choice of fuel. Exclusions specific to coal-based installations are addressed in the Thermal Coal policy.	Applicable to the following thermal power assets and client companies owning them: (i) gas-fired power stations; (ii) liquid-fuelled power plants (HFO and LFO); (iii) waste-to-energy (WtE) plants; (iv) biomass-firing power stations; (v) combined heat and power (CHP) plants.
Thermal coal	- Rules out companies that are thermal coal developers, companies that hold thermal coal assets and have not reported an exit date compatible with the Group's 2030/2040 exit targets and those that meet a certain threshold in terms of percentage of revenue from thermal coal activities, depending on whether they are prospective, or existing, clients. - There is an exception to the client exclusion: the Group is committed to supporting companies in their energy transition and it will offer financing products and services specifically for energy transition to companies that do not meet the above criteria, as long as they are not thermal coal developers. - Also rules out dedicated transactions whose underlying activities are thermal coal mining, transport, trading or processing as well as coal-fired electricity generation units and related infrastructure.	Covers the following activities in the thermal coal sector (categories of coal used to produce electricity and heat, which generally include peat, lignite and sub-bituminous coal grades) and companies that are commercially involved in this sector: (i) mining, storage, transport, trading, processing of thermal coal; (ii) generation, transport, trading and distribution of electricity produced from thermal coal.
Shipping	- In terms of client assessment, the analysis takes into account the fact that the client company has a corporate strategy for reducing GHG emissions and has set quantitative targets for its compliance with the IMO GHG reduction targets. For shipowners, clients must report their GHG emissions. - Financing of ships specifically for the transport of Arctic oil, tar sands and coal as well as those without double hulls is ruled out. - In addition, when the underlying asset financed is a ship, checks are carried out to ensure that the MARPOL Convention has been implemented, that information allowing for the calculation of the annual efficiency ratio is collected (as described in the Poseidon Principles) and that the energy efficiency of second-hand ships has been considered and a mitigation plan implemented, if necessary.	Client companies (i) directly involved in the merchant shipping sector, including shipowners, ship operators, ship managers and charterers; (ii) involved in ship building, repair and dismantling activities. The Shipping sector policy covers passenger liners, dry cargo ships, tankers (crude oil, gas or chemicals) and other special purpose or port service ships (including cable layers, dredgers, pilot ships, etc.). It also covers hydrocarbon floating storage units (Floating Production Storage and Offloading – FPSO and Floating Storage Unit – FSU).
Industrial agriculture and forestry	- Client assessment criteria on climate issues aim to preserve soil integrity (in particular, by aiming for a rational use of pesticides and fertilisers) as well as to limit deforestation. - On the latter point, the policy specifically targets clients operating in the South American soya bean and beef sectors, as well as in palm oil, with specific exclusion criteria (large corporate clients must be committed to eliminating deforestation in their activities (on their own farms and in their supply chain) by the end of 2025. In addition, assessment criteria now cover clients operating in the cocoa, coffee, rubber and wood sectors. - Funding specifically for activities that have a negative impact on High Carbon Stock (HCS) areas, any operation involving large-scale slash-and-burn clearing, soya bean cultivation or cattle ranching in the Amazon and the Cerrado are also ruled out.	Client companies and activities related to operating in industrial agriculture sector upstream activities. Producers, traders and primary processors.

Regarding Societe Generale Assurances, sector-specific policies have been defined for the thermal coal and oil and gas sectors.

Sector policy	Most important criteria covering the impacts of climate change	Scope of the policy in line with our clients' activities and value chain
Thermal coal	As part of the gradual withdrawal from the thermal coal sector, Societe Generale Assurances is ruling out any direct investment in companies: ■ with revenues from thermal coal mining-related activities; ■ with a thermal coal-fired power generation capacity of more than 5 GW; ■ in the energy sector, producing more than 10 million tonnes of thermal coal per year, more than 10% of whose electricity production comes from coal; ■ developing new thermal coal projects; ■ producing energy that have not made a public commitment to phase out thermal coal by 2030 (EU/OECD) or 2040 (rest of the world).	The activity and the value chain are specified in the criteria themselves.
Oil and gas	Societe Generale Assurances rules out any direct investment in companies whose revenue related to unconventional fossil fuels (gas and oil in the Arctic, tar sands, shale gas and oil and drilling in very deep waters) is more than 10%, for equities already owned, or is more than 5% for new investments. Societe Generale Assurances has decided to terminate: ■ the financing of any new oil or fossil gas exploration or production project (conventional or unconventional); ■ any new direct investment in sector companies that continue to develop new oil or fossil gas exploration or production projects (conventional or unconventional). In order, however, to be able to support companies to transition, Societe Generale Assurances will be able to continue to invest direct in oil or gas sector companies: ■ via subsidiaries whose sole purpose is to develop renewable energies; ■ via green bonds enabling the development of renewable energies. In addition, Societe Generale Assurances rules out any direct investment (ban also applicable to dedicated funds) in companies whose revenue is linked to unconventional fossil fuels (gas and oil in the Arctic, tar sands, shale gas and oil and drilling in very deep waters): ■ is more than 10% for securities already held; ■ is more than 5% for new investments.	The activity and the value chain are specified in the criteria themselves.

5.3.3.1.3 IMPACT MANAGEMENT FRAMEWORK

The Group's standards documentation includes items related to the management framework and specifies the roles and responsibilities of the Group's various divisions regarding the day-to-day implementation of the processes used to identify, evaluate and monitor actions to mitigate potential climate impacts. The operational implementation of these processes has translated into an enhanced pre-existing processes relating, in particular, to new relationships and periodic client reviews, acknowledgement of controversy analyses, the application of general E&S principles and sector-specific policies.

The framework for managing potential E&S impacts specifies the criteria applied to the provision of banking products and services by the Group to prospects or clients, for dedicated transactions. This framework provides for three main stages in its application:

- **E&S identification:** identification of the actual, or potential, impacts of clients or underlying activities of dedicated transactions: this step is based on the verification by the business line concerned of the presence or not of companies on the E&S exclusion list or of companies or underlying activities on the E&S identification list, of E&S controversies or if they are subject to one or more sectoral policies. It is through this identification process that the business

line concerned ensures, when a sector-specific policy is applicable, compliance with all exclusion criteria as well as priority evaluation criteria and other evaluation criteria based on a credit exposure materiality threshold.

To apply the identification process, the tools listed below are made available to the business lines and are regularly updated:

- the E&S identification list is updated by in-house CSR experts on a regular basis and sent to all business lines concerned. This internal list details any projects, companies, business sectors or countries that are the subject of severe controversy or public campaigns on the part of civil society for E&S reasons, irrespective of whether or not they are financed by the Group. The purpose of this internal list is to alert the operational teams to potential concerns ahead of the client and transaction review process, so that they can be prepared to carry out a more in-depth E&S assessment of any transactions and clients concerned,
- the E&S exclusion list identifies companies excluded under certain sectoral policies, for which, following the detailed E&S analysis process, the Group does not wish to provide banking and financial services. This list is incorporated into the Group's filtering tool, which makes it possible to notify all business lines,

- the negative news screening tool: the largest business lines and entities, in terms of number of clients and assets under management, now use a tool to check for possible E&S controversies before entering into a new relationship and benefit as well as from an automatic continuous monitoring system;
- **E&S assessment:** when proven or potential E&S impacts have been identified, an assessment is carried out by the business line concerned and considers the severity of the E&S controversies. A policy setting out groupwide guidelines for assessing E&S controversies has been in force since June 2022. This assessment is carried out over a time horizon in line with the financial transactions envisaged with the client. Based on the conclusions of the assessment, an E&S opinion is then issued. The opinion may be positive, conditional (subject to contractual conditions, action plans, restrictions) or negative;
- **E&S actions:** actions to mitigate actual, or potential, identified E&S impacts may be proposed. For example, this may include in-depth monitoring of certain E&S issues, explicit E&S conditions in contractual documentation, restrictions on relationships under certain circumstances or even a ban from the Group of certain relationships or practices.

E&S assessments and actions are reviewed by the second line of defence, either the Risk or Compliance Division, depending on the process (a separate procedure gives guidelines for escalation to Compliance) and may, where necessary, be submitted to a Societe Generale Group Steering Committee chaired by a member of the Executive Committee (Group Client Acceptance Committee or Complex Transactions and Reputational Risks Committee). With regards to the identification step it is the responsibility of the first lines of defence, the second line of defence being involved in precise cases referenced in a specific procedure. Monitoring and controls are also gradually being phased into processes for managing Group clients' actual, or potential, impacts within the business lines.

For Societe Generale Assurances, the ESG portfolio assessment is carried out by Amundi, Societe Generale Assurances' main asset manager, as well as, since 2021, by Sustainalytics on the basis of their respective methodologies. Amundi's ESG assessment is based on a rating ranging from A to G, with A being the highest rating and G the lowest. Sustainalytics' rating is based on a score ranging from 0 to 100, with 0 being the highest rating and 100 being the lowest. These two methodologies, which are based on criteria and assumptions specific to each company, allow Societe Generale Assurances to obtain a more comprehensive view of its portfolio's ESG performance by increasing the coverage of the analysis and comparing the results.

Engagement activity is carried out *via* Amundi, which has developed an engagement strategy based on:

- proactive engagement with companies aimed in particular at (i) contributing to the dissemination of best practices and fostering a better integration of Sustainability into corporate governance, operations and development models; (ii) triggering positive changes in the way companies manage their impacts on essential issues relating to the Sustainability of the society and the economy; (iii) supporting companies in their own transition to a more sustainable, inclusive and low-carbon economic model; and (iv) incentivising them to increase their investment, research and development spending in the areas most necessary for this transition;

- a voting policy highlighting the need (i) for an accountable, diverse and high-performing Board of Directors; (ii) for corporate governance capable of addressing environmental and social challenges; (iii) to ensure that Boards and companies are properly positioned and prepared to manage the transition to a sustainable, inclusive and low-carbon economy;
- the commitment is based on six major themes, including the transition to a low-carbon economy. Within this context, under certain circumstances, escalation measures may be taken that may lead to a ban on the issuer. These measures include, in no particular order, downgrades in the rating of one or more ESG criteria, questions asked at general meetings, votes against management, public statements, capping of the ESG score and finally a ban if the subject is critical. The commitment policy applied covers 26 of the 30 main contributors to the carbon footprint of Societe Generale Assurances' equity and corporate bond portfolio, responsible for 65% of total emissions.

Societe Generale Assurances has its own internal control teams, which are functionally attached to the Group's central teams. Compliance with ESG sector-specific policies is incorporated into its internal control system through the three lines of defence. Decisions for arbitration may be submitted, if necessary, to a specific Societe Generale Assurances Committee.

5.3.3.2 Actions to support policies to manage material impacts on climate change

5.3.3.2.1 IMPLEMENTATION OF THE GENERAL FRAMEWORK

The processes to carry out clients and dedicated transactions E&S analysis were revamped in 2022 and 2023. Group entities are charged with managing and controlling ESG incidence risk factors in their respective scopes. They adapt the framework set by the Group to their activities and apply it to their own processes. Each entity's Management ensures the deployment and operational implementation of these requirements within its scope.

In order to facilitate and systemise the application of the management framework for actual or potential E&S impacts across the Group, an online training has been deployed since 2021 within the business lines and cross-functional units involved in this system. It is available in 11 languages, ensuring that the same content is consistently available to everyone in the Group wherever it operates.

For Societe Generale Assurances, specialised resources are allocated to the inclusion of environmental, social and governance criteria in the investment strategy. In addition, Societe Generale Assurances has delegated to Amundi to take ESG criteria into consideration in its investment policy. This delegation concerns day-to-day management and analyses (ESG assessment, carbon footprint, etc.).

5.3.3.2.2 THE GROUP'S KEY ACTIONS OVER THE LAST TWELVE MONTHS IN TERMS OF MANAGING MATERIAL IMPACTS ON CLIMATE CHANGE

These actions cover the Group's clients or prospects. They aim to continuously improve the framework to better identify and assess impacts and apply sector-specific policies and targets.

Key actions

In 2024, the Group continued to step up the operational application of the impact management framework, by developing tools to help business lines with their monitoring. The E&S exclusion list was expanded in the first quarter of 2024 to ensure a greater consistency with exclusion criteria in sectoral policies. To monitor the exit of the relationship with these clients on the exclusion list, a procedure has been deployed to define the roles and responsibilities of the first line of defence and the second line of defence in the withdrawal process to be conducted with these clients. The identification of E&S controversies has been incorporated into the Group's financial security screening tool and the Business Units have been supplied with a grid to help qualify the materiality of the controversies. The Business Units also have an automatic continuous monitoring device.

Highest-emitting sectors

In 2024, with regards to the highest-emitting sectors identified within the context of NZBA:

- the aviation, agriculture and residential real estate sectors were presented to the Responsible Commitments Committee, culminating in the setting of a published alignment target for the aviation sector (more details are provided in section 5.3.2.2.1 "Reducing the financing of fossil fuels and supporting the decarbonisation of the main greenhouse gas emitting sectors");
- internal processes for producing, and periodically monitoring, alignment indicators were deployed in 2024, including in sectors for which a published target has recently been set. A governance structure dedicated to the periodic monitoring of alignment indicator trends has been set up, and will make it possible to initiate any corrective measures in the event of a warning of that the target may not be met.

Sector-specific policy update

In October 2024, the Industrial Agriculture and Forestry sector policy was improved to continue the Group's efforts in the fight against deforestation. According to the FAO, deforestation and the conversion of natural habitats account for 39% of emissions relating to the agricultural sector (so-called "FLAG" emissions for Forestry, Land and Agriculture). The fight against deforestation and land conversion is therefore a major lever for reducing the sector's emissions. This policy has been updated with two main objectives:

- to supplement the existing exclusion criteria for clients operating in the South American soya bean and beef and palm oil value chains (producers, traders and primary processors) by requiring a target of zero deforestation by the end of 2025;

- to expand the scope of raw materials requiring special attention, with new assessment criteria applicable to clients operating in the cocoa, coffee, rubber and timber sectors (producers, traders and primary processors).

Impact management control framework

The impact management control framework has been expanded: control points related to the proper application of the sector-specific policy exclusion criteria, as well as those related to the identification and assessment of client and transaction E&S impacts, have been enhanced.

As part of the evaluation of its framework across the Activities sub-scope, the Compliance Department has defined standards controls and set up monitoring indicators.

Outlook on actions to be taken

As far as the Group is concerned, the extension of the alignment objectives to new sector-specific portfolios, chosen on the basis of their emissions, is being studied.

As regards Societe Generale Assurances specifically, the actions implemented related to:

- the deployment (ongoing) of an ESG investment data management tool ("ESG Connect" by Weefin);
- the tightening of the Coal policy: stepping up the exclusion thresholds and halting investments in energy producers that have not made a public commitment to phase out thermal coal by 2030 (EU/OECD) or 2040 (rest of the world);
- the introduction of a new target for withdrawal from Oil and Gas (-80% by 2030 and -50% by 2025 (vs. 2020) compared to -20% by 2025).

5.3.3.2.3 THE GROUP'S ESG-RELATED TRAINING AND AWARENESS-RAISING INITIATIVES

The Group is working to speed up the enhancement of all employees' ESG skills so that everyone can play a role in the Bank's ESG transformation and support clients in their transition.

ESG training plan

The Group has developed an ESG training plan based on:

- a significant training offer with more than 150 ESG modules in different formats (e-learning, MOOCs, workshops, master classes or podcasts);
- a support system for developing employees' skills that includes several levels of growing expertise, with a minimum of five hours of training for the fundamental courses and more than fifty hours of training for the expert level training course.

5.3.4 GREENHOUSE GAS EMISSIONS ATTRIBUTED TO THE GROUP

5.3.4.1 Carbon footprint

PRINCIPLES OF THE SUSTAINABILITY STATEMENT

Scope 1, scope 2, scope 3

A scope is a category of greenhouse gas emissions within the carbon footprint of human or corporate activity, determined by the nature of the emissions:

- scope 1 covers direct emissions from the activity itself, *i.e.* from owned or controlled sources;
- scope 2 emissions are indirect energy-related emissions. These are indirect emissions from the production of purchased electricity, steam, heating and cooling consumed;
- scope 3 includes all other indirect emissions emitted in the value chain, both upstream and downstream. Scope 3 refers to all greenhouse gas emissions categorised into 15 different subcategories across the Company's entire value chain. Categories are constructed to be mutually exclusive to prevent companies from double-counting emissions from one category to another.

Primary data, secondary data

Primary data includes data collected by the Group or made available by a supplier directly related to specific activities in the Group's value chain.

Secondary data include sector averages (*e.g.* from published databases, government statistics, scientific publications and industry associations), estimates based on financial data, proxy data or other generic data.

The Group's carbon footprint is calculated on the basis of the GHG Protocol, an international standardisation initiative for the measurement of greenhouse gas emissions from operations and value chains, and their mitigation measures.

The Group consolidated all emissions related to entities under its operational control. The total emissions of around 79 million tons of CO₂ equivalent (excluding scope 3 of counterparties) concerns emissions related to corporate financing and life-insurance related investments (41 million tons of CO₂ equivalent) and emissions related to Ayvens mobility and car leasing activities (34 million tons of CO₂ equivalent). These emissions cover the entire lifetime of vehicles and not only the leasing period, and are presented in category 2 for the construction of purchased vehicles, in category 11 for the future emissions of vehicles resold over their average remaining lifetime, and also in category 13 for emissions of vehicles under leasing contract during the financial year. Hence, the emissions presented in category 11 represent more than 40% of emissions related to leasing activity as regards the average remaining lifetime post leasing period.

THE GROUP'S CARBON FOOTPRINT

	Retrospective				Milestones and target years			
	Reference year	Reference year emissions	N (reporting year)	% N/N-1	2025	2030	2050	Annual target in %/reference year
<i>tCO₂e</i> _q								
Scope 1 GHG emissions								
Gross GHG emissions scope 1 ⁽¹⁾	2024	42,867	42,867					
Percentage of scope 1 GHG emissions resulting from regulated emissions trading schemes ⁽²⁾	2024	0%	0%					
Scope 2 GHG emissions								
Gross GHG location-based scope 2 emissions ⁽³⁾	2024	110,878	110,878					
Gross GHG market-based scope 2 emissions ⁽⁴⁾	2024	70,108	70,108					
Significant scope 3 GHG emissions								
Total gross indirect GHG emissions (scope 3) ⁽⁵⁾	2024	79,278,756	79,278,756					
3.1 – Purchased goods and services ⁽⁶⁾	2024	592,310	592,310					
3.2 – Capital goods ⁽⁶⁾	2024	10,174,224	10,174,224					
3.3 – Fuel and Energy-related activities								
3.4 – Upstream transportation and distribution								
3.5 – Waste generated in operations								
3.6 – Business travel ⁽⁷⁾	2024	35,946	35,946					
3.7 – Employee commuting ⁽⁸⁾	2024	95,665	95,665					
3.8 – Upstream leased assets								
3.9 – Downstream routing								
3.10 – Processing of sold products								
3.11 – Use of sold products ⁽⁹⁾	2024	14,354,645	14,354,645					
3.12 – End-of-life treatment of sold products								
3.13 – Downstream leased assets ⁽¹⁰⁾	2024	9,809,355	9,809,355					
3.14 – Franchises								
3.15 – Investments ⁽¹¹⁾	2024	44,216,611	44,216,611					
Total GHG emissions								
Total GHG emissions (location-based)	2024	79,432,501	79,432,501					
Total GHG emissions (market-based)	2024	79,391,731	79,391,731					

(1) For gross scope 1 emissions, each consumption line is converted into tCO₂e. The emission factors come from ADEME for each fuel in energy consumption. Business trips made in internal combustion cars owned or controlled by the Group are reported in scope 1.

(2) The Group is not subject to regulated emissions trading schemes.

(3) Calculations for the location-based method reflect the average emission intensity of the networks on which the energy consumption takes place. An emission factor from ADEME, AIE, DEFRA and specialised provider databases is applied to each energy consumption data.

(4) Calculations for the market-based method reflect energy emissions specific to energy certificates awarded, contracts with energy producers or suppliers from a specific source, supplier labels, supplier emission rates, green tariffs, contracts, residual mix or other contractual instruments. If the data does not come from the supplier or is not certified by an independent third-party organisation, this information is not included in this calculation. The rental-based method is applied for the remaining energy consumption data.

(5) Scope 3 subcategories: "3.3 Fuel and energy-related activities", "3.4 – Upstream transportation and distribution", "3.5 – Waste generated in operations", "3.8 – Upstream leased assets", "3.9 – Downstream transportation and distribution", "3.10 – Processing of sold products", "3.12 – End-of-life treatment of sold products" and "3.14 – Franchises" are not relevant and therefore not published in the Group's carbon footprint.

(6) Supplier data are supplemented by a spend-based methodology with ADEME (monetary) emission factors on consolidated non-capital and fixed purchases.

(7) Emissions from business travel are mainly from air, train, bus and car travel (excluding CO₂ emissions already recognised in scope 1). The CO₂ emissions supplied by service providers are collected, but when they are not available, emissions factors from ADEME, AIE, DEFRA and specialised provider databases are applied (CO₂/km) for each means of transport and applied to the entire Group.

(8) In the absence of accurate data on the commuting and modes of transport of company staff and service providers, the Group assesses emissions based on French national statistics available from INSEE and the use of ADEME emission factors. These emission factors are applied for the entire Group. In addition, the calculation includes greenhouse gas emissions from working from home.

(9) This category only relates to vehicles sold by Ayvens. DEFRA emission factors (gCO₂/km) feed into the data collected from carmakers. This data is then applied to the remaining life of the vehicle, which is between 12 and 14 years for electric and internal combustion vehicles (average km travelled per year).

(10) Downstream leased assets are limited to vehicles leased by Ayvens. The methodology is based on the average number of kilometres travelled by the entire fleet of leased vehicles over a year. This average is then applied to emission factors collected from carmakers. Where vehicle emission factors are not available, the calculations are supplemented by DEFRA emission factors.

(11) This category includes financed emissions (scope 1 and scope 2 from counterparties) as well as emissions linked to investments (scope 1 and scope 2 from companies in the euro fund and UC portfolios). Financed emissions related to scope 3 of counterparts are presented in section 5.3.4.2 "Scope of calculation of GHG emissions attributed to the Group"

5.3.4.2 Scope of calculation of GHG emissions attributed to the Group

GHG EMISSION PROTOCOLS AND SCOPE

Calculation of the Group's total GHG emissions is based on several distinct and complementary data collection scopes:

Own account and upstream value chain

This scope concerns scope 1, scope 2 and scope 3, categories 6 and 7. The GHG emissions calculation covers 197 entities in the Group's financial scope of consolidation as of 31 December 2024. The collection protocol only includes entities with 10 or more employees and covers at least 98.7% of the staff. This choice of methodology aims to limit data collection and monitoring, while focusing the Group's efforts on its main GHG emitting entities. This scope is reviewed annually. For scope 3 Categories 1 and 2, the calculations are based on consolidated financial data, which cover the entire scope of financial consolidation.

The quantitative activity data are calculated on the basis of invoices, direct readings, information received from suppliers or clients and estimates.

For the downstream value chain

This scope covers categories 8 to 15. The GHG emissions calculation is defined on a case-by-case basis according to the nature of the activities covered by the different categories of scope 3. Only Group entities involved in these activities are included in the calculation. For example, for scope 3, categories 11 and 13, only Ayvens, the Group's car leasing and mobility solutions subsidiary, is taken into account. For scope 3, category 15, the total is based on the sum of financed emissions related to corporate financing and investment-related emissions, also covering savings life-insurance investments.

ESTIMATES AND UNCERTAINTIES IN PUBLISHED SCOPE 3 GHG EMISSIONS

By their very nature, total scope 3 GHG emissions are difficult to calculate with more precision as of today:

- on the one hand, computing capacity depends on the availability of data in the upstream (e.g. suppliers) and downstream (e.g. clients) value chain;
- on the other hand, the segmentation of scope 3 categories, and the GHG emissions attributed to each of them, is approximate. Double counting of GHG emissions is sometimes difficult to identify.

Within this context, the use of estimated data and a Group-specific methodology is necessary to be able to report on GHG emissions:

Own account and upstream value chain

For scope 3, categories 1 and 2, supplier data is very fragmented or even non-existent. ADEME's monetary emission factors are therefore applied to consolidated non-capital and fixed purchases over a 9-month period (until September 30th). Emission factors are based on averages and estimates and do not reflect local or sector-specific features. In addition, accounting items for the purchase of goods (fixed and non-capital) have been matched as best as possible with ADEME's monetary emission factors, within the limits of the level of granularity available. These calculated emissions are extrapolated over a 12-month period.

For scope 3, categories 6 and 7, GHG emissions calculations do not cover all entities in the financial consolidation scope as of 31 December 2024. The current calculation does not, therefore, provide an exhaustive view of the Group's GHG emissions on these categories. Their calculation is based on secondary data in the absence of primary available data.

For the downstream value chain

Regarding categories 11 "Use of sold products" and 13 "Downstream leased assets", GHG emissions calculation only concerns Ayvens group which is preponderant on this activity segment. As with the other categories, GHG emissions calculation is based on secondary data in absence of primary available data.

Regarding the scope 3 category 15 "investments" of GHG emissions, in the context of a first publication of the sustainability statement and in absence of sectorial norms applicable to the financial sector, the ESRS, the GHG Protocol and the application of PCAF Part A are sources of difficulties and are subject to diverse interpretations relating to the perimeter of financial assets included in the calculation of GHG emissions for this category. These difficulties extend to the availability of the necessary data and to the accuracy of the methodologies used to carry out the calculations. In this context, the Group decided to include in the calculation perimeter of this category: listed equities and corporate bonds, corporate loans on the total activities' sectors and the assets under management for life-insurance savings. Are excluded from the calculation of this category the emissions associated to mortgage loans, car purchase loans and sovereign debts. Hence the total GHG calculation for scope 3 category 15 represents the sum of:

- financed emissions, i.e. GHG emissions from the loan portfolio, calculated in accordance with the principles set out in Part A – PCAF Financed Emissions Standard published in December 2022. Financed emissions were calculated on the Group's balance sheet exposures relating to non-financial companies, across all business segments;
- investment-related emissions, i.e. GHG emissions from the whole life insurance investment portfolio. These emissions are only for Societe Generale Assurances. As Societe Generale Assurances' data are not finalized at the time of publication of the present sustainability statement, the investment-related emissions at the end of 2024 are estimated.

GHG emissions are calculated by an external service provider (S&P Trucost). The service provider supplies scope 1, 2 and 3 emissions for all portfolio companies. The calculation is based on the "Enterprise Value including Cash" (EVIC) method. For downstream scope 1, scope 2 and scope 3, S&P Trucost selects the relevant data based on different sources (data published by the issuer or by the Climate Disclosure Project (CDP) or a value estimated by modelling). For upstream scope 3, S&P Trucost relies solely on estimated data. The assets covered concern equity and corporate bond issues in general assets (Euro Fund) and equity and corporate bond issues in unit-linked products (UL).

In accordance with the PCAF methodology applied for the scope 3 category 15 calculation, financial institutions shall publish separately the absolute scope 3 emissions of their counterparties for loans and investments. These indirect GHG emissions are therefore not included in the emissions summary table but are available below.

<i>In tCO₂eq</i>	GHG emissions Counterparty scope 1, scope 2	GHG emissions scope 3	Percentage of primary data
Financed Emissions	41,691,915	116,424,482	22%
Insurance-related emissions	2,524,696	19,841,561	9% Fonds Euro 13% UC

The calculation of scope 3 GHG emissions is subject to a continuous improvement process relating to data quality, data collection and production times.

5.3.5 CLIMATE RISK MANAGEMENT

ESG factors are incorporated into the Group's risk management framework, particularly in relation to climate change-related risks. Climate risk-related processes are, therefore, part of the Group's existing processes to manage different categories of risks.

5.3.5.1 Introduction

ESG RISK MANAGEMENT APPROACH

As ESG risks are potentially aggravating factors for the risk categories considered in the Group's risk management framework, their incorporation is based on the following multi-step approach: identification, quantification, definition of risk appetite, monitoring, reporting, control and mitigation.

A description of ESG factors, risk factors and transmission channels is provided in section 5.1.3.2.1 "General description of the processes to identify and assess material IROs". Monitoring and reporting aspects are referenced in section 5.3.5.5 "Climate risk control and mitigation".

DISTINCTION BETWEEN CLIMATE CHANGE MITIGATION AND ADAPTATION

The CSRD defines climate change adaptation as "the process of adjusting to present and expected climate change and its impacts" and climate change mitigation as "the process of reducing greenhouse gas emissions and limiting the global average temperature increase to 1.5°C above pre-industrial levels, as provided for in the Paris Agreement".

However, from a climate risk financial materiality perspective, for financial institutions, the distinction between mitigation and adaptation components is less relevant operationally than for non-financial companies, the main objective being to identify the impacts of all climate change-related issues on the different categories of risk.

Mitigation aspects have a significant link with the transition. The various processes put in place to identify and manage the transition risk of the Group's clients take into account the concept of mitigation.

Adaptation aspects help to control the physical risks that the Group's counterparties may face. Counterparties' resilience (linked, for example, to the implementation of specialised protection systems) and the existence of mechanisms, such as tailored insurance policies, help to limit the effect of climatic hazards.

5.3.5.2 Identifying climate risks

Climate risks are identified by means of both an ongoing and a dedicated annual, and an ongoing, process (see section 5.1.3.2.1 "Description of the processes for identifying and evaluating material IROs").

5.3.5.3 Quantifying climate risks

The approach to climate risk management requires quantification both as part of risk identification, as well as, more broadly, for other processes that contribute to the monitoring and mitigation of ESG risk factors. Climate risk is quantified using various climate scenarios and over several time horizons.

SCENARIO SELECTION

The scenarios selected for risk identification and materiality analysis correspond to a central scenario (B2D, Below 2°C), a stressed climate transition scenario (NZE 2050, Net Zero in 2050) and a stressed scenario in physical climate terms (CP, Current Policies, *i.e.* high-emission scenario). These scenarios are based on short-term (one year), medium-term (five years) and long-term horizons (2040-2050).

The elements relating to the scenarios are detailed in section 5.3.1.2 "Description of climate-related material IROs".

ENVIRONMENT VULNERABILITY INDICATORS

The assessment of environmental risks impacting the Group's counterparties is based on a set of Vulnerability indicators. These indicators aim to measure environmental risks (related to climate change, biodiversity loss, depletion of freshwater resources, pollution and circular economy and resource issues) faced by sovereigns, industries and corporates in terms of transition and physical risks. They are then used, depending on their maturity and level of deployment, as part of stress tests, portfolio monitoring and specific mitigation measures. They measure counterparties' current vulnerability and capacity to adapt to transition and physical risks, emphasising the transition trajectory to 2030 and the ability to continue on that pathway to 2050 (and beyond).

All indicators use the same 11-level scale ranging from “extremely negative” to “extremely positive”:

EXTREMELY NEGATIVE	ULTRA NEGATIVE	VERY NEGATIVE	NEGATIVE	FAIRLY NEGATIVE	NEUTRAL	FAIRLY POSITIVE	POSITIVE	VERY POSITIVE	ULTRA POSITIVE	EXTREMELY POSITIVE
-5	-4	-3	-2	-1	0	1	2	3	4	5

The indicators have been developed for transition risk and physical risk on a number of different topics:

Industry Climate Vulnerability Indicator (ICVI)

At sector level, the indicator reflects the vulnerability of the least developed sectors of activity in terms of climate strategy in a stressed transition scenario (NZE 2050, IEA) for the transition indicator and in a stressed physical scenario (“Current policies”, IEA) for the physical indicator. An indicator, divided into 114 segments, is calculated uniformly at global level for each sector of activity. For each of these segments, the indicator level (from -5 to 5) is set by independent internal experts from the Group’s Economic and Sector Studies Department based on a documented questionnaire, with qualitative and quantitative contributions. It takes into account the effect of climate risk (transition and physical) on the revenues, costs and asset value of companies in each segment.

Transition and physical ICVI indicators are used, in particular, as part of credit risk and counterparty risk stress tests.

Corporate Climate Vulnerability Indicator (CCVI)

This indicator makes it possible to consider the specific features of a corporate counterparty’s climate vulnerability, in particular, through its climate strategy. The Group has identified the impact of climate transition risk on the credit risk of the Group’s corporate clients as one of the main environmental risks it faces. It was, therefore, the first area of focus for the Group when developing its environment risk framework.

The transition CCVI is based on the transition ICVI and a company-specific climate strategy questionnaire. This questionnaire makes it possible to collect information on the quality of the information communicated, the credibility of the targets or the governance in place. Based on this questionnaire, the CCVI score can, therefore, be improved or downgraded compared to the ICVI rating. This CCVI score is given during the internal credit rating and is reviewed annually.

A phased roll-out of this CCVI indicator, the second version of which goes back to 2023, is under way. Priority is given to scoring counterparties identified as the most exposed to climate transition risk (those with the most negative ICVI scores) to which the Group has significant exposure. At the very least, counterparties for which a CCVI score has yet to be calculated are rated on the basis of an ICVI.

Sovereign Climate Vulnerability Indicator (SCVI)

Two SCVI indicators, one for transition aspects and the other for physical risk, assess the impact of climate-related risks on a country’s ability and willingness to meet its external debt commitments. For the transition indicator, the scores reflect the countries’ vulnerability and capacity to adapt to climate transition in a Net Zero Scenario (NZE). For the physical risk indicator, the scores reflect vulnerability to chronic and acute physical risks as well as adaptive capacities, in a current policies scenario, to cope with the increased frequency of extreme weather events and adapt to chronic risks. Sovereign risk has not been identified as material for the Group.

STRESS TESTS

Stress testing for climate risk is a valuable tool to assess how resilient financial institutions are to changes in the market. The set of scenarios includes future developments in the energy transition, carbon emissions trajectories or severe climate events.

The stress test mechanism is described in section 5.3 “Description of the climate-related risk resilience analysis”.

Over the past few years, the Group has continued its efforts to develop and integrate its tools and methodologies to include climate risk as part of global stress tests.

SPECIFIC FEATURES OF PHYSICAL RISK INTEGRATION

In addition to the vulnerability indicators and stress tests described above, the Group continues to develop its physical risk analysis by means of several initiatives, based on both internal tools and external solutions.

The Group is striving to improve analysis of the physical risks generated by its activity by refining the identification of the location of its assets, in particular, by stepping up its collection of information on loan origination or additional data collection exercises (from clients, external partners and data providers). The Group is also developing a tool for reporting physical hazards based on an external service provider’s scoring data.

The disclosure of Pillar 3 data on physical risks has also served to improve understanding of related climate issues. The Risk Report – Pillar 3 details the methodology used.

INCORPORATING THE IMPACT OF CLIMATE RISKS INTO THE ASSESSMENT OF CREDIT LOSSES

The Group has adopted tools developed to clarify the risks associated with environmental factors (ICVI, CCVI, etc.) and procedures that allow to take into account the impact of ESG risk factors when calculating a counterparty’s credit rating (based on duly justified expert opinion).

When it comes to estimating expected credit losses, upwards or downwards adjustments may need to be made to the results obtained using the existing models, based on the sector in question. These sector-specific adjustments are made by means of dedicated governance based on the sector ratings established by the Group’s Economic Research Department, which incorporates climate factors into the sector rating process.

INCORPORATION OF THE EFFECT OF CLIMATE RISKS IN THE ICAAP

The incorporation of the effect of climate and environmental risk factors into the ICAAP (Internal Capital Adequacy Assessment Process) on capital requirements continued to be gradually stepped up in 2024, both from a standards perspective (i.e. related to regulatory requirements) and from an economic perspective (i.e. related to internally identified risks).

5.3.5.4 Definition of risk appetite and climate risks

In accordance with the principles set out in the ECB Guide on climate-related and environmental risks (Expectation 4), financial institutions must include climate-related and environmental risks in their risk appetite process.

Climate and environmental risks were incorporated into the Group's risk appetite in 2022 and have been gradually stepped up since then.

The general principles of ESG risk appetite are presented in section 5.1.4.8 "Risk management and internal controls over Sustainability information".

With regards to credit risk in relation to the climate risk factor, the assessment and oversight of the effect of climate risk factors is based, in particular, on portfolio alignment indicators (GHG emissions linked to electricity production, for example). As part of the process of strengthening governance around the management of ESG risk factors, these indicators were enhanced in 2024, in particular, to expand on the number of climate risk factor-related indicators monitored at sector level (both in terms of portfolio alignment and portfolio exposure).

These indicators are part of the governance of risk appetite, including monitoring and escalation processes allowing, among other things, for information to be passed on to management.

The Group may be required to define limits applicable to certain business portfolios. Some decisions (e.g. the setting of targets for evolving the coal-related financing portfolio) assume the existence of governance involving the Group's Sustainable Development Department, the Business Units concerned and the second lines of defence (Risk Management and Compliance Departments). Other decisions (adjustments to existing limits or definition of new limits for climate considerations) are taken within the framework of existing governance for the relevant risk category.

5.3.5.5 Climate risk control and mitigation

The Group uses a set of processes and tools put in place to control and mitigate risks linked to environmental factors. In particular, they are applied to the climate risk factor to track a range of transition and physical risk effects across a variety of risk factors and portfolios. The paragraphs below provide details of these different processes and tools.

The main processes, indicators and tools put in place to measure, control and mitigate risks relating to ESG risk factors are presented in section 5.1.4.8 "Risk management and internal control over Sustainability information".

MECHANISMS FOR ALLOCATION AND PERIODIC MONITORING OF CLIMATE RISKS

General guidelines

General guidelines for the risk allocation and monitoring process have been defined and are gradually being adopted by the various sector-specific Risk Committees. They enshrine the obligation to check that counterparties are not on the environmental and social exclusion list and compliance with the exclusion criteria incorporated into sector-specific policies as well as the obligation to analyse CCVI scoring and take material ESG controversies into consideration.

Environmental and social exclusion and identification lists

The exclusion list, which includes companies excluded under certain environmental and social policies, is updated at least quarterly. The Group is committed not to knowingly provide banking and financial services to these companies.

In addition, a climate and environmental identification list is regularly updated by internal CSR experts and distributed to the relevant operational teams. This internal list identifies any projects, companies, business sectors or countries that are the subject of severe controversy or public campaigns on the part of civil society for C&E reasons, irrespective of whether they are financed by the Group. The purpose of this internal list is to alert the operational teams to potential concerns ahead of the client and transaction review process, so that they can be prepared to carry out a more in-depth C&E assessment of any transactions and clients concerned.

Criteria for exclusion and evaluation of sector-specific policies

Sector-specific policies also provide relevant guidelines to follow on the E&S aspects of the identified sectors, focusing on issues requiring a sector-specific or regional approach and cover a total of 10 sectors.

When entering into a relationship with, or reviewing, a counterparty, checks are carried out to verify whether a client is eligible for a sector policy and whether exclusion or assessment criteria are applicable to the client under the policy in question.

Client negative information checks

The detection of environmental and social (E&S) "negative news" is used across the companies' scope to identify and anticipate the possible negative consequences of two distinct risks: E&S reputational risk (action by NGOs, etc.) and the risk of non-alignment (in relation to the Group's commitments to sector-specific policies, etc.).

ESG assessment of clients and transactions

An in-depth ESG assessment is carried out for corporate clients or transactions identified as involving intrinsic ESG risk. The complete sequence of the various due diligence processes is described in two specific Group operating procedures, one for the ESG analysis of counterparties, the other for the ESG analysis of transactions, which specify the different stages of these analyses as well as the levels of validation required.

New Product Committee

Climate and environmental factors are also taken into account in New Product Committees. This allows for the potential financial and non-financial risks associated with the physical and transition risks associated with marketing a new product to be taken into consideration.

LINK TO STRATEGY AND ALIGNMENT TARGETS

NZBA targets

As part of its NZBA (Net Zero Banking Alliance) commitments, the Group has gradually set portfolio alignment targets for ten particularly high-emitting sectors, while measuring its progress and regularly adapting the Group's data system as methodologies and regulations evolve. The ten key areas that are now the subject of an alignment target are: Oil & Gas, Thermal Coal, Electricity Production, Cement, Steel, Aluminium, Automotive, Shipping, Commercial Real Estate & Aviation. These alignment targets make it possible, in particular, to mitigate the Group's transition risk.

The elements relating to portfolio alignment issues are presented in section 5.3.2.2 “The Group’s lever on corporate finance activities: aligning the financing portfolio with the objectives of the Paris Agreement”. The “NZBA Progress Report 2024” published in July 2024 also provides information on the Group’s alignment sector trajectories.

Incorporation of climate and environmental issues, the Group’s strategy

In addition, work has been completed by means of the Business Environment Scan, in order to strengthen the process of identifying the main opportunities and threats of climate and environmental risks on the Group’s business unit activities. Particular attention has also been paid to the consideration of climate and environmental risks in order to provide the Group with a systematic mechanism for analysing and incorporating the impact of C&E risks into the Group’s business strategy. This strategic planning process is reviewed and commented on by the Risk Department (effective challenge process).

COLLATERAL AND INSURANCE

Inclusion of ESG factors in the valuation of real and personal property collateral

With respect to real estate and personal property collateral, two instructions for the first and second lines of defence were issued internally in November 2023 and March 2024 to include ESG factors in the assessment of collateral. The Group rolled out its data collection process for Energy Performance Certificates (EPC) – a key component in assessing the transition risk of real estate collateral transition risk – across the Group and circulated guidelines on how this risk should be taken into account when considering whether to grant loans.

Climate damage insurance

Insurance mechanisms (mainly non-life insurance, automatically including Natural Disaster cover and storm/hail/snow (TGN) cover for the French market), reinsurance mechanisms and natural disaster insurance systems theoretically cover damage caused by climate factors and constitute a significant mitigating factor. The benefit of this insurance cover is, however, likely to gradually decrease as extreme events occur more frequently (even more so in pessimistic scenarios), since it is likely that insurance policies will become more and more geographically selective either in terms of rates or by excluding certain areas.

SPECIFIC MECHANISMS FOR MITIGATING COUNTERPARTY AND BUSINESS RISKS

Specific mechanisms for mitigating counterparty credit risk

The Group’s counterparty risk is mitigated, in particular, by means of a margin call mechanism incorporated, where possible, into framework derivative and securities financing agreements. In addition, for transactions with corporate counterparties, which do not all benefit from margin calls, this risk is also mitigated by the nature of these clients’ transactions, which are highly concentrated on currency and interest rate hedging solutions. Clearing services also carry less long-term risk due to the margin mechanisms in place and other contractual mitigations.

Specific mechanisms for mitigating business risk

Business risk is also covered by specific mechanisms, including (i) the commitments made by the Group’s businesses in the transition strategy and (ii) the annual assessment of the adequacy of the Group’s strategy to cope with C&E risk factors as part of the strategic planning process.

5.3.5.6 Data matters

The completeness and quality of data are key in enabling financial institutions to identify, quantify and manage climate-related risks.

The Group uses several sources of data: data is collected from counterparties (data already present in its business line or non-business line information systems), from public data and research institutes or obtained from data providers. It is continually striving to expand its external supplier base (with a view to obtaining better data on certain sectors) and adopt the right data collection processes (especially for Energy Performance Certificates) to achieve optimal data coverage.

However, the challenges remain significant in terms of improving the completeness and quality of the data. The Group is, therefore, partially constrained by the degree of accuracy of the information disclosed by corporate counterparties.

The application of proxies is also necessary in certain cases in the event of data not being available.

The Group strives to improve the quality and completeness of the data it gathers, with additional data quality controls and indicators in the business lines and at Head Office. The controls put in place make it possible to identify data where quality or completeness needs to be improved and to define remediation plans.

In terms of Energy Performance Certificates, the collection of data flows has been improved and the addition of data (sale in future state of completion, construction dates, etc.) has made it possible to refine the estimates used in the production of reports. In terms of physical risk, reporting coverage has been improved with data on the location of financed assets, particularly for the Non-Financial Corporates portfolio. Finally, the Green Asset Ratio has been slightly enhanced, particularly for car loans.

To achieve the target, the Group has chosen to gradually implement the data incorporated into its existing repositories and applications to:

- make the use of ESG data structurally secure;
- have the option to roll out data quality checks on a large scale;
- provide the option to develop its processes and information system.

Initial data collected in relation to this target made through this medium/long-term strategy will be available from 2025 and over the coming years.

5.3.6 MATERIAL CLIMATE CHANGE-RELATED OPPORTUNITIES

The Group identifies many short- and medium-term opportunities in supporting its clients to move towards a low-carbon transition. Current revenues related to supporting clients in their transition are material, particularly for financing activities. Projections for these opportunities estimate material ESG revenues over the medium term.

The Group's business lines are galvanising their substantial expertise in financial engineering and innovation to develop new solutions to help finance their clients' environmental transition.

Material opportunities for Corporate and Investment Banking in relation to climate change

An internal Global Banking & Investor Solutions programme was introduced to work together with clients to build innovative solutions tailored to their transition challenges. This programme has made it possible to develop a tool for analysing clients' transition strategies which then supports the ability to identification of identify related financing needs.

In 2024, the Group's Financing and Advisory activities continued to finance energy efficiency and sobriety projects (renovations and construction, solutions to improve energy production and/or distribution, low-carbon transport of goods, etc.), renewable energy development (including creation of wind farms, creation of facilities to produce electricity from photovoltaic panels, renewable energy transmission, distribution and storage solutions, etc.). The Group continues to expand its range of products tailored to its clients' ESG strategies, including its offer of green, social and sustainable loans, and financing products incorporating Sustainability objectives. The Sustainability-Linked products create a link between the cost of financing and the achievement of ESG objectives, with the cost of the product being indexed to the client's environmental and/or social performance. Trade finance activities have also developed a transition activity offer, including renewable energy, clean transport, etc.

Climate change-related material opportunities for retail banking

Corporate, SME and institutional clients in retail banking in France and abroad have very significant needs in terms of financing the ecological transition. In France, the retail banking advises and supports its clients in assessing their carbon footprint, seeking subsidies, financing transformation projects (organisation of local ecosystems of partners, development of new technologies, etc.) and by supporting new emerging actors in the transition.

Within the international retail banking subsidiaries, the support of low-carbon transitions in these regions presents many financing opportunities across real estate (new construction and energy renovations) and renewable energy financing opportunities, among others.

5.4 SOCIAL INFORMATION

5.4.1 OWN WORKFORCE

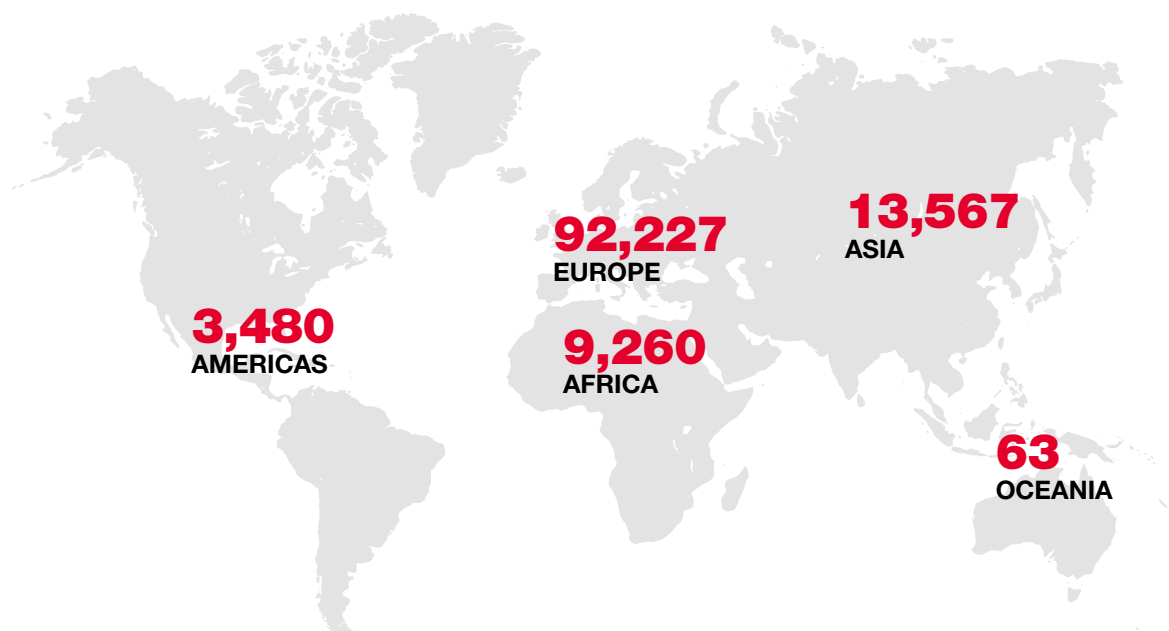
5.4.1.1 Being a responsible employer

The Group acts as a responsible employer in the management of Human Capital through all the policies and tools implemented within the company to attract, recruit, integrate, train and engage employees. The term Human Capital refers to the Group's employees and non-employees working on behalf of the Group (excluding service providers who are workers in the value chain).

5.4.1.1.1 PRESENTATION OF THE GROUP'S EMPLOYEES

The Group operates in more than 60 countries and has around 119,000 employees worldwide.

BREAKDOWN OF EMPLOYEES⁽²⁾ BY REGION AS OF 31 DECEMBER 2024



Methodology for calculating the number of employees

- The scope of employees covers permanent contracts (known in France as "CDI") and fixed-term contracts ("CDD") including work-study participants, according to the regulations applicable locally;
- the genders "women" and "men" are reported, as current capacities do not yet allow for the identification of "undeclared" and "other" genders at Group level;
- the workforce figures are taken from the Group's Human Resources Department's information systems and supplemented by local HR teams as part of data collection campaigns;
- the figures in this section are to be considered in headcount rather than full-time equivalents (FTEs) and relate to the 2024 financial year;
- the data in this section relates to the consolidated scope, including entities with ten or more employees, captured in the context of the social information collection campaign for the year ended 31 December 2024.

BREAKDOWN OF EMPLOYEES⁽²⁾ BY GENDER AS OF 31 DECEMBER 2024

Country	Gender		Total
	Women	Men	
France ⁽¹⁾	31,292	24,110	55,402
Other countries of operation	32,412	30,783	63,195
Total number of employees within the Group⁽²⁾	63,704	54,893	118,597

(1) Only country accounting from more than 10% of employees for the year ended 31 December 2024.

(2) The total number of employees is relative to the scope of consolidation (composed of entities with 10 or more employees covered in the FY2024 reporting campaign). Across the entire scope of financial consolidation, the Group has 119,379 employees.

BREAKDOWN OF EMPLOYEES BY TYPE OF CONTRACT AND WORKING HOURS AS OF 31 DECEMBER 2024

	Women	Men	Total
Number of employees on permanent contracts	59,955	51,799	111,754
Number of employees on temporary contracts (of which work-study participants)	3,749	3,094	6,843
Total	63,704	54,893	118,597
Number of full-time employees	55,881	53,801	109,682
Number of part-time employees	7,823	1,092	8,915
Total	63,704	54,893	118,597

In addition, there are a total of 7 non-guaranteed hours contracts (including 4 women and 3 men) across Switzerland, Sweden and the Netherlands.

5.4.1.1.2 THE GROUP'S HUMAN RIGHTS POLICIES

The Group interacts with its employees in accordance with the values and principles set out in the following main international conventions:

- the Universal Declaration of Human Rights and its related covenants;
- the ten conventions as well as the declaration on Fundamental Principles and Rights at Work, recognised as fundamental texts by the International Labour Organisation (ILO);
- the UNESCO (United Nations Educational, Scientific and Cultural Organisation) World Heritage Convention;
- the OECD (Organisation for Economic Co-operation and Development) Guidelines for Multinational Enterprises;
- the United Nations Guiding Principles on Business and Human Rights.

5.4.1.1.3 MATERIAL IROS RELATED TO THE GROUP'S HUMAN CAPITAL

The double materiality analysis has identified potential material impacts on Human Capital. Employees and non-employees are considered as a whole, without distinction or specific characteristics. This analysis has identified potential negative impacts in the short and medium terms on Human Capital, before taking into account any mitigation policies and actions deployed by the Group, concerning the following matters:

- diversity, equity and inclusion;
- employment and inclusion of people with disabilities;

- training and skills development;
- inappropriate behaviour and harassment;
- occupational health and safety;
- work-life balance and respect for privacy;
- fair compensation;
- social dialogue;
- freedom of association and collective bargaining rights.

Furthermore, the Group has a positive material impact on its employees and society through the philanthropic activities of its Foundation.

This double materiality analysis did not highlight any material risks and opportunities, nor material impact on forced labour and child labour. These results, and their links to the strategy and business model, are presented in section 5.1.3.1 "Results of the assessment of IROs in relation to the strategy and business model".

Potential material impacts on Human Capital were qualified following the double materiality assessment methodology defined by the Group. The result of this assessment is based on internal Human Resources expert reviews and on analysis of the opinions of stakeholders such as employees (via the employee satisfaction survey), civil society, clients, extra-financial rating agencies and investors.

Data points regarding the topics 'employment and inclusion of people with disabilities', 'training and skills development', 'occupational health and safety', and 'work-life balance and respect for privacy' are not published in this sustainability report because they are not mandatory for this first year of application.

5.4.1.1.4 A RESPONSIBLE EMPLOYER STRATEGY IN RESPONSE TO MATERIAL ISSUES CONCERNING EMPLOYEES

Responsible Employer strategy

The Responsible Employer strategy is approved by the Human Resources Department and gives rise to quarterly meetings with human resources experts to manage indicators.

Objectives for 2026 were set in 2023: an ambition in terms of gender equality of at least 35% of women leaders within the Group Leaders Circle (or Top 250), as well as the reduction of any pay gaps between women and men within the Group by mobilizing a budget of 100 million euros. These are regularly monitored by the Executive Committee of the Human Resources Department.

Alongside the aspects defined in this Responsible Employer strategy, other issues have been identified within the framework of a common base and further details are contained in this Sustainability report: the remuneration policy, measures against violence and harassment in the workplace, etc.

All of the Group's policies are centralised in internal standards documentation, applying to all employees. Some of these policies are developed in specific parts of the Sustainability report.

Actions related to potential material impacts

In order to prevent and mitigate these potential impacts, the Group defines specific guidelines for the various issues identified, as well as a set of policies applicable to the entire Group, implemented by the Business Units and Service Units, including:

- the definition of five priority areas to combat all forms of discrimination: gender diversity, the inclusion of people with disabilities or those who are neuroatypical, diversity of ethnic, cultural or socio-economic origin, intergenerational inclusion and the inclusion of LGBTI people;
- a health policy that is operational in all the Group's entities, as a result of the support of dedicated local teams (HR, logistics managers, occupational medicine, etc.) and takes into account national legislation and local contexts. In addition, as a responsible employer, the Group is committed to maintaining decent working hours that respect work-life balance;
- renewal of the Group's global agreement on employee rights with the international federation, UNI Global Union. This agreement, covering 100% of the Group's employees, improves trade union rights and establishes new rights for the Group's employees;
- attractive compensation that nurtures employee loyalty and boosts the Group's long-term performance;
- a skills development offer aimed at guaranteeing the employability of employees throughout their professional career within the Company.

These actions are supported by commitments, presented below, and are monitored by the Executive Committee of the Human Resources Department. In addition, the Group consults all employees on these material topics through the employee barometer, an annual survey that gives them the opportunity to express themselves freely and anonymously on these subjects.

TABLE OF THE GROUP'S COMMITMENTS AS PART OF THE RESPONSIBLE EMPLOYER STRATEGY

Pillars of the Responsible Employer strategy	Commitments	ESRS topics
Empowering every employee, current and future, to fulfil their potential	To offer the best employability prospects to attract and retain talent	Training and skills development
	To promote personalised career opportunities adapted to future challenges (section. 5.4.1.2.2)	
Offering an appropriate, fulfilling and motivating work environment	To ensure the conditions for an equitable and inclusive culture (section 5.4.1.3.1)	Diversity, Equity and Inclusion
	To ensure working conditions respect work-life balance and employees' health and security (section. 5.4.1.3.2)	Employment and inclusion of people with disabilities
		Work-life balance
Fostering employees engagement and ability to impact	To strengthen engagement and a culture of communication to work together to maintain the Group's competitiveness (section. 5.4.1.3.2)	Health and safety
		Social dialogue
	To contribute individually and collectively to actions with a positive impact (section. 5.4.1.4.3)	Freedom of association and collective bargaining rights
		Solidarity action, social impact

5.4.1.2 Empowering every employee, current and future, to fulfil their potential within the Group

The Group has made commitments to employability prospects in order to attract and retain talent and is implementing actions to promote personalised career opportunities adapted to future challenges.

A SYSTEM FOR MANAGING JOBS AND CAREER PATHS

The Group has launched a Strategic Workforce Planning (SWP) initiative worldwide. The aim is to adapt policies, particularly in terms of training and filling positions, to the evolving skills required by the business lines and which are strategic challenges of the Group. This initiative provides employees with the means to boost their employability.

This initiative is in place for all of the Group's key businesses and in 2024 covered virtually all Business and Service Units, representing the foundation of an effective strategy for acquiring new skills and guiding the development of those skills already existing within the Group.

A SYSTEM THAT PROMOTES MOBILITY

The Group offers many career opportunities to its employees across business lines and sectors of activity. The principles underpin the Group's policies on internal mobility and filling positions, and they apply to all Group entities. They focus on:

- ensuring transparency as regards vacant positions, by systematically posting offers on the internal job exchange (Job@SG), in entities using this tool;
- filling positions from within the Group where possible;
- maintaining a community skilled in recruitment practices, in France and internationally, so that best practices and information can be shared;
- strict adherence to the recruitment process defined by the Human Resources Department to avoid any potential risk of corruption or conflict of interest, or any form of discrimination or favouritism;
- the permanent adaptation of employees' skills to rapid changes in their environment. In addition to being able to apply for vacancies advertised internally, employees can also be contacted by managers looking to fill a position. Employees' skills are matched with those sought by hiring managers thanks to the ACE skills self-reporting platform, which includes an AI-based recommendation engine that managers can use to quickly identify employees whose profiles meet their needs. ACE is deployed for more than 76,800 of the Group's employees, in 80 entities and 30 countries, covering 65% of the Group's employees.

The Group has also offered reskilling programmes since 2020. Developed with business line experts, these programmes aim to offer employees who want to change jobs the opportunity to reorient themselves professionally within the Group towards professions that are growing, or where employees are in short supply, with an emphasis on the promise of internal mobility for employees. These programmes frequently involve the awarding of certificates or diplomas, combining theoretical learning *via* academic partnerships with practical experience through a mentorship process, thus facilitating the employee's integration into their new team. Since 2020, more than 860 employees have engaged in 90 diversified reskilling programmes, particularly on Data, ESG and Agile Project topics.

A SKILLS DEVELOPMENT OFFERING

The skills development training offered by various departments (corporate centre or academies specific to Business or Service Units or subsidiaries) come in a variety of formats (e-learning, face-to-face, MOOC, videos, etc.) and target:

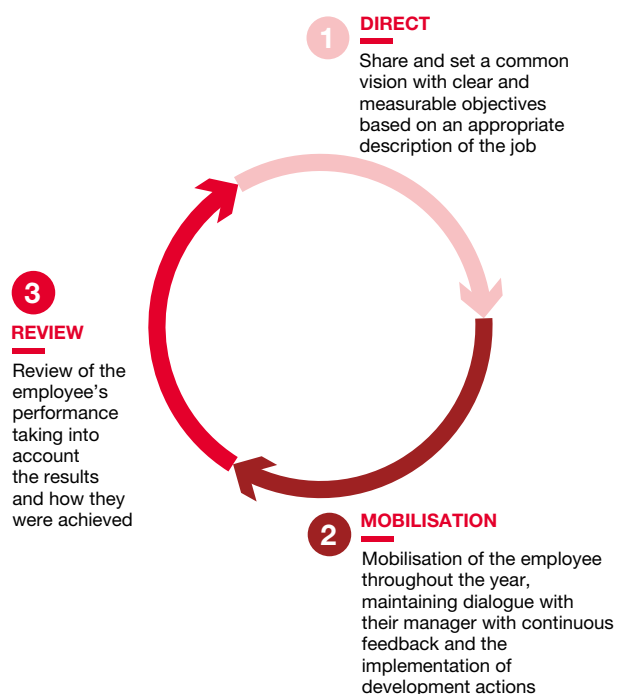
- business skills, in particular in market activities and corporate finance;
- the culture of risk, responsibility and compliance of employees. Compulsory training for all Group employees covers the following subjects: information security, anti-corruption measures, Code of Conduct (including the right to whistleblow and the fight against inappropriate behaviour), the General Data Protection Regulation, international sanctions, anti-money laundering and counter-terrorism financing, conflicts of interest and harassment;
- data and artificial intelligence skills;
- CSR skills;
- managerial and leadership skills;
- behavioural skills (improving operational efficiency, collaboration, change management, etc.).

The average number of hours of training per employee per year in 2024 was 38.2 hours, with 38 hours for women and 38.4 hours for men. All skills development initiatives (such as distance and face-to-face training, including mandatory training, coaching or mentoring initiatives) have been taken into consideration when counting these training hours.

A SYSTEM FOR REVIEWING INDIVIDUAL PERFORMANCE

The Group monitors every employees' performance throughout their careers, particularly through development plans and annual performance reviews. Employee assessment is a three-stage process and is structured around two interviews between the manager and the employee: the setting of objectives at the beginning of the year, in line with the Group's strategy ("Direct") and the end-of-year review ("Review"). Between these two interviews there is a monitoring and support phase throughout the year ("Mobilise"). The process is based on the use of a dedicated tool deployed across all the Group's entities, guaranteeing uniformity and consistency in the methodology used during performance reviews.

In addition, for permanent Group employees, the appraisal interview is completed by a professional meeting with their line manager during which they can discuss prospects for professional evolution over the medium and long term.



RETENTION OF SKILLS AND TALENT

The Group offers personal and professional development opportunities to its employees to improve employability, increase the internal mobility rate and better control the rate of departures, which was 12.4%⁽¹⁾ in 2024, i.e. 13,853 employees with a permanent contract who left the Group.

5.4.1.3 Offer a fulfilling, suitable and motivating work environment

5.4.1.3.1 PROVIDE THE CONDITIONS FOR AN EQUITABLE AND INCLUSIVE CULTURE:

Fight against discrimination

With around 119,000 employees from 145 nationalities working in more than 60 different countries, and with 53% of its workforce based outside of France, the Group confirms its commitment to making Diversity, Equality and Inclusion (DE&I) a reality for all employees and a managerial priority for the Group.

The Group has defined **five priority areas** to combat all forms of discrimination: gender diversity, the inclusion of people with disabilities or those who are neuroatypical, diversity of ethnic, cultural or socio-economic origin, intergenerational inclusion and the inclusion of LGBTI people.

The Group has a range of policies, actions and other processes in place to counter the risk of discrimination, including:

- a DE&I policy, reflecting the Group's determination to recognise and promote all talents, regardless of their beliefs, age, disability, parental status, nationality, gender identity, sexual orientation, membership of a political, religious or trade union organisation, or any other factors on the basis of which they could be discriminated against. It is made available to all stakeholders on the Group's institutional website. It aims to create the conditions for an inclusive organisation and to uphold fair and equal treatment practices;
- sponsorship at the highest level of the organisation, led by the Group's Deputy Chief Executive Officer;
- a DE&I Committee, made up of twelve members from the Group Management Committee and a DE&I expert to guide discussions and proposals;
- a dedicated team that relies on an international network of DE&I managers within the Group and the Group's networks of committed employees;
- an ambition represented by a gender equality target of increasing the percentage of women within the Group Leaders Circle (or Top 250) to at least 35% by 2026;
- the reduction of potential pay gaps between women and men within the Group by 2026 through the allocation of a budget of EUR 100 million;
- public commitments that have been strengthened over recent years with, in particular:
 - the signing in 2023 of the new Global Agreement on Fundamental Rights with UNI Global Union, including provisions reflecting the Group's DE&I commitment,
 - in France, the renewal of the Charter of the Other Circle in October 2024,
 - in France, a collective agreement on gender equality in the workplace in 2023,
 - in France, signing of the OneInThreeWomen Charter to raise awareness of violence against women in 2022,
 - the signing of a new Corporate Parenthood Charter, to support parents in all family configurations in France (single parents, same-sex parents, etc.) in 2022,
 - the signing of the Towards the Zero Gender Gap initiative during "Women's forum 2021".

⁽¹⁾ Numerator: departures among permanent contracts only (resignations, dismissals, retirement, death or any other departure); Denominator: the total number of employees with a permanent contract at the end of the reference period.

The Group's commitment to implementing a strong diversity policy is also based on a set of initiatives, including:

- hosting the first international summit on diversity, equity and inclusion. This event brought together 45 employee networks from the Group's key locations to work on the five priorities of DE&I;
- specific monitoring indicators for women and international employees, *i.e.*, their representation within high-potential pools and succession plans, their promotions, pay rises, grades and classifications, etc.;
- an e-learning course on understanding and preventing discrimination in the hiring process, which is mandatory for HR staff and managers;
- the facilitation of "Diversity Fresque" training workshops;
- all French and international job offers, published on the careers.societegenerale.com recruitment site, includes a paragraph relating to the Group's DE&I commitments;
- an in-house resource hub (the DE&I SharePoint) available to all Group employees and containing articles, benchmark studies, reports and more;

- support for in-house employee networks set up to promote inclusion: women's networks, in particular, women in digital, WAY (We Are Young), Pride&Allies (LGBTI), Great Minds (neurodiversity), networks supporting diversity of origin such as "Be Me Network" in the UK, "Black Leadership Network", "Vamos" and "Asian Professionals Network" in the US, "Cultural Diversity Network" in Asia, etc.

In 2024, 100% of the Group's employees were covered by a DE&I policy and 98% had local initiatives or programmes in at least one of the five priority areas.

Diversity indicators

Below are the main Diversity, Equity and Inclusion-related indicators.

GENDER BREAKDOWN WITHIN TOP MANAGEMENT

Top management is understood here as the Top 250 within the Group (Group Leaders Circle).

30% were women and 70% men as of 31 December 2024.

Other indicators on gender breakdown

	2024
Percentage of women on the Executive Committee	54.5%
Percentage of women managers	41%
Percentage of women among employees	54%

AGE BREAKDOWN OF EMPLOYEES

The indicators shown for the breakdown of employees by age correspond to the Group's data at the end of 2024, with the exception of US entities where dates of birth are not permitted to be stored in IT systems:

As of 31/12/2024	Employees	As a percentage
Employees under 30 years of age	22,172	19%
Employees between 30 and 50 years of age	69,550	61%
Employees over 50 years of age	23,392	20%

Actions to support employees with disabilities

The Group has multiple actions to promote the employment of people with disabilities or who are neuroatypical, such as:

- the renewal, for the sixth time, of the three-year agreement 2023-2025 promoting the employment and occupational integration of people with disabilities in France;
- the launch of awareness-raising campaigns during the European Week for the Employment of People with Disabilities;
- the provision of a conversation guide called "All together for an inclusive environment with people with disabilities";
- work on digital accessibility (particularly for clients) and physical accessibility on the Group's premises;
- the setting up of an Academy in Romania to train people with disabilities to improve their employability.

5.4.1.3.2 ENSURING THE CONDITIONS FOR A QUALITY OF LIFE AT WORK THAT RESPECTS WORK-LIFE BALANCE AND THE HEALTH AND SAFETY OF EMPLOYEES

Health and safety

The Group's occupational health and safety policy, applicable groupwide, aims to provide each employee with a safe working environment – taking into consideration both the physical workplace and working practices – that guarantees their safety and their physical and psychological well-being. The Group complies with all local labour laws and legal obligations for occupational health and safety in all of its entities worldwide.

This health, safety and prevention policy is based on three main players:

- the Group Security Department, responsible for implementing a safety awareness programme within the Group *via* a dedicated community, including a representative in each Business and Service Unit;
- human resources for mental and physical health, within the context of improving quality of life and conditions at work;
- managers, guarantors of continuous risk monitoring on a daily basis.

ENSURING CONTINUOUS IMPROVEMENT IN HEALTH AND SAFETY MATTERS

The Group's long-standing commitment to offering the best possible working conditions means:

- a global approach to security rolled out by the Group Security Division, with the aim of assessing risk levels and unifying all protection measures in order to be able to respond in an optimal manner to multiple exogenous and endogenous threats (cybercrime, terrorism, geopolitical risks, health risks, climate risks);
- continuous awareness with *Security Hours*, monthly events for all Group employees;
- a safety and security master plan, prepared by the Group's Security Division for France and shared with the international entities and subsidiaries as standard practice, to be applied in addition to all local safety and security rules;
- continuous risk monitoring by a specialised team with a network of experts and in conjunction with the authorities in France and abroad.

RAISING AWARENESS AMONG EMPLOYEES OF THE MAIN HEALTH AND SAFETY RISKS**Protecting staff from aggressive behaviour**

As the profession is potentially exposed to robbery and incivility, the Group takes great care to ensure the safety of its employees. By way of example, the Group partners with *France Victime* to offer anonymous psychological support for any employees who are victims of offensive or aggressive behaviour or armed robbery.

Risk prevention in business and expatriate travel

As the Group is legally responsible for, and guarantees the safety of, its employees on business trips, including international trips, it has developed a security policy to reduce exposure to potential security risks and reduce the impact in the event of a crisis likely to affect the physical safety of employees travelling internationally. The Group has a partnership agreement in place for the purposes of ensuring health and safety, and repatriation services.

HEALTH AND SAFETY INDICATORS

	2024
% of employees covered by a health and safety system	98%
% of employees covered by an audited health and safety system	68%
Number of deaths related to a workplace accident or disease ⁽¹⁾	0
Number of workplace accidents	631
Frequency rate of workplace accidents ⁽²⁾	2.93%

(1) The scope includes employees and non-employees (not including the self-employed).

(2) The frequency rate is calculated as follows: number of workplace accidents/(employees and non-employees present * annual working time) * 1,000,000

Annual working time is calculated by each entity as follows: number of hours worked per day x number of days worked in the year.

The number of days worked = 365 days - [weekends (52 Saturdays and 52 Sundays) + public holidays + annual leave + time-off-in lieu of France's 35-hour working week, (RTT)].

Work-life balance**PROMOTING WORK-LIFE BALANCE**

Particular attention is paid to working hours, notably through:

- compliance with local laws on hours of work;
- the inclusion of a workload discussion between the employee, the line manager or HR manager during the annual evaluation;
- awareness raising and support for managers and employees to promote an optimal organization of work;
- work-life balance initiatives.

The Group also considers each entity's local context when implementing measures to promote a healthy work-life balance, such as:

- social benefits covering their children;
- support for employees who are caregivers and schemes for the donation of days between employees;

- in France more specifically:

- expanded eligibility for parental leave to take into account all family configurations,
- support for employees suffering from chronic illness and/or returning to work after a lengthy period of sick leave,
- signature to a new Parenthood Charter.

In addition, the renewal of the agreement with UNI Global Union in 2023 permits the gradual implementation, across all Group entities, of a minimum of 14 weeks maternity leave and one week paternity leave. These two measures are complemented by a guarantee in the event of the employee's death of a minimum of two years' salary in an approach aimed at ensuring a minimum level of social protection, in terms of health, life and disability insurance, for all employees worldwide.

A QUALITY OF LIFE AND CONDITIONS AT WORK AGREEMENT IN FRANCE

In November 2022, the Human Resources Division signed an agreement with the French trade unions on workplace wellbeing. The aim was to instil new momentum to improve working conditions and prevent occupational risks. This agreement came into effect on 1 January 2023 for a three-year term and centres on six areas: work-life balance, new ways of working (remote/hybrid working), individual and collective freedom of expression, workload, living and working with cancer or another chronic illness, and the prevention of psychosocial risks (PSR) particularly within the context of the fight against isolation and occupational marginalisation. The goal is to focus on wellbeing in the workplace on a broad level, using all possible levers to achieve it.

REMOTE WORKING WITHIN THE GROUP

95% of the Group's employees benefit from a remote working system with arrangements appropriate to their local context and 92,268 people were remote working within the Group at the end of 2024.

In January 2021, General Management signed an open-ended Remote Working Agreement with the French trade unions. The agreement makes remote working available to all employees (*i.e.*, whether on permanent or temporary contracts and including trainees, work-study students and new hires). The agreement establishes the principle of regular remote working, setting two days of remote working per week as the standard. Each Business and Service Unit can adjust the number of remote working days so that the system is implemented in a collective manner. In implementing this agreement, the Group's entities adhere to all principles of equality, rules on working hours, the right to disconnect, and health and safety requirements for staff working from home.

5.4.1.4 Additional social and societal measures

5.4.1.4.1 REMUNERATION POLICY, INCLUDING ADEQUATE WAGE

Total pay gap between women and men

The total remuneration⁽¹⁾ taken into account when calculating the pay gap indicators between women and men and total remuneration includes:

- contractual fixed remuneration on an annual basis on a full-time equivalent basis and bonuses comparable to fixed remuneration;
- variable remuneration (including long-term incentives) awarded in 2024 for the 2023 performance year;
- profit-sharing scheme for Societe Generale SA employees in France.

The scope used to calculate these two indicators comprises employees paid under permanent or fixed-term employment contracts⁽²⁾.

On this basis:

- the total pay gap between women and men, defined as the difference between the average total remuneration of male and female employees expressed as a percentage of the average total remuneration of male employees and calculated groupwide, is 34%;
- the total pay gap between women and men, defined as the difference between the median total remuneration of male and female employees expressed as a percentage of the median total remuneration of male employees and calculated groupwide, is 22%;
- the ratio of the total annual remuneration of the highest paid person to the average total annual remuneration of all employees (excluding the highest paid person) and calculated at group level is 69;
- the ratio of the total annual remuneration of the highest paid person to the median total annual remuneration of all employees (excluding the highest paid person) and calculated at group level is 97.

These gaps and ratios are indicators of gross pay gaps between women and men that do not take into account differences in pay between countries or financial markets, fields of activity, professions and functions.

As regards the total remuneration ratios, they are explained in particular by the fact that approximately three quarters of staff are active in either retail banking (a significant proportion of which is in Central and Eastern Europe and Africa), mobility and leasing, or a shared service centre in India and Romania, where levels of remuneration are lower than in investment banking activities in the major financial centers in Europe, the United States and Asia and in the corporate functions of the Group.

The total pay gaps between women and men can be explained, in particular, by the fact that there are proportionally significantly more men than women working in activities and professions associated with higher salaries (such as sales or trading in investment banking or IT professions). Women are in the majority in the retail banking workforce, where remuneration is lower. This difference is accentuated by the fact that a significant percentage of the Group's retail banking activities are located in Central Europe (Czech Republic and Romania) where compensation is lower than in Western Europe and North America.

The calculation of the gross pay gaps between women and men reflects the gender distribution within the Group's various business lines and geographical scopes. The Group has launched numerous groupwide initiatives as part of the diversity, equity and inclusion policy to increase the representation of women in the highest-paid activities, professions and functions and to make progress in terms of parity, recruitment, promotions, talent pool, career management, etc. (initiatives detailed in Chapter 5.4.1.3.1 "Providing the conditions for an equitable and inclusive culture").

In addition, the Group has enshrined the principle of gender pay neutrality in its remuneration policy and regularly monitors its implementation groupwide to ensure equal treatment between women and men. A budget of EUR 100 million has been allocated groupwide to close the gender pay gap as part of the Group's strategic plan.

(1) For operational reasons, benefits in kind are not included and remuneration is based on data at the end of September 2024. The remuneration taken into account for expatriates is the remuneration in the host country.

(2) Scope at the end of September 2024. Excluding: members of the Board of Directors, apprentices, trainees and International Corporate Volunteers (VIEs) as well as employees of Moroccan entities held for sale or sold at the end of 2024.

Adequate wage

The Group strives to offer attractive, fair and sustainable remuneration to nurture employee loyalty and boost the Group's performance over the long term. Within this context, the Group has incorporated the notion of an adequate wage into its approach to remuneration since 2023, taking into account the living wage references developed for each country and region of the world by the Fair Wage Network, a globally recognised NGO.

This living wage is defined as remuneration that allows employees to meet their essential needs and that of their family (food, housing, transport, children's education, health costs, etc.) as well as allowing them to participate in social and cultural life and to build up precautionary savings. The level of the living wage for each country is determined according to the local context and criteria such as the size of the household and the average number of people likely to bring income into the household⁽¹⁾. The levels are readjusted regularly to take account of changing circumstances.

As a continuation of the work carried out previously, the Group analysed the fixed remuneration⁽²⁾ of its employees⁽³⁾ for 2024 worldwide, in the countries where the Group operates. Some deviations from the Fair Wage Network's benchmark were identified during these analyses (in three subsidiaries) and corrective measures were decided upon and implemented.

At the end of 2024, there was no gap between employees' fixed remuneration and the adequate wage, as determined in accordance with the applicable benchmarks (based on the living wages provided by the Fair Wage Network). In addition, no gap was reported in relation to the minimum wage set by national legislation or by collective bargaining if no minimum wage has been set by national legislation.

5.4.1.4.2 DIALOGUE WITH EMPLOYEES AND THEIR REPRESENTATIVES

Process for interacting with employees and their representatives

UNI GLOBAL UNION GLOBAL AGREEMENT

In 2023, maintaining the importance of social dialogue, the Group signed the renewal of a global agreement on the Group's employee rights with the international federation UNI Global Union based on the previous agreements of 2015 and 2019. This agreement, valid for four years, reinforces the role of UNI Global Union in the Bank's duty of care plan, introduces new rights for the Group's employees, improves trade union rights and recognises the commitments made by the Bank in the light of the rise of new labour and human rights organisations. Under this agreement, the Group regularly communicates with UNI Global Union and an annual meeting to monitor commitments is held between UNI Global Union representatives, the management of the Group's Human Resources Department, and representatives from the Group's trade unions. A number of working meetings were held in 2024, the last of which was in October 2024. 100% of the Group's employees are covered by this global agreement.

ORGANISATION OF STAFF REPRESENTATION

Staff representation within the Group is organised as follows:

- a European Group Committee: a forum for information, dialogue and exchange of views on economic, financial and social issues of strategic importance and of a transnational nature, which meets twice a year;
- a Central Social and Economic Committee, with authority to take decisions in relation to Societe Generale SA in France. It meets at least five times a year and is responsible, in particular, for ensuring that employees express themselves collectively. It is informed of corporate projects in France and is also consulted on issues relating to knowledge of the Company's general situation (strategic guidelines, strategic workforce planning, general training guidelines), the Company's economic and financial situation and its social policy;
- Social and Economic Committees within Societe Generale SA in France and within French subsidiaries, which can be consulted or informed about projects at an institutional level, as well as listening to employees' concerns, in a spirit of continuous dialogue.

Specific means are made available to representative trade unions to communicate with employees, in accordance with the legislation in force in the various countries. For example, within Societe Generale SA in France, these include:

- the distribution of leaflets to employees;
- bulletin boards displaying union communications in the workplace;
- each representative trade union organisation website can be accessed *via* the Company's intranet;
- union information meetings held with employees on working hours without loss of pay for the employee;
- the option for employees to subscribe to representative trade union organisations' mailing lists and to receive trade union communications *via* their work or personal email.

In terms of social dialogue, the Group demonstrates its commitment by signing a number of collective agreements with social partners, covering remuneration and employee benefits, working conditions (working hours, employment conditions, remote working, etc.), strategic company projects, labour relations practices and equality in the workplace. The content of these agreements is communicated to employees *via* internal communication campaigns and made available to employees on the Group's intranet.

In 2024, 191 local agreements were signed within the Group, covering 68% of the workforce. Moreover, in France (the only country in the European Economic Area accounting for more than 10% of the Group's workforce), 99.9% of employees are represented by trade unions or other forms of employee representative (such as Social and Economic Committees, elected committees, Works Councils, staff delegations, etc.).

In 2024, 99.3% of employees were in entities that considered social dialogue to be good or very good.

(1) Indicator 'FWN typical family living wage' (Annual living wage along fertility rates, adjusted with income earners).

(2) Contractual fixed remuneration on an annual basis at the end of September 2024 in full-time equivalent, to which are added other bonuses comparable to fixed salary.

(3) Present or absent paid employees under a permanent or fixed-term employment contract excluding apprentices, trainees and employees under International Corporate Volunteering (VIE) of entities in the financial consolidation scope at end-September 2024 (and excluding employees of entities sold at end-December 2024 or announced as being sold).

Systems to address negative impacts and channels for staff to raise concerns

The Group has set up systems to enable employees to express their opinions, in particular *via* the employee satisfaction survey and through a culture of dialogue.

MEASURING EMPLOYEE ENGAGEMENT WITH THE EMPLOYEE SATISFACTION SURVEY

The Group measures employee engagement through its Employee Satisfaction Survey, an annual, anonymous internal survey conducted throughout the Group. Employees are asked to freely express their opinion and impressions on a range of topics related to life at work. All answers are strictly confidential. The results are shared with employees and serve as the basis for drawing up action plans and putting together working groups involving employees in each of the Business and Service Units, with a view to continuous improvement. These action plans are then submitted to the Board of Directors.

The 2023 results led to actions on the following issues in the 2024 financial year:

- engaging with Group strategy;
- improving operational efficiency;
- promoting wellbeing at work.

In 2024, 76% of the Group's employees responded to the survey, a significant increase (+3 points) compared to the previous year. This new version of the survey gave the option of evaluating issues of commitment, efficiency, responsibility and prospects, with the following key figures:

- the Group's engagement rate increased slightly to 65%. This rate is included in the common objectives of the members of the Group Management Committee;
- in terms of diversity, equality and inclusion, 88% of employees feel included and accepted for who they are;
- 75% of employees feel that they have a good work-life balance;
- 83% of respondents would systematically exercise their right to whistleblow if they witnessed, or were confronted with, inappropriate behaviour.

FOSTERING A CULTURE OF DIALOGUE

The Group also invites all employees to have the courage to speak up, with the dual objective of identifying the best ideas and more easily detecting risks. In order to foster freedom of expression and active listening, mandatory training is provided together with workshops to raise awareness, guidelines on maintaining a culture of dialogue and practical fact sheets. Regular feedback is also practised within the Group to build an environment that is conducive to dialogue.

PROMOTING HIGH STANDARDS OF CULTURE AND CONDUCT

The Group is vigilant when it comes to complying with regulations, internal rules and procedures, and the ethical principles governing its business activities. These principles are detailed in the Group's Code of Conduct.

Having, in particular, coordinated the Group's Culture and Conduct programme since 2021 alongside the Compliance Division, the Human Resources Department is particularly active in promoting ethical and responsible conduct on the part of individuals and teams that will translate into ethical and responsible business for the Group as a whole. To this end, it organises annual campaigns involving training, workshops, videos, articles and the like, designed to foster an environment in which appropriate conduct prevails, in line with the Group's values (see section 5.5.1.1.1 "Ethics in business conduct").

ADDRESSING INAPPROPRIATE BEHAVIOUR

Introduced in 2019, a Group policy to combat inappropriate behaviour aims to prevent and combat any behaviour that contravenes the principles set out in the Group's Code of Conduct. As part of its drive to stamp out inappropriate conduct, the Group has adopted a zero-tolerance stance on psychological harassment, sexual harassment and sexism in the workplace. It organises information campaigns and encourages employees to speak up to their line managers and/or to human resources contacts if they become aware of or experience any form of harassment. All Group employees receive mandatory training on the prevention of inappropriate behaviour. At the same time, the Group has put in place a plan focused on awareness and training involving, in particular, specific workshops for managers and employees to raise awareness of methods of preventing inappropriate behaviour. Human resources teams are trained to prevent, and deal with, these situations as best as possible. This policy is designed to ensure that people are aware that such behaviour is subject to disciplinary action (criminal sanctions in certain cases) and dismissal where required.

BENEFITING FROM A WHISTLEBLOWING PROCEDURE

Set up for the entire Group, the Whistleblowing procedure allows employees, members of the management bodies, Board Directors, shareholders or non-employees to confidentially report any situations of which they are aware that either breach the Group's ethical standards or rules of business or could be illegal or contrary to applicable legislation (described in section 5.5.1.1.1 "Whistleblower protection"). This right to whistleblow can cover situations of inappropriate behaviour or supposed threats to the health and safety of people.

APPLYING A GLOBAL DISCIPLINARY POLICY

Published in 2019, the global disciplinary policy formalises the Group's principles and best practices in relation to sanctions (recognition of the right to make a mistake but zero tolerance on misconduct, collective decision-making on sanctions, proportionality, managers' ultimate responsibility in upholding principles and enforcing sanctions, sanctions paired with corrective actions). This global policy translates into operating procedures and a record of disciplinary actions imposed in each Group entity. Key indicators relating to disciplinary actions are communicated to General Management.

Whistleblowing and incidents

In 2024, 310 alerts of inappropriate behaviour (psychological and sexual harassment, sexist behaviour, discrimination, violence at work, health and safety) were filed.

Alerts (or complaints) within the meaning of the right to whistleblow are analysed following a very strict process (see section 5.5.1.1.2 on the right to whistleblow). After examination of the alerts, the analysis determines whether or not there has been a breach either of the Group's internal rules or of a legal or regulatory obligation applicable to the Groupe, referred to as "incident".

In 2024, 63 incidents were recorded and addressed within the Group on the grounds of discrimination, sexist acts, psychological and sexual harassment. They have all resulted in action plans, including disciplinary sanctions.

No human rights incidents were reported through internal whistleblowing channels or by trade unions.

The total amount of fines, penalties and compensation for damages related to cases of psychological harassment or discrimination within Societe Generale SA in France (resulting from convictions where judgments are final and no longer subject to appeal) was EUR 47,000 in 2024, *i.e.* two convictions for psychological harassment (EUR 35,000 and EUR 12,000). For entities outside France, operational constraints do not allow the collection of this data below a certain threshold.

5.4.1.4.3 CONTRIBUTING INDIVIDUALLY AND COLLECTIVELY TO ACTIONS WITH A POSITIVE IMPACT

The Group offers employees the opportunity to participate in solidarity initiatives, *via* skills-based sponsorship programmes. In France, employees are allocated three days a year to spend with the Societe Generale Foundation's partner associations working within its three fields of action (youth education and workplace integration, culture and environmental protection) or with a non-profit supported by one of the Group's entities. The Group also held solidarity events such as those under the "Move for Youth" association: this internal sports and solidarity challenge was held for the fourth time in 2024 and mobilised nearly 22,000 employees in 62 countries (*i.e.* more than 17% of the Group's employees) with the aim of supporting non-profits that work to advocate for young people and workplace integration.

The Group considers skills-based sponsorship as an opportunity to promote the commitment of its employees to show solidarity, in particular by working for the common good. In addition, skills-based sponsorship is also open to employees at the end of their careers *via* a specific scheme that allows for a long-term commitment (senior part-time). For example, at Societe Generale SA in France, 58 employees spent 15,187 days with non-profit organisations.

The number of days spent by employees on solidarity actions amounted to 11,364 for 11,513 employees within the Group.

In addition, Societe Generale encourages those who wish to join the army reserve forces and allows specific "civil service" leave for this purpose. Any Societe Generale SA employee in France can take leave for this purpose and must obtain the agreement of their manager if this leave surpasses ten days a year. Under an agreement signed by Societe Generale and the Ministry of the Armed Forces dated 10 December 2019, the Group goes beyond its regulatory requirements by continuing to pay compensation for the first ten days of leave for this purpose per year, whether consecutive or not.

5.4.2 CONSUMERS AND END-USERS

5.4.2.1 Material social impacts and risks related to the strategy and business model

MATERIAL SOCIAL IMPACTS RELATED TO THE STRATEGY AND BUSINESS MODEL

A distinction should be made between two types of consumers and end-users within the Group: direct customers of the Group's products and services, and customers of products and services that are provided by counterparties that the Group finances.

Consumers and end-users of Societe Generale's products and services are individuals, mainly connected to the Group through retail banking and insurance activities. They are hereinafter referred to as 'customers'.

Materials IROs (including those related to consumers and end-users) are described in section 5.1.3.1 "Outcomes of the IRO assessment in relation to the strategy and business model".

The Group could potentially have material negative impacts on its customers in the following areas:

- the protection of customer privacy and data in the event of an information leak: due to the very nature of its business model, Societe Generale processes its customers' personal and confidential information. The Group has, therefore, adopted a business model based on the confidentiality of information and its processing, managed with the greatest care, in particular by deploying appropriate cybersecurity tools (see Chapter 4, section 4.10.1), in accordance with legal requirements. The potential impact of an information leak would be on a one-off basis and could affect all customers. Politically exposed customers may, however, be particularly vulnerable in the event of a breach of their personal data;
- the non-discrimination, the access to products and services and the access to quality information: Societe Generale may, in the event of irresponsible business practices, fail to meet one or more of these three objectives. These impacts are intrinsic to the Group's business model as a service provider and taking these impacts into account helps the Group to adapt its model in order to reduce their probability of occurrence. These potential impacts would be one-off and would mainly concern vulnerable customers, who are particularly exposed in the event of irresponsible business practices.

The potential negative impacts on its customers that are considered material for the Group and identified in this section do not give rise to material financial risks, but other social risks relating to consumers and end-users are described below.

MATERIAL "CONSUMERS AND END-USERS" SOCIAL RISK FACTORS

As part of its 2024 materiality assessment process, detailed in section 5.1.3.2 "Description of the processes to identify and assess material IROs", the Group identified the consumers and end-users social risk factor as a potentially significant aggravating factor, in the short and medium terms, of the credit risk associated with its corporate customers in the financing value chain.

The consumers and end-users social risk factor highlights how failure to meet minimum compliance standards, such as personal data protection, adopting responsible sales practices or meeting customer commitments, can expose corporate customers to reputational and litigation risks. These incidents can amplify the financial and operational vulnerabilities of these companies, leading to a deterioration in their credit quality, through increased litigation costs (e.g., fines, damages and legal fees) and reduced revenues. Revenue losses can occur directly, following more reimbursement incidents from customers and indirectly, due to reputational damage resulting in a drop-in business activity.

The assessment of this risk was made qualitatively with respect to the Group's materiality thresholds with a ten-year probability of occurrence.

5.4.2.2 Management of potential material impacts on customers

The Group applies the laws, standards and regulations in force in the various countries in which it operates. The Group goes further by adopting a Code of Conduct that enforces high ethical standards with which the Group wishes to comply in relation to human rights and other interests, the prevention of conflicts of interest and corruption, the fight against money laundering and the financing of terrorism. A monitoring system is in place to ensure that the Code of Conduct is followed. In addition, in 2019, the Group adopted a disciplinary sanctions policy applicable to all employees, which distinguishes between the right to make mistakes and misconduct, with zero tolerance for the latter. The focus on serving the interests of customers, respect for market integrity, data protection and responsible procurement management are at the heart of the Group's practices (see section 5.5.1.1.1 "Ethics in business conduct").

In addition, Societe Generale periodically conducts exercises to identify risks in relation to human rights, fundamental freedoms and health and safety, which are inherent in its activities.

5.4.2.2.1 CUSTOMER POLICIES

By making customers a key priority, the Group Code of Conduct aims to offer the highest standards of service quality, demonstrating the Group's commitment to responsibility and integrity in all areas of its activities. The Group maintains lasting relationships with its customers built on trust, expertise and respect for their legitimate interests. This Code aims to ensure that customers' interests are protected.

The Global Customer Protection Policy, described in the Group's internal documentation (SG Code), provides a general framework for addressing customer concerns. It sets out the fundamental principles of Societe Generale's rules on customer protection, reflecting the Group's commitment to international standards and best practices. It aims to ensure that business is conducted in an honest, fair and professional manner, putting the interests of customer first. This policy applies to the entire Group, with specific rules for the European Economic Area (EEA) or France, as detailed in specific sections. It covers all entities, Business Units and Service Units across the Group, which apply it with the support of their Compliance function.

Areas of risk relating to customer protection include management of the product and service offering, including product governance obligations, the duty to provide customers with information, advice-related requirements, compliance with canvassing and cross-border activities, the prevention of conflicts of interest, the protection of customer assets and the efficient handling of complaints. Specific rules govern the professional qualification requirements, evaluation and compensation of employees in charge of marketing products and services. As regards Retail Banking customers, the Group's internal policy has defined rules aimed at protecting the most vulnerable customers, who are subject to a particular duty of care and monitoring, in line with their situation, during the marketing process and in general. The Bank is committed to protecting vulnerable customers who are identified on the basis of criteria such as age, legal capacity (minors and persons under legal protection) as well as financial precarity.

The Group Code of Conduct emphasises the importance of having in-depth knowledge of customers in order to offer them products and services tailored to their situation and needs in terms of bringing their projects to fruition or anticipating their financing needs, in order to advise and inform them, taking into account their level of expertise and the conditions or risks associated with certain transactions.

The Code of Conduct is available on the Group's corporate website.

The section below describes how the Group Code of Conduct is reflected in local policies, which may differ slightly for each of the Group's business lines and specifically addresses certain issues.

Policies on access to goods and services

As part of its policies on products and services, Societe Generale supports the fight against discriminatory practices towards customers.

COMBATING DISCRIMINATORY PRACTICES WHEN ENTERING INTO A CUSTOMER RELATIONSHIP

In accordance with French law which prohibits all forms of discrimination (Articles 225-1 to 225-4 of the Penal Code), Societe Generale offers its financial products and services to all customers without discrimination in accordance with the Group's General Principles. These practices have been transcribed into the Group's internal standards documentation as well as into the Group's publicly available Code of Conduct, which is binding on all employees. Societe Generale's internal standards documentation makes specific reference to discrimination and extends compliance with the provisions of French law to all entities; it states that situations involving the rejection of a customer's request to enter into a relationship may not be motivated by discrimination based on gender, ethnic origin or religion. Refusal to open an account is based on objective and lawful reasons relating to the banking risks that the relationship may generate.

As part of the fight against banking exclusion, the rules described in the Group's internal standards documentation (SG Code) provide for the provision of information and support to customers whose application to open an account is refused, and set out the terms and conditions for welcoming customers who may be referred by a Central Bank with a view to opening an account offering basic services within the framework of the "right to an account" (a mechanism applicable in France by transposition of European law and in certain countries in the African region).

ACCESSIBILITY OF GOODS AND SERVICES - DISABILITY

Societe Generale places particular emphasis on the accessibility of its products and services, particularly for customers with disabilities.

The Group ensures that its services are adapted to the needs of customers with disabilities. This includes access to automatic teller machines (cashpoints) as well as their use with headphones for visually impaired users across the SG Network, braille account statements and that includes improving the ergonomics of digital applications. The Group also prioritised physical accessibility, with a compliance rate of over 98% across its entire branch network as of October 2024, with 2,083 accessible sites.

Societe Generale is also a signatory of the "Manifesto for the inclusion of people with disabilities in economic life", reaffirming its commitment to digital accessibility. This commitment involves optimising access to digital tools, incorporating accessibility into the design of information systems and developing inclusive digital solutions. Accessibility remains at the heart of the Group's actions to promote the inclusion of people with disabilities, in addition to the following areas: recruitment, employee retention, training and awareness of teams and responsible purchasing in the disability employment sector.

The Group publishes its Multi-Year Accessibility Plan and continues to bring its websites and mobile applications into compliance.

Marketing practices for products and services that respect customers' interests

With regard to rules on marketing practices, Societe Generale applies high ethical standards, as part of a sales approach oriented towards acting in the customer's interest, providing accurate and clear information, dealing with complaints, providing mediation, preventing conflicts of interest and requires its employees to comply with these standards.

A RANGE OF PRODUCTS AND SERVICES AND A SALES APPROACH THAT RESPECTS CUSTOMERS' INTERESTS

Societe Generale offers products and services tailored to the needs of its customers, in compliance with the regulatory framework.

The Group applies strict governance standards in the development, review and marketing of its product and service offerings, in compliance with European Regulations on customer protection, in particular MiFID II and the Insurance Distribution Directive (IDD) on financial savings offerings. The system is in place both in terms of governance of products and advice as well as compliance with information obligations.

New products and services are rigorously assessed by the Group's New Products Committees, co-chaired by representatives of the Risk Department and other relevant departments. These Committees assess risks and ensure that appropriate mitigation measures are in place prior to the launch of a new offering or significant changes to existing products, services or processes. The Board of Directors' Risk Committee regularly reviews any issues raised by New Products and Services Committees (see Chapter 3 "Risk Committee Charter").

Societe Generale also sets up Product Governance Committees to ensure that the target market is properly defined and adapted if necessary. As a distributor, Societe Generale checks that products or services are tailored to the situation and needs of customers and holds discussions with producers to ensure that products are monitored throughout their life cycle.

Lastly, greater attention is paid to compliance with the “Value for money” principle within the context of governance and product pricing in order to offer customers the “right price” with regard to the value of the product or service offered.

In accordance with the Group’s Code of Conduct, when distributing products, Societe Generale employees rely on an in-depth knowledge of customers in order to:

- offer them products and services tailored to their situation and needs in terms of bringing their projects to fruition or anticipating their financing needs;
- advise and inform them, taking into account their level of expertise and the conditions or risks associated with certain transactions.

SUPPORTING FINANCIALLY VULNERABLE CUSTOMERS

Societe Generale adopts standards of good professional practices in terms of financial vulnerability, in particular the French Association of Credit Institutions and Investment Firms (AFCEI) Charter for banking inclusion and the prevention of over-indebtedness. This charter includes all the commitments made in terms of capping rates for vulnerable customers (professional practice of the French Banking Federation - FBF). The system includes a mechanism for the early detection of financially vulnerable customers, based on a combination of internal Know Your Customers systems.

The Group has also put in place procedures that meet regulatory requirements for the detection and support of “financially vulnerable” customers, in particular through the Specific Offering for Financially Vulnerable Customers. Since 2019, this scheme has included additional measures for vulnerable customers:

- freezing banking fees;
- capping monthly banking fees for vulnerable customers;
- following-up and providing tailored support to all customers experiencing difficulties in the situation of specific events.

Societe Generale ensures that the lending criteria and terms of the products offered do not lead to undue hardship and over-indebtedness for borrowers.

ACCURACY AND CLARITY OF INFORMATION IN THE DISTRIBUTION OF PRODUCTS AND SERVICES

Obligations to provide customers with information are part of a general duty to act honestly and fairly (in good faith and impartially) and professionally in order to serve customers’ best interests.

The Group applies rules on transparency, cautions and alerts. Their purpose is to draw customers’ attention, in good time, to all the information that enables them to have a clear understanding of the service or product offered to them, to check that the service being provided to them is really what they expected, to measure the financial consequences and to make their decision in full knowledge of the facts. The information provided to customers/prospective customers must be clear, accurate, and not misleading, regardless of the communication medium. Customer information is now being expanded for ESG labels and designations, in line with the expectations of regulators and supervisors who are gradually improving the monitoring of communications on the Sustainability of products offered by asset management companies, including proposed selections. Customers’ sustainable investment preferences are taken into account in investment advice proposals or for insurance products.

COMPLAINTS HANDLING AND MEDIATION

Processing a claim is a commercial transaction that impacts customer satisfaction. Updated in 2023, the Group policy on “Customer Claim Processing” incorporates the recommendations of the national supervisors (*Autorité de Contrôle Prudentiel et de Résolution* – ACPR and *Autorité des Marchés Financiers* – AMF) and the regulatory requirements (MiFID II, the Insurance Distribution Directive – IDD and the Payment Services Directive – PSD) relative to the strengthening of customer protection measures at European level. The rules require the business lines to have an *ad hoc* governance, organisation, human and application resources, formalised procedures and quantitative indicators for monitoring complaints.

As for mediation, a measure aimed at amicable settlement is brought to customers’ notice on multiple information media, in particular, through a permanent notice on the back of bank account statements. The decisions taken by the independent ombudsman are followed, with rare exceptions, by the entities concerned.

PREVENTION OF CONFLICTS OF INTEREST

The Group has a normative framework in place to prevent and manage conflicts of interest. The system tackles various types of potential conflicts of interest: those of Group entities that may arise in the course of business, whether with respect to customers or other third parties (suppliers, etc.) and those of employees when their personal activities and interests conflict with their professional activities. The system is supplemented by the annual reporting of conflicts of interest (*Déclaration Annuelle des Conflits d’intérêts* – DACI) regarding people most exposed to the risks of corruption. Societe Generale prioritises its customers’ interests under all circumstances. If, however, in some instances, this system proves inadequate when it comes to removing the risk of conflicts of interest with reasonable certainty and in accordance with local regulations, Societe Generale will either refrain from carrying out the transaction or, insofar as confidentiality requirements allow, will inform the customer or prospective customer of the general nature or source of conflict of interest. The customer can then make an informed decision.

A summary of the Group’s conflict of interest management policy was updated in 2023 and is available on Societe Generale’s website.

EMPLOYEE-RELATED REQUIREMENTS

Societe Generale trains its employees in rules on customer protection and ensures that they have the knowledge and skills required to offer appropriate products and services to customers in full transparency.

The Group applies compensation policies and practices that aim to:

- bring together the interests of customers, employees, the Group and its shareholders;
- prevent conflicts of interest in customer relations;
- encourage taking into account the actions of each party with regard to the Group's values and commitments, as set out in the Code of Conduct, as well as respect for the interests and the fair treatment of customers.

Employee compensation decisions take into account performance evaluation, based on both quantitative and qualitative criteria. Qualitative criteria include the assessment of behaviour in terms of compliance with applicable regulations and internal rules. Within this context, the annual employee appraisal includes a mandatory Conduct and Compliance section, allowing managers to take these criteria into account when evaluating their employees' annual performance. Depending on the position, the assessment includes the following criteria:

- review of the knowledge and skills required for the position;
- respect for the customer's interests;
- fair treatment of customers (sale of products tailored to the customer's investment profile).

In French Retail Banking, the Operational Risk and Compliance Committee now highlights the risk of misconduct, including forced selling, with a systematic search for root causes and the implementation of an action plan. To remedy the situation, the "Customer" and "Human Resources" teams send out guidelines on sales targets and appropriate conduct to managers every year, stressing the core concept of responsible sales. Mystery client visits at SG Network branches throughout the year helps support and promote the process. To further improve customer experience and satisfaction, a customer satisfaction target was included in the sales force evaluation criteria from 2021. A specific internal procedure expressly states that tied selling cannot be part of the criteria for individual performance bonuses.

Privacy protection policies

As part of its privacy protection policy, Societe Generale agrees to comply with the requirements of banking secrecy (in accordance with Law No. 84-46 of 24 January 1984, known as the "Banking Law") as well as to protect customers' personal data in accordance with the General Data Protection Regulation (GDPR).

PROTECTION OF CONFIDENTIAL INFORMATION

Professional secrecy is a legal obligation, reiterated in the Group's Code of Conduct and set out in the Group's internal standards documentation (SG Code). It applies, under all circumstances, to all employees who may have relations with third parties, in particular with the media, including through new communication channels such as social networks.

All Group employees are required to only use it internally for professional purposes and only disclosing it outside the Company if they are authorised to do so in the cases provided for by law, in particular, at the request of certain judicial or supervisory authorities.

In addition, employees holding certain confidential information as a result of their duties, that has the status of inside information within the meaning of stock market regulations, are subject to even stricter obligations of confidentiality, disclosure and/or abstention.

Certain customer information may be forwarded to the Group's subcontractors or to service providers carrying out essential or important functions or tasks on behalf of the Group, within the meaning of banking regulations, under the conditions provided for by law and/or provided for by contractual clauses.

PERSONAL DATA PROTECTION

Societe Generale is especially sensitive to personal data protection. The personal data processing framework at the Group has been enhanced since the introduction of the General Data Protection Regulation (GDPR). A governance and normative framework have been defined for the data protection system which applies to entities within the scope of article 3 of the General Data Protection Regulation.

In accordance with the applicable regulations, the Group has appointed a Data Protection Officer (DPO) who reports to the Head of Group Compliance. In addition, the DPO reports at least once a year to the Audit and Internal Control Committee (as defined in Chapter 3 of the Universal Registration Document, paragraph: Audit and Internal Control Committee) on the implementation of obligations arising from the GDPR. The DPO is the main contact person for the Personal Data Protection Authority (*Commission Nationale de l'Informatique et des Libertés* – CNIL in France) and the DPO is responsible for ensuring that the Group complies with the General Data Protection Regulation.

The DPO works with a network of local DPOs and contacts throughout the Group entities, supervised and coordinated by way of a dedicated Committee. The DPO is tasked with performing regular reviews of certain risk indicators, notably the number and nature of personal data leaks, and the internal training course completion rate.

Respect for, and commitments to, human rights

As a signatory of the United Nations Global Compact since 2003, Societe Generale supports the ten fundamental principles of the United Nations Global Compact, including those related to human rights and labour. The Group conducts its activities on the basis of the values and principles set out in the main international guidelines and conventions, including:

- the OECD Guidelines for Multinational Enterprises;
- the United Nations Guiding Principles on Business and Human Rights (UNGP);
- the United Nations Sustainable Development Goals (SDGs).

5.4.2.2.2 ACTIONS TAKEN TO REDUCE THE NEGATIVE IMPACTS RELATING TO THE PRODUCTS AND SERVICES OFFERED BY THE GROUP

Actions related to access to products and services

Over the past few years, the Group has implemented several concrete actions to ensure inclusive and equitable access to its products and services. These actions include educational campaigns, support for financial education and workplace onboarding as well as support for micro-finance schemes.

EDUCATIONAL ACTIONS, FINANCIAL EDUCATION AND WORKPLACE INTEGRATION

Societe Generale supports financial education, which also helps to prevent financial exclusion. These initiatives are supported by the Group's subsidiaries as well as by the Societe Generale Foundation.

In recent years, Societe Generale has launched a number of initiatives to educate and support its customers: video programmes such as “*le 5' des experts*” to address financial topics, the Boost platform offering a range of non-banking services for young customers and programmes such as “*1 Jeune 1 Solution*” to connect young job seekers with companies that are recruiting.

Via its *Boursorama.com* information portal, BoursoBank provides its customers with training courses to acquire the fundamentals of financial education. This system, called Bourso Campus, is made up of a set of educational videos sequenced in three levels (beginner, intermediate, advanced) with tests to validate the knowledge acquired at the end of each module.

The *Boursorama.com* site also makes a wide range of financial information content available to all users and now offers an analysis of the environmental, social and governance impacts of nearly 4,000 companies, allowing investors to take this information into account when choosing their investments.

In the countries where the Group operates, philanthropic initiatives provide support to public interest structures and organisations that carry out projects in the fields of education, culture and the environment.

In terms of education, these initiatives are aimed, in particular, at young people through financial education, education through sport and culture and workplace integration, particularly around jobs relating to the environmental and digital transition.

Through its Corporate Foundation, Societe Generale supports the Crésus association, whose mission is to fight against financial exclusion by providing necessary tools to private and public organisations, non-profits and individuals. The association also plays a role in providing education on budgeting by developing educational tools that facilitate the understanding of budget management issues. In 2013, Crésus launched the budget education programme, *Dilemme*, which aims to teach budgeting in a recreational way. Societe Generale has supported this programme since its inception and has raised awareness among nearly 100,000 young people over the past 10 years through *Dilemme* workshops. The project is also being developed in other countries such as Romania, Malta, Benin, etc.

ACTIONS TO SUPPORT MICROFINANCE

Societe Generale actively supports microfinance. This activity offers a range of financial services (mainly loans, savings, insurance and money transfers) intended for entrepreneurs or companies with limited resources or limited access to traditional banking institutions.

Since 2006, the Group has worked in partnership with ADIE (a non-profit promoting the right to economic initiative) to support microfinance throughout both metropolitan and overseas France. Outstanding loans with ADIE amounted to EUR 41.2 million at end-2024, compared with EUR 35.9 million at the end of 2023.

2024

Provision of credit lines in partnership with ADIE (In EURm)	21.5
Loans outstanding with ADIE (In EURm)	41.2

In Africa, Societe Generale has been supporting the development of microfinance for nearly 20 years, meeting the significant needs of local populations and very small enterprises (VSEs) that do not have access to traditional banking services.

In 2024, Societe Generale continued to support this sector by financing its African network customer institutions in local currency, over the short or medium term. The Group still has a seat around the table of institutions that it helped to create in the 2000s and which are now key players in their respective markets.

Actions related to responsible marketing practices

The Group is committed to improving its responsible marketing practices through concrete actions, in particular by supporting customers who are financially vulnerable, handling complaints and providing access to mediation to effectively respond to customer requests and customer dissatisfaction.

FINANCIAL VULNERABILITY

Societe Generale has put in place a dedicated system for identifying and supporting financially vulnerable customer.

In France, Societe Generale has launched several initiatives aimed at offering banking products and services to the most financially vulnerable customers, who often face difficulties in accessing traditional financial services. The Group supports them with budgeting

difficulties, providing services tailored to their needs. These initiatives are part of a broader approach to financial inclusion.

One such product is Generis – an everyday banking offering available for a nominal fee of 1 euro per month, designed to help financially vulnerable customers stay on top of their accounts. Generis provides for customers practical tools such as financial simulations and personalised budget management advice. The Group ensures that its teams receive specialised training to better support its financially vulnerable customers.

Another inclusive offer is Kapsul, introduced in 2020, which targets customers looking for greater financial autonomy and budget control. Accessible both online and in-branch, Kapsul offers essential banking services for just 2 euro per month, with no income requirements or account maintenance fees.

	2024
Number of customers benefiting from the Kapsul offer	6,962
Number of customers benefiting from the Generis offer	56,092

BoursoBank, an online bank, subsidiary of the Group, strives to be accessible to all audiences and to support its customers regardless of their financial situation and needs. To do this, BoursoBank has set up various tools allowing customers to be warned of any future overdraft position and to manage their budget with Wicount in their customer space. More specifically, for financially vulnerable customers, BoursoBank offers a specific online offering that is completely free of charge. This gives access to essential banking services while protecting vulnerable customers in order to stop them from getting into debt. This free tier also limits the billing of incident fees since only the following fees are billed with a cap of 15 euro per month:

- fixed fee per cheque rejected due to lack of funds;
- costs relating to the rejection of direct debits due to lack of funds;
- registration in the Banque de France's Central Cheques File for dishonoured cheques;
- seizure costs (third party debt order, garnishment, etc.).

FIGHT AGAINST OVER-INDEBTEDNESS

Since 2013, the Group has had a centralised and automatic system for supporting customers in the event of payment incidents. Customers experiencing payment incidents (Accounts receivable for more than 90 days or 2 unpaid loans) are taken care of by specialised advisors.

Since 2023, one of these services has been deployed in each of the regional divisions in order to be as local as possible to customers and branches. These services take over the commercial relationship in place at the branch on a temporary basis and seek, together with the customer in question, solutions for the gradual settlement of unpaid debts.

Since their inception in 2023, the amicable negotiation/special cases services have handled more than 18,000 cases. Once customers' financial situation has cleared up, they can resume a banking relationship within their Societe Generale branch, the return rate to the branch was 72% in 2024.

In addition, since 2021, Societe Generale has improved its system by setting up the Incident Prevention Service – through its subsidiary Concilian operating as an own brand – which contacts customers (the commercial relationship remains in the branch) as soon as the customer's current account has been overdrawn for 60 days and/or from the first unpaid loan.

COMPLAINT HANDLING AND MEDIATION

In the event of an ongoing disagreement with a customer, Societe Generale offers direct and free access to the Customer Relations Department with a response within two months, then, if necessary, to the ombudsman. Since 2023, Societe Generale French Retail Banking has adhered to mediation with the French Banking Federation (FBF).

The Group has set up a system for handling complaints that is available to any natural person or legal entity that subscribes for, or is likely to subscribe to, its products and services, on a private or professional basis. This includes all customers (retail, professional and business) that have an existing business relationship with Societe Generale, as well as third parties that are not customers (prospective customers or any other third party in connection with a product or service offered by the Group). Such complaints include any type of dissatisfaction in connection with the sale, compliance or management of a product or service offered (e.g. investment advice). They may concern a product or banking or financial service, the failure to provide a product or service, the payment of expenses or fees, pricing levels, fraud, damages suffered by a customer, contact with a staff member, refusal to provide a service, or failure by a professional to fully comply with a regulation.

	2024
Number of mediation requests received by the ombudsman for SG Network in France	6,671
Cases processed by the ombudsman, deemed admissible	4,003
Cases processed by the ombudsman, decision made	951

Actions for privacy protection

Over the past few years, Societe Generale has taken concrete measures to guarantee the protection of privacy and personal data. These initiatives include personal data protection and archiving management, in accordance with the Personal Data Protection Policy and the Data Archiving Policy described in the Group's internal standards documentation (SG Code).

BANKING SECRECY

All Group employees with access to customer data are required to respect banking secrecy. The issue of professional secrecy, as well as the more general issue of the security of the information entrusted to the Bank, is the subject of strict standards-related documentation as well as regular training for bank advisors. Controls on compliance with these guidelines are also in place.

PERSONAL DATA PROTECTION

Personal data protection is taken into account notably through impact analyses carried out pursuant to regulations when the data processing is likely to generate a high risk for the rights and freedoms of the data subjects. In general, Societe Generale analyses the compliance of its personal data processing and takes risk mitigating measures appropriate to their level of sensitivity.

Firstly, Societe Generale has set up an information and training system. In fact, the Group has set up information systems for data subjects (such as customers, employees – including external employees, shareholders, suppliers' employees), relating, in particular, to the type of data collected, the purpose of the data processing, the categories of recipients of the data, the existence of data transfer (where applicable), the data retention period and the rights of data subjects, as well as how those rights can be exercised. Moreover, the Group has made dedicated efforts to increase staff awareness *via* specialised training. An e-learning module was rolled out to all employees working in relevant entities and was completed by 97.8% of employees at the end of 2024. In 2024, Societe Generale also rolled out a GDPR awareness-raising campaign for external staff identified as working on the premises of relevant entities with access to the Group's information systems.

In addition, Societe Generale has put in place processes that make it possible to analyse and reduce the risks associated with data processing. The Group has, therefore, now put in place processes to comply with regulations, including analysis of the legal basis for processing; responses to requests from data subjects to exercise their rights under GDPR, such as data correction and deletion; management of personal data breaches and implementation of action plans in relevant situations; the application of security measures to personal data and the creation of processing registries. More specifically, when using legitimate interest as legal grounds for the transfer of data, Societe Generale performs an analysis to check that the interests sought do not create an imbalance that adversely affects the rights and interests of the persons whose data are being processed.

From a cybersecurity perspective, data is classified according to its level of sensitivity and both organisational and technical protection measures are defined according to these levels and applied to the various processing operations, throughout the life cycle and processing of the data. The technology may include various methods for authenticating and identifying persons/applications accessing the data, encryption methods to protect them, or anti-leak systems.

Furthermore, before transferring the personal data outside of the European Economic Area, the Group entities subject to the GDPR conduct an impact analysis considering the laws and practices of the destination countries to assess whether the level of personal data protection in the country of destination is essentially equivalent to that of the European Union, and whether additional measures (especially safety and organisational measures) should be implemented prior to the transfer.

When the Group communicates personal data to its partners, it applies the necessary governance to meet regulatory requirements and its customers' legitimate expectations with contractual obligations requiring said partners to implement the necessary personal data protection measures. In particular, in the event of the transfer of personal data outside the European Economic Area, the partners undertake to take all necessary measures before the transfer, including security measures.

Societe Generale conducts internal audits on its outsourced essential service providers as part of its annual audit plan. Audits are also carried out on these service providers within the framework of the Inter-Inspection General Committee (CIIG). Compliance with the GDPR is an integral part of the field of investigation.

Lastly, data purging, which incorporates personal data protection regulations, is managed within the wider context of archiving proof of activity (described in the section on "Data records management" below).

Societe Generale has a risk control and monitoring system. This internal control framework for GDPR non-compliance risk is based on the Group's "three lines of defence" model. The Group has tools for documenting data processing and risk analyses, ensuring consistency within Societe Generale.

In addition, a risk assessment exercise is carried out periodically by the Compliance Department. This risk assessment exercise includes a specific questionnaire on personal data protection. It aims to assess an activity's intrinsic risk level and the robustness of its risk mitigation system from a personal data protection perspective.

Lastly, the risk indicators are reported to the Group's Personal Data Protection Compliance Committees. The information gathered from the permanent controls, compliance controls and periodic controls (control framework based on the three lines of defence) are also monitored by the appropriate Compliance Committees.

DATA RECORDS MANAGEMENT

The Group is required to archive information that could provide evidence of its activities, in accordance with the laws and regulations applicable in its countries of operation. Data record management is defined as the set of actions, tools and methods that aim to identify, preserve, make accessible and manage the final disposition of all information constituting evidence of an activity. It ensures the traceability of the Group's activities by preserving records held in compliance with the legal, regulatory, contractual and business rules applicable to related activities, and by destroying them at the end of their retention period (purge), except in specific, duly justified cases (e.g., under pre-litigation or litigation retention procedures). Three Data records management principles must be respected and applied proportionately for all archived information: integrity, traceability and access. Governance and Data records management principles are the subject of a specific groupwide policy, published in the Group's internal standards documentation.

5.4.2.3 Remedy negative material social impacts and manage relationships with customers

5.4.2.3.1 INTERACTIONS WITH CUSTOMERS REGARDING NEGATIVE MATERIAL SOCIAL IMPACTS

Societe Generale has developed a number of mechanisms for collecting information on the negative material impacts of its activity.

Interactions with customers are insured through:

- the dialogue with Group stakeholders;
- the monitoring the complaint-handling system.

Societe Generale is engaged in an ongoing dialogue with its stakeholders, enabling it to receive warnings. For more information on stakeholder dialogue, see section 5.1.2.3 “Stakeholder interests and views”.

More specifically, with regard to financial inclusion, Societe Generale is a member of the Observatory of Banking Inclusion (OIB), which monitors credit institutions’ practices in terms of banking inclusion. Chaired by the Governor of the Banque de France, the OIB brings together stakeholders representing public authorities, banks and civil society through consumer associations. Societe Generale and other credit institutions provide the OIB with information on access to, and use of, banking services and financial inclusion practices that feed into the OIB report, which is published annually.

The Group has also set up a system for handling complaints that is available to any natural person or legal entity that subscribes to, or is likely to subscribe to, its products and services, on a private or professional basis. This system is described in section 5.4.2.2.2 “Actions taken to reduce the negative impacts relating to the products and services offered by the Group”.

5.4.2.3.2 MECHANISMS USED TO ADDRESS NEGATIVE MATERIAL SOCIAL IMPACTS

A number of procedures have been put in place by the Group to address the potential negative material impacts of products and services offered to customers. Some of them have been described in the previous paragraph (section 5.4.2.2.2 “Actions taken to reduce the negative impact relating to the products and services offered by the Group”):

- complaint management, mediation;
- fight against over-indebtedness;
- support for financial education provided by its entities and the Societe Generale Foundation.

Societe Generale also monitors customer satisfaction, in order to better understand their needs and improve the products and services offered to them.

Customer satisfaction monitoring

Customer satisfaction is monitored by the entire Group. Continuous improvement in customer satisfaction, Net Promoter Score (NPS) and customer experience are incorporated into Chief Executive Officers’ variable compensation and their implementation is assessed, on an annual basis, by the Board of Directors (for more information, see Chapter 3 of the present Universal Registration Document).

In order to measure and monitor customer satisfaction and identify the practical measures to be taken, the SG Network draws on various data collection systems to obtain a full overview of the quality delivered and the quality perceived by its customers. The main indicators used to measure this perceived quality are overall satisfaction, NPS and satisfaction with the customer experience.

These various measures are based on:

- listening to all of its customers on an ongoing basis to measure perceived quality. This system accounts for more than 50,000 items of customer feedback/month from individual and professional customers and more than 2,200 items of customer feedback/quarter from companies. The answers are analysed in depth in order to define action plans:
 - centrally, as part of continuous improvement loops of all customer experiences,
 - locally, at branch level, by calling customers and monitoring them based on a certain number of predefined criteria (especially if they are not satisfied);
- benchmark surveys for all markets. Every year, the SG Network appoints the CSA research institute with a survey of 15,000 individual, wealthy, professional and corporate customers of the ten or eleven market leading banks. The results benchmark Societe Generale in its competitive environment and help guide its ambition to be a leading player in customer satisfaction;
- around 6,000 messages a month from “SG & Vous”, a direct discussion channel with our customers on the various social networks (Facebook, X, Instagram).

Constantly improving customer satisfaction is also a major focus of Societe Generale Assurances’ strategy. In order to monitor customer satisfaction, Societe Generale Assurances has set up a comprehensive “voice of the customer” data collection system.

This takes the form of four types of measurements:

- the “cold NPS” to obtain opinions on all areas of the value proposition: coverage of needs, personalisation, accessibility, expertise, communication, support;
- on-the-spot feedback, including “on-the-spot NPS” to understand customers’ immediate level of satisfaction after telephone contact with Customer Relations Centres. These measurements are complemented by an analysis of customer *verbatim*s;
- the “NPS Customer Journey” to measure the level of customer satisfaction after a complete cycle such as a subscription, a claim or a financial transaction on a Whole Life Insurance policy;
- measuring satisfaction with digital tools in order to improve spaces and fully meet customer needs and expectations.

In 2024, a “cold NPS” was set up in the insurance business, boosted by the increase in customer satisfaction relating to products, online features and personalisation of communications. Societe Generale Assurances is continuing to optimise omnichannel pathways, develop relationship models tailored to the needs of each customer, launch new online features and provide greater accessibility at key moments in policyholders’ lives, as levers for improving customer satisfaction.

Internationally, a customer satisfaction survey (which includes an NPS and competition surveys) is conducted every year on individual and business customers. This is completed at KB and BRD by on-the-spot surveys conducted among individual customers after they interact with the Bank to measure their satisfaction level.

In 2024, the Retail Banking Customer Satisfaction Survey covered seven countries: the Czech Republic, Romania, Morocco, Algeria, Cote d'Ivoire, Senegal and Cameroon.

In the Czech Republic, KB posted a stable and resilient NPS in 2024, in a market marked by strong competition and against the backdrop of the bank’s ongoing digital transformation throughout the year. In Romania, BRD’s NPS recorded a sharp increase, thanks in particular to the effort made to improve its mobile and internet services.

In Sub-Saharan Africa, Group’s banks maintained their position in the top third of banks despite a downward trend in 2024.

5.4.2.4 Mitigating material financial risks related to “consumers and end-users” social risk factors

To address the effect of risks related to “consumers and end-users” social risk factors, Societe Generale builds social criteria analysis into the ESG risk factor analysis process, which is itself incorporated into the credit approval process. In these analysis, consumers and end-users are considered as a whole, without taking into account any segmentations.

5.5 BUSINESS CONDUCT INFORMATION

5.5.1 MANAGEMENT OF MATERIAL IMPACTS RELATED TO BUSINESS CONDUCT

5.5.1.1 Corporate culture in business conduct

5.5.1.1.1 ETHICS IN BUSINESS CONDUCT

The Group oversees that business is conducted in an ethical and responsible manner. This matter is placed at the highest level of the Group's governance. The Board of Directors:

- determines the Group's Activity Guidelines, ensures their implementation and reviews them at least once a year. These include the Group's Code of Conduct, which it endorses;
- reviews at least twice a year the activity and results of internal control, notably compliance monitoring, including compliance incidents and action plans;
- shall also have all the relevant information on the evolution of risks, in particular in the fight against money laundering and the financing of terrorism (AML/CFT) and shall determine to this end the volume, form and frequency of the information transmitted to it. More specifically, it regularly reviews the AML/CFT policy, risk classification, systems and procedures, and their effectiveness. It is informed, at least once a year, of the activity and results of the internal controls in this area, of incidents and deficiencies, and of the corrective measures taken. It approves the report on internal control dedicated to AML/CFT. Debates in these different areas are prepared in advance by the Audit and Internal Control Committee;
- ensures that a system for the prevention and detection of corruption and influence peddling is in place and receives all the necessary information for this purpose;
- is informed of the "whistleblower" system in place and its development.

The Risk Committee is responsible for reviewing the results of the Compliance function's annual exercises and reviewing Culture and Conduct indicators. It regularly reviews the dashboards on reputational and compliance risks as well as significant incidents that may affect the institution with regard to reputational and compliance risks. It also examines, at least semi-annually, the risks related to financial security, the AML/CFT policy, the arrangements and procedures put in place to address significant incidents and deficiencies in relation to AML/CFT and asset freezes.

The Audit and Internal Control Committee provides an annual update on matters related to customer protection; the integrity of markets and the implementation of GDPR (General Data Protection Regulation) obligations; It is also responsible for reviewing compliance incidents and related action plans.

The Nomination and Corporate Governance Committee prepares for the Board of Directors' consideration of issues relating to corporate culture.

Description of the corporate culture

The Group seeks to establish a culture of responsibility and apply strict control and compliance standards. It commits its employees to acting with integrity and in accordance with applicable law in all its activities.

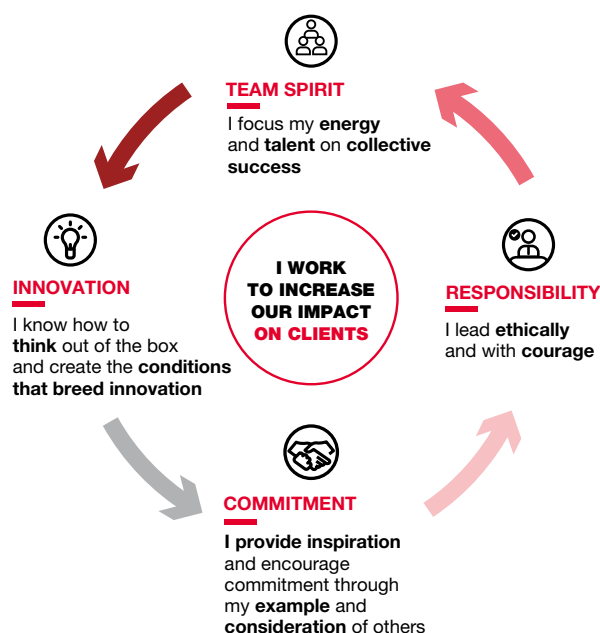
Societe Generale has built a strong corporate culture based on its values, its Leadership Model and its Code of Conduct.

The Group's values

The Group relies on four core values (Team Spirit, Innovation, Commitment, Responsibility) to nurture and promote a culture of responsibility and ethical behaviour throughout the Group, which are essential factors to achieve its strategic objective of sustainable performance.

These values feed into the Group's Leadership Model, which defines the expected behaviours and skills that can be observed and assessed, tailored for each corporate level (executives, managers, employees) in order to align results and objectives.

The four values are translated into key competencies:



Employees' annual objectives are set based on the four values of the Group's Leadership Model. One of the values is attached to each behavioural objective, and employees can use the Leadership Model to formulate their annual objectives.

The Code of Conduct, a vehicle for the Group's values

The Group conducts its operations in line with the values set out in the following major international conventions:

- the Universal Declaration of Human Rights and its additional commitments;
- the fundamental conventions of the International Labour Organization (ILO);
- the UNESCO Convention concerning the protection of the world cultural and natural heritage;
- the OECD (Organisation for Economic Co-operation and Development) Guidelines for Multinational Enterprises;
- the United Nations Guiding Principles on Business and Human Rights (UNGP).

These values are embedded in the Code of Conduct policy document covering all of the Group's activities and countries in which it operates. Available in the main languages spoken in the Group, the Code of Conduct sets out a common framework for all activities. It forms the basis of professional ethics within the Group and formalises commitments to all internal and external stakeholders and the individual and collective professional behaviours expected. The Code of Conduct promotes respect for human rights and the environment and specifies the individual and collective professional behaviours expected through sections dealing with respect for confidentiality, the market integrity, the management of conflicts of interest, relations with all its stakeholders: customers, suppliers, supervisors and other supervisory authorities, and finally civil society. It also lays down principles on the prevention of corruption risks, the fight against money laundering, the financing of terrorism and tax evasion.

Culture and Conduct

The Group nurtures and promotes its corporate culture by integrating the Culture and Conduct dimensions into the activities of the Business Units and Service Units with annual roadmaps aligned with their strategic and risk management objectives. The Human Resources and Compliance functions ensure a steering role for the system and a solid and sustainable governance of the corporate culture. The Group strengthened its set up in 2024 creating a new role of Group Head of Culture and Conduct, reporting to General Management and responsible for supervising and promoting the design, implementation and application of ethical programmes and standards across the Group.

The Group deploys training, awareness-raising and communication initiatives on the themes of Culture and Conduct in various formats. The themes covered focused in particular on the promotion of the culture of dialogue.

The culture of responsibility is integrated into human resources, with the conduct of employees taken into account in their performance assessment, and the formalisation since 2019 of a disciplinary sanctions policy setting out the principles applicable to the management of misconduct and the recognition of the right to make mistakes.

Finally, the Group assesses its corporate culture through regular reviews of organisational maturity, risk management and indicators related to Culture and Conduct (employer barometer, training, whistleblowing right, conduct incidents). An annual presentation is made to the Board of Directors and regular reviews are carried out at the level of the Executive Committee to supervise the implementation and monitoring of the measures.

These reviews are based in particular on:

- an assessment of maturity in terms of corporate Culture and Conduct risk management taking into account the organisational focuses, communication, conduct risk management and processes influencing the corporate culture;
- and indicators relating to both corporate culture (selection of results from the employer barometer, completion of training, use of the whistleblowing right) and conduct (conduct incidents, follow-up of alerts from the whistleblowing procedure).

Mechanisms in place to identify and address reports of unlawful behaviour or behaviour that breaches the Code of Conduct

Conduct incidents can be identified by management or through controls or the exercise of the whistleblowing right.

The process of reporting compliance incidents is governed by an *ad hoc* governance that makes it possible to report malfunctions that have occurred and to avoid the occurrence of incidents of the same nature, as presented in Chapter 4.11 "Compliance incidents".

When conduct incidents are identified, they are investigated by teams with the means and expertise required for this type of investigation, either directly by experts or by the audit or general inspection (3rd line of defence) for complex cases or when the required investigative acts (e.g. access to certain tools, access to employee data, etc.) require it. The incidents actually identified as a result of these investigations are reviewed through Committees, such as the Compliance Incident Committee and the Audit and Internal Control Committee. All conduct incidents are also analysed as part of the annual Culture and Conduct report, presented to the Board of Directors.

In-house Culture and Conduct training

The annual training of employees on Culture and Conduct has been strengthened with the creation of a training course on ethics and conduct, consisting of three modules (Code of Conduct, Culture of Dialogue and Exercise of the Whistleblowing Right) distributed since December 2023. It complements the mandatory training courses carried out on all of the Group's risks (corruption, money laundering and terrorist financing, market abuse, psychosocial risks, inappropriate conduct, etc.).

5.5.1.1.2 WHISTLEBLOWER PROTECTION

Group whistleblowing system

The Group's whistleblowing system, accessible *via* the corporate website and the intranet, has been set up in France and internationally. It meets all French and international legal obligations, in particular the law of 9 December 2016, known as "Sapin 2" on transparency, the fight against corruption and the modernisation of economic life, as amended by the Waserman law of 21 March 2022, transposing Directive 2019/1937 of the European Union, aimed at improving the protection of whistleblowers, and also the law of 27 March 2017 on the duty of vigilance of parent companies and contracting companies.

The Group's whistleblowing system allows the parties involved to report suspected violations or attempted cover-ups related to human rights, health, safety, the environment or situations contrary to the Group's Code of Conduct. This mechanism is open to employees, management, shareholders, business partners and other stakeholders who have a relationship with the Group. It is complementary to and does not replace the complaints and mediation system set up exclusively for the Bank's customers.

The Group prohibits all forms of retaliation or discriminatory measures against whistleblowers in good faith, in particular by respecting the choice of anonymity of the issuer of a report and by ensuring strict confidentiality regarding the identity of whistleblowers. The awareness campaigns on the whistleblowing right carried out for all employees recall the measures that the Group is taking to guarantee the protection of whistleblowers.

Annual training and awareness campaigns on the right to whistleblow

The Group deploys annual training and awareness raising campaigns to inform employees about the whistleblowing system and its challenges. All employees receive training on the whistleblowing right at least once a year. These training sessions explain the protection afforded to whistleblowers and include a module on ethics and conduct, helping employees to report incidents through the appropriate channels. Managers and whistleblowing managers undergo detailed training on the management of reports, focusing on best practices (confidentiality, anonymity, prohibition of retaliation).

Alert processing

The whistleblowing system ensures that alerts are handled securely, regardless of whether they are made anonymously or not, *via* a confidential reporting channel on a dedicated external platform (WhistleB tool) that ensures the protection of personal data. All alerts are reviewed and investigated by qualified experts (Compliance, Audit, Human Resources), in application of the "need to know" principle. In the event of identified incidents, thorough investigations are carried out by specialised teams with the necessary resources and corrective actions are implemented.

5.5.1.2 Corruption prevention and detection

5.5.1.2.1 ANTI-CORRUPTION POLICIES

Societe Generale is fully committed to fighting corruption, in particular by participating in the Wolfsberg Group and the UN Global Compact. The Group promotes a culture of compliance in which no form of corruption or influence peddling is tolerated. The management body's commitment to zero tolerance for the risk of corruption is regularly expressed in communications to the Group's staff.

Societe Generale Code on the fight against corruption and influence peddling

The code governing the fight against corruption and influence peddling is integrated into the Group's Internal Rules. It defines and illustrates the situations to be avoided and those that should alert as being likely to characterise acts of corruption. This code is aligned with Societe Generale's values and the United Nations Convention against Corruption.

As part of its system for preventing corruption risks, the Group has identified the employees most exposed to the risk of corruption in order to provide them with appropriate training.

The criteria for defining the employees most exposed to the risk of corruption are described in the Group's internal normative documentation. It details the employees concerned among:

- the governing bodies;
- sales managers;
- employees in charge of purchasing;
- employees with notarial power of attorney or who are identified as interest representatives.

In addition to these criteria, it is specified in the Societe Generale Code that other criteria may be added at the level of each Business Unit, Service Unit or Legal Entity depending on the results of their risk mapping and their specificities.

Internal mechanisms for the prevention and detection of corruption

The Group's system for preventing and detecting cases of corruption includes (1) a Code of Conduct, (2) a risk mapping, (3) a training system, (4) third-party evaluation procedures, (5) accounting control procedures, (6) a control framework, (7) a disciplinary regime and (8) a whistleblowing system.

Prevention is based on the definition of a normative framework, the implementation of risk mapping and the deployment of a training and awareness-raising policy.

The Group defines strict principles through the Code of Conduct, a framework applicable to all of the Group's activities and subsidiaries and the Code Governing the Fight Against Corruption and Influence Peddling, which are available on the Group's corporate website. This Code defines and illustrates the situations to be proscribed and those that should alert as being likely to characterise acts of corruption.

The principles defined through these codes are set out in internal policies and procedures formalised in the Group's Normative Documentation and reviewed annually. Their deployment within the Group is ensured through a dedicated tool (called "MyP&P").

Internal norms and policies governing the fight against corruption covers the following areas:

- the obligations to evaluate third parties through the requirement of specific due diligence, whether they are customers, suppliers or partners (in particular beneficiaries of patronage and sponsorship actions);
- contractual policy;
- mergers and acquisitions activities;
- interest representation activities;
- the rules applicable to business gifts and external events;
- human resources (recruitment, mobility, professional assessment, remuneration, disciplinary framework);
- conflict of interest situations.

The set up of third-party assessments, including screening and analysis processes implemented at the start of the relationship and then on a periodic basis, aim to enable appropriate risk management decisions to be taken, including termination of the relationship if necessary.

The detection systems are based on monitoring mechanisms (operational controls and specific accounting controls), second-level controls carried out by independent teams and the work of the Group Inspection and Audit Department. The alert system is also a detection channel.

The systems for managing and reporting compliance incidents deal with cases of corruption. The process for reporting compliance incidents is based, in particular, on the Compliance Incident Committees held at intermediate levels for the business pillars and at the consolidated level for the Group. The presentation of incidents (suspected or proven cases) is systematically accompanied by corrective action plans with the aim of preventing the occurrence of new incidents of the same nature. The monitoring indicators and rules for reporting incidents through these Committees allow the various governance bodies to be informed. The Group Compliance Incidents Committee informs the following bodies of major incidents: the executive body through the Group Compliance Committee, the Board of Directors' Risk Committee in the Group Compliance dashboard and the Supervisor where applicable.

The Group also has several tools at its disposal, such as the Gifts and Hospitality Reporting tool (GEMS), the Whistleblowing management tool (WhistleB), the annual conflict of interest declaration tool (DACI), the Risky Manual Ledger Entry Selection tool (OSERIS) and the Standards Deployment Monitoring tool (MyP&P).

Training programmes on the prevention and detection of corruption

Societe Generale has set up a structured training programme to raise awareness and equip its employees to deal with corruption risks, by offering modules adapted to their level of exposure.

Societe Generale has set up a training plan for the fight against corruption, consisting of five modules:

- "All staff" training;
- training of employees most exposed to corruption risks (Most Exposed Persons);
- training of employees in charge of mitigating the risk of corruption;
- training of Board Directors of SG SA and subsidiaries;
- training of the Group's Accounting and Finance Departments.

Basic training, covering the fundamental principles of the fight against corruption, is provided in an e-learning format, which is mandatory for all employees.

For At-risk functions, the Group identifies the categories of employees most exposed to the risk of corruption in order to provide them with appropriate training. These categories are defined on the basis of the following criteria: membership of the governing bodies, sales managers, purchasing managers, employees with notarial power or who are among the interest representatives.

Employees identified as "Most Exposed Persons" benefit from in-depth training, face-to-face or e-learning, tailored to their specific industries and responsibilities. Accounting auditors also receive training in the form of e-learning every three years, to strengthen their understanding and role in anti-corruption governance, thus contributing to rigorous supervision and control within the Group. Employees responsible for risk mitigation functions (Anti-Bribery and Corruption (ABC) Managers, ABC Compliance Officers and other Anti-Bribery Compliance staff) attend certification training, such as the Association of Certified Anti-Money Laundering Specialist (ACAMS) modules.

For the Directors of the SG SA entity, the training is required every two years and is provided by the Group's ABC Manager.

Participants	At-Risk Functions ("MEP" Most Exposed Persons)		Governance bodies		All staff ⁽¹⁾
	Face-to-face	Online training	Face-to-face	Online training	
Total (Targeted)	5,824	4,310	16		118,601
Total Participants	5,569	4,299	16		117,320
Percentage of coverage	95.60%	99.70%	100%		98.90%
Format and duration					
ABC Training – Most exposed staff to corruption risks	2 hours				
Fight Against Corruption – Most Exposed People (MEP)		40 minutes			
Fight Against Corruption – Group					40 minutes
Fight Against Corruption – Group			2 hours		
Frequency					
ABC Training – Most exposed staff to corruption risks	Once for the new ABC MEP				
E-learning MEP		Every 2 years			
ABC face to face training AMSB			Every 2 years		
E-learning All Staff					Every 2 years

(1) All staff includes At-Risk functions and concerns all employees and non-employees (excluding self-employed)

The figures for employees trained as of 30 September 2024 correspond to a training campaign started and finished in 2024.

5.5.1.2.2 ACTS OF CORRUPTION

Societe Generale has not been convicted or fined for any acts of corruption in 2024.

5.5.1.3 Supplier relations

5.5.1.3.1 POLICIES AND MANAGEMENT OF RELATIONS WITH SUPPLIERS

Description of approaches to supplier relations, taking into account supply chain risks and impacts on Sustainability issues

The Sourcing Function, led by the Group Head of Sourcing, handles the commercial and contractual aspects of all of the Group's external commitments other than payroll expenses.

Societe Generale's Sourcing Function plays an important role in implementing the Group's CSR strategy. It helps give tangible form to the Group's values and strives to ensure the Group's environmental and social (E&S) commitments are achieved.

In place since 2006, the responsible sourcing policy covers all stakeholders in the value chain (vendors, buyers and suppliers, including SMEs) and has two main strands:

- upholding the Duty of Care Plan;
- promoting positive-impact sourcing strategies.

The Group's sourcing practices are part of a continuous improvement approach and are annexed to the global agreement on fundamental rights with UNI Global Union.

To support these ambitions, the Group's normative documentation on sustainable sourcing sets out how E&S risks are managed within the Group.

The Group's efforts are recognised through the award of the Responsible Supplier Relations Label awarded by the French National Ombudsman (*Médiation des entreprises*) and National Procurement Council (*Conseil National des achats*). This certification, underpinned by ISO 20400, attests to Societe Generale's commitment to the sustainable purchasing policy it has pursued with its suppliers for over 15 years. The Group has been awarded "exemplary" status in managing risk, seeking out CSR opportunities and adding CSR considerations to its expressions of requirements when preparing calls for tender.

Proven or potential E&S impact management system

Operational implementation of the normative documentation and management of E&S impacts at all stages of the sourcing process are based on a set of tools to identify, assess and manage E&S impacts at the level of the product or service purchased and the supplier or service provider. These tools are used for purchases managed by the Group Head of Sourcing and at least for high risk categories with regards to purchases managed by the Sourcing Function in other countries. They are gradually being phased in across the Group.

Mapping and assessment of intrinsic E&S risks by purchasing category

The intrinsic E&S risk mapping by purchasing category covers more than 150 subcategories of banking sector procurement. The assessment of the level of risk for each category of purchases is based on three axes: fair practices and ethics, environment, as well as human rights and social conditions.

The categories of purchases with the highest levels of E&S risks are those related to building works (renovation or fitting out, but also the construction of new buildings), waste management and telephone and IT equipment.

To identify and assess inherent E&S risks, the Group Head of Sourcing draws primarily on:

- identifying the level of E&S risks for purchasing categories using the dedicated E&S risk mapping tool;
- including E&S criteria in calls for tender involving purchasing categories ranked as medium-high or high E&S risk, at least covering the scope of procurement overseen by the Group Head of Sourcing and, since 2021, for calls for tenders conducted by the Sourcing Function in other countries involving purchasing categories ranked as high E&S risk;
- including E&S criteria in the KYS (Know Your Supplier) assessment for shortlisted suppliers, including verifying compliance with the E&S exclusion list;
- the extra-financial assessment carried out by independent third parties of certain "targeted" suppliers (suppliers accounting for a significant purchasing volume at Group level);
- identifying whether a Group supplier represents a potential source of E&S controversy, strengthened since 2022, thanks in particular to the monitoring in a dedicated tool for identification and analysis of ESG controversies of approximately 600 suppliers "targeted" and/or presenting a medium or high E&S risk for procurement overseen by the Purchasing Division in France, and a high E&S risk for procurement overseen by the Sourcing Function in other countries.

Actions to prevent and mitigate risks of intrinsic E&S impairment in relations with suppliers and subcontractors

In addition to the measures to identify and assess inherent E&S risks when conducting business in the sourcing process, various actions to prevent and mitigate inherent E&S risks in this area have been implemented, and consist of:

- including, in calls for tender E&S requirements covering the main risks for the purchasing categories identified in the risk mapping, at least for the purchasing categories ranked as medium-high or high E&S risk for procurement overseen by the Purchasing Division in France and, since 2021, for calls for tenders conducted by the Sourcing Function in other countries involving purchasing categories ranked as high E&S risk;
- weighting E&S criteria according to the degree of E&S risk represented by the purchasing category in question, according to the rating criteria for service or product bids;
- the integration of a CSR clause in the contract models of the Group Head of Sourcing and the Sourcing Function in other countries, which includes the contractual commitment related to compliance with the Responsible Sustainable Sourcing Charter, principles at least equivalent to those set out in the Group's Code of Conduct, as well as the possibility of carrying out on-site E&S audits;
- if E&S performance is considered insufficient:
 - incentive the implementation of remedial action plans,
 - monitoring of review of controversies and changes in extra-financial ratings,
 - option to conduct on-site E&S audits.

Training and incentives for purchasing managers for effective collaboration with suppliers

To support the effective implementation of these measures, specific training courses on Responsible Sourcing and E&S risk management tools are provided to all professional buyers in the Group Head of Sourcing. These training courses were adapted and extended to buyers in the Sourcing Function in other countries and to entities that are likely to regularly manage purchases and that express a need for the training.

A Supplier Relationship Management (SRM) programme has been set up by the Group Head of Sourcing to deepen the relationship and identify future development opportunities with the most strategic suppliers for the Group.

Finally, operational CSR objectives are integrated into the process of evaluating the performance of the Group Head of Sourcing's professional buyers according to the challenges of the purchasing categories for which they are responsible.

5.5.1.3.2 PAYMENT PRACTICES

Societe Generale promotes a responsible approach in relations with its suppliers and implements a set of measures aimed at optimising payment terms for the Group's suppliers. The "Responsible Sourcing and Supplier Relations" label, which the Group has held since 2012, recognises the quality of supplier relationship management within the Group.

The Group's commitment to compliance with payment deadlines is formalised in:

- the Group's internal normative documentation (Code Societe Generale);
- all contracts signed with suppliers, which include a commitment clause concerning payment terms;
- information via the Group's website, which is aimed at suppliers and highlights the Group's commitments regarding payment terms.

As of 2020, the strategy of digitising the invoices received as well as the implementation of a policy, known as "No Purchase Order, no Pay", requiring the issuance of an order number for all purchases and reminding suppliers of the requirement to include it on the invoice, have improved payment processes. The Group has channels that allow for differentiated processing (invoicing correspondents, dematerialised platform, channel dedicated to urgent payments), which can be effective in the relationship with small suppliers, SMEs or local suppliers as well as in the management of sensitive suppliers.

Payment management takes into account criteria such as the age of the invoice, the supplier's situation or the sensitivity of the purchasing category in order to speed up processing.

The table below provides a summary of the key metrics related to payment terms:

Country	Proportion to the Group's total invoices ⁽¹⁾	Average payment time (days)	Percentage of payments aligned with Group practices ⁽²⁾
SG GROUP⁽¹⁾	100%	31	89%
France	48%	38	87%
Czech Republic	22%	14	93%
Romania	6%	23	90%
Germany	4%	24	93%
India	3%	30	93%
United Kingdom	2%	29	92%
United States of America	2%	44	81%
Spain	2%	52	78%
Netherlands	2%	38	91%
Luxembourg	1%	38	87%
Hong Kong	1%	50	79%

(1) The first line of this table "SG Group" is equal to the total for all countries. Only entities representing more than 1% of the total scope are listed in the table above.

(2) Payments are managed within a period of 60 days from the date of the invoice (according to the French Law) or in compliance with the contractual deadline.

The scope of the invoices paid for this first publication is limited to overheads. The scope of the entities includes the PTP (Procure to Pay – Shared Service Centre managing the payment of invoices for 68 subsidiaries and branches and Societe Generale SA) and the subsidiaries Ayvens, Komerční Banka (Czech Republic), BRD (Romania), Franfinance, Boursorama and Sogécap which have their own solution. This represents 83% of the amount of the Group's overheads. In 2024, across the Group, there are five ongoing legal proceedings concerning late payments: two in France, two in Sweden and one in Turkey.

5.5.2 MANAGEMENT OF MATERIAL RISKS RELATED TO BUSINESS CONDUCT

5.5.2.1 Material risks related to business conduct

As part of its 2024 materiality assessment process, detailed in this section 5.1.3.2 “Description of the processes to identify and assess material IROs”, the Group has identified governance risk factors as a potentially significant short, medium and long terms aggravating factor of the credit risk associated with its corporate counterparties and financial institutions in the Bank financing value chain.

In this context, the Group’s governance refers to corporate governance in its broadest sense. It includes all the processes, structures and mechanisms that shape the control and strategic direction of corporate clients. The quality of governance is determined by several factors, including the competence and expertise of the decision-making bodies or key people within these companies. It also depends on their practices in their relations with customers and suppliers, in the prevention of corruption and the management of conflicts of interest, their approach to ethical issues, as well as their risk management and attention to environmental and social responsibilities.

Failure by corporate clients to meet high governance standards can negatively impact their performance and expose them to compliance, reputational and litigation risks. These risks may have consequences on their financial situation leading to a deterioration in their credit quality.

These governance risks are thus transmitted to credit quality through cascading effects. For example, litigation risks can result in financial costs (e.g., fines, damages, legal fees) and indirect revenue losses due to reputational damage and possible reduced business.

The assessment of this impact was carried out qualitatively and was based on a scenario with a probability of occurrence of 10 years.

5.5.2.2 Prevention and mitigation of material financial risks related to business conduct

The Group manages the governance risk factor on credit risk through a set of measures including:

- an integration of the governance criterion into the ESG risk factor analysis process, which is itself integrated into the credit approval process of clients counterparties;
- an analysis at the beginning of the relationship and constant vigilance regarding business relationships with corporate clients for financial security aspects through dedicated processes and tools including:
 - the Know Your Customer process (KYC),
 - continuous monitoring of controversies and negative information relating to client counterparties,
 - the identification of politically exposed persons among the legal representatives and beneficial owners of the corporate client,
 - the detection of links of attachment (nexus) for the application of sanctions (presence on lists of designated persons or sectoral sanctions),
 - continuous monitoring of transactions to identify potential money laundering or terrorist financing scenarios;
- E&S exclusion and identification lists:
 - the E&S exclusion list includes companies excluded under certain E&S sector policies. This is updated quarterly as part of the E&S risk identification system. Societe Generale has pledged that it will not knowingly supply banking or financial services to such companies. This list is now included in the Group’s financial security tool and is available to all employees who deal with corporate clients,
 - the E&S identification list identifies projects, corporates and sectors that are the subject of public attention, criticism or campaigns within civil society in relation to ESG concerns. When a business or transaction is included in this list, the process of granting credit involves a more thorough evaluation.

5.5.3 CYBERSECURITY

Information on cybersecurity is available in Chapter 4.2 on the Risk management organisation and in Chapter 4.10 on Operational risk of this Universal Registration Document. The latter presenting the organisation of operational risk management and as well as the operational risk monitoring and measurement system.

5.6 LOOKUP TABLES

5.6.1 LOOKUP TABLE LISTING DATA POINTS REQUIRED BY OTHER EU LEGISLATION

This cross-reference lookup table is intended to help the reader find the main ESRS data points related to the information required by European Union legislative acts other than the CSRD or its delegated acts (ESRS). This cross-reference table is based on Appendix B of ESRS 2. The label of the data points mentioned in column 'publication requirement' stemming from different legislative acts may differ from the exact designation of the datapoint as required by the ESRS. In case of discrepancy, mentioned by an asterisk for the published datapoints, please refer to the designation and content of the corresponding paragraph in ESRS standards as referenced in the first column.

For the datapoints published in the sustainability statement, the corresponding pages are presented in the column 'publication'. The non-publication of a datapoint is also mentioned; it concerns indicators that are not material, not applicable to the Group activities or subject to phase-in provisions in the ESRS standards.

ESRS and paragraph	Publication requirement	SFDR Reference	Pillar 3 Reference	Benchmarks Regulation Reference	European Climate Law	Publication
ESRS 2 GOV-1 § 21 d)	Board's gender diversity*	X		X		292
ESRS 2 GOV-1 § 21 e)	Percentage of Board members who are independent			X		66 - 72
ESRS 2 GOV-4 § 30	Statement on due diligence	X				294
ESRS 2-SBM-1 § 40 d) i)	Involvement in activities related to fossil fuel activities	X	X	X		Not published
ESRS 2-SBM-1 § 40 d) ii)	Involvement in activities related to chemical production	X		X		Not published
ESRS 2-SBM-1 § 40 d) iii)	Involvement in activities related to controversial weapons	X		X		Not published
ESRS 2-SBM-1 § 40 d) iv)	Involvement in activities related to cultivation and production of tobacco			X		Not published
ESRS E1-1 § 14	Transition plan to reach climate neutrality by 2050*				X	302 - 314
ESRS E1-1 § 16 g)	Undertakings excluded from Paris-aligned Benchmarks		X	X		302
ESRS E1-4 § 34	GHG emission reduction targets	X	X	X		304 - 311 and 313 - 314
ESRS E1-5 § 38	Energy consumption from fossil sources disaggregated by sources (only high climate impact sectors)	X				Not published
ESRS E1-5 § 37	Energy consumption and mix	X				Not published
ESRS E1-5 § 40-43	Energy intensity associated with activities in high climate impact sectors	X				Not published
ESRS E1-6 § 44	Gross scope 1, 2, 3 and Total GHG emissions	X	X	X		321 - 324
ESRS E1-6 § 53 to 55	Gross GHG emissions intensity	X	X	X		Not published

ESRS and paragraph	Publication requirement	SFDR Reference	Pillar 3 Reference	Benchmarks Regulation Reference	European Climate Law	Publication
ESRS E1-7 § 56	GHG removals and carbon credits				X	Not published
ESRS E1-9 § 66	Exposure of the benchmark portfolio to climate-related physical risks			X		Not published
ESRS E1-9 § 66 a)	Disaggregation of monetary amounts by acute and chronic physical risk		X			Not published
ESRS E1-9 § 66 c)	Location of significant assets at material physical risk		X			Not published
ESRS E1-9 § 67 c)	Breakdown of the carrying value of its real estate assets by energy efficiency classes		X			Not published
ESRS E1-9 § 69	Degree of exposure of the portfolio to climate-related opportunities			X		Not published
ESRS E2-4 § 28	Amount of each pollutant listed in Annex II of the E-PRTR Regulation (European Pollutant Release and Transfer Register) emitted to air, water and soil	X				Not published
ESRS E3-1 § 9	Water and marine resources	X				Not published
ESRS E3-1 § 13	Dedicated policy	X				Not published
ESRS E3-1 § 14	Sustainable oceans and seas	X				Not published
ESRS E3-4 § 28 c)	Total water recycled and reused	X				Not published
ESRS E3-4 § 29	Total water consumption in m3 per net revenue on own operations	X				Not published
ESRS 2-SBM 3 – E4 § 16 a) i)		X				Not published
ESRS 2-SBM 3 – E4 § 16 b)		X				Not published
ESRS 2-SBM 3 – E4 § 16 c)		X				Not published
ESRS E4-2 § 24 b)	Sustainable land/ agriculture practices or policies	X				Not published
ESRS E4-2 § 24 c)	Sustainable oceans/seas practices or policies	X				Not published
ESRS E4-2 § 24 d)	Policies to address deforestation	X				Not published
ESRS E5-5 § 37 d)	Non-recycled waste	X				Not published
ESRS E5-5 § 39	Hazardous and radioactive waste	X				Not published
ESRS 2-SBM 3 – S1 § 14 f)	Risk of incidents of forced labour	X				Not published
ESRS 2-SBM3 – S1 § 14 g)	Risk of incidents of child labour	X				Not published
ESRS S1-1 § 20	Human rights policy commitments*	X				330
ESRS S1-1 § 21	Due diligence policies on issues addressed by the fundamental International Labor Organisation Conventions 1 to 8*			X		330

ESRS and paragraph	Publication requirement	SFDR Reference	Pillar 3 Reference	Benchmarks Regulation Reference	European Climate Law	Publication
ESRS S1-1 § 22	Processes and measures for preventing trafficking in human beings	X				Not published
ESRS S1-1 § 23	Workplace accident prevention policy or management system*	x				334 - 335
ESRS S1-3 § 32 c)	Grievance/complaints handling mechanisms*	x				338
ESRS S1-14 § 88 b) & c)	Number of fatalities and number and rate of work-related accidents	x		x		Not published
ESRS S1-14 § 88 e)	Number of days lost to injuries, accidents, fatalities or illness	X				Not published
ESRS S1-16 § 97 a)	Unadjusted gender pay gap	X		X		336
ESRS S1-16 § 97 b)	Excessive CEO pay ratio*	X				336
ESRS S1-17 § 103 a)	Incidents of discrimination*	X				339
ESRS S1-17 § 104 a)	Non-respect of UNGPs on Business and Human Rights and OECD Guidelines*	X		X		339
ESRS 2-SBM3 – S2 § 11 b)	Significant risk of child labour or forced labour in the value chain	X				Not published
ESRS S2-1 § 17	Human rights policy commitments	X				Not published
ESRS S2-1 § 18	Policies related to value chain workers	X				Not published
ESRS S2-1 § 19	Non-respect of UNGPs on Business and Human Rights principles and OECD guidelines	X		X		Not published
ESRS S2-1 § 19	Due diligence policies on issues addressed by the fundamental International Labor Organisation Conventions 1 to 8			X		Not published
ESRS S2-4 § 36	Human rights issues and incidents connected to its upstream and downstream value chain	X				Not published
ESRS S3-1 § 16	Human rights policy commitments	X				Not published
ESRS S3-1 § 17	Non-respect of UNGPs on Business and Human Rights, ILO principles or OECD guidelines	X		X		Not published
ESRS S3-4 § 36	Human rights issues and incidents	X				Not published
ESRS S4-1 § 16	Policies related to consumers and end-users	X				340 - 343

ESRS and paragraph	Publication requirement	SFDR Reference	Pillar 3 Reference	Benchmarks Regulation Reference	European Climate Law	Publication
ESRS S4-1 § 17	Non-respect of UNGPs on Business and Human Rights and OECD guidelines*	X		X		343
ESRS S4-4 § 35	Human rights issues and incidents	X				Not published
ESRS G1-1 § 10 b)	United Nations Convention against Corruption	X				351
ESRS G1-1 § 10 d)	Protection of whistle-blowers	X				351
ESRS G1-4 § 24 a)	Fines for violation of anti-corruption and anti-bribery laws	X		X		353
ESRS G1-4 § 24 b)	Standards of anti-corruption and anti-bribery*	X				351 - 353

5.6.2 LOOKUP TABLE LISTING MATERIAL DISCLOSURE REQUIREMENTS

Besides ESRS 2 disclosure requirements that are mandatory, the lookup table below indicates the publication requirements considered as material regarding topical ESRS and where to refer in the sustainability statement.

Standard	Disclosure requirement	Page
ESRS E1 – Climate Change	Disclosure Requirement E1-1 – Transition plan for climate change mitigation	302 - 314
	Disclosure Requirement E1-2 – Policies related to climate change mitigation and adaptation	315 - 319
	Disclosure Requirement E1-3 – Actions and resources in relation to climate change policies	319
	Disclosure Requirement E1-4 – Targets related to climate change mitigation and adaptation	304 - 311 and 313 - 314
	Disclosure Requirement E1-6 – Gross scopes 1, 2, 3 and Total GHG emissions	321 - 322
ESRS S1 – Own Workforce	Disclosure Requirement S1-1 – Policies related to own workforce	330
	Disclosure Requirement S1-2 – Processes for engaging with own workers and workers' representatives about impacts	337 - 339
	Disclosure Requirement S1-3 – Processes to remediate negative impacts and channels for own workers to raise concerns	337 - 339
	Disclosure Requirement S1-4 – Taking action on material impacts on own workforce, and approaches to mitigating material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions	331 and 336
	Disclosure Requirement S1-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities	331
	Disclosure Requirement S1-6 – Characteristics of the undertaking's employees	329
	Disclosure Requirement S1-7 – Characteristics of non-employee workers in the undertaking's own workforce	
	Disclosure Requirement S1-8 – Collective bargaining coverage and social dialogue	337 - 339
	Disclosure Requirement S1-9 – Diversity metrics	333 - 334
	Disclosure Requirement S1-10 – Adequate wages	337
	Disclosure Requirement S1-11 – Social protection	334 - 336
	Disclosure Requirement S1-12 – Persons with disabilities	333 - 334
	Disclosure Requirement S1-13 – Training and skills development metrics	332
	Disclosure Requirement S1-14 – Health and safety metrics	334
	Disclosure Requirement S1-15 – Work-life balance metrics	334 - 336
	Disclosure Requirement S1-16 – Compensation metrics (pay gap and total compensation)	336 - 337
	Disclosure Requirement S1-17 – Incidents, complaints and severe human rights impacts	339
ESRS S4 – Consumers and End Users	Disclosure Requirement S4-1 – Policies related to consumers and end-users	340 - 343
	Disclosure Requirement S4-2 – Processes for engaging with consumers and end-users about impacts	347
	Disclosure Requirement S4-3 – Processes to remediate negative impacts and channels for consumers and end-users to raise concerns	347 - 348
	Disclosure Requirement S4-4 – Taking action on material impacts on consumers and end-users, and approaches to managing material risks and pursuing material opportunities related to consumers and end-users, and effectiveness of those actions	344 - 346
ESRS G1 – Business Conduct	Disclosure Requirement G1-1 – Corporate culture and Business conduct policies and corporate culture	349 - 351
	Disclosure Requirement G1-2 – Management of relationships with suppliers	354 - 355
	Disclosure Requirement G1-3 – Prevention and detection of corruption and bribery	351 - 353
	Disclosure Requirement G1-4 – Confirmed incidents of corruption or bribery	353
	Disclosure Requirement G1-6 – Payment practices	355

5.7 REPORT ON THE CERTIFICATION OF SUSTAINABILITY INFORMATION AND VERIFICATION OF THE DISCLOSURE REQUIREMENTS UNDER ARTICLE 8 OF REGULATION (EU) 2020/852

(For the year ended 31 December 2024)

This is a translation into English of the Statutory Auditors' report on the certification of sustainability information and verification of the disclosure requirements under Article 8 of Regulation (EU) 2020/852 of the Company issued in French and it is provided solely for the convenience of English-speaking users. This report should be read in conjunction with, and construed in accordance with, French law and the H2A guidelines on "Limited assurance engagement - Certification of sustainability reporting and verification of disclosure requirements set out in Article 8 of Regulation (EU) 2020/852".

Société Générale

29, Boulevard Haussmann
75009 Paris, France

To the Shareholders,

This report is issued in our capacity as Statutory Auditors of Société Générale. It covers the sustainability information and the information required by Article 8 of Regulation (EU) 2020/852, relating to the financial year ended 31 December 2024 and included in sections 5.1 to 5.6 of chapter 5 "Sustainability statement" of the Group's management report (hereafter "the sustainability statement").

Pursuant to Article L.233-28-4 of the French Commercial Code (Code de commerce), Société Générale is required to include the abovementioned information in a separate section of the Group's management report. This information has been prepared in the context of the first-time application of the aforementioned articles, a context characterised by uncertainties regarding the interpretation of the legal texts, the use of significant estimates, the absence of established practices and frameworks, in particular for the double materiality assessment, and an evolving internal control system. It enables an understanding of the impact of the Group's activity on sustainability matters, as well as the way in which these matters influence the development of its business, performance and position. Sustainability matters include environmental, social and corporate governance matters.

Pursuant to II of Article L.821-54 of the aforementioned Code, our responsibility is to carry out the procedures necessary to issue a conclusion, expressing limited assurance, on:

- compliance with the sustainability reporting standards adopted pursuant to Article 29 ter of Directive (EU) 2013/34 of the European Parliament and of the Council of 14 December 2022 (hereinafter ESRS for European Sustainability Reporting Standards) of the process implemented by Société Générale to determine the information reported, and compliance with the requirement to consult the social and economic committee provided for in the sixth paragraph of Article L.2312-17 of the French Labour Code (*Code du travail*);
- compliance of the information included in the sustainability statement with the requirements of Article L.233-28-4 of the French Commercial Code, including with the ESRS; and
- compliance with the requirements set out in Article 8 of Regulation (EU) 2020/852.

This engagement is carried out in compliance with the ethical rules, including those on independence, and quality control, prescribed by the French Commercial Code.

It is also governed by the H2A guidelines on limited assurance engagements on the certification of sustainability information and verification of disclosure requirements set out in Article 8 of Regulation (EU) 2020/852.

In the three separate parts of the report that follow, we present, for each of the parts covered by our engagement, the nature of the procedures we carried out, the conclusions we drew from these procedures and, in support of these conclusions, the elements to which we paid particular attention and the procedures we carried out with regards to these elements. We draw your attention to the fact that we do not express a conclusion on any of these elements taken in isolation and that the procedures described should be considered in the overall context of the formation of the conclusions issued in respect of each of the three parts of our engagement.

Finally, where deemed necessary to draw your attention to one or more items of sustainability information provided by Société Générale in the Group management report, we have included an emphasis of matter paragraph hereafter.

The limits of our engagement

As the purpose of our engagement is to provide limited assurance, the nature (choice of techniques), extent (scope) and timing of the procedures are less than those required to obtain reasonable assurance.

Furthermore, this engagement does not provide a guarantee regarding the viability or the quality of the management of Société Générale; in particular, it does not provide an assessment of the relevance of the choices made by Société Générale in terms of action plans, targets, policies, scenario analyses and transition plans, that would go beyond compliance with the ESRS reporting requirements.

It does, however, allow us to express conclusions regarding the process for determining the sustainability information to be reported, the sustainability information itself, and the information reported pursuant to Article 8 of Regulation (EU) 2020/852, as to the absence of identification or, on the contrary, the identification of errors, omissions or inconsistencies of such importance that they would be likely to influence the decisions that readers of the information subject to this engagement might make.

Any comparative information that would be included in the sustainability statement are not covered by our engagement.

Compliance with the ESRS of the process implemented by Société Générale to determine the information reported, and compliance with the requirement to consult the social and economic committee provided for in the sixth paragraph of Article L.2312-17 of the French Labour Code

Nature of procedures carried out

Our procedures consisted in verifying that:

- the process defined and implemented by Société Générale has enabled it, in accordance with the ESRS, to identify and assess its impacts, risks and opportunities related to sustainability matters, and to identify the material impacts, risks and opportunities that are disclosed in the sustainability statement; and
- the information provided on this process also complies with the ESRS.

We also checked compliance with the requirement to consult the social and economic committee.

Conclusion of the procedures carried out

On the basis of the procedures we have carried out, we have not identified any material errors, omissions or inconsistencies regarding the compliance of the process implemented by Société Générale with the ESRS.

Concerning the consultation of the social and economic committee provided for in the sixth paragraph of Article L.2312-17 of the French Labour Code, we inform you that at the date of this report this consultation has not yet been held..

Observations

Without qualifying our conclusion, we draw your attention to:

- the section 5.1.3.1 “*Results of the assessment of IROs in relation to the strategy and business model*” of the sustainability statement, which states that the policies, actions, targets and indicators relating to material IROs specific to the vehicle leasing management business have been determined and measured by Ayvens Group and presented in its own sustainability statement;
- the section entitled “Nature: Description of the materiality analysis process” in section 5.1.3.2.2 “*Description of the processes to identify and assess material IROs with regard to topical ESRS*”, which sets out the process for analysing the materiality of nature-related IROs, as well as the limitations associated with the methodologies used and the availability of data.

Elements that received particular attention

We set out below the elements that have been the subject of particular attention in relation to our assessment of compliance with the ESRS of the process implemented by Société Générale to determine the information reported.

CONCERNING THE IDENTIFICATION OF STAKEHOLDERS

Information relating to the identification of stakeholders is provided in section 5.1.2.3 “*Interests and views of stakeholders*” of the sustainability statement.

We spoke to management and inspected the documentation available.

We also assessed the consistency of the main stakeholders identified by the Group with the nature of its activities and its geographical location, taking into account its business relationships and its value chain.

CONCERNING THE IDENTIFICATION OF IMPACTS, RISKS AND OPPORTUNITIES (IROS)

Information relating to the identification of impacts, risks and opportunities is set out in section 5.1.3.2 “*Description of processes to identify and assess material IROs*” of the sustainability statement.

We have taken note of the Group’s process for identifying actual and potential impacts (positive and negative), risks and opportunities (“IROs”) in relation to the sustainability issues set out in paragraph AR 16 of ESRS 1 “Application requirements” and, where applicable, those specific to the Group.

In particular, we assessed the approach taken by the Group to determine its impacts, which may be a source of risks or opportunities.

We reviewed the list of IROs identified by the Group, including a description of their distribution in the Group’s own operations and value chain, as well as their time horizon (short, medium or long term), and we assessed the consistency of this list with our knowledge of the Group and, where applicable, with the risk analyses it has carried out.

CONCERNING THE ASSESSMENT OF IMPACT MATERIALITY AND FINANCIAL MATERIALITY

Information on the assessment of impact materiality and financial materiality is provided in section 5.1.3.2 “*Description of processes to identify and assess material IROs*” of the sustainability statement.

, We obtained an understanding of the impact materiality and financial materiality assessment process implemented by the Group through interviews with management and inspection of the available documentation, and assessed its compliance with the criteria defined by ESRS 1.

In particular, we assessed the way in which the Group has established and applied the materiality criteria defined by ESRS 1 to determine the material information disclosed (i) in respect of indicators relating to material IROs identified in accordance with the relevant topical ESRS and (ii) in respect of information that is specific to the Group.

Compliance of the sustainability information included in the sustainability statement in the Group management report with the requirements of Article L.233-28-4 of the French Commercial Code, including the ESRS

Nature of procedures carried out

Our procedures consisted in verifying that, in accordance with legal and regulatory requirements, including the ESRS:

- the disclosures provided provide an understanding of the general basis for the preparation and governance of the sustainability information included in the sustainability statement, including the general basis for determining the information relating to the value chain and the exemptions from disclosures retained;
- the presentation of this information ensures its readability and understandability;
- the scope retained by Société Générale for providing this information is appropriate; and
- on the basis of a selection, based on our analysis of the risks of non-compliance of the information provided and the expectations of users, this information does not contain any material errors, omissions or inconsistencies, i.e., that are likely to influence the judgement or decisions of the users of this information.

Conclusion of the procedures carried out

Based on the procedures we have carried out, we have not identified material errors, omissions or inconsistencies regarding the compliance of the sustainability information included in the sustainability statement with the requirements of Article L.233-28-4 of the French Commercial Code, including the ESRS.

Emphasis of matter

Without qualifying the conclusion expressed above, we draw your attention to sections 5.3.2.1 “General presentation of the transition plan for climate change mitigation” and 5.3.4.2 “Scope for calculating greenhouse gas emissions attributed to the Group” of the sustainability statement, which set out the scope used respectively for the Group’s transition plan and for the calculation of financed emissions relating to the value chain (category 15 of Scope 3 under the GHG protocol). These sections also mention the limitations relating to the availability of data, the assumptions and the methodologies used for the determination of estimates relating to decarbonisation targets and to the greenhouse gas emissions statement.

Elements that received particular attention

The elements to which we paid particular attention concerning the compliance of the sustainability information included in sections 5.3.4 “Greenhouse gas emissions statement attributed to the Group” and 5.3.2 “Transition plan at Group level” with the requirements of Article L.233-28-4 of the French Commercial Code, including the ESRS, are presented below.

- With regard to the information relating to the greenhouse gas emissions statement, our work primarily consisted in:
 - asking what internal control and risk management procedures the Group has put in place to ensure the compliance of the disclosed information;

- concerning Scope 3 emissions (categories 11, 13 and 15), our work consisted in:

- reviewing the methodology used to calculate the estimated data and the sources of information on which these estimates rely;
- gaining an understanding of the scope of assets covered by the calculation of financed emissions and assessing its justification with regard to the reference framework applied as described in the sustainability statement;
- verifying that the basis for calculating financed emissions corresponds to the scope of assets covered as described in the sustainability statement and reconciling it with the consolidated balance sheet; assessing the appropriateness of the emission factors used and the calculation of the relevant conversions, as well as the calculation and extrapolation assumptions, taking into account the inherent uncertainty related to the state of scientific or economic knowledge and the quality of the external data used;
- assessing the appropriateness of the sectoral proxies used by the Group and ensuring, on the basis of samples, that they are correctly used;
- verifying the mathematical accuracy of the calculation of financed emissions, on the basis of samples.

- concerning Scope 3 emissions (categories 1, 2, 6 and 7) from the Group’s own operations, our work consisted in:

- reviewing the approach used to compile the inventory of greenhouse gas emissions;
- assessing the appropriateness of the emission factors used and verifying the calculation of the relevant conversions, taking into account the inherent uncertainty related to the state of scientific or economic knowledge and the quality of the external data used;
- verifying, on the basis of samples, the underlying data used to draw up the greenhouse gas emissions statement, as well as the mathematical accuracy of the calculations used to prepare the estimated emissions.

- Concerning the verification of the transition plan for climate change mitigation, our work consisted primarily in:

- assessing whether the information disclosed in the transition plan meets the requirements of ESRS E1 and provides an appropriate description of the underlying assumptions of the plan, it being understood that we are not required to express an opinion on the appropriateness or the level of ambition of the objectives of the transition plan;
- assessing whether the transition plan reflects the commitments made by the Group and the elements of the strategic plan as approved by management.

Compliance with the reporting requirements set out in Article 8 of Regulation (EU) 2020/852

Nature of procedures carried out

Our procedures consisted in verifying the process implemented by Société Générale to determine the eligible and aligned nature of the activities of the entities included in the scope of consolidation.

They also involved verifying the information reported pursuant to Article 8 of Regulation (EU) 2020/852, which involves checking (i) compliance with the rules governing the presentation of this information to ensure that it is readable and understandable and (ii) on the basis of a selection, the absence of material errors, omissions or inconsistencies in the information provided, i.e., information likely to influence the judgement or decisions of users of this information.

Conclusion of the procedures carried out

Based on the procedures we have carried out, we have not identified any material errors, omissions or inconsistencies in relation to compliance with the requirements of Article 8 of Regulation (EU) 2020/852.

Emphasis of matter

Without qualifying the conclusion expressed above, we draw your attention to the sections “Methodology for implementing the EU Taxonomy Regulation” and “Measuring alignment for customers (Retail)” in chapter 5.2 of the sustainability statement, which respectively present the limitations of certain information presented and the main methodological choices made to assess the alignment of loans granted to retail customers.

Elements that received particular attention

We established that there were no such elements to address in our report.

Neuilly-sur-Seine and Paris-La Défense, 12 March 2025

The Statutory Auditors

PricewaterhouseCoopers Audit

Amel Hardy-Ben Bdira

Ridha Ben Chamek

KPMG SA

Sophie Sotil-Forgues

Guillaume Mabilie

5.8 DUTY OF CARE PLAN

5.8.1 INTRODUCTION

5.8.1.1 Purpose

Societe Generale Group is subject to French legislation enacted on 27 March 2017 on duty of care for parent and subcontracting companies (the Duty of Care Act). The law requires the Group to prepare and implement a duty of care plan to identify risks and prevent serious breaches of human rights, fundamental freedoms, or damage to the health, safety and security of persons and the environment as a result of its activities. In particular, in accordance with the law, this plan must include a mapping of risks of violations (section 5.8.2), regular assessment procedures of these risks (section 5.8.3); suitable actions to mitigate serious risks or prevent serious violations (section 5.8.4); a whistleblowing system to report any violations (section 5.8.5); a procedure to monitor the measures taken and assess their effectiveness (section 5.8.6). In addition to the legal requirements, the Group wanted to summarise the outlook and the expected developments (section 5.8.7).

Since its introduction, the enactment of the duty of care law has been an opportunity for the Societe Generale Group to strengthen its existing vigilance framework as part of a continuous improvement process.

5.8.1.2 Scope of application

The Group's duty of care approach has been built on the basis of the corresponding reference texts. Accordingly, risks related to human rights, fundamental freedoms, health and safety were identified based in particular on the Universal Declaration of Human Rights (1948) and the fundamental conventions of the International Labour Organization. The standard reference document for identifying environmental risks is the Rio Declaration on Environment and Development (1992). This duty of care approach covers Societe Generale and consolidated companies over which Societe Generale exercises exclusive control, (hereinafter the "**Group**").

The Group's duty of care approach is structured around three sub-scopes:

- **Group employees:** aiming to prevent or mitigate the risk of serious violations in respect of human rights, fundamental freedoms or the health and safety of Group employees;
- **Group suppliers and subcontractors with which it maintains an established commercial relationship:** aiming to manage or mitigate the risk of serious breaches of human rights, fundamental freedoms, health, safety and security and the environment associated with the activities of the Group's suppliers and direct subcontractors⁽¹⁾ (i.e. level 1);
- **Group activities:** aiming to prevent the risk of serious violations in respect of human rights, fundamental freedoms, health, safety and security and the environment that are directly associated with the products and services provided by the Group.

5.8.1.3 Governance of the duty of care plan

The Duty of Care Plan was drawn up by the Sustainable Development Department, the Compliance Division, the Human Resources (HR) Department and the Sourcing Division, in coordination with the Legal Department and the Group Security Division. This document is presented to General Management every year; it is also included in the Management Report prepared by the Board of Directors and published in the Universal Registration Document.

The roll-out of the vigilance approach is coordinated by the Sustainable Development Department, the Human Resources Department, the Sourcing Division and the Compliance Division. The Business Units and Service Units are responsible for implementing the plan within their scope.

The Duty of Care Plan was devised in accordance with the principle of continuous improvement. It evolves on the basis of the results of the risk mapping, the updating of policies and internal procedures and tools for managing these risks, changes in activities and new environmental and social commitments made by the Group.

⁽¹⁾ Suppliers and subcontractors with which the Group's companies maintain an "established commercial relationship", i.e. a direct, ongoing and stable commercial relationship (as defined in French case law).

5.8.2 MAPPING OF INHERENT E&S RISKS: IDENTIFICATION, ANALYSIS AND CLASSIFICATION OF RISKS

Societe Generale periodically conducts exercises to identify the risks of violations of human rights, fundamental freedoms, health, safety and security, and the environment that are inherent in its activities (referred to as “**inherent E&S risks**”⁽¹⁾). This identification process, which served as the basis for the deployment of the Group's existing E&S risk management tools and procedures, was completed by mapping the inherent E&S risks for each of the three sub-scopes: employees, suppliers and subcontractors, and its activities.

Each of the risks identified for each sub-scope has been analysed and ranked by cross-referencing sector and geographic data, where relevant. This was done based on information obtained from recognised external databases⁽²⁾ as well as internal experts⁽³⁾.

5.8.2.1 In relations with employees

Societe Generale is based in 60 countries. As the local context is a determining factor in the analysis of the inherent E&S risks applicable to its employees and in the policies and measures deployed to prevent or mitigate serious risks of damage, the Societe Generale Group assesses, in all its countries of operation, the level of exposure to the risks of infringement of human rights, fundamental freedoms and the health and safety of employees.

The mapping of inherent E&S risks was updated in 2024⁽⁴⁾ using an external database⁽⁵⁾ of indicators, which is reviewed annually, detailing the risk levels specific to the country in which the Group operates and to financial sector activities.

The methodology for risk mapping and prioritization is structured around the following parameters:

- country in which a Societe Generale Group entity operates;
- business sector of a Societe Generale Group entity;
- entity's share of the Societe Generale Group's workforce.

The risk mapping and prioritization was completed based on five themes: freedom of association and collective bargaining; discrimination; occupational health and safety; working conditions; human rights.

For each subject area assessed, the following table sets out the proportion of the Group's workforce operating in countries considered to have a low, medium, high and very high level of inherent E&S risk.

Risk exposure	Low	Medium	High	Very high
Freedom of association⁽¹⁾ and collective bargaining⁽²⁾	70.92% of the workforce	28.58% of the workforce	0.50% of the workforce	None
Discrimination⁽³⁾	68.02% of the workforce	30.76% of the workforce	1.22% of the workforce	None
Occupational health and safety⁽⁴⁾	71.42% of the workforce	18.52% of the workforce	10.06% of the workforce	None
Working conditions⁽⁵⁾	69.18% of the workforce	19.83% of the workforce	10.99% of the workforce	None
Human rights⁽⁶⁾	70.62% of the workforce	12.11% of the workforce	17.27% of the workforce	None

(1) As last year, Societe Generale conducted an additional analysis on the subject of “Freedom of association and collective bargaining” based on the **International Trade Union Confederation (ITUC) Index**, which relies in particular on the feedback of local trade unions in 151 countries. By way of comparison, according to the ITUC index, the distribution of the Group's workforce is as follows: 64.23% of the workforce is located in countries considered low or medium risk, 12.30% in high-risk countries and 21.79% in very high risk countries (1.68% of our workforce is located in countries not covered by ITUC). The differences observed between the ITUC (country risk approach) and Verisk Maplecroft (financial sector) indexes were analysed and discussed with UNI Global Union between December 2024 and January 2025: the difference in sectoral approach between the two indexes explains a large part of the differences.

(2) Covers the topics of freedom of association and collective bargaining and freedom of assembly.

(3) Covers the topics of discrimination in the workplace, minority rights, sexual minorities and Women's and Girls' rights. Verisk Maplecroft's “Discrimination” index highlights the extent to which individuals are treated less favourably in the workplace on account of their gender, ethnic origin, religion or beliefs, disability, HIV/AIDS status, migration status, nationality, sexual orientation or gender identity, or for any other reason unrelated to the person's job requirements.

(4) Covers occupational health and safety (OHS) topics (this topic does not include safety indices).

(5) Covers the topics of decent wages, decent working time, the right to privacy, migrant workers.

(6) Covers the topics of: forced labour, trafficking in persons, child labour and “security forces and human rights”

(1) We distinguish between inherent and residual E&S risks; the latter is the remaining level of risk following the implementation of measures by the Group to prevent risks or mitigate their consequences.

(2) HR relies on data from Verisk Maplecroft; Activities drawn from the same source, together with ENCORE (Exploring Natural Capital Opportunities, Risks and Exposure); Sourcing relies mainly on data from Transparency international, the World Bank, the ILO, and UNICEF.

(3) UNI Global Union, for the Employees part only.

(4) In view of its sale in 2024, the SG entity based in Madagascar was not included in this analysis.

(5) Verisk Maplecroft FY2024 and ITUC FY2024 for additional analysis of risks related to “freedom of association and collective bargaining”.

For each subject area assessed, the following table sets out the countries in which the Societe Generale Group operates that have “medium” and “high” risk levels. All the Group’s other countries of operation are all “low” risk.

	Medium	High
Freedom of association and collective bargaining⁽¹⁾	Cameroon, Turkey, Algeria, Guinea, Hong Kong, Malaysia, Mexico, India, Côte d'Ivoire, Mauritania, Morocco, Burkina Faso, Ukraine, United States of America, Singapore, Benin, Brazil, Colombia, Peru, Togo, Senegal, Hungary, Romania, Tunisia, Serbia	China, Equatorial Guinea, United Arab Emirates
Discrimination	Malaysia, Turkey, United Arab Emirates, Burkina Faso, Equatorial Guinea, India, Côte d'Ivoire, Morocco, Senegal, Algeria, Brazil, Ghana, Peru, Tunisia, Ukraine, Togo, Benin, Mexico, Colombia, Romania, Bulgaria, Serbia, Hungary, United States of America, Japan, Greece, Poland, Singapore, Italy	Cameroon, China, Guinea, Mauritania
Occupational health and safety (OHS)	Equatorial Guinea, Benin, Turkey, Cameroon, Brazil, United Arab Emirates, Côte d'Ivoire, Senegal, Ghana, Algeria, Burkina Faso, Morocco, Malaysia, Peru, Mexico, Mauritania, Togo, Ukraine, Colombia, Romania, Tunisia, United States of America, Serbia, Bulgaria, Singapore, Chile	China, Guinea, India
Working conditions	Burkina Faso, Brazil, Turkey, Côte d'Ivoire, Algeria, Senegal, Ukraine, Mexico, Mauritania, Morocco, Togo, Hong Kong, Colombia, Benin, Ghana, Peru, Singapore, Romania, United States of America, Serbia, Tunisia, Taiwan, Japan, Hungary, Greece, South Korea, Chile, Bulgaria, Poland	Cameroon, China, Equatorial Guinea, Guinea, India, Malaysia, United Arab Emirates
Human rights	United States of America, Romania, Hong Kong, Tunisia, Bulgaria, Serbia, Hungary	China, Guinea, Equatorial Guinea, Burkina Faso, Cameroon, India, Brazil, Ukraine, Turkey, Ghana, Mexico, Benin, Côte d'Ivoire, Mauritania, Togo, Malaysia, Peru, Senegal, Colombia, Morocco, United Arab Emirates, Algeria

(1) As it did last year, Societe Generale conducted an additional analysis on the subject of “Freedom of association and collective bargaining” based on the **International Trade Union Confederation (ITUC) Index**, which relies in particular on the feedback of local trade unions in 151 countries. By way of comparison, according to the ITUC index, the distribution of the Group’s workforce is as follows: 64.23% of the workforce is located in countries considered low or medium risk, 12.30% in high-risk countries and 21.79% in very high risk countries (1.68% of our workforce is located in countries not covered by ITUC). The differences observed between the ITUC (country risk approach) and Verisk Maplecroft (financial sector) indexes were analysed and discussed with UNI Global Union between December 2024 and January 2025: the difference in sectoral approach between the two indexes explains a large part of the differences.

5.8.2.2 In relations with suppliers and subcontractors

For this topic, the inherent E&S risk mapping was based on the main sourcing categories for the banking sector from a classification including more than 150 sourcing sub-categories. The risk level assessment for each sourcing category took in three main areas: loyal business practices and ethics (including fraud and corruption, personal data protection, rights of ownership and patents), the environment (including depletion of natural resources, pollution⁽¹⁾, erosion of biodiversity, climate change and greenhouse gas emissions, waste and end-of-life management), and human rights and employment conditions (including health and safety, working conditions and freedom to organise, discrimination, forced labour and modern slavery, child labour). Additional contextual factors were also built into the risk assessment for the sourcing category: supply chain characteristics (complexity, including the number of actors and distance from the intermediaries to the end purchaser) and labour intensity.

The inherent E&S risks of each sourcing category were mapped in conjunction with three other French banks in 2018, with the support of a specialised consulting firm. The mapping was subsequently updated and supplemented within the Group.

The inherent E&S risk levels of each sourcing category are cross-referenced with the corresponding expenditure amounts per category to identify the share of Group purchases in medium-high and high-risk categories.

Accordingly, for the scope analysed by the Sourcing Division France and the Sourcing Function abroad, around 9,62% of the spend was on sourcing categories representing a high inherent E&S risk, and around 9,96% on sourcing categories representing a medium-high inherent E&S risk.

The categories of purchases with the highest levels of inherent E&S risks are those related to work on buildings (renovation or fit-out, but also the construction of new buildings) and IT equipment.

Regarding purchases managed directly by Ayvens, a subsidiary of the Group, in connection with their specific long-term vehicle leasing activity, a mapping of the E&S risks of the sourcing categories is in place. This mapping highlights the risks of inherent E&S damage related to the vehicle manufacturing process and fleet maintenance (manufacture of spare parts in particular). These include greenhouse gas (GHG) emissions, air pollution, intensive use of resources as well as the deterioration of occupational health and safety in factories manufacturing new vehicles or tyres for maintenance.

(1) Water, air, soil, etc.

5.8.2.3 In the Group's activities

The Societe Generale Group provides financial products and services to corporate clients in many sectors, including some that may expose it to inherent E&S risks. The Group recognises the interdependencies between climate, biodiversity and human societies. In assessing them, the Group bases its reflections on the available scientific data.

In 2024, the Group carried out an identification, assessment and prioritisation of the inherent E&S risks related to its corporate finance portfolio with a sectoral (and geographical for certain themes) perspective. For this exercise, the Group built on external data sources covering the topics related to climate change, biodiversity and ecosystems, as well as human rights (through the following main risks: child labour; unfair remuneration; excessive working hours; violation of migrant workers' rights; violation of workplace health and safety rules; forced labour; violation of the rights of indigenous peoples; violation of property rights; violation of freedom of association and collective bargaining; violation of minority rights; modern slavery; human rights violations by security forces; discrimination in the workplace; violation of young workers' rights; violation of sexual minorities' rights; violation of women's and girls' rights; undeclared work).

In 2024, Ayvens, a subsidiary of the Group, also carried out an identification, assessment and prioritisation of the inherent E&S risks related to its long-term vehicle leasing business.

CLIMATE

The Group prioritizes the inherent E&S risks related to climate by considering the level of associated greenhouse gas emissions as well as the Group's financial exposure to the relevant sector. Based on this, the most significant E&S risks are concentrated in the following sectors: power generation; transport of goods by road, warehousing and storage; extraction and production of hydrocarbons; agriculture, forestry and fishing; metallurgical industry; organic chemistry.

Regarding the specific case of Ayvens, a subsidiary of the Group, the risks of inherent E&S damage mainly include GHG emissions during the use phase of vehicles and electricity consumption for electric vehicle charging, in the event that it is made from fossil fuels.

BIODIVERSITY AND ECOSYSTEMS

On the biodiversity and ecosystems side, the mapping exercise of inherent E&S risks benefited in 2024 from a strong enrichment of the ENCORE "Exploring Natural Capital Opportunities Risks and Exposure" database. This database, developed under the aegis of UNEP-FI, UNEP-WCMC and the NGO Global Canopy, provides an analytical framework for the direct potential impacts and dependencies of economic activities on natural capital.

ENCORE now provides an assessment of the pressures exerted by 271 economic activities, based on the United Nations International Standard Industrial Classification for All Economic Activities (ISIC), on the following 13 pressure factors: area of freshwater use; area of seabed use; area of land use; emissions of GHG; emissions of non-GHG air pollutants; emissions of toxic pollutants to water and soil; emissions of nutrient pollutants to water and soil; generation and release of solid waste; other biotic resource extraction (e.g. fish, timber); other abiotic resource extraction; volume of water use; introduction of invasive species; and disturbances (e.g. noise and light).

ENCORE's data has made it possible to identify and prioritize the sectors that present high risks of damage to biodiversity to which the Group is exposed through its financing of companies in these sectors, albeit representing a small proportion of its overall portfolio. These sectors are: power generation; mining industry; extraction and production of hydrocarbons; agriculture, forestry and fishing.

Concerning the specific case of Ayvens, a subsidiary of the Group, the risks of inherent E&S damage related to the use of vehicles mainly include air pollution due to emissions from combustion engines (NOx and fine particle emissions), as well as air, water and soil pollution caused by the wear and tear of other vehicle components (tyres, brakes).

HUMAN RIGHTS

On human rights issues, the mapping of inherent E&S risks has been updated to take into account the levels of risk of harm by sector of activity according to the countries of location (based on data from Verisk Maplecroft) and data on the Group's financial exposures. The human rights topics covered by this mapping include working conditions; child labour; forced labour; water and sanitation; the civil, political, economic, social and cultural rights of communities.

This mapping confirms that the severity of human rights risks varies depending on the sector of activity and the countries in which the activities are located. It highlights the mining, agriculture, heavy industry and hydrocarbon production sectors as posing high human rights risks in the following geographical locations (to which the Group has significant financial exposure): Brazil, Cameroon, China, Côte d'Ivoire, India and Turkey. The results of this mapping will inform the Group's continuous improvement approach to help manage its human rights and fundamental freedoms risks and to prepare the actions implemented.

The results of these three mapping exercises (in relations with employees; in relations with suppliers and subcontractors; in the Group's activities) have led to the implementation of appropriate actions which are described in section 5.8.4 and are intended to feed into the Group's continuous improvement approach in the management of its risks of damage to the environment and human rights.

5.8.3 PROCEDURES FOR REGULAR ASSESSMENT OF INHERENT E&S RISKS

The aim of the duty of care approach is to provide an appropriate framework for managing inherent E&S risks. In other words, it should cover the main risks pinpointed by the risk mapping exercise and be correctly deployed in the Group. Accordingly, the Group regularly reviews its inherent E&S risk management framework to identify risks of serious violations that may not be adequately covered by the existing framework and to step up prevention and mitigation measures for serious inherent E&S risks.

5.8.3.1 In relations with employees

In order to assess the serious inherent E&S risks, Societe Generale builds on a set of operational systems, which are constantly updated to meet continuous improvement goals.

THE GROUP EVALUATES ITS MITIGATION AND PREVENTION MECHANISMS FOR SERIOUS INHERENT E&S RISKS THROUGH SELF-ASSESSMENTS.

Each year, the Group conducts two self-assessment exercises:

- an exercise on hedging operational risk (Risk control self-assessment);
- a specific exercise on the proper application of the duty of care by the Group's entities via a questionnaire (Planethic Reporting) addressing the implementation of local policies and processes, as well as on the controls carried out on the five themes identified in the framework of the Duty of Care Plan (see section 5.8.2.1). The Human Resources Department governs, consolidates and analyses these data. In 2024, this self-assessment exercise covers all the employees of the Group's consolidated entities with ten or more employees.

THE GROUP REGULARLY ASSESSES THE LEVEL OF SATISFACTION OF ITS EMPLOYEES

In addition to these measures and in order to identify and work on the most important levers to improve the experience of its employees, the Group measures their commitment through the "Employee Barometer", an annual and anonymous internal survey deployed throughout the Group. In 2024, the survey focused on the following dimensions: being committed to better collective performance; fostering efficiency to become a leader in our field; being responsible and looking to the future to realise our full potential. Shared with employees, the results of the annual barometer give rise to action plans and working groups involving employees in each Business Unit and Service Unit, in a spirit of continuous improvement. These action plans are then submitted to the Board of Directors. The 2023 results led to actions on the following issues in the 2024 financial year:

- following Group strategy;
- improving operational efficiency;
- promoting well-being at the workplace.

In addition, local surveys are launched by the entities, such as the weekly "Friday pulse platform" surveys within the entities of Ayvens, a subsidiary of the Group. Other ways of collecting employee feedback exist, such as specific feedback collection modules or satisfaction surveys for newcomers three and six months after their integration.

Finally, an annual "Ethics and Conduct" training course (mandatory for all employees since 2023) includes a specific module on the right to whistleblow to combat any behaviour that does not meet the principles defined in the Group's Code of Conduct.

5.8.3.2 In relations with suppliers and subcontractors

The Group's normative documentation governs inherent E&S risk management in terms of Sourcing and supplier relationship management.

The operational implementation of this normative documentation and management of inherent E&S risks at all stages of the sourcing process are based on a set of tools to identify, assess and manage E&S risks at the level of the product or service purchased, and the supplier or service provider. These tools are used for purchases made by the Group Sourcing Division and at least for high-risk categories in the Sourcing function in other countries. They are being phased in across the Group.

To support the effective implementation of these inherent E&S risk management measures when sourcing, **specific training courses** on Sustainable Sourcing and E&S risk management tools are provided to all professional buyers in the Sourcing Division. These training courses were adapted and extended to buyers in the Sourcing function in other countries and to entities that are likely to regularly manage purchases and that express a need for the training. In addition, to make sure occasional buyers are mindful of what is at stake, a "motion design" video presents the Group's sustainable sourcing programme.

To identify and assess serious inherent E&S risks in business conduct, the Sourcing Division draws primarily on:

- identifying the level of E&S risks for sourcing categories using the dedicated E&S risk mapping tool;
- including E&S criteria in calls for tender involving sourcing categories ranked as medium-high or high E&S risk, at least covering the scope of procurement overseen by the Sourcing Division and, since 2021, for calls for tenders conducted by the Sourcing function in other countries involving sourcing categories ranked as high E&S risk;
- including E&S criteria in the KYS (Know Your Supplier) assessment for shortlisted suppliers, including verifying compliance with the E&S exclusion list;
- non-financial assessment of certain "targeted" suppliers⁽¹⁾ by independent third parties;
- identifying whether a Group supplier represents a potential source of E&S controversy. This was reinforced in 2022, notably thanks to the monitoring, in a dedicated tool, the identification and analysis of ESG controversies for around 600 "target" suppliers and/or suppliers assessed as posing a medium or high E&S risk for procurement overseen by the Sourcing Division in France, and a high E&S risk for procurement overseen by the Sourcing function in other countries.

(1) Suppliers accounting for large purchase volumes at Group level or directly representing the brand.

In May 2020, the Sourcing Division strengthened the vigilance measures included in the KYS analysis it had put in place in 2016 to manage the **risks of corruption and reputation damage** related to the scope of suppliers it monitors, extending the KYS process to all Group suppliers representing significant sums or sensitive purchase. It now systematically conducts the process at the beginning of the business relationship as well as periodically over the contract's term, in line with the supplier's risk level.

It should be noted that, for Ayvens' activities, direct purchases are not managed by the Group's Sourcing Division. Nevertheless, for direct sourcing, Ayvens' policy on sustainable sourcing reflects and sets out the principles of the Group's policy. The main expectations are recalled in Ayvens' new Sustainable Sourcing Charter, published in 2024. Ayvens' policy integrates E&S considerations at every stage of the procurement process (from call for tender to relationship monitoring), with a particular focus on E&S risk management. The E&S maturity of suppliers is assessed during the tender phase through a questionnaire, the weight of which is included in the overall supplier rating and the award decision, which in turn is proportional to the level of E&S risk related to the sourcing category. The E&S risk assessment has also been integrated into the KYS (Know Your Supplier) process.

5.8.3.3 In its activities

The Group's normative documentation includes information on inherent E&S risk management processes and notably the roles and responsibilities of the different Group divisions in each of these areas. It manages consideration of controversy analyses and the application of E&S policies in the existing risk management processes, such as transactional, onboarding and periodic client review processes.

DESCRIPTION OF THE INHERENT E&S RISK MANAGEMENT SYSTEM

The system in place to manage inherent E&S risks extends across different levels (corporate clients, dedicated transactions and services; asset and investment management), and breaks down into three key steps:

- **inherent E&S risk identification:** this step entails identifying whether the clients' activities or the transaction with those clients could represent an E&S risk. This is done primarily by checking whether the client businesses or their underlying activities are on the E&S exclusion list⁽¹⁾ or the E&S identification list⁽²⁾, whether they are the subject of any E&S-related controversy and whether they are covered by one or more sector policies⁽³⁾ or covered by decarbonisation targets. This process is notably designed to confirm compliance with the criteria from the different sector policies. In addition to these analyses, governance due diligence is conducted as part of KYC (Know Your Customer) procedures and measures to counter corruption, financing of terrorism, tax evasion and money laundering;

- **assessment of client businesses or transactions identified as presenting an inherent E&S risk:** when an inherent E&S risk is identified, the business line assesses compliance with the criteria from the applicable E&S policy or policies and the Group's other E&S commitments, and weighs up the severity of any E&S controversies. This assessment may include a prospective analysis of these criteria. A policy setting out Group-wide guidelines for assessing adverse E&S information has been in force since June 2022. Based on the conclusions of the assessment, an E&S opinion is then issued. The opinion may be positive, conditional (subject to contractual conditions, action plans, restrictions) or negative;

- **actions to mitigate or prevent identified serious inherent E&S risks:** these actions are detailed in section 5.8.4 of this plan.

E&S assessments and actions on specific cases with medium to high E&S risks are reviewed and studied by the second line of defence in accordance with the Group's escalation procedure and may be submitted, if necessary, to arbitration by a Societe Generale Group Steering Committee chaired by a member of the Executive Committee. The business lines are also phasing in monitoring and controls into their inherent E&S risk management processes.

To ensure a smooth and systematic roll-out of this inherent E&S risk management framework across the Group, a compulsory online training module was developed in 2021 for all Business Units and Service Units covered by the framework. It is available in eleven languages, ensuring that the same content is consistently implemented and available to everyone in the Group wherever it operates.

Group entities are accountable for managing and controlling inherent E&S risks within their respective scopes. They implement the normative system defined by the Group and adapt it to their activities, applying it to their own processes. Each entity's management ensures that these requirements are rolled out and implemented into operations within its scope and assigns the necessary resources and expertise.

As a result of its recent creation resulting from the merger of ALD with LeasePlan, Ayvens is currently evolving, in accordance with the integration schedule of the ex-LeasePlan entities, its E&S risk management system related to its activities and is gradually integrating a series of controls into its existing processes aimed at reducing these E&S risks. In addition, the ongoing development of fleet electrification will also contribute to the reduction of the identified risks to the climate and biodiversity.

DEVELOPMENT OF CSR TRAINING

Societe Generale Group has initiated a plan to provide training and establish a CSR culture for all employees, with the aim of:

- developing a cross-business culture based on a shared core of CSR knowledge;
- supporting its business lines in their needs for developing technical expertise.

(1) An **E&S exclusion list**, updated quarterly, includes companies excluded under certain E&S sector policies. Societe Generale will not knowingly supply banking or financial services to such companies. This list is now included in the Group's financial security tool and is available to all employees who deal with corporate clients.

(2) An **E&S identification list** is regularly updated by in-house experts and forwarded to all the business lines concerned. This internal list details any projects, company, activity sectors or countries that have given rise to major controversy or public campaigns on the part of civil society for E&S reasons, irrespective of whether they are financed by Societe Generale. The purpose of this internal list is to alert the operational teams about potential concerns ahead of the client and transaction review process, so that they conduct a more in-depth E&S assessment on any transactions and clients concerned.

(3) The Group is currently deploying a tool to help identify companies whose core activity is covered by a sector policy to strengthen operational security in the application of these policies.

This plan draws on:

■ **a skills development course with several levels of expertise**

The training plan includes an employee skills development course with several levels of expertise. The most basic level requires employees to complete five hours of training, while the highest level requires 50 hours of training.

The first two levels (Beginner and Intermediate) are for all Group employees, while the higher levels are for employees who work in ESG or are seeking ESG expertise or certifications.

By the end of December 2024, the number⁽¹⁾ of staff trained was as follows:

- 90,500 trained in CSR basics,
- 82,000 trained in sustainable finance and its regulations,
- 87,700 trained in issues related to the ecological crisis,
- 91,600 trained in E&S risk management,
- 92,000 trained in the Group's CSR strategy;

■ **a proactive deployment of the Climate Fresk among employees**

The Group has achieved its target of deploying the Climate Fresk to 30% of its employees ahead of schedule and is continuing this approach (at the end of December 2024, 38% of the Group's employees had followed the Climate Fresk).

The effort, which focused on specific ESG training (excluding mandatory e-learning), continued in 2024. By the end of December 2024, **95%** of the Group's employees had taken at least one CSR training course during the year.

The mandatory e-learning module on E&S risk management was updated in 2023 and offered to over 82,000 employees by the end of the year (at end-December 2024, almost 95% of such employees had successfully completed the module). The module covers the scope, governance and main stages in managing E&S risks: identifying and assessing risk and ensuing action plans. In addition, around 32,000 employees had completed the Group's e-learning module on the European Union's sustainable investment regulations.

5.8.4 ACTIONS TO PREVENT AND MITIGATE SERIOUS INHERENT E&S RISKS

5.8.4.1 In relations with employees

To prevent and mitigate serious inherent E&S risks in its relationships with employees, the Societe Generale Group defines specific guidelines that cover issues related to human rights, freedom of association and collective bargaining rights, in addition to a number of policies that apply Group-wide, which are then implemented by the Business Units and Service Units:

- **internal normative documentation for the Group** that sets out all the operating and organisational rules (the Societe Generale Code). This documentation is adapted to the nature of the Group's activities and takes into account all types of risks, including those related to human rights and fundamental freedoms and the health and safety of the Group's employees. This document is updated, disseminated and accessible to all;
- **a Code of Conduct** that applies to all of the Group's activities in the countries in which it operates: this document describes the standards to meet and the commitments to all stakeholders and promotes respect for human rights;
- policies and promotion mechanisms attached to each human rights theme:
 - **social dialogue, freedom of association and collective bargaining:** at Group level, social dialogue builds on local staff representative bodies and local trade union organisations, where they exist, in the entities, countries and in the Group European Works Council at the European level. In 2023, Societe Generale renewed the global agreement on the rights of Group employees⁽²⁾ with UNI Global Union on the basis of the previous agreements signed in 2015 and 2019. This agreement, valid for four years and covering 100% of the Group's workforce, reinforces

UNI Global Union's role in the Group's duty of care plan and improves trade union rights. The agreement formalises the positive practices observed since 2019 through commitments on remote working (including trade union rights), the digital environment, health, safety, security and quality of life at work, including prevention of inappropriate behaviour including the fight against discrimination and harassment, the development of diversity and respect for gender equality, as well as universal commitments to social protection. Through this agreement, UNI Global Union is recognised as a "stakeholder" in the Duty of Care Plan for the Group employees sub-scope. As such, UNI Global Union is consulted annually when the Duty of Care Plan is being drafted, on the part relative to this sub-scope, and provides comments on the draft version of the document before it is reviewed by the Board of Directors,

- **discrimination:** through its Diversity, Equity and Inclusion (DE&I) policy deployed throughout the Group and through commitments made in the framework of the agreement with UNI Global Union (as indicated above), Societe Generale has defined five priority focuses to fight against all forms of discrimination. In 2024, 100% of the Group's employees were covered by a DE&I policy and 98% had local initiatives or programmes in at least one of the five priority focuses:
 - gender diversity,
 - employment and inclusion of people with disabilities or neurological differences,
 - diversity of ethnic, cultural or socio-economic origin,
 - the inclusion of all generations,
 - and the inclusion of LGBT+ people.

⁽¹⁾ Employees under active permanent contract only.

⁽²⁾ The UNI Global Union agreement can be viewed at the following link: <https://www.societegenerale.com/sites/default/files/documents/2023-06/2023-global-agreement-on-the-rights-of-societe-generale-group-employees.pdf>

The Group is committed to implementing the conditions of an inclusive organisation in all its HR processes and entities and prohibits any form of discrimination, regardless of beliefs, age, disability, parenthood, nationality, gender identity, sexual orientation, membership of a political, religious or trade union organisation or any other characteristic that could be subject to discrimination. This commitment is reflected in particular in mandatory non-discrimination training actions for the teams in charge of recruitment at the global level. A DE&I Committee ("DE&I Steering Committee") is made up of twelve members from the Group Management Committee and a DE&I expert to guide discussions and proposals. The Group has also set ambitious targets for the feminization of executives (target to reach more than 35% of women in the Top 250 by the end of 2026) and to reduce the potential gender pay gap within the Group by 2026 through the mobilisation of a budget of EUR 100 million,

- **occupational Health and Safety (OHS):** the Group has introduced a health policy which is implemented by its entities with the help of local support teams (HR, logistics managers, occupational medicine, etc.) and taking into account its own legislation and local contexts. Each Group subsidiary defines a level of supplementary health cover depending on the compulsory scheme in its country and with a level of protection at least comparable to local market practices. In addition, this policy is reinforced by the terms of the agreement with UNI Global Union, thanks to an approach aimed at ensuring a minimum level of social protection, in health and personal protection, for all Group employees. An agreement was signed in France between the Human Resources Department and the Representative Trade Unions on Wellbeing and Workplace Conditions in 2022. It is intended to further improve working conditions and prevent occupational risks, paying particular attention to preventing psychosocial risks. In addition, in 2024, the "Wellbeing@Work" platform was created for the Group's employees, which have thus a variety of tools and best practices, adapted to the needs of employees and managers on this theme. At the same time, a global network of "well-being at work referents" has been set up to deploy concrete actions locally with employees. In France, in 2024, the implementation of a minimum set of measures to support transformations also made it possible to prevent risks,
- **working conditions:** The Group's entities are required to ensure the existence and signature of a valid employment contract for all its employees. Societe Generale also strives to offer attractive compensation to nurture employee loyalty and boost the Group's performance over the long term. In addition, the Group is committed to equitable and sustainable compensation, specifically taking into consideration the decent wage guidelines developed by FairWage for each country and world region. The compensation policy is based on principles of non-discrimination and other principles shared by all. It is then adjusted to the businesses and geographic areas in which the Group operates, taking into account market practices and contexts. As a responsible employer, the Group is committed to maintaining decent working hours that respect work-life balance. Indeed, in line with the growing importance and development of digital tools and the phenomenon of "hyper-connection", Societe Generale recognises the right to disconnect, in particular through a flexible working hours policy covering 90.5% of the Group's workforce,

allowing employees to adapt and distribute their workload. In addition, the Bank undertakes to protect the data and privacy of employees, in compliance with applicable local rules, on the basis of the following principles: right of access and transparency (allowing data to be rectified or deleted), proportionality, limited storage period, protection and confidentiality,

- **human rights:** the Group has set the minimum age for employment at 16. Group entities are required to check the age of all new employees at the hiring stage. In 2024, all Group entities comply with this provision and only 0.67% of the Group's workforce is in entities that must maintain controls to verify whether employees are over 15 years old, in accordance with the fundamental conventions of the International Labour Organisation. The Group also prohibits all forms of forced labour, modern slavery and human trafficking.

In 2024:

- no Group entity has a transaction with a significant risk of incidents related to forced or compulsory labour,
- only 0.72% of the Group's workforce is in entities that are responsible for maintaining formal HR policies, procedures or processes related to modern slavery and human trafficking,
- 45 Group entities representing 57.32% of the workforce have a policy or programme dedicated to migrant workers. For example, the retail banking network in France works in collaboration with the Each One association to train refugees in front office jobs on a work-study basis;
- in addition, the supervision of the **security of people and property within Societe Generale premises**, and during business trips, is carried out by the Group Security Department (DSG), attached to the Group's General Secretary. The DSG has implemented a global security approach that aims to assess risk levels and then bring together all protection mechanisms to respond in the best possible way to the increasing number of threats (crime, terrorism, geopolitical, public health and climate risks, cybercrime, etc...). This approach is applied to all Societe Generale Group locations through five focuses: a monitoring system, a security standard, supervision including permanent controls, security culture actions and a crisis management system:
 - the objective of monitoring is to assess on a day-to-day basis the risks likely to affect the health, safety and security of people in the workplace and during business travel in order to anticipate risks and crises,
 - the security standard, called the General Security and Safety Framework, describes the security standards that must be implemented by all Societe Generale Group subsidiaries and locations in addition to the security rules imposed locally. Business travel-specific rules are included,
 - supervision makes it possible to support the establishments in the development of skills to operate on a daily basis and respond to incidents according to the best standards. Permanent controls are deployed to verify compliance with the rules of the General Safety and Security Framework,
 - monthly security culture actions (conferences, awareness-raising, press reviews) are organised to raise awareness among all employees of the risks and good *ad hoc* reflexes,

- finally, the Group Security Department has structured a crisis management system to respond effectively to all significant breaches of the security of people and property.

- **communication of the applicable rules** in all countries of operation supplement and reinforce these systems. A **skills development offer** aims to guarantee the employability of employees throughout their professional career within the Company. This offer primarily targets business skills, risk, responsibility and compliance culture, Data and Artificial Intelligence skills, social and environmental responsibility, managerial culture and behavioural skills. These compulsory trainings for all Group employees cover subjects including information security, anti-corruption measures, Code of Conduct, the General Data Protection Regulation, international sanctions, anti-money laundering and counter-terrorism financing, conflicts of interest, whistleblowing right and fight against inappropriate behaviour such as moral and sexual harassment. The Group also offers training courses specific to each business line or function, thereby limiting operational risks and maintaining employee skills. In addition, the **Speak-Up** reference document distributed in 2023 was supported by various tools to onboard the information, including workshops and presentations. The business lines have rolled out local initiatives including communications, training, workshops and surveys.

The system described here applies to the entire Group, including all its subsidiaries.

5.8.4.2 In relations with suppliers and subcontractors

Following the measures to identify and assess inherent E&S risks when conducting business, various **actions to prevent and mitigate serious inherent E&S risks** have been implemented, and consist of:

- including in calls for tender E&S requirements covering the main risks for the sourcing categories identified in the risk mapping, at least for the sourcing categories ranked as medium-high or high E&S risk for procurement overseen by the Sourcing Division in France and, since 2021, for calls for tenders conducted by the Sourcing function in other countries involving sourcing categories ranked as high E&S risk;
- weighting E&S criteria according to the degree of E&S risk represented by the sourcing category in question, in the rating grids for service or product bids;
- adding a CSR clause to contract templates used by the Sourcing Division and the Sourcing function in other countries, which includes a contractual commitment to comply with:
 - the Group's Sustainable Sourcing Charter⁽¹⁾. This document is the result of a joint initiative started in 2017 between French Banking and Insurance operators looking to involve their suppliers in the due diligence process. It sets out the Group's CSR commitments, obligations and expectations with respect to its suppliers. The charter has been translated into six languages. The reciprocal commitments set out in the Sustainable Sourcing Charter are

based notably on the fundamental principles of the United Nations Global Compact as regards human rights, working conditions (health and safety), the environment and countering corruption,

- principles that are at least equivalent to the Group Code of Conduct and the right to audit (to perform E&S audits if necessary) and a request for non-financial assessment of "target" suppliers⁽²⁾;
- for procurement that does not go through the Sourcing Division ranked as high E&S risk, simplified E&S risk management tools are provided;
- if E&S performance falls short:
 - encouragement for remedial action plans,
 - review of controversies and changes in non-financial ratings,
 - option to conduct on-site E&S audits.

5.8.4.3 In its activities

As part of a continuous improvement process and to take into account the inherent E&S risks identified by successive risk mapping exercises (see details in section 5.8.2) or captured through the whistleblowing process (see section 5.8.5.1) and stakeholder dialogue (see section 5.8.5.2), the Societe Generale Group has put in place a set of appropriate measures, the details of which are provided below, together with the changes made in 2024.

STRONGER SECTOR POLICIES

In order to prevent and mitigate the risks of **serious inherent E&S** damage in the context of its activities, the Group has defined sectoral policies, deployed in certain sectors considered potentially sensitive from an environmental or social point of view. These policies describe in particular the main risks of human rights or environmental damage for the sector concerned and specify the criteria for evaluating customers or transactions carried out with actors in these sectors, as well as, in certain cases, exclusion criteria.

These sectoral policies are as follows:

- industrial agriculture and forestry⁽³⁾ (including criteria applicable to clients and dedicated transactions, especially as regards deforestation);
- dams and hydro-power⁽⁴⁾ (exclusions on financing the construction or expansion of hydroelectric plants with reservoirs in sensitive sites);
- thermal power⁽⁵⁾;
- thermal coal⁽⁶⁾ (including the commitment to reduce exposure to the thermal coal sector to zero by 2030 for EU and OECD countries and by 2040 for the rest of the world);
- defence⁽⁷⁾ (exclusion list encompassing all activities linked to controversial weapons: anti-personnel mines, cluster bombs, depleted uranium weapons, chemical, biological and nuclear weapons – non-NPT countries);

(1) <https://www.societegenerale.com/sites/default/files/construire-demain/12112018-sustainable-sourcing-charter-vf-eng.pdf>

(2) Suppliers accounting for large purchase volumes at Group level or directly representing the brand.

(3) <https://www.societegenerale.com/sites/default/files/documents/CSR/industrial-agriculture-and-forestry-sector-policy.pdf>

(4) <https://www.societegenerale.com/sites/default/files/documents/CSR/dams-hydropower-sector-policy.pdf>

(5) <https://www.societegenerale.com/sites/default/files/documents/CSR/thermal-power-sector-policy.pdf>

(6) <https://www.societegenerale.com/sites/default/files/documents/CSR/thermal-coal-sector-policy.pdf>

(7) <https://www.societegenerale.com/sites/default/files/documents/CSR/oil-gas-sector-policy.pdf>

- mining⁽¹⁾ (exclusions apply to dedicated financing for mining of asbestos and metallurgic-grade coal);
- shipping⁽²⁾ (financing exclusions include non-double hull tankers, vessels for the shipment of Arctic oil, oil sands and coal);
- civil nuclear power⁽³⁾;
- oil and gas⁽⁴⁾ (exclusion policy applicable to unconventional hydrocarbons and, since the end of 2023, very firm restrictions on new oil and gas developments);
- tobacco⁽⁵⁾ (exclusion policy applicable to companies that make more than 25% of their revenue from tobacco).

This set of sector policies is gradually being added to and updated to improve the management of serious inherent E&S risks identified within the specified sectors or to include new sectors within the scope of its application. Thus, in 2024, the main changes concerned the “Industrial Agriculture and Forestry” and “Mining” policies, which were updated to better take into account the risks related to deforestation and human rights.

On the Climate side, the power generation sector, identified in the mapping presented in section 5.8.2, is covered by several dedicated sectoral policies. Among the five other sectors identified, the “agriculture, forestry, fishing” and “hydrocarbon extraction” sectors are covered by dedicated sectoral policies and the metallurgical industry is partially regulated through the mining sectoral policy (including exclusion criteria on metallurgical coal). The organic chemistry and road freight transport sectors will be examined over the coming months with a view to better mitigating inherent risks.

OPERATIONALISATION OF THE MONITORING SYSTEM FOR SERIOUS INHERENT E&S RISKS

The E&S exclusion list has been expanded to ensure more consistency with the exclusion criteria of sectoral policies. To monitor the extinctive management of the relationship with these clients, a procedure has been deployed to define the roles and responsibilities of the first line of defence and the second line of defence in the exit process to be conducted with these clients. As a result, the risk indicators used to manage clients in breach of an exclusion criterion from a sectoral policy were refined in 2024.

In 2024, with the support of dedicated teams and tools to support Business Units, the Group strengthened the operationalisation of the system for identifying and assessing serious inherent E&S risks:

- the identification of E&S controversies has been incorporated into the Group’s financial security screening tool and the Business Units have been supplied with a grid to help qualify the materiality of the controversies;
- clients’ eligibility for sector-specific policies as well as their alignment with the application criteria have been incorporated into an internal KYC rules engine;

- for both clients and transactions, E&S due diligence has been harmonised and deployed in all the Group’s entities (in terms of scopes covered, content of due diligence, deadlines and quality of E&S reviews).

STRENGTHENED ALIGNMENT TARGETS

In line with the timetable set by UNEP-FI’s Net-Zero Banking Alliance (NZBA), which it joined (as a founding member) in 2021, Societe Generale Group **has set up decarbonisation targets** (to align its corporate credit portfolios with trajectories compatible with the objectives of the Paris Agreement) **on the ten sectors identified as the most emitting**. The Group has also implemented a transparent communication policy on the Group’s alignment process with the publication of dedicated progress reports: “NZBA progress report” and “Climate and Alignment Report”⁽⁶⁾.

This latest document outlines the Group’s approach to tackling climate change. It features the benchmark measurements and target figures set for the oil and gas, thermal coal, thermal power plant, cement, steel, automotive, maritime transport and commercial real estate sectors, with details of the related assumptions and methodologies.

In 2022, following the commitment made in 2019 to fully exit the coal sector by 2030 for companies domiciled in EU or OECD countries and by 2040 in the rest of the world, the Group set a **CO₂ emission intensity target for our exposure to the power generation sector of 125g CO₂ per kWh by 2030**, representing a 43% reduction in the carbon intensity by 2030 compared with the 2019 level. This target is aligned with the NZE 2050 scenario.

In 2023 and 2024, the Group strengthened its alignment targets with the following objectives:

- reduction in exposure to the **oil and gas production sector, with a target of -80% by 2030 compared to 2019, with an intermediary step in -50% in 2025;**
- **target of a decrease in financed greenhouse gas emissions in the oil and gas sector of 70% by 2030 compared with the 2019 level** (absolute greenhouse gas emissions, across the entire oil and gas value chain, incorporating scope 1, 2 and 3 emissions related to the end-use of oil and gas). This is a **significantly more ambitious target than the IEA’s NZE 2050 scenario of -34%;**
- 20% reduction in carbon emissions intensity by 2030 vs. 2022 for the **cement sector;**
- 51% reduction in carbon emissions intensity by 2030 vs. 2021 for the **automotive sector;**
- a target alignment of the **crude steel production** portfolio with the IEA’s NZE scenario based on the methodology developed under the Sustainable Steel Principles (*i.e.* achieve an alignment score of 0 by 2030);
- target on the carbon emissions intensity of the **commercial real estate sector** of 18kg CO₂eq/sq.m in 2030 (based on the current composition of the Group’s portfolio) *i.e.* a reduction of 63% from 2022 levels;

(1) <https://www.societegenerale.com/sites/default/files/documents/CSR/mining-sector-policy.pdf>

(2) <https://www.societegenerale.com/sites/default/files/documents/CSR/shipping-sector-policy.pdf>

(3) <https://www.societegenerale.com/sites/default/files/documents/CSR/civil-nuclear-power-sector-policy.pdf>

(4) <https://www.societegenerale.com/sites/default/files/documents/CSR/oil-gas-sector-policy.pdf>

(5) <https://www.societegenerale.com/sites/default/files/documents/CSR/tobacco-sector-policy-en.pdf>

(6) <https://www.societegenerale.com/sites/default/files/documents/rse/rapport-climat-et-alignment.pdf> (December 2023).

- target on the carbon emissions intensity of the **electricity production sector** at 125g of CO₂ per kWh in 2030, *i.e.* -43% compared to 2019;
- target for the carbon emissions intensity of the **aluminium sector** of 6 tonnes of CO₂ equivalent per tonne of aluminium by 2030, *i.e.* -25% compared to 2022;
- target to align the **shipping portfolio** (excluding cruise ships) with the IMO's "Striving For" scenario, based on a Poseidon Principles alignment score of 15% in 2030, *i.e.* a 43% intensity reduction (AER) by 2030 compared to 2022;
- target on the carbon emissions intensity of the **commercial aviation sector** of 775g of CO₂ equivalent per Revenue Ton Kilometre by 2030, *i.e.* -18% compared to 2019.

ACCELERATING THE REDUCTION OF FOSSIL FUEL EXPOSURES

- Significant progress made on the Bank's gradual withdrawal from the thermal coal sector: the thermal coal portion of Societe Generale's financing portfolio represented less than 0.1% of total outstanding loans at the end of 2023;
- Reduction of more than 50% in exposure to oil and gas production at the end of Q2 24 compared to the end of 2019. The target set of -80% by 2030 compared to 2019 with the intermediate stage of -50% in 2025 is one of the most proactive among global banking players. This objective is accompanied by a target of reducing greenhouse gas emissions in the oil and gas sector by -70% across the entire activity chain by 2030 compared to 2019.

A PARTICULAR FOCUS ON BIODIVERSITY

Societe Generale acknowledges that a proportion of the world's economic activity is harmful to nature. The Group wishes to pursue an approach that reflects the momentum of the Kunming-Montréal Global Biodiversity Framework adopted by COP15 in December 2022, by promoting measures that have a positive impact on nature and reducing activities that are harmful to nature.

In November 2022, as a signatory to the Act4Nature international initiative, Societe Generale set out updated tangible and measurable biodiversity objectives for the entire Group. Act4Nature international is an initiative led by business networks with scientific partners, environmental NGOs and public bodies. Its objective is to develop the mobilisation of companies in favour of biodiversity through pragmatic commitments supported by their CEOs. The objectives are publicly available⁽¹⁾ and will be supplemented by the 2022-2024 assessment during Q1-2025.

The mapping of the inherent risks of damage linked to biodiversity has revealed the sensitivity of certain sectors (see details in section 5.8.2). The sectors "power generation", "agriculture, forestry and fisheries", "agri-food industry" and "hydrocarbons extraction and production" are covered by sectoral policies. In 2024, an in-depth analysis of the nature impacts of the power generation sector was conducted by integrating the geographical angle and the impacts of the value chain. This is

exploratory work at this stage, but it nevertheless makes it possible to cross-reference the following two elements: the intensity of the pressures exerted on nature and the vulnerability of the areas where they are exerted. The methodology and initial lessons learned from this exercise are available on the Group's website⁽²⁾. It should be noted that this methodology does not take into account, at this stage, any strategies or policies for preventing or reducing breaches implemented by clients.

The management of risks of damage to biodiversity and ecosystems is incorporated into the Group's general E&S risk management framework and more specifically in the sectoral policies⁽³⁾, the E&S identification list and the controversies monitoring tool. At the level of **project financing**, since 2007, the Group has applied the Equator Principles, a risk management framework for project financing (generally projects for which the total capital cost is EUR 10 million or more) which notably integrates risks related to biodiversity erosion. Also excluded are any funding for new projects located in the main international protected areas (UNESCO, RAMSAR, IUCN I-IV, Alliance for Zero Extinction sites) as well as any funding dedicated to soybean cultivation or cattle ranching in the Amazon and the Cerrado region of South America.

The integration of the biodiversity aspects into the assessment of risks related **corporate clients** has been further continued. As part of its efforts to help curb deforestation, particular attention is paid to clients that operate upstream of supply chains in the South American soy and cattle sectors and upstream of palm oil supply chains. The Group is already in dialogue with existing client companies that operate in these sectors to assess their strategies to curb deforestation and their status in terms of alignment with its Industrial Agriculture and Forestry sector policy.

Particular emphasis has been placed on **training** for its teams in these subjects. To continue enhancing its internal expertise in nature-related subjects, biodiversity training modules have been made available to staff in addition to the biodiversity fresh workshops.

SPECIFIC ATTENTION PAID TO HUMAN RIGHTS:

The Group takes a proactive approach to complying with and promoting human rights, which is a core element of its E&S risk management process. The Group acknowledges the fundamental role played by States and governments in defining legal frameworks for the protection and full exercise of human rights. The Group complies with the legal and regulatory provisions of the territories in which it operates, and is also aware of its role in preventing serious infringements of human rights in the performance of its activities. In this regard, the Group acknowledges the value of the following standards, initiatives and best practices that it uses as a guideline for its own activities: the Universal Declaration of Human Rights and its additional commitments, the United Nations Declaration on the Rights of Indigenous Peoples (UNDRIP), the fundamental conventions of the International Labour Organization (ILO), the UNESCO World Heritage Convention, the United Nations Sustainable Development Goals (SDG), and the United Nations Guiding Principles on Business and Human Rights of 16 June 2011.

(1) <https://www.act4nature.com/wp-content/uploads/2022/11/SOCIETE-GENERALE-VF.pdf>

(2) <https://www.societegenerale.com/sites/default/files/documents/csr/understanding-nature-impacts-across-financed-activities.pdf>

(3) With the exception of policies covering sectors that the Group has decided to exit.

Human rights risk management is incorporated into the Group's overall E&S risk management framework, mainly in the sectoral policies⁽¹⁾, the E&S Identification List, the E&S Exclusion List and the Controversies monitoring tool. For dedicated transactions, the E&S experts of the relevant Business Units conduct the E&S assessment primarily based on the Equator Principles (EP) framework. According to these principles, for projects with significant potential E&S risks, the following actions are carried out:

- ensure that an E&S assessment of the project is carried out, also covering human rights issues (e.g.: impacts on indigenous peoples;

consultation and engagement with the affected population; health and safety; resettlement of people; existence of grievance mechanisms);

- have an independent review of this assessment conducted to identify deviations from local and international standards. The independent review usually results in an action plan that is incorporated into the E&S clauses included in the financing agreements.

5.8.5 WHISTLEBLOWING PROCEDURE

In accordance with the law, the Group has set up a mechanism allowing it to collect alerts (5.1). It is also involved in an ongoing process of dialogue with its stakeholders, through which it can receive alerts from third parties that are not covered by the whistleblowing system described above (5.8.5.2).

5.8.5.1 Whistleblowing system

DESCRIPTION OF THE WHISTLEBLOWING SYSTEM

The Societe Generale Group's whistleblowing system meets all French and international legal obligations, in particular the French law of 9 December 2016, known as "Sapin 2 law" on transparency, the fight against corruption and the modernisation of economic life, as amended by the Wasserman law of 21 March 2022, aimed at improving the protection of whistleblowers, and also the law of 27 March 2017 on the Duty of Care of parent companies and contracting companies. This whistleblowing system takes into account the obligation to provide employees of companies with more than 250 employees with a local whistleblowing channel that complies with the laws and rules of the countries in which the entities concerned are located. The French representative trade unions were consulted and the system proposed was presented to and discussed with French and European bodies before being introduced.

The whistleblowing system, available at www.societegenerale.com and on the Societe Generale Group's Intranet, has been rolled out worldwide and is available in over 20 languages *via* a secure platform⁽²⁾. In addition to the Group and local alert channels, reports can also be carried out through different channels including management, compliance, HR channels or any designated whistleblowing officer.

Whistleblowers can use the system to report any: suspected potential or actual violation or attempt to conceal a violation of an international commitment, a law or a regulation; in respect of human rights, fundamental freedoms, health and safety or the environment; and regarding behaviour or a situation that runs counter to the Group's Code of Conduct. It can be used by employees, members of the management body, Directors, shareholders, external and part-time employees, subcontractors and suppliers with which a business relationship exists, and third party facilitators. It is hosted on a secure external platform offering the guarantees required by the French Act on Transparency, the Fight against Corruption and Modernisation of the Economy, namely protection of personal data and strict confidentiality of any information provided (notably the whistleblower's identity). Whistleblowing is a right and no employee will be sanctioned in any way whatsoever for having made disclosures in good faith.

The Group's Code of Conduct explains how to use the whistleblowing system (see "A Code of Conduct underpinned by shared values" page 279 of the Universal Registration Document).

Reports and alerts in 2024

In 2024⁽³⁾, the Group observed an increase in the number of reports reported *via* the Group tool (429 reports received in 2024 compared to 310 in 2023). Among these, 159 (*versus* 111 in 2023) were qualified as alerts because they fall within the legal scope of whistleblowing. The proportion of alerts relating to human relations issues (moral or sexual harassment; sexist acts; discrimination) remains high (circa 3/4 of alerts). Other alerts concerned issues such as corruption, conflicts of interest, data protection, etc. In addition to the alerts made *via* the Group system, others were made using local or managerial channels or reported directly to HR staff.

Out of the total reports that were qualified as alerts, 35% highlighted incidents that required the implementation of corrective action, of which circa the half involved sanctions (ranging from reprimand to lay-off).

Communication on and awareness of the whistleblowing system

Links to the whistleblowing channels have been made available by the Group on its intranet and its institutional website, to which employees, external and part-time employees, members of the management body, Directors and shareholders along with all service providers (subcontractors, suppliers, etc.) with which the Group has a established business relationship have access.

Since its launch in 2019, there has been communication and other measures to heighten awareness of the whistleblowing system each year among staff, external and part-time employees and members of the management. Additionally, all employees are required to complete training on the subject of whistleblowing made available by the Group each year. The objective is to ensure that all employees understand the issues involved in whistleblowing, and are aware of the resources available to them and the protections afforded to whistleblowers. Subcontractors and suppliers obtain information on the whistleblowing system through the Group's Code of Conduct.

(1) With the exception of policies covering sectors that the Group has decided to exit.

(2) <https://report.whistleb.com/fr/portal/socgengroup>

(3) Data as of February 18th 2025.

5.8.5.2 Promotion of dialogue with stakeholders

The Group is also involved in an ongoing process of dialogue with its stakeholders, through which it can receive alerts from third parties that are not covered by the whistleblowing system described above, if applicable.

Such dialogue covers issues related to civil society through various exchanges with French and international NGOs. When relevant issues are reported through these channels, they are dealt with through the risk management system, for instance by adding to identification lists or enhancing sector policies.

In addition to the whistleblowing system, the Group has also set up a comprehensive system for treating complaints that is available to any natural person or legal entity that subscribes for or is likely to subscribe

for its products and services, on a private or professional basis. This includes all clients (retail, professional and business) that have an existing business relationship with Societe Generale as well as third parties that are not clients (prospective clients or any other third party interested in a product or service offered by the Group). Such complaints include any type of dissatisfaction in connection with the sale, compliance or management of a product or service offered (e.g. investment advice). They may concern a banking or financial product or service, the failure to provide a product or service, the payment of expenses or fees, pricing levels, fraud, damages suffered by a client, contact with a staff member, refusal to provide a service, or failure by a professional to fully comply with a regulation.

Finally, the Group strives to promote exchanges with its peers in order to bring out best practices in the market. In 2024, for example, this was the case to identify emerging risks related to the rapid development of artificial intelligence (AI)-based tools.

5.8.6 SYSTEM FOR MONITORING DUTY OF CARE MEASURES AND REPORTING ON THEIR EFFECTIVE IMPLEMENTATION

The Group has developed steering and reporting tools to comply with its extra-financial reporting obligations and monitor implementation of its inherent E&S risk management processes. These tools provide the Human Resources Department, Security Division, Sourcing Division and Sustainable Development Department with key extra-financial performance indicators.

Duty of care measures are also monitored by means of internal self-assessment exercises, to:

- monitor how E&S risk management processes are applied in Business Units, Service Units and further down the chain (at individual legal entity level);
- identify areas for improvement and monitor the ensuing action plans; and
- leverage additional indicators for monitoring the measures taken by the Group.

5.8.6.1 In relations with employees

THE GROUP EVALUATES THE MONITORING SYSTEMS THROUGH CONTROLS

The Group manages the serious inherent E&S risks in its relations with employees through a series of control systems and monitoring.

The Human Resources Department and the local Human Resources teams are also covered by the Group's risk management and permanent control systems. They thus have:

- a set of **controls on key HR processes** deployed throughout the Group;
- **business continuity** plans and crisis exercises;
- **periodic controls** (including on how measures to mitigate the risk of E&S violations have been implemented) performed by the Audit and Inspection teams.

THE GROUP IMPLEMENTS FRAMEWORKS TO MONITOR ITS DUTY OF CARE MEASURES

The Planethic Reporting questionnaire is updated on an annual basis: the protocols integrating the questions asked to Group entities are reviewed before the launch of the social data collection campaign with HR experts (Labour relations for freedom of association and collective bargaining; the Diversity, Equity and Inclusion team reviews those on discrimination; and the Corporate teams responsible for Health & Safety and Working Conditions review those relating to such matters). The 2024 protocol review took into account the requirements of the new Corporate Sustainability Reporting Directive (CSRD).

In 2024, the main actions to strengthen the monitoring system for duty of care measures were the following:

- awareness training for Human Resources staff on why duty of care matters and its challenges;
- strengthening the prevention of psychosocial risks, particularly in areas impacted by the transformations;
- the design of workspaces, a lever for attracting and retaining employees, thanks to the Future of Workplace Charter, which contributes to offering a fulfilling work environment around the world;

As part of negotiations on the new agreement with UNI Global Union, it was agreed that the Group would send the section of its Duty of Care Plan dealing with Group employees to UNI Global Union for review before submitting it to the Board of Directors. As part of a continuous improvement approach, it was also agreed that both parties would set up working groups to regularly discuss how best to analyse and mitigate inherent risks (locally in certain countries as well as at corporate level), ensuring that duty of care remains the Group's focus in structuring social dialogue. In addition, a global presentation of the Duty of Care Plan is organised with UNI Global Union, after the publication of the document and gives rise to discussions.

RESULTS

The 2024 evaluation of the duty of care and risk mitigation measures in countries exposed to high, medium-high or moderate inherent E&S risk pointed to the following residual E&S risks:

Risks	Workforce exposure level
Freedom of association and collective bargaining	The entities that need to pay special attention to requests for employee representation systems employ 6.01% of the Group's workforce.
Discrimination⁽¹⁾	The entities that need to have official policies and strengthen checks to ensure that HR processes are non-discriminatory employ 0.68% of the Group's workforce.
Health and safety	The entities that need to have official policies and strengthen their checks on workplace health and safety employ 5.46% of the Group's workforce.
Working conditions⁽²⁾	The entities that need to have official policies and strengthens their checks to ensure that working conditions meet International Labour Organization standards employ 0.54% of the workforce.

(1) Verisk Maplecroft's "Discrimination" index highlights the extent to which individuals are treated less favourably in the workplace on account of their gender, ethnic origin, religion or beliefs, disability, HIV/AIDS status, migration status, nationality, sexual orientation or gender identity, or for any other reason unrelated to the person's job requirements.

(2) Covers the topics of decent working time, the right to privacy, concealed work, kidnapping and decent wages.

- in terms of **freedom of association and collective bargaining**, the countries in which some Group entities must pay particular attention in the event of requests made on this subject are China, Colombia, United Arab Emirates, United States of America, Hong Kong, Hungary, India, Malaysia, Romania, Serbia, Turkey, Ukraine;
- on **discrimination**, the countries in which some Group entities need to have official policies and strengthen their checks to make sure that HR processes are not discriminatory are Burkina Faso, Côte d'Ivoire, Equatorial Guinea, Italy, Poland;
- on **health and safety**, the countries in which some Group entities need to have official policies and strengthen their checks are Burkina Faso, Côte d'Ivoire, Romania, Togo;
- as for **working conditions**, the countries in which some Group entities need to have official policies and strengthen their checks to ensure that working conditions meet International Labour Organization standards are Burkina Faso, Côte d'Ivoire, Equatorial Guinea, Hungary.

5.8.6.2 Relations with suppliers and subcontractors

The Sourcing Division tracks E&S risk indicators on suppliers and calls for tender on a quarterly basis to assess how effective its risk management framework is.

For procurement overseen by the Sourcing Division:

- 100% of the sourcing categories representing a high or medium-high E&S risk are subject to a formalised proposal of E&S requirements and criteria specific to products or services purchased as well as a sector of activity to be included in calls for tender. The requirements and criteria vary according to the sector and the products or services in question. Proposed E&S criteria and requirements also exist for a further 50 or so sourcing categories beyond these medium-high and high risk categories. In total, around 100 sourcing categories are covered;

- 98.6% of calls for tender in high E&S risk categories included E&S criteria in 2024;
- a tool has been developed to help tackle controversies involving companies suspected of using forced labour in their supply chains;
- by the end of 2024, 100% of the Sourcing Division's active buyers had received training in Sustainable Sourcing, as defined in the Group's normative documentation, and in E&S risk management tools for sourcing;
- 98.5% of the Sourcing Division's active buyers had attended Climate Fresk training by the end of 2024.

The Group continued to enhance its risk management framework over 2024, with the following main achievements:

- review of specific E&S requirements and criteria applicable during calls for tender for 40 sourcing categories representing all levels of E&S risk;
- further training on Sustainable Sourcing and E&S risk management tools provided to buyers in the Sourcing Division and the Sourcing Function for the international market;
- the conduct of four new CSR audits of suppliers in a medium-high risk sourcing category; and the continuation of the follow-up of the action plans resulting from the two CSR audits of suppliers carried out in 2022;
- the continued identification of supplier E&S controversies through the monitoring of more than 600 "targeted" suppliers and/or suppliers with a medium or high E&S risk in France and a high E&S risk in the scope of its Sourcing Function for the international market;
- on the theme of forced labour: for three of our sensitive suppliers, the sending and processing⁽¹⁾ of a specific questionnaire concerning the means implemented to control their supply chains. In addition, three sensitive suppliers who had already responded to this specific questionnaire in 2022 have been subject to a review of their processes to control their supply chains on the theme of forced labour.

(1) Analysis of the responses (and critical review of these responses if necessary)

5.8.6.3 In its activities

The Group continued to implement procedures and controls aimed at managing E&S risks intrinsic to its activities.

Using these internal management tools, the Group assessed, in particular:

- familiarity with the normative framework for managing E&S risks in the Group (E&S policies, E&S watch list, E&S exclusion list) and their transposition into the Business Units' own procedures;
- those Business Units that had the highest exposure and had implemented specific procedures (transposing the Societe Generale Code) with respect to the E&S risk management framework;
- implementation of Group procedures and associated controls, as part of the Group's permanent control system;
- the human resources and skills devoted to E&S risk management;
- the governance framework in place to address complex E&S issues at local level, before escalation to Group level;

- the number of people trained in managing E&S and climate risks;
- the number of customers that pose an E&S risk and that were the subject of in-depth review, as well as the main findings of these reviews.

As part of its system evaluation process across the Activities sub-scope, the Compliance Department has defined normative controls and set up monitoring indicators. The main conclusions were as follows:

- 100% of the Group's Business Units have correspondents or people dedicated to E&S risk management;
- 100% of the Group's Business Units, concerned by the E&S risk management system covering activities, check the ESG exclusion list when entering into a relationship with a corporate client;
- 100% of the Group's Business Units have introduced controls to assess E&S risks in their transaction processes and when onboarding a new corporate client;
- in 2024, Business Units conducted 4,689 environmental and social assessments of client groups. The results of these evaluations were 93.89% positive, 5.26% conditional and 0.85% negative.

5.8.7 OUTLOOK AND PLANNED DEVELOPMENTS

The Group plans to maintain and, where necessary, enhance its existing inherent E&S risk management frameworks (policies, formal processes and/or additional controls) over 2025.

5.8.7.1 Concerning employees

Changes in the environment, in society and in technologies are reshaping the banking professions and how banks operate. These shifts also have consequences for how work is organised, which, in turn, has an impact on employees. Societe Generale has taken the measure of the acceleration of these transformations and is committed to implementing the necessary changes to prevent and control risks related to human capital.

The Group intends to strengthen its measures, in particular by:

- monitoring the commitments made as part of the responsible employer strategy, so as to offer a satisfying and efficient working environment, notably *via*: a budget of EUR 100 million to reduce the gender pay gap, increase women representation in senior leadership roles up to 35% by 2026, extension of its remote working charter, international implementation of social benefits thanks to the provisions of the agreement signed with UNI Global Union, and emphasis on enhancing employee engagement rate and wellbeing at work level;
- the implementation of actions to promote the Culture of Dialogue among all employees, such as employee testimonials and dedicated workshops;
- continuing social dialogue with the various employee representation bodies on topics covered by the Duty of Care Plan;
- continuing constructive exchanges with our internal stakeholders (staff representatives, employees, managers, etc.) through the various internal listening mechanisms (Whistleblowing, speak-up, employee barometer, etc.);

- monitoring of the deployment of the provisions relating to well-being at work provided for in the agreement signed with UNI Global Union ("Societe Generale Care for You" programme);
- monthly indicators to identify potential psychosocial risks at the level of each Business and Service Unit and to implement the necessary actions to contain them. In addition, extra-indicators in case of transformations for the Business and Service Units concerned, allowing HR and managerial teams to best support the teams;
- the promotion of new collectives of employees committed to DE&I topics, such as neurodiversity (Great Minds), employee caregivers (*Mon Everest*) and intergenerational (WISE) and dissemination of DE&I recommendations within all the Group's Business and Service Units.

5.8.7.2 Concerning suppliers and subcontractors

The Group is planning to implement the following main actions:

- the continuous updating of our tools to help identify, assess and manage inherent E&S risks to ensure that emerging issues related to new technologies such as AI are taken into account;
- gradually imposing stricter E&S risk management for sourcing within the Sourcing Function for the international market, introducing a minimum 15% weighting for E&S criteria in calls for tenders for sourcing categories representing a high E&S risk by 2025;
- the extension of the management of the inherent E&S risks in the sourcing acts of the new entities integrated into the Sourcing Division and the Sourcing Function for the international market;

- continuing to provide training on Sustainable Sourcing and E&S risk management tools to buyers in the Sourcing Division and the Sourcing Function for the international market, as well as to entities that regularly manage their own sourcing, if they should request it;
- conducting CSR audits, jointly with other banks where possible, on suppliers presenting E&S risk factors, and following them up with action plans when necessary;
- continuing to improve the process of identifying and managing E&S controversies for Group suppliers, and pursuing targeted dialogue with and, where appropriate, challenging those suppliers identified as being involved in significant controversies;
- the industrialisation of the management and materiality analysis of E&S controversies identified in the context of the KYS (Know Your Supplier) process at the beginning of the relationship as well as during periodic reviews;
- the optimisation, in conjunction with three of our peers, of the extra-financial evaluation of our suppliers;
- maintaining data collection and a critical review of the Group's suppliers on issues relating to the carbon emissions generated by the products and services purchased and biodiversity preservation.

5.8.7.3 Concerning its activities

The Group is planning to implement the following main actions:

- **continuing work on the impact of the power generation sector on nature** to make it a lever for client engagement and awareness;
- **continuing to assess impacts on nature** in other priority sectors identified as part of the risk mapping exercise, such as the agri-food industry and mining sectors, integrating value chain and location elements to the extent possible;
- **updating the procedures for operationalising sectoral policies and training** actions on the E&S risk management system, in order to support the business lines in complying with the application criteria of sectoral policies;
- **the continuation of the enrichment of the training offer in 2025**, in order to continue to develop a transversal CSR culture and support the Business Units and Service Units in their expertise needs.

In addition to the inherent E&S risks identified in the maps detailed in section 5.8.2, the Group is also striving to identify emerging risks related to changes in technologies and their uses and in particular risks related to the development of Artificial Intelligence. This exploratory approach has already been initiated in recent months and may also be extended to other emerging technologies depending on the Group's developments and ambitions on these new technologies.